



CIN No. : L24239DL2004PLC125888

AKUMS DRUGS & PHARMACEUTICALS LIMITED

Regd. Office : 304, 3rd Floor, Mohan Place, L.S.C., Block-C, Saraswati Vihar, New Delhi-110034 (INDIA)
Corporate Office : Akums House - Plot No. 131 to 133, Block-C, Mangolpuri Ind. Area, Phase-I, Delhi-110083
Phone : 91-11 - 69041000 Fax : 91-11 27023256 E-mail : akumsho@akums.net ; website : www.akums.in

Ref: Akums/Exchange/2025-26/21

June 24, 2025

To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

To,
The Listing Department
BSE Limited
Rotunda Building, Phiroze Jeejeebhoy
Towers, Dalal Street,
Fort, Mumbai – 400 001

Symbol: AKUMS

Scrip Code: 544222

Sub: Notice convening 21st Annual General Meeting and Integrated Annual Report of Financial Year 2024-25

Respected Sir/Madam,

In terms of Regulation 34(1) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed herewith the Notice of 21st Annual General Meeting and Integrated Annual Report of financial year 2024-25 including Business Responsibility and Sustainability Report of the Company.

The 21st Annual General Meeting of the Company will be held on Friday, 18th July, 2025 at 11.00 am (IST) through Video Conference/ Other Audio-Visual Means.

The Integrated Annual Report containing said notice of the company is also available on the Company's website and can be accessed at <https://www.akums.in/annual-report/integrated-annual-report-2024-25.pdf>.

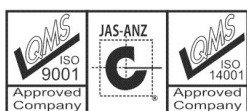
This is for your kind information and record.

Thanking You
For **Akums Drugs and Pharmaceuticals Limited**

Dharamvir Malik
Digitally signed
by Dharamvir Malik
Date: 2025.06.24
16:10:24 +05'30'

Dharamvir Malik
Company Secretary & Compliance Officer

Encl: as above



ISO 9001 : 2015
ISO 14001 : 2015
ISO 17025 : 2005 (NABL)

WHO-GMP
US : NSF
H A C C P



A Journey of
CARE &
COMPASSION



A Journey of **Care & Compassion**

Akums Drugs and Pharmaceuticals Limited truly embodies the manufacturing revolution, with emphasis on CDMO, that is currently gaining thrust and momentum in India. Akums truly represents the nationalistic sentiment of 'Make in India for the world' with cost-effective innovation and highest quality standards in the growing pharmaceutical landscape.

Our journey commenced in 2004 under challenging circumstances, but we have been able to successfully convert those obstacles into opportunities for growth with a 'patient-first' approach. 6th August 2024 marked a momentous milestone in our journey, as we got listed on that day and earned the trust of innumerable shareholders.

We are grateful to all our investors and shareholders for placing their invaluable trust and confidence in our vision and capabilities.

As the largest India-focused CDMO, we enjoy strategic presence across the pharmaceutical value chain, driven by best-in-class R&D and manufacturing capabilities, which speaks volumes about our rich, diverse and long-standing client relationships.

We are committed to providing the best possible solutions for all our clients and are confident that our passion will lead to many exciting new developments in the expanding frontiers of medicine.



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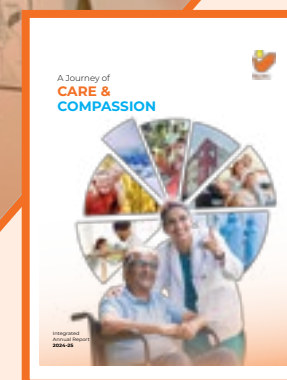
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Forward-looking statements

Some information in this report may contain forward-looking statements which include statements regarding Company's expected financial position and results of operations, business plans and prospects and so on and are generally identified by forward looking words such as 'believe,' 'plan,' 'anticipate,' 'continue,' 'estimate,' 'expect,' 'may,' 'will' or other similar words. Forward-looking statements are dependent on assumptions or basis underlying such statements. We have chosen these assumptions or basis in good faith and we believe that they are reasonable in all material respects. However, we caution that actual results, performances, or achievements could differ materially from those expressed or implied in such forward looking statements. We undertake no obligation to update or revise any forward-looking statement, whether because of new information, future events, or otherwise.

Corporate Information

BOARD OF DIRECTORS

Sanjeev Jain
(Managing Director)
Sandeep Jain
(Managing Director)
Sanjay Sinha
(Whole Time Director)
Sunil Kumar Thakur
(Non-executive Director)
Kewal Handa
(Independent Director)
Matangi Gowrishankar
(Independent Director)
Nand Lal Kalra
(Independent Director)
(Cessation w.e.f. 05.02.2025)
Satwinder Singh
(Independent Director)

KEY MANAGERIAL PERSONNEL

Sumeet Sood (Chief Financial Officer)
Dharamvir Malik (Company Secretary
& Compliance Officer)

COMMITTEES

AUDIT COMMITTEE

Kewal Handa
Sandeep Jain
(Cessation from Audit Committee w.e.f.
06.02.2025)
Nand Lal Kalra
(Cessation w.e.f. 05.02.2025)
Sunil Kumar Thakur
Matangi Gowrishankar
Satwinder Singh

NOMINATION & RENUMERATION COMMITTEE

Matangi Gowrishankar
Nand Lal Kalra
(Cessation w.e.f. 05.02.2025)
Sunil Kumar Thakur
Kewal Handa
Satwinder Singh

CORPORATE SOCIAL RESPONSIBILITY COMMITTEE

Sandeep Jain
Sanjeev Jain
Sunil Kumar Thakur
Matangi Gowrishankar
Nand Lal Kalra
(Cessation w.e.f. 05.02.2025)

STAKEHOLDERS' RELATIONSHIP COMMITTEE

Satwinder Singh
Sandeep Jain
Sanjeev Jain
Kewal Handa
Nand Lal Kalra
(Cessation w.e.f. 05.02.2025)

RISK MANAGEMENT COMMITTEE

Sanjeev Jain
Sandeep Jain
Kewal Handa
Matangi Gowrishankar
Nand Lal Kalra
(Cessation w.e.f. 05.02.2025)
Sumeet Sood

STATUTORY AUDITORS

M/s. Walker Chandiok & Co LLP

SECRETARIAL AUDITORS

M/s. AK Nandwani & Associates

INTERNAL AUDITORS

M/s. Vibhor Gupta & Associates

COST AUDITORS

M/s. Balwinder & Associates

MANAGEMENT AUDITORS

Ernst & Young LLP
Protiviti India Member Private Limited

BANKERS

State Bank of India
Citibank N.A
HSBC Ltd
Standard Chartered Bank
HDFC Bank Ltd
YES Bank Ltd

REGISTERED OFFICE

304, 3rd Floor, Mohan Place, L.S.C,
C-Block, Saraswati Vihar Delhi-110034

WEBSITE

www.akums.in

CIN

L24239DL2004PLC125888

CONTACT DETAILS

Phone: 011-69041000
E-mail: akumsho@akums.net



About the Report

Akums' Integrated Report

“ We are pleased to present our first Integrated Report, marking a significant step in our commitment to integrated thinking and approach.

Aligned with the International Integrated Reporting Framework (IIRF), this Report highlights how our strategies and operations generate long-term value by linking financial performance with non-financial growth avenues. It demonstrates briefly our focus on innovation, collaboration and sustainability, contributing to both the healthcare ecosystem and broader sustainability goals.

We sincerely hope this integrated report serves as a catalyst for meaningful dialogue with all our stakeholders.

Going forward, we will continue to strive for improved brand equity and sustainable value creation for everyone who has a stake in our progress. ”

Sanjeev Jain & Sandeep Jain
Managing Directors

Communication Tools for Corporate Reporting

Voluntary Disclosure & Sustainability Information	- Integrated Report - Business Responsibility and Sustainability Report
Statutory Disclosure	- Board's Report - Corporate Governance Report - Management Discussion and Analysis - Notice of AGM - Secretarial Audit Report of Akums & Its Material Subsidiaries
Financial Information	- Standalone Financial Statements - Consolidated Financial Statements

Key Regulatory and Reporting Frameworks

- The Companies Act, 2013
- Indian Accounting Standards
- The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015
- Business Responsibility and Sustainability Reporting (BRSR) based on the National Guidelines for Responsible Business Conduct (NGRBC)
- International Integrated Reporting Council (IIRC) Frameworks
- Global Reporting Initiative Standards, 2021
- United Nations Sustainable Development Goals Principles (UN SDGs)
- United Nations Global Compact (UNGC) Principles

Key Stakeholders

Shareholders

Regulators

Suppliers

Distributors/Clients

Communities

Employees

Our Values

Governance and Integrity

Safety

Respect

Sustainability

Our Six Capitals

Financial Capital

Manufactured Capital

Intellectual Capital

Human Capital

Social and Relationship Capital

Natural Capital

Akums' Integrated Report

(Financial & Non-financial Disclosures)

Boundary and Scope of Reporting

This Integrated Annual Report offers a comprehensive overview of the activities of Akums and its operating subsidiaries. It includes both financial and non-financial information, all of which are fully consolidated. The Report focuses primarily on identifying and addressing material issues that influence our business decisions and operations and contribute to the creation of long-term value for all stakeholders.

Reporting Period and Cycle

Annual (FY25/FY 2025/FY 2024-25 - April 01, 2024 to March 31, 2025)

Visit us at

for in-depth, comprehensive information about Akums Drugs and Pharmaceuticals Limited

QR code and URL of the Company

Management's Message



Dear Shareholders,

It is with immense pride and a sense of responsibility that we address you in this, our first annual report following the Initial Public Offering (IPO) in August of the fiscal year 2024-25. This year has been one of significant milestones and steady progress for Akums Drugs & Pharmaceuticals Limited. We are honoured to share with you a summary of our performance and our vision for the future.

Overall Performance in FY 2024-25

FY 2024-25 has been a transformative period for Akums. The successful IPO and subsequent listing of our shares on both the NSE and BSE mark a pivotal moment in our journey. This achievement underscores the confidence our stakeholders and shareholders have in our business model, our capabilities and our future growth potential. Beyond the IPO, we have focused on strengthening our core operations, expanding our manufacturing capabilities and strategically positioning ourselves in a dynamic and growing pharmaceutical landscape.

During the year under review, the group achieved a revenue of INR 4,118.20 Crores and Adjusted EBITDA for the year was INR 512.73 Crores while Profit After Tax (PAT) stood at INR 343.80 Crores.

Navigating Market Conditions

The global business environment in FY25 has been characterised by fluctuating demands and evolving pricing trends. This has also impacted our business as the input prices were unstable and volumes in the industry were not meaningfully growing. We have navigated these challenges by maintaining a strong focus on operational efficiency, cost management, strong focus on building a basket of innovative products and strengthening relationships with our clients and business partners.

Positioning in the Indian CDMO Market

The Indian CDMO market is currently experiencing structural tailwinds, driven by factors such as expanding pool of diagnosed patients, focus on cost competitiveness and preference towards outsourcing by pharmaceutical companies and a supportive regulatory framework for quality manufacturing. India's ability to offer pharmaceutical services at a significantly lower cost compared to other global players, coupled with its growing reputation for quality manufacturing, makes it an attractive hub for R&D and pharmaceutical manufacturing. Akums is strategically positioned to capitalise on this growth. Our extensive manufacturing infrastructure, adherence with various international regulatory standards, skilled workforce and experienced management are the key strengths. We are continuously investing in upgrading our facilities and technological capabilities to stay at the forefront of this competitive market.

“FY 2024-25 has been a transformative period for Akums. The successful IPO and subsequent listing of our shares on both the NSE and BSE mark a pivotal moment in our journey. This achievement underscores the confidence that the market and our stakeholders have in our business model, our capabilities and our future growth potential.”

“Our new state-of-the-art facilities at Kotdwar and Haridwar, focusing on Penem anti-infectives and general injectables, have been instrumental in enhancing our manufacturing capacity. These facilities are equipped with the latest technology and adhere to stringent quality standards, allowing us to meet the growing demand for our services.”

Global Expansion and European Contract

A significant highlight of the year was securing a landmark CDMO contract worth EUR 200 Million for the European market. This agreement, with a leading global pharmaceutical company, involves the manufacture and supply of selected pharmaceutical formulations. We view this as a major step in establishing Akums as a global CDMO player. This contract is not just a testament to our capabilities but also paves the way for future partnerships and growth in international markets, particularly in Europe. We are committed to building on this success and exploring further opportunities to serve global pharmaceutical needs.

Expansion of Manufacturing Capabilities

Our new state-of-the-art facilities at Haridwar (injectable) Kotdwar (penem anti-infectives) and Baddi (Multi-dosage format), have been instrumental in enhancing our manufacturing capacity and capabilities. These facilities are equipped with the latest technology and adhere to stringent quality standards, allowing us to meet the growing demand for our services. Furthermore, we have expanded our capacities for eye drops, bi-layered tablets, ampoules and FFS small and large volume parenteral. We have enhanced our capabilities for nasal sprays, gummies and lyophilised vials. This continuous expansion is crucial for catering to the evolving needs of the pharmaceutical industry and driving our revenue growth.

Technological Advancements and R&D

We firmly believe that innovation is the base for sustained growth in the pharmaceutical sector. In FY25, we significantly increased our focus on Research and Development (R&D), with a total investment of INR 130 Crores. This investment has already yielded positive results, with 31 DCGI approvals and 117 FSSAI approvals received during the fiscal year. Our R&D efforts are geared towards shaping a robust product pipeline, driving innovation in niche dosage forms and for regulated markets. The DSIR accreditation for our Barwala R&D facility for APIs further validates our strong R&D ethos. We are also proactively licensing novel products from global markets to introduce them in India, as demonstrated by our partnerships with Triple Hair Inc. from Canada and Caregen from South Korea. Our R&D efforts will continue in coming years to ensure a robust differentiated pipeline.

Regulatory Compliance and Sustainability

In today's environment, adherence to global quality standards and regulatory compliance is non-negotiable. Akums is deeply committed to maintaining the highest standards across all our manufacturing sites. We have secured multiple regulatory approvals showcasing our robust quality systems and processes.

We at Akums recognise the importance of environmental sustainability and responsible stewardship of resources.

“We are also committed to investing in the process optimisation of our existing API basket and developing new APIs with significant market potential. While Cephalosporin APIs remain an important part of our current sales, our long-term strategy includes diversifying our API portfolio to ensure sustained growth and reduce dependence on any single product category.”

We are seeking to integrate eco-friendly practices within our manufacturing operations to minimise our ecological footprint. Our efforts include the conservation of natural resources, maintaining the quality of soil, air and water and ensuring ecological balance in our areas of operation. We are continuously evaluating and implementing measures to promote a sustainable future.

Future Vision and Conclusion

The IPO in FY25 marks the beginning of an exciting new chapter for Akums Drugs & Pharmaceuticals Limited. Our vision for the future is one of sustained growth, driven by our strong presence in the rapidly expanding Indian CDMO market, our increasing global footprint and our commitment to innovation. We will continue to invest in our manufacturing capabilities, our R&D infrastructure and our people to ensure we remain a trusted partner for pharmaceutical companies worldwide and a leading player in the industry.

We extend our sincere gratitude to our shareholders for their trust and support, to our dedicated employees for their sheer hard work and commitment and to our clients and business partners for their continued collaboration. We are confident in our ability to navigate the opportunities and challenges ahead and deliver long-term value to all our stakeholders.

Sincerely,

Shri Sanjeev Jain
Managing Director
Akums Drugs & Pharmaceuticals Ltd.

Shri Sandeep Jain
Managing Director
Akums Drugs & Pharmaceuticals Ltd.

Next-Gen Leaders' Message



Dear Shareholders,

We often hear that *change is the only constant*—but what does this truly imply?

For Akums, **change** embodies the expertise to understand the pulse of the industry, to adapt to business dynamics and to refine strategies to emerge stronger each time. Over the years, our ability to transform every obstacle into an opportunity has enabled us to establish ourselves as a leading industry player. From laying the building blocks to passing the baton, our journey has been driven by change, encouraging us to constantly perform, progress and excel.

As we present to you the Annual Report for FY 2024-25, it gives us immense pleasure to share our reflections on another successful year and our vision for the future.

Making an impact through robust performance

Our performance in FY 2024-25 reflects both our financial prudence and our ability to secure a competitive edge. Our prowess lies in allocating resources judiciously, coupled with the dedication of our results-driven team, strategically translating into impactful outcomes.

The growing global CDMO industry, alongside our recent securing of a EUR 200 Million contract for manufacturing and supplying products to European markets, has unlocked a new avenue for Akums to establish a stronger footprint as a global CDMO player. We believe that by forging further strategic partnerships, we are poised to extend our operations beyond current horizons. By leveraging our state-of-the-art manufacturing facilities and upholding our unswerving commitment to adhering to stringent

quality standards, we will continue to grow in tandem with our organisational objectives.

On the domestic front, we remained the preferred manufacturing partner for marketing companies as reflected through surge in volume sales. We anticipate continued growth as our new facilities for Penem anti-infectives at Kotdwar and general injectables at Haridwar contribute further to our business momentum. Additionally, the in-licensing of novel products from Triple Hair and Caregen in the dermatology and metabolic segments highlights our commitment to addressing evolving market needs.

While the API segment has faced volatility, we are pleased to note the significant reduction in API EBITDA losses in the year compared to the previous year. Our strategy to consolidate our portfolio and focus on high-margin products has generated positive results.

We are just getting started!

Our Company was started with the aim of making medicines affordable and accessible for everyone. Innovation remains at our core. Our R&D teams continue to develop affordable, high-quality medicines, reinforcing our dedication to enhancing healthcare accessibility and supporting the 'Make in India' vision. Through relentless hard work, determination and indomitable zeal, we have remained steadfast to achieve sustainable growth and expand our global footprint. We are actively pursuing strategic collaborations and exploring new markets, particularly in regulated regions, to leverage our enhanced manufacturing capabilities and diverse product portfolio.

On our environmental responsibility front, we are dedicating our recent initiatives to adopting renewable energy and increasing our green cover, aligning with our vision of a healthier future for all. We are confident that these strategic efforts in sustainability and innovation will not only strengthen our position as a leading pharmaceutical manufacturer but also contribute positively to the well-being of our communities and the environment in which we operate.

The past two decades uphold **a journey of care and compassion**, developing innovative products that aid people in leading healthier lives. As the custodians of this enterprise, we are prepared than ever to steer the course of the organisation towards new heights of success. The values instilled by our founders, will serve as the guiding force behind our future growth. By advancing innovation, upholding pharmaceutical excellence and prioritising sustainability in our operations, we ensure a brighter future ahead.

Further, our roles within the organisation have provided us with invaluable experience and a deep understanding of the intricacies of the pharmaceutical industry. We are dedicated to enhancing shareholder value and look forward to embarking on this exciting journey with your continued support.

We extend our sincere gratitude for your continued faith and support in Akums.

Sincerely,

Arushi Jain

Director - Corporate Growth and Excellence

Kanishk Jain

Director - Operation Marketing, Akumentis Healthcare Ltd.

Who We Are

Nurturing a decade of experience, expertise and trust

Akums Drugs & Pharmaceuticals Limited, established in 2004, is the largest* Contract Development and Manufacturing Organisation (CDMO) with a focus on the Indian pharmaceutical market. Specialising in Pharmaceuticals, Nutraceuticals, Ayurveda, Herbal Products, Cosmetics and other healthcare segments, Akums is known for its end-to-end solutions from product development to commercialisation and regulatory compliance.

With 14 state of art manufacturing facilities certified by global regulatory bodies such as WHO-GMP, USFDA and EU-GMP, we uphold compliance with international quality and regulatory standards. Beyond our core CDMO business, we have also built a strong presence in both Indian and international markets by marketing our own branded formulations. Through our subsidiaries, Akumentis and Unosource, we directly cater the needs of patients and healthcare providers which strengthening our commitment to accessible and high quality healthcare.

Our services span the entire spectrum—from product development and clinical trials to manufacturing and regulatory compliance. With a razor-sharp focus on eco-friendly practices and cutting-edge R&D capabilities, we provide our clients with innovative new drugs, best-in-class formulations and novel products that help make a significant impact on the healthcare industry and improve the lives of patients worldwide.

Guided by a vision to make affordable, quality healthcare accessible, we have earned a reputation for operational excellence, innovation and a customer-first approach, establishing ourselves as a leader in the pharmaceutical industry.

*Largest India-focused CDMO in terms of revenue, production capacity and clients served



Our Vision

To become a globally admired Pharmaceutical Organisation by providing research based, affordable quality products for larger global population.



Our Mission

To dedicate ourselves for humanity's quest for longer, healthier and happier lives, through innovative healthcare products.



Our Values

Integrity - We are committed to conduct ourselves with uncompromising integrity, honesty and ethical standards in all of our operations and behaviour.

Safety - We are committed to conduct our business operations by practicing all safety norms and standards.

Respect - We are committed to create environment that encourages diverse perspectives and upholds the dignity of work and of individuals at all levels.

Sustainability - We are committed to the value for all our stakeholders in a manner that respects our natural environment and serves best interests of the communities in which we live and work.

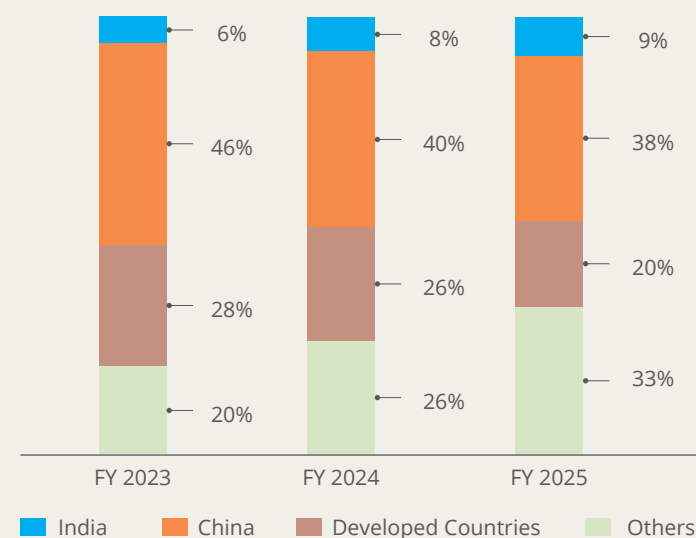
Key Competitive Advantages for Akums

The Compassionate Edge

As India's largest domestic-market focused CDMO player, Akums enjoys key competitive advantages. The operating landscape is also encouraging as India's Contract Research Organisation (CRO) and Contract Development and Manufacturing Organisation (CDMO) services markets doubled between 2019 and 2023. Together, CRO and CDMO exports are estimated to increase from USD 18 Billion in 2023 to USD 44 Billion by 2030.

In addition to the CDMO business, Akums is also engaged in manufacturing and sale of Branded Formulations, Trade Generics and APIs across domestic and overseas markets. The focus on quality standards and better compliance with regulatory norms have enabled India to gain wallet share in the global small molecule API procurements. With the right investments and capacities, India can soon emerge as a leading supplier of small molecule active pharmaceutical ingredients (API) globally. As huge pharmaceutical companies deepen relationships with partners outside China, India's wallet share in global small molecule API procurements is estimated to rise significantly.

India gains market share



Source: Bain & Company

India's Largest CDMO

Akums is the leading CDMO in India, serving a vast pharmaceutical market with unmatched production capacity and technical expertise.

Diverse client base with longstanding CDMO relationships

With long-standing partnerships across the pharmaceutical industry, Akums collaborates with top-tier domestic and international players, ensuring business stability and consistent revenue streams.

Robust R&D and Innovation Capabilities

Akums relentlessly invests in cutting-edge R&D, driving innovation in formulations, novel drug delivery systems and high-value pharmaceutical products to stay ahead of industry trends.

Expanding Global Footprint

With a strong presence in India and growing exports, Akums is well-positioned to capitalise on the increasing global demand for high-quality, cost-effective pharmaceutical products.

Regulatory Excellence and Quality Leadership

Compliance with stringent global regulatory standards ensures credibility and access to highly regulated markets, enhancing growth prospects.

Scalability and Growth Potential

With continuous capacity expansion and investment in specialised manufacturing (injectables, nutraceuticals), we are poised for sustained growth in the evolving pharma landscape.

End-to-end Value Chain Integration

From research and development to large-scale manufacturing, regulatory support and packaging, Akums provides comprehensive solutions, making it a preferred partner for pharma companies.

CDMO

49.6 Bn

CDMO Manufacturing Capacity

4,146

Commercialized formulations across 60 dosage forms

Trusted by

1400+

Clients

21,687 SKUs

across different molecules

Branded and Generic Formulations

73%

Revenue from chronic and sub chronic (Akumentis)

#58

Rank in IPM (Akumentis)

629

Dossiers received since FY22

API

737.4 Mt

API Manufacturing Capacity

20

Drug Master Files

197

Clients

*<https://www.bain.com/insights/healing-the-world-a-roadmap-for-making-india-a-global-pharma-exports-hub/>

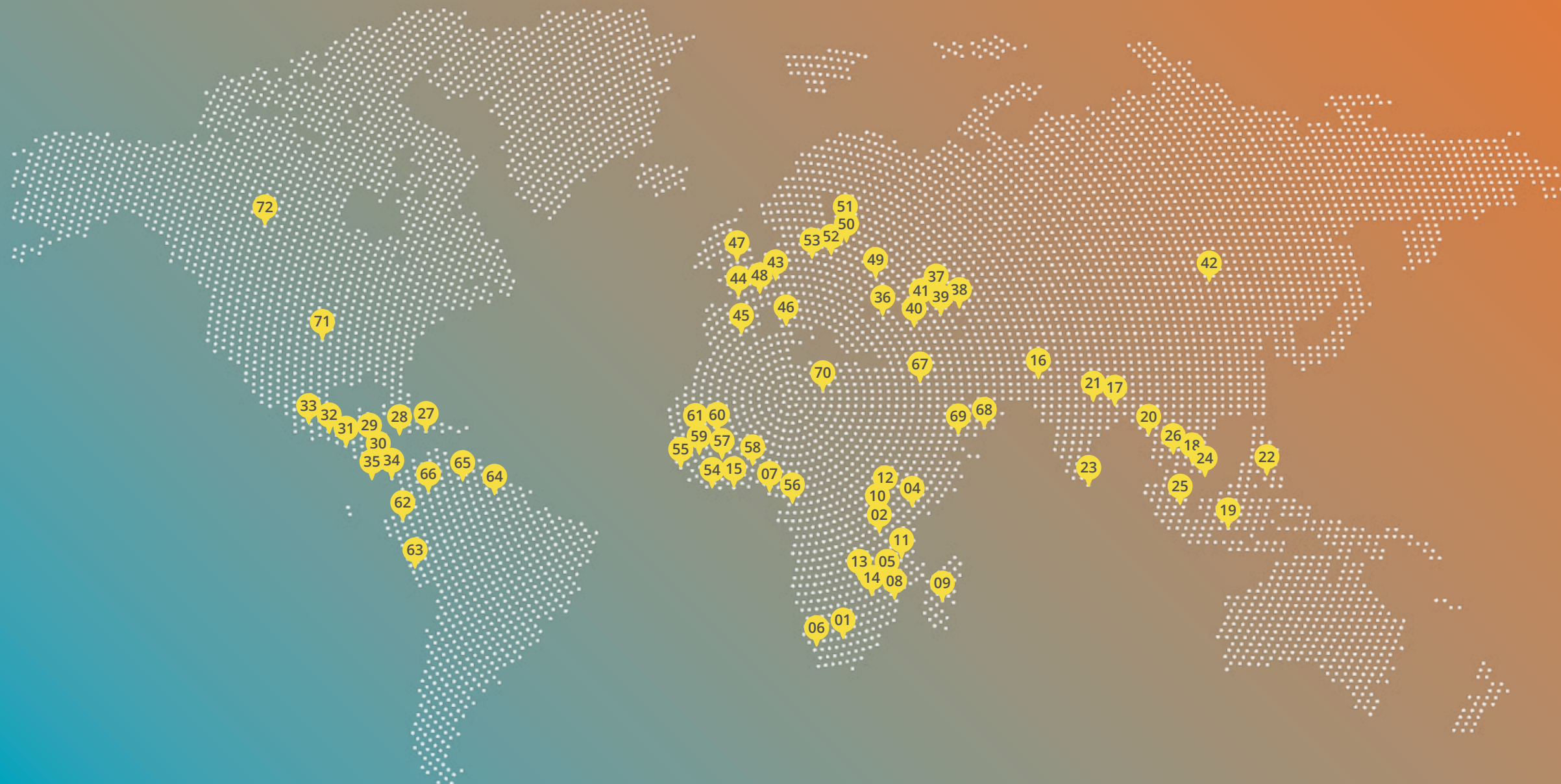
Our Presence



Presence in

70+

countries, supported by
strong global partnerships



01 Botswana
02 Burundi
03 Ethiopia
04 Kenya
05 Malawi
06 Namibia
07 Nigeria
08 Mozambique
09 Madagascar
10 Rwanda
11 Tanzania

12 Uganda
13 Zambia
14 Zimbabwe
15 Ghana
16 Afghanistan
17 Bhutan
18 Cambodia
19 Indonesia
20 Myanmar
21 Nepal
22 Philippines

23 Sri Lanka
24 Vietnam
25 Malaysia
26 Thailand
27 Dominican Republic
28 Jamaica
29 Honduras
30 Nicaragua
31 El-Salvador
32 Guatemala

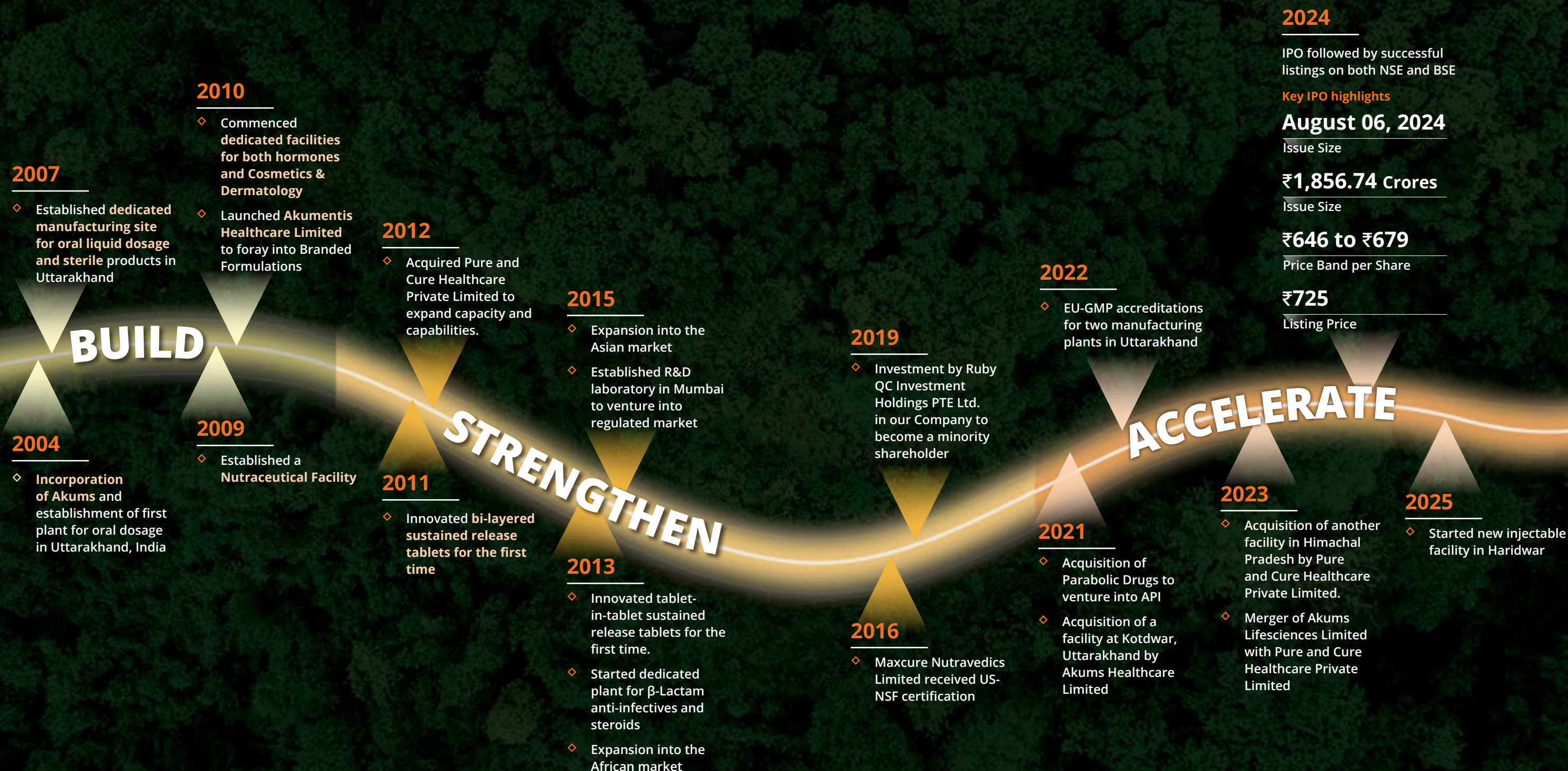
33 Mexico
34 Panama
35 Costa Rica
36 Georgia
37 Kazakhstan
38 Kyrgyzstan
39 Tajikistan
40 Turkmenistan
41 Uzbekistan
42 Mongolia

43 Germany
44 France
45 Spain
46 Italy
47 UK
48 Switzerland
49 Slovakia
50 Lithuania
51 Estonia
52 Latvia

53 Poland
54 Ivory Coast
55 Senegal
56 Cameroon
57 Burkina Faso
58 Benin
59 Guinea Conarky
60 Mali
61 Mauritania
62 Ecuador

63 Peru
64 Guyana
65 Venezuela
66 Colombia
67 Iraq
68 Oman
69 Yemen
70 Libya
71 USA
72 Canada

An Eventful Journey of Care and Compassion



Our Businesses

Akums is India's largest and most trusted CDMO, offering a comprehensive suite of pharmaceutical products and services tailored to both domestic and international markets. Our capabilities extend across the entire product lifecycle, from formulation R&D and regulatory dossier preparation to testing services and commercial manufacturing.

We also specialise in branded and generic formulations, as well as API manufacturing, serving a diverse global clientele, including leading pharmaceutical, nutraceutical, cosmeceutical, wellness companies, e-commerce platforms, healthcare providers and government entities.

CDMO Business

Akums' Contract Development and Manufacturing Organisation (CDMO) business is a key component of our pharmaceutical solutions, specialising in the development and manufacturing of formulations across pharmaceuticals, wellness, nutraceuticals and cosmetics. We focus on continuous innovation, ensuring that our products align with global trends and emerging market needs. Our in-house product strategy team works on creating new formulations, each undergoing rigorous clinical studies, stability testing and regulatory clearance before launch. This enables us to provide high-quality, cutting-edge products to meet the needs of our global clientele.

Through our subsidiary, Maxcure Nutravedics, we manufacture a wide range of health and wellness products, including nutraceuticals, food supplements and Ayurvedic formulations, addressing growing demand in India and beyond.

Additionally, we produce a diverse range of cosmetic and dermatological products, further strengthening our expertise and market presence in these sectors. We offer end-to-end solutions that help our clients stay ahead in a competitive market.

We operate 11 manufacturing units across India, producing tablets, capsules, oral liquids, injectables, topicals, dry powder injections, eye drops and more, all adhering to global regulatory standards. Our specialised manufacturing processes include -

- ◆ **Oral Solids:** Tablets and capsules, involving granulation, drying, compression and coating, with quality control at multiple stages.
- ◆ **Oral Liquids:** Sugar syrup preparation, batch manufacturing and quality checks before packaging.
- ◆ **Injectables and Topicals:** Bulk solution/ointment preparation, followed by rigorous quality control and final packaging.

We operate dedicated units for manufacturing hormonal products (oral, injectable and topical forms) and a specialised facility in Kotdwar, Uttarakhand, for Penem products, minimising cross-contamination and ensuring safety. With four R&D centres in Haridwar, Mumbai and Barwala, we focus on product development, formulation optimisation and regulatory approvals, assisting clients through

complex regulatory processes for both domestic and international markets. Our diverse clientele includes pharmaceutical, nutraceutical, cosmeceutical, wellness companies, e-commerce platforms, healthcare providers and government entities, supporting a wide range of therapeutic areas while ensuring compliance and customised solutions.

Branded and Generic Formulations Business

We have a strong presence in the branded and generic formulations market, both domestically and internationally, complementing our CDMO services. Through our subsidiary, Akumentis, we market over 140 branded formulations across key therapeutic areas such as gynaecology, cardiology, orthopaedics, pediatrics and dermatology.

Domestic Branded Formulations

Our domestic branded formulations business, operating through **Akumentis**, spans therapeutic areas such as gynaecology, cardiology, orthopaedics, pediatrics and dermatology. With a wide portfolio of branded products distributed across India, our revenue is largely driven by the chronic and sub-chronic segments.

International Branded Formulations

We export branded formulations to multiple countries, covering areas such as anti-infectives, cardiology, gynaecology, pain management and gastroenterology. We market these formulations through a mix of distributors and our own salesforce. Our R&D centre plays a crucial role in developing products tailored for global markets, focusing on various dosage forms such as tablets, capsules, injectables, ophthalmics and soft gelatin capsules.

Trade Generics

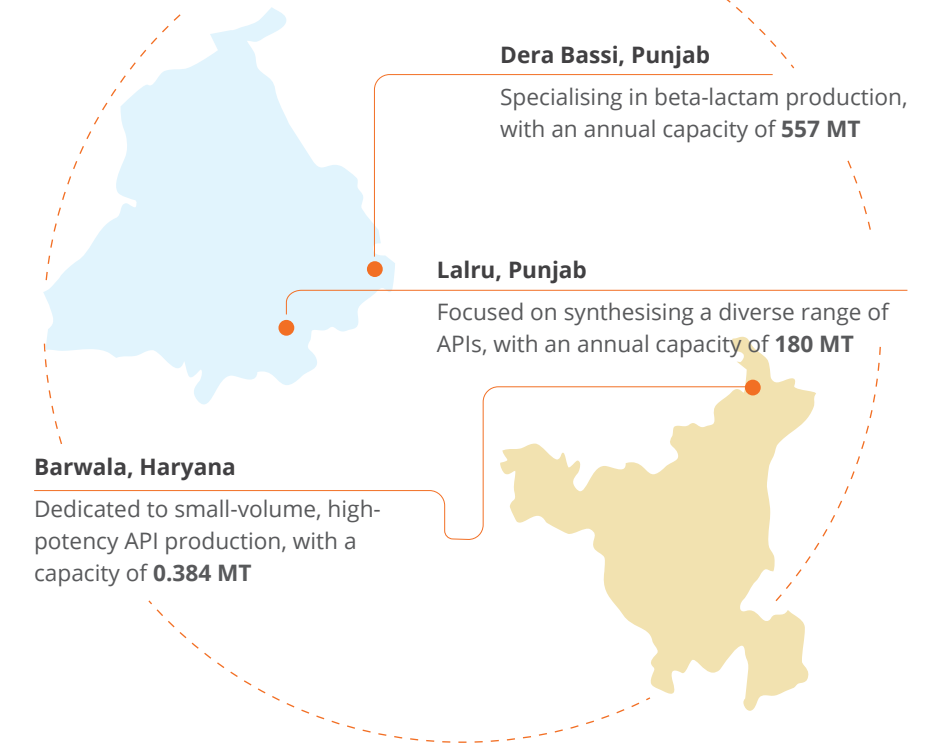
In addition to branded formulations, we market trade generics across therapeutic areas such as anti-infectives, pain management, gastro, orthopedics, cardio-diabetic, critical care, respiratory and gynaecology. These generics are distributed across India, further extending our reach in both domestic and international markets. The continued growth of our trade generics and branded formulations business is supported by a strong R&D pipeline, regulatory adherence and an extensive distribution network.

Active Pharmaceutical Ingredient (API) Business

Since acquiring Parabolic Drugs in 2021, we have strengthened our position in the API market, operating three advanced manufacturing units in Punjab and Haryana. We specialise in producing key starting materials, intermediates and APIs across diverse therapeutic areas, including beta-lactams, heterocyclic chemistry, steroids and high-potency APIs. Our facilities are equipped with cutting-edge analytical techniques and stringent quality control systems to ensure the highest product standards.

FY 2024-25 marked the third full year of operations for our API division, previously operating under Akums Lifesciences, which has since been merged with Pure & Cure effectively in the year 2022, our dedicated API manufacturing subsidiary. Significant investments have been made to upgrade facilities and ensure compliance with global regulatory standards. With a strong focus on R&D and a well-rounded portfolio, our API division is poised to serve both regulated and semi-regulated markets. The expansion of the pharmaceutical sector, coupled with government initiatives, strengthens our growth prospects in both domestic and international markets.

Akums' API manufacturing units include



With over 20 Drug Master Files (DMFs) and 22 active APIs in our portfolio, our API division is committed to delivering top-quality products while expanding our global reach across various therapeutic segments. Our expertise in chemical processes, coupled with our strong emphasis on regulatory compliance, ensures we meet the evolving needs of our clients in both domestic and international markets.

Strategic Priorities Across Business Verticals

Priorities

Short-term

Medium-term

Long-term

Contract Development & Manufacturing Organisation (CDMO)



- ◇ Strengthen CDMO partnerships with Indian marketing companies for enhanced penetration
- ◇ Expand into new dosage formats across sterile, oral solids and therapeutic areas

Active Pharmaceutical Ingredients (API)



- ◇ Enhance profitability through cost optimisation and manufacturing efficiency
- ◇ Broaden product reach among Indian formulation players

Akumentis



- ◇ Strengthen domestic prescription business through expanded coverage and deeper scientific engagement

Unosource



- ◇ Strengthen presence in key markets with a dedicated field force and targeted marketing
- ◇ Orchestrate portfolio and dossier filing for niche, high unmet-need products

Trade Generics



- ◇ Reduce EBITDA loss through portfolio optimisation, strategic market focus and better working capital management



- ◇ Expand CDMO services in Europe and semi-regulated markets
- ◇ Establish strategic local manufacturing partnerships globally

- ◇ Diversify API portfolio with high-margin products while reducing cephalosporin APIs
- ◇ Strengthen exports and expand into semi-regulated markets

- ◇ Enter new therapy areas and introduce first-in-India products addressing high unmet needs

- ◇ Enter regulated and emerging markets (Europe, Middle East) with EUGMP-approved facilities and dosage forms
- ◇ Broaden nutraceutical offerings in oral solid formats for emerging and regulated markets

- ◇ Lean operations with limited scale, focusing on profitable operations with minimal working capital



- ◇ Increase R&D investments in emerging modalities beyond small molecules
- ◇ Enter the U.S. market as a contract manufacturer for high unmet-need dosage forms

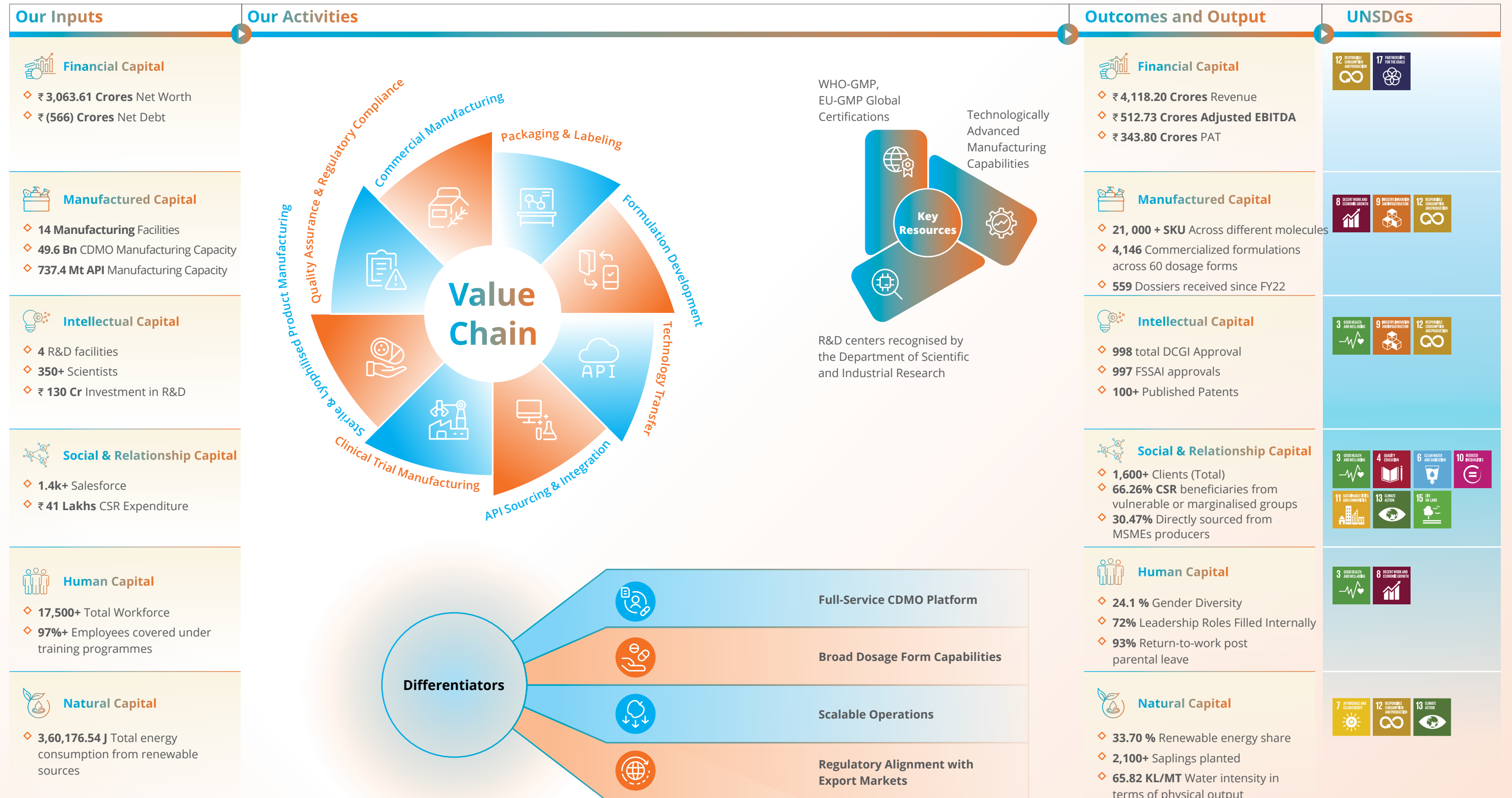
- ◇ Expand API portfolio to enter regulated markets and establish global presence
- ◇ Venture into contract development and manufacturing for global innovators

- ◇ Become a top-50 marketing player in India with leadership in select therapies including gynaecology and cardio-diabetes

- ◇ Attain market leadership in key categories by expanding prescription reach and strengthening global brand presence

- ◇ Re-evaluate if trade generics is right opportunity for the group to scale up the operations

Business Model



Materiality Assessment

Our strategic materiality analysis identifies the Environmental, Social and Governance (ESG) topics at the critical intersection of business impact and stakeholder priorities. Through a rigorous, data-driven process conducted in the current fiscal year, we've systematically evaluated which environmental, social and governance factors most significantly influence organisational performance and stakeholder decision-making.

This assessment represents more than a compliance exercise—it serves as the foundation for strategic sustainability planning, risk management and value creation. By engaging diverse stakeholder groups through multiple channels, we've captured comprehensive perspectives that reflect market dynamics, regulatory trends and emerging sustainability challenges. Senior leadership has endorsed these findings, affirming their strategic relevance and integration into business planning.

Our Approach to Materiality Assessment

Step 01

IDENTIFICATION

- Key sustainability topics were identified based on the organisation's context and stakeholder engagement on actual and potential impacts.

Step 02

SHORTLISTING

- A list of 38 (universe of ESG) topics was shortlisted considering peer practices, global standards, and stakeholder inputs.

Step 03

PRIORITISATION

- Topics were prioritised using responses from Double Materiality Assessment forms across stakeholder groups.

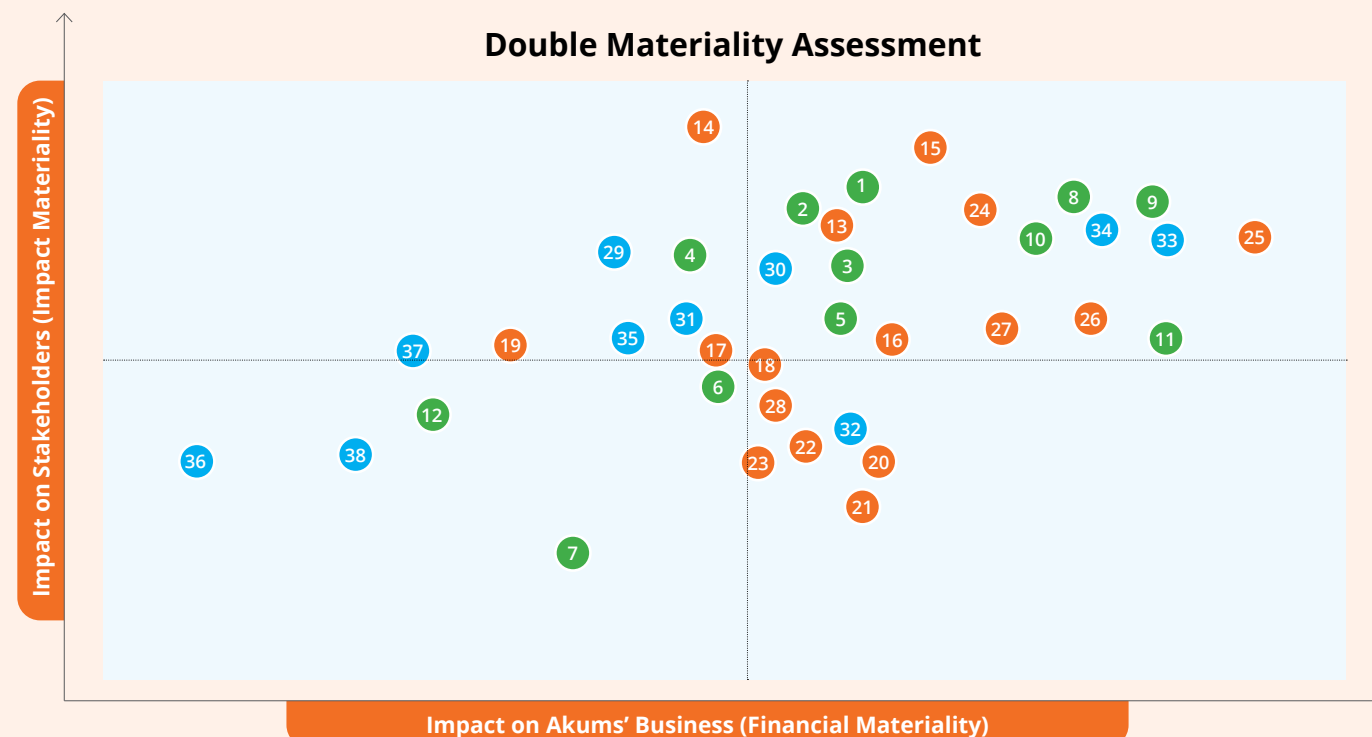
Step 04

FINALISATION

- The top 15–20 topics were classified by priority and reviewed with Leadership, the Board and investors for final approval.

Outcomes of the Double Materiality Assessment

The resulting materiality matrix prioritises issues where we can drive meaningful change while addressing stakeholder expectations. Each material topic underwent thorough analysis using quantitative and qualitative methodologies, ensuring a balanced view of both short-term operational concerns and long-term sustainability imperatives.



Environment (E)

Water management
Waste management
Climate Change
Raw Material Sourcing
Renewable Energy
Energy management
Emissions management
Packaging materials & waste
Biodiversity & Land use
Opportunities in Green Technology
Product Carbon Footprint
Financing Environmental impact

Social (S)

Occupational health and safety
Sustainable Supply Chain & Responsible Procurement
Protection of Human Rights
Product Quality, Safety and Recall Management
Health education and prevention
Labour Management
Community Engagement and Development
Availability and Affordability of medicines
Opportunities in nutrition and Health
Health Outcome Contribution
Employee training and development
Diversity, Equity and Inclusivity

Governance (G)

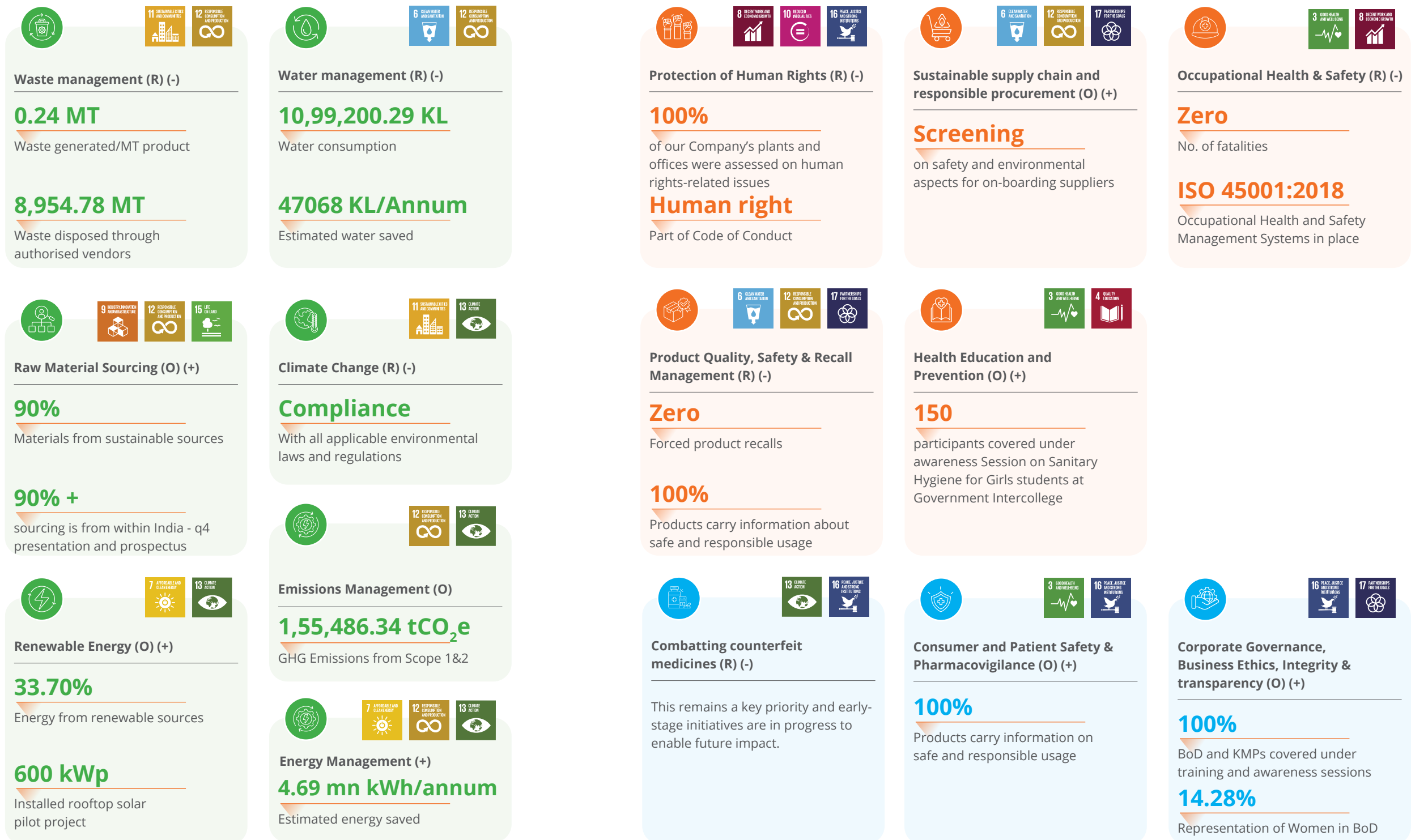
Corporate Governance, Business Ethics, Integrity & transparency
Consumer and Patient Safety & Pharmacovigilance
Combatting counterfeit medicines
Customer Welfare
Regulatory compliance
Selling Practices and Product Labelling
Ethical Clinical Trials and Animal Testing
Investment in R&D and Product Innovation
Anti-bribery and corruption
Tax Transparency & Accounting
Risk management and business continuity
Data Integrity, Data Privacy and Cyber Security
Digitization
Anti- competitive practices

The following table aligns each material topic with corresponding Sustainable Development Goals, demonstrating how addressing these specific issues contributes to broader global sustainability objectives:

Material issues identified

- Environment
- Social
- Governance

O = Opportunity
R = Risk
+ = Financially Positive impact
- = Financially Negative impact



Governance Oversight by the Board of Directors



C

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Mr. Sanjeev Jain
Co-Founder and Managing Director

Mr. Sanjeev Jain is the Co-founder and Managing Director of Akums Drugs & Pharmaceuticals Limited. Since our Company's inception, he has been instrumental in steering it to its current prominence in the pharmaceutical industry. With over 38 years of experience in the Indian pharmaceutical sector, Sanjeev Jain has adeptly managed various facets of the CDMO business, including sales, marketing, business development and risk management. His strategic vision has been pivotal in Akums' expansion, both domestically and internationally.

Mr. Jain, a distinguished first-generation entrepreneur, has earned widespread recognition for his exceptional contributions. Among his numerous accolades are the Forbes India DGEMS 2024 Entrepreneurs Award, the India Pharma Leader Award (2018 & 2019) presented by the Government of India and the India Pharma Award for Excellence in Contract Research and Manufacturing on multiple occasions. Under his leadership, Akums has also received prestigious honours such as the National Best Employer Brand Awards and the Best Asian Healthcare Brand by The Economic Times.



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Mr. Sandeep Jain
Co-Founder and Managing Director

Mr. Sandeep Jain is the Co-founder and Managing Director of Akums Drugs & Pharmaceuticals Limited. He oversees the operations of Akums' group fourteen state-of-the-art manufacturing facilities. Under his visionary and dynamic leadership, Akums has achieved remarkable milestones and set benchmarks in manufacturing and innovation.

With over 38 years of extensive experience in the pharmaceutical industry, Mr. Jain has been instrumental in establishing world-class manufacturing units, making Contract Research and Manufacturing Services (CRAMS) integral to the pharmaceutical industry in India.

A first-generation entrepreneur, Mr. Jain has received numerous accolades for his contributions, including the Gold Medal for Management Order of Merit, IDMA Quality Excellence Award, Samaj Shri Award for Excellence in Management, Most Admired Quality Pharmaceutical Manufacturer of India and the National Award by the Government of India. Other prestigious honours include the Entrepreneurship Award from the Federation of Pharma Entrepreneurs, the Excellence Award by All India Achiever Conference and IPER and the India Manufacturing Excellence Award by Frost & Sullivan and FICCI. Under his leadership, Akums has been honoured with the Quality Products-Pharmaceutical Formulations National Award 2010 by MSME, Government of India, alongside numerous national and international recognitions and quality certifications.



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Mr. Sunil Thakur
Non-Executive Director
Non-Independent Director

Mr. Sunil Kumar Thakur, Non-Executive & Non-Independent Director, holds a Bachelor's degree in Business Administration from Thames Valley University and a Master's degree in International Business from the University of Delhi. Currently, he is a partner at Quadria Capital Advisors Private Limited, where he oversees investments, portfolio management and divestment activities across South Asia. With over 21 years of expertise in private equity and investment banking across South and Southeast Asia, he has successfully led multiple award-winning deals in M&A, capital markets and project finance. He is a co-founder of HealthQuad, India's largest digital health venture capital fund and serves on the boards of leading healthcare and pharmaceutical companies.

Mr. Thakur is the founding director and national lead of the NATHealth Foundation, a subsidiary of NATHEALTH, India's apex healthcare industry body. Previously, he served as Treasurer of NATHEALTH and is a member of the CII National Committee on Biotechnology and Pharmaceuticals.



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Mr. Kewal Handa
Independent Director

Mr. Kewal Handa brings a wealth of expertise to our company as an Independent Director. A seasoned professional of pharma industry with a strong academic foundation, he is a CS and CMA and holds a Master's Degree in Commerce from the University of Bombay. Additionally, he has honed his leadership skills through the Senior Management Programme at the Indian Institute of Management, Ahmedabad.

As an Independent Director, Mr. Handa brings valuable insights into strategic decision-making, corporate governance and industry best practices. With his extensive experience in leadership roles across the pharma industry, he provides guidance on innovation, operational efficiency and sustainable growth, helping drive our Company's mission and long-term success.



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Ms. Matangi Gowrishankar
Independent Director

Ms. Matangi Gowrishankar is an accomplished human resources leader with extensive experience in organisational strategy, talent management and leadership development. She holds a Bachelor's Degree in Arts from the University of Madras and an Honours Diploma in Industrial Relations and Welfare from XLRI Jamshedpur. Over her career, she has held prominent roles, including Director of the Leadership Academy at BP India Services, Human Resource Leader at Cummins India and Vice-President of the Human Resource Department at International Computers India Limited.

As an Independent Director, Ms. Gowrishankar brings valuable insights into human capital strategy and organisational development, helping drive our Company's mission and success.



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Mr. Satwinder Singh
Independent Director

Mr. Satwinder Singh is a seasoned professional with extensive expertise in corporate governance and legal domains. He holds a Bachelor's degree in Commerce and a Bachelor's degree in Law from Guru Nanak Dev University, Punjab. He is a Fellow Member of the Institute of Company Secretaries of India (ICSI) and a Certified Associate of the Indian Institute of Bankers and a registered insolvency professional. Mr. Singh has held several key leadership roles within ICSI, including Chairman of the Expert Group on Secretarial Standards and the Secretarial Standards Committee (2021-2022), Chairman of the Secretarial Standards Board (2019-2020) and Chairman of the Task Force on NCLT/NCLAT (2023).

As an Independent Director, he brings valuable governance expertise and strategic insight to our Company, supporting its commitment to excellence and compliance.



Mr. Sanjay Sinha
Whole Time Director

Mr. Sanjay Sinha serves as the Whole Time Director and President - Operations at our Company. He holds a Bachelor's degree in Pharmaceutical Sciences from Ranchi University and a Master's degree in Pharmacy from the University of Delhi. With extensive experience in the pharmaceutical industry, Mr. Sinha previously held

the role of President, Operations (Formulations) at IPCA Laboratories Limited. He also served as President, Operations at the Ahmedabad Plant of Famy Care Limited.

Mr. Sinha brings with him a wealth of expertise in operational excellence and leadership in the pharmaceutical sector.

C

Chairperson

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Member

Risk Management Committee

Corporate Social Responsibility Committee

Stakeholders Relationship Committee

Audit Committee

Nomination & Remuneration Committee



For over two decades, we have gradually emerged as a leading pharmaceutical Contract Development and Manufacturing Organisation (CDMO), offering a comprehensive range of pharmaceutical products and services in India and overseas.

As one of the country's leading CDMOs, we deploy our resources efficiently and effectively to create long-term value for our stakeholders.

Akums' robust financial foundation is evident in its consistent revenue growth and profitability, even amidst market fluctuations. This financial strength enables us to invest in best-in-class manufacturing facilities, expand our research and development capabilities and pursue strategic partnerships, thereby strengthening our position as a leading CDMO in the industry.

Financial Capital



Material Matters

- Market Volatility
- Economic Performance

₹4,170 Crores

Total Income

12.3%

Adjusted EBITDA Margin

5.6%

Adjusted PAT Margin

₹(566) Crores

Net Debt

₹1,280 Crores

Capex in the last 5 years

95%

Domestic Revenue

Read more at [Akums' Q4 Investor Presentation](#)

Performance Highlights

Sustaining growth through prudent capital deployment and financial discipline



(1) Adjusted EBITDA = Profit before tax + fair value changes to financial instrument + finance cost + depreciation and amortization ; (2) Adjusted PAT = PAT + Fair value changes to financial instrument – deferred tax created on brought forward losses Rs 106 cr in FY 25 and on account of business merger Rs 138 cr in FY 24; (3) Adj ROE = Adj PAT/Adj Equity (4) Adj ROCE = Adj EBIT/Capital Employed

IPO: A Milestone in Our Journey of Care and Compassion

In FY 2024–25, Akums marked a defining moment with its successful Initial Public Offering (IPO) and stock market debut on **6th August 2024**. The offering drew strong investor confidence in our integrated capabilities and purpose-driven growth model. We raised **₹637.4 Crores** (net of expenses), deploying over **₹600 Crores** to reduce debt and strengthen our balance sheet. The remaining funds were parked in fixed deposits, offering both security and flexibility for future investments.

The IPO has not only improved our financial resilience but also enhanced transparency, governance and long-term value creation—highlighting our commitment to a healthcare journey rooted in care, credibility and compassion.

Key Highlights

- Net debt turned to surplus:** Net debt improved significantly from INR 2,110.2 Million to a surplus of INR 5,660.9 Million, primarily due to debt repayment through IPO proceeds and internal cash generation.
- Disciplined working capital management:** Working capital reduced to INR 8,084.4 Million from INR 9,321.1 Million, aided by trade receivable factoring in CDMO entities and proactive provisioning.
- Capital deployment from IPO proceeds:** Of the INR 6,373.7 Million raised (post-issue expenses), the funds were prudently utilised for debt repayment and parked in fixed deposits to enable flexible access via overdraft lines at favourable terms.
- Free cash flow generation:** Our Group generated a free cash flow of INR 2,014.3 Million, reflecting strong internal accruals and effective cash flow planning.

Investing with Purpose, Growing with Care

Our capital allocation approach is guided by a dual objective: **deleveraging** the balance sheet and **enabling future growth**. Every investment decision is guided by our commitment to care: strengthening our financial foundation, expanding access through capacity enhancement and remaining ready for strategic opportunities that align with our values.

We prioritise long-term value over short-term gains, ensuring that capital is deployed in ways that enable innovation, fortify resilience and extend the reach of our solutions to those who need them most. In this journey of care and compassion, our financial choices are a reflection of both strategic clarity and social responsibility.

Enabling Stability with Responsibility

Akums views risk management as an enabler of long-term trust and value. Guided by our purpose and a strong governance framework, we take a proactive and disciplined approach to managing financial risks across credit, liquidity, currency and interest rate exposures. By maintaining a strong balance sheet, prudent provisioning policies and agile treasury operations, we ensure the stability that our partners, patients and people can rely on, especially in a rapidly evolving global healthcare landscape. Additionally, we regularly carry out stress testing of budgets and financials, especially for new contracts and contingent liabilities (such as EU penalties, insurance claims).

Our strong financial foundation allows us to invest confidently in innovation, accessibility and expansion—while upholding the core values of responsibility and reliability that define our identity.

Segment-wise Performance Highlights



Creating Long-term Value

Akums' financial capital strategy is rooted in fiscal prudence, capital efficiency and future readiness. With a healthy balance sheet, access to low-cost funds and an expanding global footprint, we are well-positioned to finance innovation, pursue strategic partnerships and deliver sustained value to our stakeholders.

We operate 14 state-of-the-art facilities, seamlessly combining strong domestic capabilities with a growing global presence. With expertise in formulation development, bio-equivalence studies and regulatory compliance, we deliver high-quality solutions across diverse therapeutic segments. Our advanced infrastructure, including specialised sterile and lyophilised product manufacturing, supports the evolving requirements of both domestic and international healthcare markets.



Manufactured Capital



49.6 Bn

CDMO Manufacturing Capacity

21, 000 + SKUs

Across different molecules

3

Manufacturing Plants (API)

11

Manufacturing Plants (CDMO)

737.4 MT

API Manufacturing Capacity

Strengthening the Pillars of Excellence



Facilities



Expansion of Manufacturing Capacities

- ◆ A new injectable facility in Haridwar, Uttarakhand has commenced operations. It includes ampoule and SVP FFS (Form-Fill-Seal) lines, with plans to introduce vial and lyophilised vial production in Q3 and LVP FFS by Q4.
- ◆ Land acquisition completed for the Jammu plants, with civil works to commence shortly. These facilities are expected to begin operations by FY26-27.



Sourcing



Challenges in API Sourcing

- ◆ Decline in API prices, such as Amoxicillin and Cephalosporins, impacts revenue due to the cost-plus model of operations.
- ◆ Strategic measures to offset price fluctuations by investing in R&D to develop cost-efficient API manufacturing processes.

Localisation and Backward Integration

- ◆ Efforts to develop APIs for forward integration into formulation exports.
- ◆ Investments in API R&D, with INR 8.4 Crores spent in FY25, aims to establish a global pipeline of APIs.



Logistics



Optimising Supply Chains

- ◆ Focus on maintaining operational efficiency, amid fluctuating input costs and demand cycles.
- ◆ Plans for exporting APIs and formulations to 60+ countries, targeting high-potential regions such as Europe, Southeast Asia and Africa.

Government Collaborations

- ◆ MoU signed with the Ministry of Health, Zambia, for a joint venture to manufacture pharmaceuticals locally. This initiative strengthens supply chains in Africa.



Quality



Product Development and Approvals

- Significant investments in R&D during the financial year resulted in multiple regulatory approvals from both DCGI and FSSAI, reflecting continued progress in product development and innovation.
- Patent received for Hydroxyurea oral suspension for managing sickle cell disease.

Innovation and New Products

- Development of room-stable formulations for high-burden diseases such as sickle cell anaemia.
- Exclusive agreements to manufacture and market innovative products, including solutions for alopecia, in India.



Investment in Manufactured Capital



Capital Expenditure

- INR 272 Crores invested in CAPEX during FY25 to expand and modernise facilities.
- Continuous investments to enhance production capabilities and sustain long-term growth.

Future Developments

- Strategic focus on increasing the export share in revenue through capacity-building and compliance.

Procurement

Our procurement represents the backbone of our operations, ensuring the seamless availability of high-quality raw materials and packaging components. Our structured approach integrates strategic sourcing, supplier evaluation and risk mitigation to maintain supply chain efficiency, while adhering to stringent quality standards.

We regularly update procurement processes to optimise efficiency and cost-effectiveness. This includes:

Vendor Evaluation

Ongoing assessments of cost, quality, delivery performance and competitiveness.

Strategic Decisions

Employing a make-vs-buy approach based on market conditions and internal capabilities.

Bulk Buying

Consolidating orders to reduce procurement costs and enhance supplier relationships.

Supplier Selection and Evaluation

We have put in place a rigorous supplier selection process to ensure that only the most reliable and capable partners are onboarded. The key evaluation criteria include:

Financial Stability

Ensuring suppliers have the financial resources to meet sustained demand.

Manufacturing Capability

Assessing production capacity, allocated volume and technological competencies.

Regulatory Compliance

Evaluating adherence to industry and international standards, verified by our quality assurance, quality control and R&D teams.

Customer Base and Delivery Record

Analysing suppliers' existing clientele and track record for timely deliveries.

Price Competitiveness

Ensuring value-for-money procurement within market trends.

Procurement Framework

We enter into master agreements with suppliers to define terms of engagement, encompassing:

- Production capabilities and inventory adequacy;
- Quality control standards and regulatory compliance;
- Indemnification against manufacturing defects.

Procurement is executed on a purchase order basis, within this predefined framework, allowing flexibility, while maintaining stringent oversight.

Sourcing Strategies

To ensure continuity and cost efficiency, we have adopted the following strategies:

Localisation

Minimising reliance on imports by increasing sourcing from Indian suppliers.

Diversification

Expanding the supplier base to mitigate the dependence on single sources.

Cost Optimisation

Bulk buying, leveraging our scale and monitoring market trends to secure competitive pricing.

Primary Raw Materials



CDMO Business

APIs, excipients and various packaging materials.



Branded and Generic Formulations

Finished pharmaceuticals, nutraceuticals and wellness formulations.



API Business

Key starting materials, intermediates and solvents.

Risk Mitigation in Supply chain

We proactively manage procurement risks by implementing robust strategies aimed at ensuring supply chain stability and cost efficiency. The inventory management plays a crucial role, as we closely monitor consumption patterns, market trends and demand-supply dynamics to maintain optimal stock levels. To address price fluctuations, we engage in regular communication with suppliers and analyse market developments, including media updates, to anticipate potential disruptions and adjust procurement strategies accordingly. Additionally, supplier diversification is a key focus, reducing the dependence on single sources by collaborating with multiple suppliers for critical raw materials.

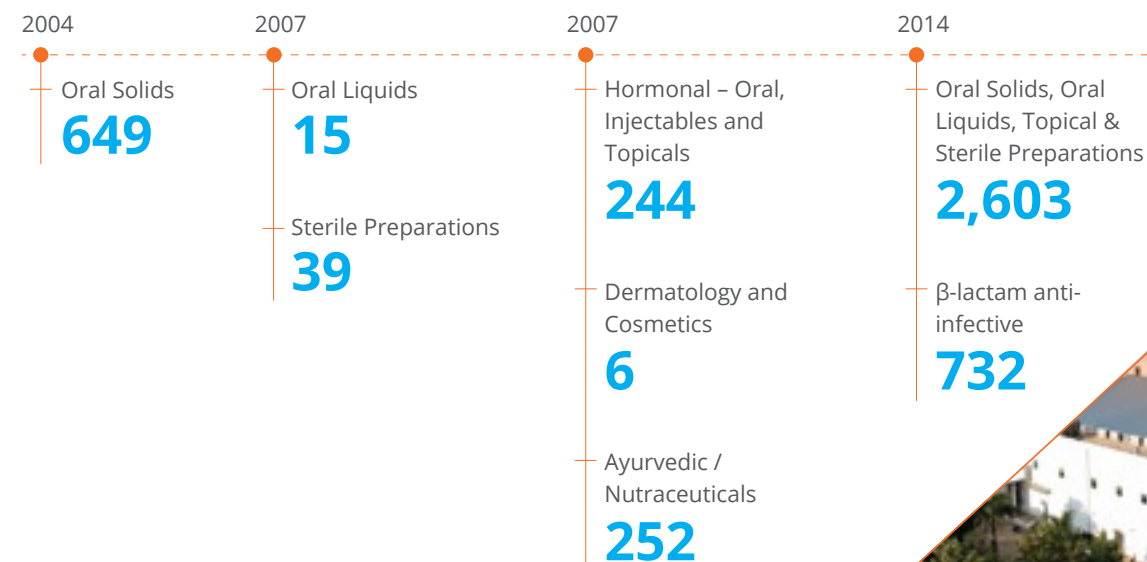
Quality Assurance

Periodic testing and analysis of raw materials ensure compliance with stringent quality standards. Our quality assurance, quality control and R&D teams play a pivotal role in maintaining a robust and reliable supply chain.

Manufacturing Plants

■ Existing Annual Capacity (Cr units)

Haridwar



Kotdwar



Baddi



Key Highlights

2,181

employees work in quality assurance and control

Manufacturing units underwent

190

regulatory inspections including ISO and

635

Client audits over the last 3 FYs

Enhancements in Manufacturing Capabilities

We have implemented a series of targeted initiatives to strengthen our manufacturing processes, expand capacity and enhance operational efficiency. These steps align with our growth strategy and support our aim to deliver high-quality pharmaceutical products to both regulated and emerging markets.

Capacity Expansion

To meet the growing demand and diversify our offerings, we have undertaken strategic expansions in our manufacturing infrastructure:

- Injectable Facility in Haridwar**
 Our new injectable facility is operational, featuring ampoule and Small Volume Parenteral (SVP) Form-Fill-Seal (FFS) lines. We plan to commence vial and lyophilised vial production in the third quarter and Large Volume Parenteral (LVP) FFS in the first quarter of FY26.
- Development of Jammu Facilities**
 We have completed the land acquisition for new manufacturing units in Jammu, with civil works set to begin soon. These facilities, expected to be operational by FY26-27, will strengthen our production capabilities and support long-term growth.

Process Optimisation

We continuously refine our processes to ensure compliance with global standards and improve operational efficiency. We use data-driven methodologies to monitor critical parameters, identify variations and ensure consistent production standards.

Technological Advancements

Adopting advanced technology and automation is central to our efforts to enhance productivity and maintain quality standards

- Automation Tools**
 Real-time inspection and monitoring systems help improve operational efficiency and minimise errors.
- Data Analytics**
 Our analytical tools enable precise tracking of production processes, allowing for timely interventions and informed decision-making.

Market Expansion

With consistent focus on expanding into regulated markets, we are upgrading our facilities to meet stringent global standards. Continuous enhancements to our facilities are ensuring readiness for European regulatory requirements, positioning us for growth in highly regulated regions.

Successful Audits

Recent audits of our new facilities, including Penem manufacturing units, confirm our compliance with global standards and strengthen our reputation in the market.

Product Quality

We have established a well-defined quality control framework to ensure consistent adherence to high standards. This framework incorporates stringent practices and leverages technology to maintain quality across all operational levels.

Regulatory Standards

Our operations and facilities comply with the following global and national standards

- D&C Act Schedule-M
- WHO-GMP
- US-FDA
- EU-GMP
- ICH Guidelines (including Q1A (R2) for stability testing)
- ISO 9001

Additionally, our laboratories are accredited by the **National Accreditation Board for Testing and Calibration Laboratories (NABL)** to ensure world-class quality control practices.

Quality Assurance and Management

Our Corporate Quality Management System (CQMS) provides a structured framework for monitoring process performance, documentation and compliance. Key quality indicators are periodically reviewed by senior management, ensuring effective implementation of improvement initiatives and robust quality control processes.

Regular Audits and Inspections

- Internal Reviews**
 Manufacturing units undergo regular audits to ensure processes comply with updated international regulatory standards.
- Client Inspections**
 Periodic inspections and audits by clients confirm compliance with agreed quality parameters.
- Regulatory Oversight**
 Facilities are routinely audited by regulatory authorities, including ISO certification assessments.

Process Management and Standards

- Quality criteria are defined for key process elements, with metrics established to measure performance and ensure consistency.
- Batch manufacturing and production records are maintained to ensure traceability and compliance.

Technology and Automation in Quality Control

Our quality management processes are strengthened through the integration of technology and automation, enabling precision and efficiency. Advanced tools are implemented for inspection and monitoring, ensuring real-time oversight and minimising errors during production. Additionally, statistical process control methods are employed to analyse data, identify variations and maintain consistency in production processes.

Sustainable Manufacturing

We have undertaken several targeted initiatives to reduce the environmental impact of our manufacturing processes. These initiatives focus on reducing emissions, conserving resources and optimising processes, aligning with our commitment to environmentally responsible operations -

- Adoption of Biomass Fuel in Boilers** - Transitioned to using biomass fuel in our boilers. This has significantly reduced our reliance on fossil fuels.
- Switch to Cleaner Fuels** - By replacing Low Sulphur Heavy Stock (LSHS) or High-Speed Diesel (HSD) with Piped Natural Gas (PNG) as a cleaner fuel, we have minimised harmful emissions, including sulphur oxides (SOx) and particulate matter.
- Tablet Size Reduction** - We have optimised the size of our tablets, which has led to a reduction in the size of the primary packaging. This initiative has a twofold benefit: it decreases packaging material waste and reduces associated emissions during transportation and logistics, contributing to a more sustainable supply chain.
- Room Temperature Stable Dosage Forms** - We have developed formulations that remain stable at room temperature, reducing the dependency on energy-intensive cold-chain storage.

Akums' rich intellectual capital, encompassing a dedicated workforce of scientists and researchers are committed to innovation. Our extensive research and development infrastructure, including multiple R&D centres, promote the creation of a diverse portfolio of pharmaceutical formulations. This intellectual prowess not only drives the development of novel therapies but also ensures that Akums remains at the forefront of pharmaceutical advancements.

Intellectual Capital



Four

R&D facilities

₹ 130 Cr

Spent on R&D in FY25

998

DCGI products

104

Published patents

350+

Scientists

250+

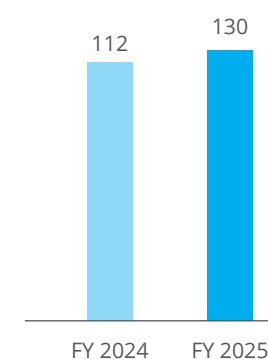
Doctorates and postgraduates

R&D Infrastructure and Talent

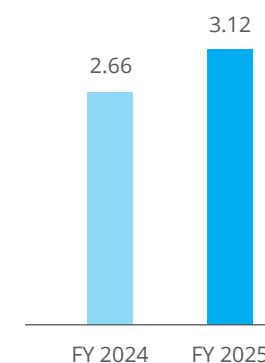
We operate four dedicated R&D centers focused on formulations and Active Pharmaceutical Ingredients (API). Three of these centres are recognised by the Department of Scientific and Industrial Research (DSIR), enhancing our capacity to undertake advanced scientific projects and qualify for research-linked benefits.

Our R&D team comprises 350+ scientists, including over 250+ doctorates and postgraduates. This highly qualified team is responsible for the end-to-end development of differentiated and high-quality therapeutic solutions, covering formulation design, analytical method development and regulatory support.

R&D Expenditure (INR Cr)

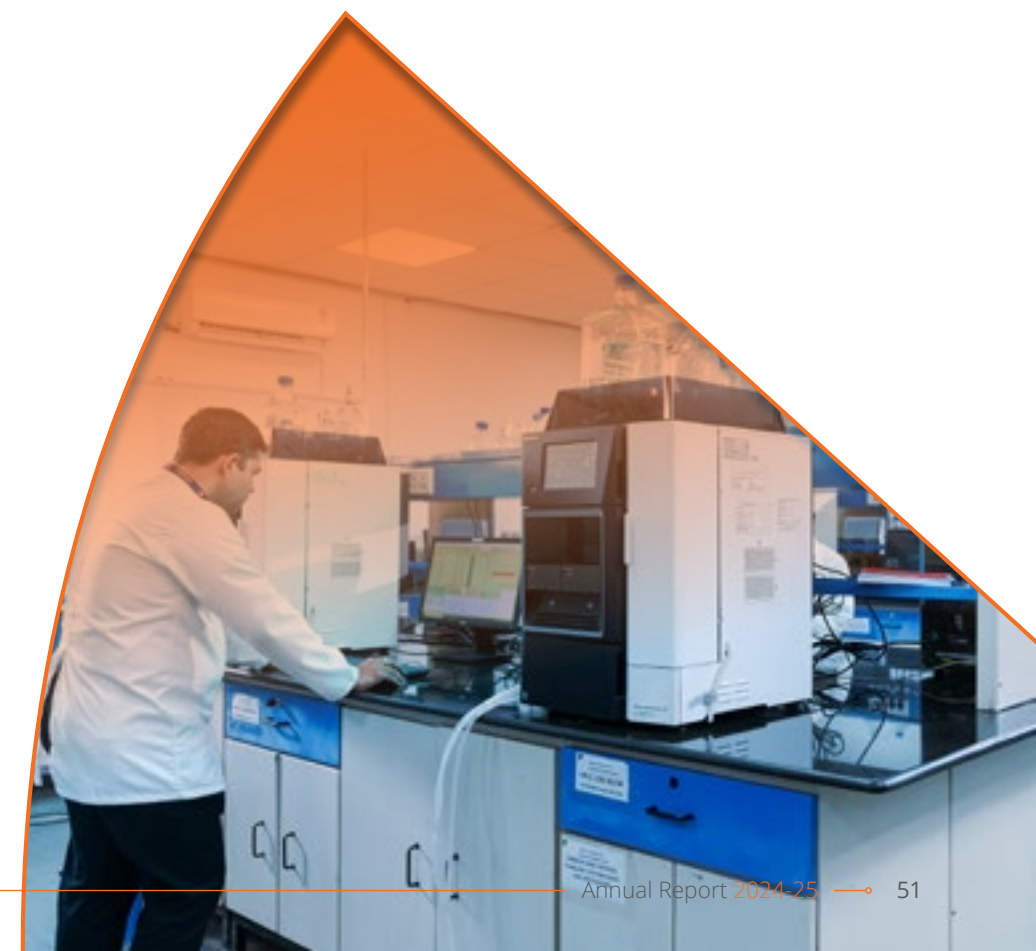


R&D Expenditure as % of Total Income



R&D Investment

Our R&D investment is intended to expand our capacity for developing products suited to regulated markets and niche dosage forms. During the year, we increased our R&D expenditure to support pipeline development and address specific market requirements.



Product Approvals

At present, we have received over 998 product approvals from the Drugs Controller General of India (DCGI) and 997 from the Food Safety and Standards Authority of India (FSSAI), indicating the scale and regulatory readiness of our product portfolio. During the FY25, we secured 31 new approvals from the DCGI. In addition, our API R&D facility in Barwala was recognised by the Department of Scientific and Industrial Research (DSIR), complying with prescribed standards for research infrastructure and operations.

Intellectual Property Portfolio

We adopt a comprehensive approach to protect our innovations and proprietary technologies. As of FY25, we have filed 100+ patent applications. Our strategy includes the filing of both domestic and international patents, registration of trademarks and implementation of confidentiality agreements with employees, partners and vendors to safeguard trade secrets and proprietary knowledge.

104

Published Patents

6

Granted Patents

Proprietary Technologies

We have developed a diversified portfolio of proprietary technology platforms. These platforms support our efforts in enhancing therapeutic efficacy, targeted drug delivery, patient convenience and formulation stability.

Our Proprietary Technologies

R&D Strategy

Our R&D strategy is aligned with client-centric innovation and business expansion in global markets. We focus on projects that enable our customers to introduce new and differentiated products in competitive timelines.

We prioritise R&D projects based on

- Anticipated client requirements in key therapeutic areas.
- Patent expiry timelines of large-revenue molecules in developed markets.
- Market potential of novel fixed-dose combinations and delivery mechanisms.
- Specific needs of under-served patient groups, such as pediatric and geriatric populations.

Collaborations

We have enhanced our R&D pipeline through strategic licensing agreements with international firms. These partnerships allow us to expand our access to new technologies and broaden our product portfolio.



Triple Hair (Canada)

for the exclusive Indian rights to a patented topical solution targeting alopecia areata.



Caregen (South Korea)

to exclusively market peptide-based dermatological and therapeutic products in India.

Technology

We have adopted digital systems to strengthen data integrity, streamline operations and improve decision-making. Core enterprise functions such as supply chain, quality management and finance are integrated through SAP ERP. Human resources processes are managed using SAP SuccessFactors, allowing end-to-end digitisation of the employee lifecycle.

We leverage Salesforce Cloud CRM to support sales, marketing and client engagement activities. Our laboratories operate using a Laboratory Information Management System (LIMS), which automates workflows, supports regulatory compliance and reduces manual errors. An electronic Quality Management System (e-QMS) further ensures consistent documentation and audit readiness.

A unified internal platform enables process coordination across departments, while business intelligence tools are used to extract insights for planning across supply chain and finance.

Information Security Framework

To protect our intellectual capital, we have implemented an IT security policy and a cybersecurity framework that governs data privacy, access control and secure handling of proprietary information. These protocols are central to safeguarding innovation and ensuring regulatory compliance.



We regard our workforce of over 17,500 individuals to be the core engine of our value creation. Our human capital philosophy is aimed at building a safe, inclusive, engaging and empowering ecosystem where every individual is inspired to contribute meaningfully. We go beyond compliance to embed a value-driven, purpose-led culture that promotes professional growth, psychological safety, employee well-being and enterprise alignment.

Human Capital

17,500+
Total Employees

24.1%
Gender Diversity

93%
Return-to-work post
parental leave

72%
Leadership Roles
Filled Internally

97%+
Coverage Employees
Trained

24
Structured Modules Training
Sessions Conducted



Talent Acquisition

Our talent acquisition strategy is a key enabler of our long-term growth and transformation journey. We are focused not just on hiring qualified professionals, but on identifying individuals who bring energy, vision and values that align with our culture. To promote the sustainable growth of our business, we actively seek diverse human resources—individuals with advanced skills and knowledge, including those with experience in new business ventures and other industries. Our engaged and experienced teams are a key strength and will continue to support the seamless integration and development of new talent.

Our Talent Acquisition Strategy



Future-focused Workforce Planning

We align hiring with projected business needs, ensuring our talent pool is prepared for tomorrow's challenges, today



Campus Connect and Internships

Through strategic partnerships with top educational institutions, we bring in fresh perspectives and nurture early-career talent with real-world experience



Leadership Onboarding with Visionary Insights

Every new leader is welcomed with a personalised induction by our Managing Director — an opportunity to connect with AKUMS' vision at the highest level



Amplifying Referrals with Purpose

Our employee referral programme taps into internal networks to attract individuals who are culturally compatible and performance-oriented



Smart Hiring through Technology

We embrace digital recruitment platforms that accelerate hiring cycles, enhance candidate experience and provide data-driven insights for better decision-making



Human-centered Employer Branding

Our people are our strongest ambassadors. By sharing authentic employee stories and workplace experiences across platforms, we communicate the essence of life at AKUMS to the world

Building Belonging from Day One

We believe that onboarding plays a critical role in shaping an employee's experience and long-term success. At AKUMS, it goes beyond basic orientation—it is a structured process focused on building

clarity, confidence and connection.

Our aim is to equip every new joiner with the right knowledge, tools and support to integrate smoothly, contribute effectively and feel a strong sense of belonging from the very beginning.



Akumentis Immersion Programme

A structured learning experience covering operational frameworks, quality standards, sustainability principles and the AKUMS ethos — all delivered with clarity and relevance.



Role Readiness Through Buddy Connect

New hires are guided by peer mentors who help them settle in, navigate their roles and develop early relationships that matter.



Cultural Connect Sessions

Interactive engagements that introduce new employees to our workplace spirit through informal huddles, leadership interactions and cross-team conversations.



Executive Integration Tracks

For leaders stepping into critical roles, we create bespoke onboarding journeys focused on strategic alignment, organisational insight and stakeholder engagement.



Continuous Learning and Capability Development

We understand that continuous learning is integral to building both individual potential and organisational capability. Our development framework is aligned with business priorities and designed to equip employees with the skills needed for current and future roles. We offer structured training across key areas — from foundational programmes in GMP, compliance and quality standards to function-specific modules for Manufacturing, QA/QC, R&D, Sales and Supply Chain. These are complemented by soft skills training that enhances communication, critical thinking and customer orientation.

To strengthen our leadership strategy, we have curated 24 focused interventions aimed at grooming future leaders. We also promote ongoing learning through digital microlearning modules and peer-driven platforms such as Synergy Meetups, Expert Webinars and cross-functional forums. High-potential employees are further supported through sponsored external certifications for advanced skill development. All initiatives are backed by a robust evaluation mechanism that tracks outcomes through feedback, managerial reviews and impact assessments — ensuring measurable value for both employees and the business.

Performance, Progression and Talent Management

Our talent management strategy is designed to recognise performance, nurture potential and enable planned progression through a transparent and merit-based approach. We implement structured annual goal setting with

clearly defined KPIs linked to business priorities, supported by ongoing check-ins and mid-year reviews that encourage continuous interaction. A robust behavioural competency framework is integrated into evaluations to reinforce alignment with our values. Underperformance is addressed constructively through developmental feedback and improvement plans.

To build future readiness, we focus on career pathing, succession planning for key roles and fast-track programmes for high-potential talent. Internal job postings further enhance mobility and skill development, ensuring employees are supported with the right tools, guidance and opportunities to grow purposefully within the organisation.

Employee Engagement and Workplace Culture

At Akums, we are committed to creating an engaging and inclusive work environment where employees feel connected, motivated and heard. Our workplace culture is built on shared experiences, open communication and a focus on both individual and collective well-being. Through thoughtful initiatives, we ensure employees remain emotionally invested and socially integrated, promoting a strong sense of belonging and loyalty.



Cultural and Recreational Engagement

From festive celebrations to dedicated recreational activities and wellness zones



Team Bonding Initiatives

Departmental outings and offsite retreats strengthen collaboration and camaraderie across levels



Innovation and Recognition

Hackathons, idea contests and regular recognition events fuel creativity and celebrate contributions



Inclusive Communication

Buddy programmes, skip-level interactions and employee newsletters

Creating a Two-way Culture

We believe that communication is most powerful when it goes both ways. When we listen with intent, we build trust—laying the foundation for a more engaged and innovative workplace. To strengthen this culture, we are introducing 'Digital Listening Tools' that ensure every voice is heard and every perspective helps shape our future.

How we listen

'HR Apke Dwaar'

Regular grievance redressal forums ensuring direct access to HR.

Training Feedback Loops

Structured evaluations to fine-tune our L&D offerings.

Anonymous Feedback Forms

Safe spaces for voicing suggestions or concerns.

Pulse Checks

Real-time feedback during training sessions, events and workshops.

One-on-one Leadership Connects

Personal interactions with senior leaders to encourage open dialogue.



Health, Safety and Well-being

AKUMS places strong emphasis on the holistic well-being of its employees, aligning its health, safety and wellness initiatives with United Nations Sustainable Development Goal 3. Our efforts include periodic health check-ups, accessible medical support and awareness programmes focused on critical health topics. Wellness activities such as yoga sessions and fitness challenges further promote a healthy lifestyle. We ensure workplace safety through a strong EHS framework, mandatory safety training, PPE compliance and regular drills and audits. Together, these initiatives promote a safe, healthy and supportive work environment for all.

Diversity, Equity and Inclusion (DE&I)

Akums is committed to promoting a workplace that is truly diverse, equitable and inclusive, where individuals from all backgrounds feel valued and empowered. Our DE&I efforts are integrated into our culture and operations, ensuring fair access to opportunities and a respectful, supportive environment for all. We continuously monitor progress through structured dashboards and audits, turning intent into measurable impact.

Key Focus Areas

Structured programmes supporting women returning to work through flexibility and mentorship

Continuous sensitisation workshops to nurture inclusive behaviours at every level

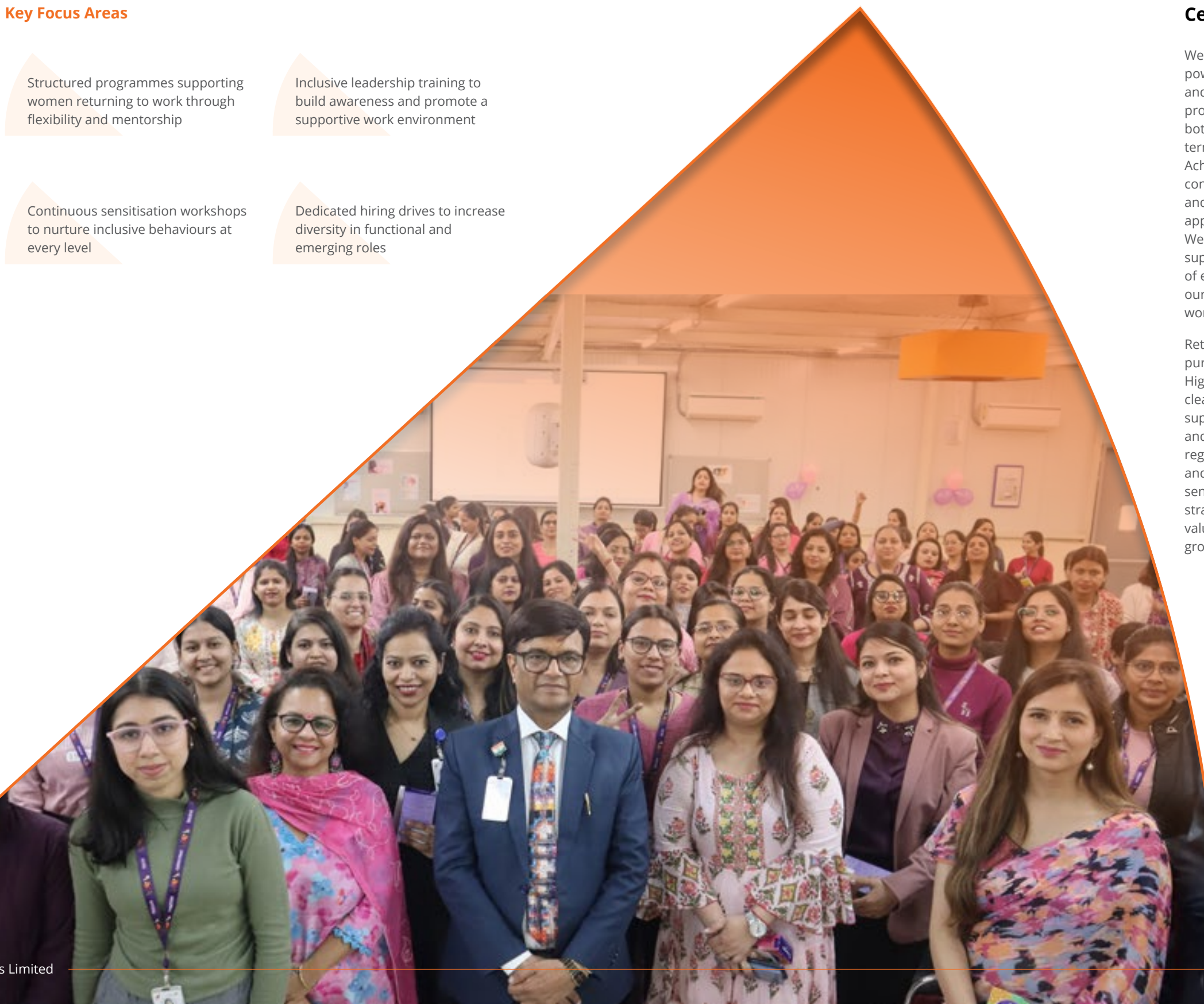
Inclusive leadership training to build awareness and promote a supportive work environment

Dedicated hiring drives to increase diversity in functional and emerging roles

Celebrating Excellence

We believe that recognition is a powerful driver of engagement and motivation. Our recognition programmes are designed to celebrate both exceptional performance and long-term commitment. From the Akumentis Achievers Awards for outstanding contributions to spot recognitions and monthly star performer awards, appreciation is timely and meaningful. We also honour service milestones and support the academic achievements of employees' children, highlighting our culture of appreciation beyond the workplace.

Retention at AKUMS is rooted in growth, purpose and proactive engagement. High-performing individuals are offered clear advancement opportunities, supported through leadership coaching and personalised mentorship. We regularly conduct retention pulse checks and exit interviews to gauge employee sentiment and enhance our people strategies, ensuring our talent feels valued, supported and motivated to grow with us.



Akums' journey of care and compassion embraces the well-being of our planet. We recognise the importance of sustainability in our operations and are weaving environmental responsibility into every aspect of our operations. We strictly adhere to the global regulatory standards, ensuring our facilities operate with minimal environmental impact. By responsibly sourcing raw materials and continually refining our practices, we safeguard natural resources. We are committed to upholding our promise to deliver high-quality pharmaceutical products with integrity and care.

Natural Capital



33.70 %
Renewable energy share

65.82 KL/MT product
Water intensity in terms of physical output

31,316.34 MTCO₂e
Emissions from biogenic sources

2,100+
Saplings planted

Environmental Management Framework

Our environmental approach is guided by established policies, including the Environmental and Social Responsibility Policy, the Energy Management Policy, and the Sustainability Policy. These policies are implemented through structured programmes focused on optimising energy use, reducing water consumption and minimising waste generation.

We follow ISO 14001:2015 and ISO 50001:2018 standards to ensure consistent application of environmental and energy management practices. These frameworks provide a basis for identifying key impact areas, setting objectives and tracking performance across our operations.

Our transition toward sustainable energy includes increasing the share of renewables, including solar and biomass, in our energy mix, while reducing dependence on non-renewable sources. These efforts are supported by robust internal systems that consistently monitor not only grid electricity consumption but also other fuel usage, greenhouse gas emissions and overall resource utilisation.

Environmental performance indicators are regularly reviewed by our leadership team as part of a structured governance

process. These reviews play a critical role in guiding our sustainability journey and ensuring we stay aligned with our environmental goals. Oversight from the top is complemented by clear delegation of responsibilities across plant sites. Each facility has designated Environment, Health and Safety (EHS) officers responsible for implementing sustainability initiatives and reporting progress. This layered structure strengthens accountability and enables timely operational adjustments based on identified risks, regulatory changes, or efficiency opportunities, placing us firmly on the path toward long-term environmental responsibility and sustainable growth.

Environmental Strategy Roadmap

Decarbonisation

Akums is taking meaningful steps to reduce its carbon footprint. It is guided by a phased strategy focused on significantly reducing both Scope 1 and indirect Scope 2 emissions. A key part of this approach is the integration of renewable energy solutions across our operations.

Our shift to cleaner energy began with replacing conventional fuels. At several sites, biomass is now being used in place of fossil fuels for boiler operations. This has helped lower emissions from process heating. At the same time, we are expanding on-site solar generation through rooftop PV installations at high-consumption locations. To further diversify our energy mix, natural gas is also being introduced at select facilities as a cleaner transitional fuel.

This multi-tiered decarbonisation strategy goes beyond regulatory compliance and aligns with India's Nationally Determined Contributions (NDCs) under the Paris Agreement. Its implementation focuses on site-specific actions, tailored to the local feasibility, energy intensity and operational needs of each facility, to ensure practical and effective progress toward emission reduction goals.

Energy Stewardship

Energy use is a critical operational factor across our formulation and API manufacturing processes. We apply ISO 50001:2018 standards to manage energy systematically, with a focus on reducing consumption and environmental impact. Our management's approach is based on data-driven reviews that assess current usage patterns and determine the need for infrastructure upgrades or

process adjustments. Routine audits help identify inefficiencies, while review meetings enable structured planning for both capital and operational energy investments. We are directing capital and operational expenditures toward technology upgrades aimed at improving energy performance. In parallel, efforts are underway to gradually increase the proportion of renewable energy in our overall consumption mix.

Read more on page 177
(BRSR - Principle 6)



Actions Taken

Electrical Load Management 01	Lighting Efficiency 02	Equipment Optimisation 03
- Regular monitoring of power load factor to enhance energy efficiency - Maintenance of stable voltage supply and balanced load distribution across systems	Phased replacement of conventional tube lights with LED fixtures to reduce lighting energy consumption	- Installation of variable speed drives on air compressors to reduce energy loss during idle or unloading periods - ON/OFF-based controller installed in the cooling tower system, with switching control applied to cooling tower fans to lower specific power consumption

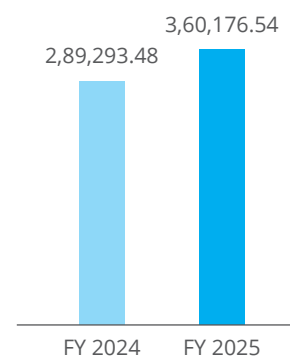
Renewable Energy Integration

Integrating renewable energy sources is an important step in reducing our environmental footprint and achieving our sustainability goals. As part of this, we have installed rooftop solar panels at select facilities and are steadily increasing the use of renewable biomass. The installation of advanced biomass boilers reflects our commitment to cleaner fuel alternatives.

Additionally, we have also commenced the use of clean energy sources like piped natural gas is being introduced at some units as a lower-emission transitional fuel to reduce reliance on conventional fossil fuels.

Total energy consumption from renewable sources

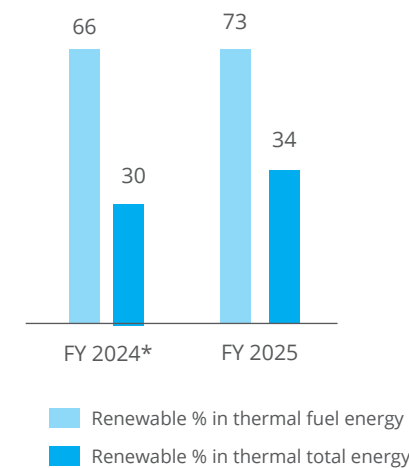
(in GJ)



Read more on page 177
(BRSR - Principle 6)

Renewable Energy Mix

(%)



Transition

to renewable biomass fuel achieving 34% of thermal energy requirements



Introduction

of piped natural gas

Greenhouse Gas (GHG) Emissions

At Akums, addressing greenhouse gas (GHG) emissions is a critical part of our sustainability agenda, integrated into both operational practices and strategic investments. Our emissions primarily arise from Scope 2 sources—linked to grid electricity consumption—and Scope 1 sources, including combustion of fuels and fugitive emissions from refrigerants, particularly across our formulation facilities.

For Scope 1 emissions, we are transitioning from high-emission fuels to significantly cleaner alternatives such as piped natural gas (PNG), while scaling up the use of biogenic fuels like briquettes and pellets in our boilers. These efforts have reduced dependence on fossil fuels and contributed to lowering direct emissions. Fugitive emissions from refrigerants are also being tracked, with improved leak management protocols and equipment upgrades under consideration.

On the Scope 2 front, we are reducing reliance on conventional grid electricity

through targeted renewable energy integration. We have installed a 600 kWp solar panels at A09 as a pilot project and we are working towards expanding our renewable energy capacity. Our investment in rooftop solar installations is a step toward building long-term resilience in energy sourcing while lowering associated emissions.

In addition to direct and energy-related emissions, we are also taking initial steps to identify and evaluate Scope 3 emissions across our value chain. This will help us build a more complete emissions inventory and enable more focused interventions on upstream and downstream hotspots in the future.

Further, we are also measuring our footprint beyond the GHG emissions. We have started capturing our data for non-GHG emissions like nitrogen oxides (NO_x), sulphur oxides (SO_x), and particulate matter, in line with environmental compliance and public health considerations.

Disclosure Emissions of ozone-depleting substances (ODS)

Parameter (Tonnes)	
R22	0.994
R134	0.370
R32	0.109
R404A	0.4
R-134a	0.005
R 410-A	0.026

Going forward, we aim to achieve measurable reductions in GHG emissions across both our formulation and API units. We aim to achieve the reduction through increased operational efficiency, developing our infrastructure and installation of cleaner and greener technologies.

Complementing our energy-related initiatives, we have also initiated native tree plantation programmes to support carbon sequestration. These efforts form part of our broader emissions offset roadmap, aimed at mitigating residual emissions and contributing to long-term environmental restoration.

Responsible Water Stewardship

Water availability is an essential consideration in our operations and we are committed to managing it responsibly. Our water management strategy begins with an understanding of local risk. Using platforms such as Aqueduct, we have mapped water risk levels across our operational sites to inform how and where conservation measures should be prioritised, particularly for locations in water-stressed regions.

Read more on page 178
(BRSR - Principle 6)

Informed by this analysis, we adopted a 4R approach—Reduce, Reuse, Recycle, Recharge—that governs our water management decisions. While water consumption patterns may vary based on operational and product-specific requirements, optimisation efforts are being implemented across sites, with a focus on balancing conservation goals and production needs.

Wastewater generated across our operational sites is processed through dedicated Effluent Treatment Plants (ETPs), with reuse maximised for non-potable applications. Rainwater harvesting systems are being expanded and a structured water positivity programme is under design.

Waste Management

Managing waste streams requires strong operational accountability and traceability. We classify waste at the point of generation into three categories: hazardous, biomedical and general. Each category is managed through designated channels using licensed vendors, ensuring full compliance with applicable regulatory guidelines.

During the year, hazardous and biomedical waste generated across our formulation and API units was handled responsibly, with disposal carried out through authorised vendors. While our current systems ensure compliance, we are moving toward a more proactive waste management approach—one that prioritises reduction at source, strengthens recycling processes and sets the foundation for a gradual transition to a zero-waste-to-landfill goal.

Site-specific waste management plans are being developed, based on the waste hierarchy principles of prevention, minimisation, reuse, recycling, recovery and disposal. These plans are supported by detailed process mapping to identify and eliminate avoidable waste points.

Biodiversity Enhancement

Our commitment to environmental restoration goes beyond our operational boundaries to include the surrounding ecosystems. We have

conducted baseline assessments of carbon storage and native biodiversity at five key locations which includes Haridwar, Lalru, Derabassi, Barwala and Baddi. These assessments serve as the foundation for developing a targeted ecological enhancement strategy.

Native species plantations are underway, tailored to local conditions and intended to support long-term carbon sequestration as well as soil and habitat health. These efforts are not viewed as peripheral but integral to our environmental impact planning.

Strategic Priorities

- 01 Formalise zero waste to landfill targets by FY30
- 02 Improve on-site segregation and storage infrastructure at all locations
- 03 Scale up vendor partnerships for advanced recycling and recovery



We have cultivated a robust network of relationships within the pharmaceutical ecosystem, built on trust and mutual growth. Our collaborations with academic institutions, research organisations and industry leaders facilitate the exchange of knowledge and expertise, driving innovation. Additionally, our ethical business practices and community engagement strengthen our reputation, promote long-term partnerships and contribute to the overall advancement of healthcare solutions.



Social and Relationship Capital

₹ 41 Lakhs*
CSR Spend

66.26%
of CSR beneficiaries
from vulnerable or
marginalised groups

30.47%
Directly sourced from
MSMEs producers

Community

We engage with communities through structured Corporate Social Responsibility (CSR) programmes, targeting health, education, environmental awareness and resource conservation. These initiatives are aligned with regional development needs and prioritise vulnerable and marginalised groups, including female students, underprivileged youth and people under distress.

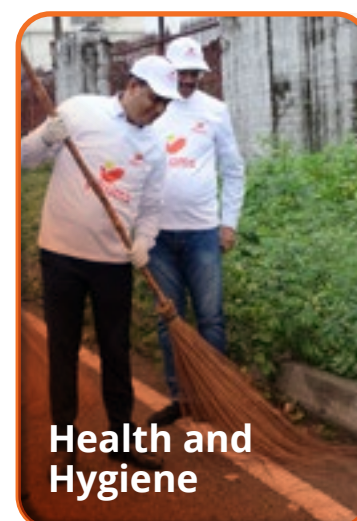


What We Did

- Organised career counselling sessions for underprivileged students across locations
- Provided financial support to a technical institute offering free education to girls
- Renovated infrastructure in a government school to benefit female students
- Empowered underprivileged women by providing sewing machines to support and enhance their livelihoods.

Impact

- 250** students reached through counselling sessions
- 230** girls supported via technical education funding
- 500** girl students benefitted from improved educational infrastructure



What We Did

- Conducted awareness sessions on menstrual hygiene for adolescent girls in government schools
- Organised regular blood donation camps across Akums' units
- Donated medicines to Jagriti Foundation and NGOs
- Provided gifts and material support to individuals affected by leprosy

Impact

- 150** girls educated on menstrual health
- 1,481** participants in blood donation drives
- 702** individuals benefitted from medicine donations
- 300** leprosy-affected persons supported through targeted distribution drives

* The average profits of the last three financial years were is in negative and hence Akums was not required to spend any amount during FY25. However, we have spent an amount of INR 41.00 Lakhs on various CSR activities.



Environment and Resource Conservation

What We Did

- Conducted awareness sessions on water conservation in schools and workplaces
- Installed rainwater harvesting systems in government schools
- Executed plantation drives at public and private sites (e.g., Haridwar, Roshnabad, Unit-01)
- Conducted annual Ganga cleanliness drive

Impact

- 600** individuals engaged in water conservation awareness
- Rainwater harvesting benefits extended to **250** school users and the project will continue to benefit a larger number of people over time due to its sustainable and structured nature.
- 2,000+** saplings planted across multiple plantation drives; events integrated with regional festivals



Community Engagement and Well-being

What We Did

- Organised awareness sessions during International Yoga Day
- Conducted awareness camps within company premises on health and environment
- Supported cattle welfare organisations working on disease prevention

Impact

- 100** employees participated in yoga awareness sessions
- 50** animals benefitted via support to cattle welfare NGOs
- Broader** engagement through recurring awareness and outreach sessions at unit level

Supplier and Customer Relationship Management

Supplier Engagement and Strategic Sourcing

At Akums, supplier relationships are managed through structured engagement built on transparency, mutual performance and long-term alignment. Beyond initial qualification, based on quality, capacity and compliance, ongoing relationships are maintained through regular communication and operational integration.

We engage with suppliers to share consumption forecasts, provide feedback on quality and delivery performance and jointly explore opportunities for improvement. This two-way communication allows for timely responses to market shifts, promotes innovation in materials sourcing and enhances reliability across the value chain.

We also work toward shared sustainability objectives, encouraging suppliers to adopt responsible practices in waste management, emissions reduction and packaging optimisation.

Relationship Measures

Periodic vendor reviews covering quality, pricing, delivery and compliance

Capacity-building through regular updates on regulatory trends and product requirements

Collaboration on sustainable sourcing and packaging practices

Customer Relationships and Delivery Performance

Our customer relationship approach centres on responsiveness, product quality and reliable service. We actively engage with customers to understand their evolving needs, address product feedback and ensure timely resolution of queries or complaints.

Delivery schedules are customised based on urgency and logistics are planned to optimise both cost and delivery time. We track customer satisfaction through structured feedback mechanisms and integrate learnings into product and service improvements.

Relationship Measures

Timely delivery performance with periodic service-level monitoring

Complaint handling with defined turnaround timelines

Customer feedback collection and action planning

Information sharing on regulatory updates, quality changes and new product introductions

Assessments of vendors

On safety and environmental aspects under Supplier Code of Conduct

95.02%

Improvement in customer satisfaction

90%

Inputs were sourced sustainably

Awards & Accolades



Hydroxyurea oral suspension for sickle cell - Game Changers in Disease Diagnosis (Editor's Choice) Award

Jagran Healthcare Heroes Summit & Awards



People's Choice Companies to Work Award

National Economic Growth Summit & Awards



Excellence in Make in India Initiatives

Financial Express Pharma Summit & Awards



Excellence in R&D

Financial Express Pharma Summit & Awards



Pharmaceutical Innovation

Scale Awards by CII 2024



Supply Chain Innovator

Scale Awards by CII 2024



Excellence in Hazardous Waste Management award

IHW Council



Innovative Manufacturer of the Year

IHW Council



Pharma Innovation of the Year

Financial Express Pharma Summit & Awards



Best Pharma Innovation Award

Financial Express Pharma Summit & Awards



Healthcare Leader of the Year

Financial Express Awards



Excellence in Formulations

ET RePharma Awards 2025



Patient-Centric Pharmaceutical Manufacturing Company in Derma

IHW Council



Recognised as India's 500 Most Valuable Companies

HURUN INDIA



Innovative Formulations in Nutraceutical & Wellness Award

WBR Corp



Best Social Excellence Award of the Year

Brand Honchos



Excellence in Pharma Contract Services - Manufacturing

ET RePharma Awards 2025



Pharma Company of the Year

ET RePharma Awards 2025



Excellence in Nutritional Supplements

ET Health World Nutrition & Wellness Award



Economic Times Future Ready Organizations award

Economic Times



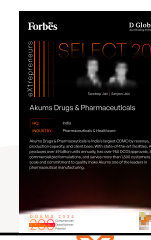
Global 200 Inspirational Leaders 2025

White Page Consulting



Most Preferred Workplace

India Conventions



Top 200 Companies with Global Business Potential

Forbes India



Most Trusted Pharmaceuticals Brand - Delhi

Healthcare Icon Awards 2024 by Eminent Research



Innovator in Manufacturing

ELETS Healthcare
Innovation Awards 2024
by ELETS



Sustainable Organization Award 2024

Sustainable Summit &
Awards hosted by UBS
Forums



Most Admired Manufacturing Company in Pharmaceuticals

Business Star Awards



Excellence for outstanding growth and impact in pharmaceutical manufacturing

Pharma Manufacturing & Automation Excellence Awards 2024



Best Skill Development Programme Initiative of the Year

Corporate Social
Responsibility Summit &
Awards, presented by UBS
Forum



Excellence in Healthcare Innovation

ABP Live

Statutory Report

Board's Report FY 2024-25

To
Dear Shareholders,

The Board is pleased to present the 21st (Twenty First) Annual Report on the business and operations of the Akums Drugs & Pharmaceuticals Limited ("Akums/the Company"), together with the Audited (Standalone & Consolidated) Financial Statements of the Company for the financial year ended on March 31, 2025 ("FY 2024-25").

As this is our first report following the successful completion of our Initial Public Offer ("IPO") and subsequent listing of our equity shares on National Stock Exchange of India Limited ("NSE") and BSE Limited ("BSE"), the Board takes this opportunity to thank all stakeholders for their unwavering support and confidence in the Company's vision. The support and confidence has been instrumental in achieving this significant milestone and positioning the Company for future growth and success.

Akums' remains dedicated to enhancing shareholder value and pursuing strategic objectives with diligence and integrity. The Company is enthusiastic about the opportunities that lie ahead and are committed to building upon the strong foundation established.

Financial Summary

In terms of the provisions of the Companies Act, 2013 ("Act") and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), the Company has prepared its standalone and consolidated financial statements in accordance with the applicable Indian Accounting Standards (Ind-As) for FY 2024-25.

A brief overview on Standalone and Consolidated Financial Performance of your Company for the FY 2024-25 are as under:

In INR million

S. No.	Particulars	Standalone	
		Year ended 31 March 2025 Audited	Year ended 31 March 2024 Audited
I	Income		
	Revenue from operations	13,117.84	14,441.19
	Other income	1,241.92	941.21
	Total income (I)	14,359.76	15,382.40
II	Expenses		
	Cost of raw materials consumed	8,110.58	8672.35
	Changes in inventories of finished goods, work-in-progress	(100.50)	64.42
	Employee benefits expense	2,017.36	1,752.80
	Finance costs	153.09	183.13
	Depreciation and amortisation expense	395.45	326.94
	Fair value changes on financial instruments	(38.67)	3577.74
	Other expenses	1,744.08	1640.46
	Total expenses (II)	12,281.39	16217.84
III	Profit/ (Loss) before exceptional items and tax (I-II)	2,078.37	(835.44)
IV	Exceptional items	-	(193.89)
V	Profit/ (Loss) before tax (III-IV)	2,078.37	(1029.33)
VI	Tax expense	468.39	625.18
VII	Profit/ (Loss) for the period/ year (V-VI)	1,609.98	(1654.51)
VIII	Other comprehensive income		
	- Items that will not be reclassified to profit and loss	(0.96)	(29.07)
	- income-tax on items that will not be reclassified to profit and loss	0.24	7.32
IX	Total comprehensive income for the period/ year (VII+VIII)	1,609.26	(1676.26)

In INR million

S. No.	Particulars	Standalone	
		Year ended 31 March 2025 Audited	Year ended 31 March 2024 Audited
X	Paid-up share capital (Face value of INR 2/- per share)	306.21	286.13
XI	Other equity	22,746.26	1,152.65
XII	Earnings per share (of INR 2/- each) (EPS for quarters ended have not been annualised) (refer note 4)		
	Basic and diluted	10.76	(11.56)

In INR million

Particulars	Consolidated	
	Year ended 31 March 2025 Audited	Year ended 31 March 2024 Audited
Income		
Revenue from operations	41,181.58	41,781.82
Other income	521.22	340.25
Total income	41,702.80	42,122.07
Expenses		
Cost of goods sold	24,334.34	25,502.37
Employee benefits expense	7,158.21	6,468.64
Finance costs	346.00	506.14
Depreciation and amortisation expense	1,534.46	1,256.40
Fair value changes to financial instruments	(38.67)	3,577.74
Other expenses	5,082.90	5,003.22
Total expenses	38,417.24	42,314.51
Profit/ (Loss) before exceptional items and tax	3,285.56	(192.44)
Exceptional items	(166.97)	260.34
Profit/ (Loss) after exceptional items and before tax	3,452.53	(452.78)
Tax expense	14.76	(460.68)
Profit/ (Loss) for the quarter/ year after tax (V-VI)	3,437.77	7.90
Other comprehensive income		
- Items that will not be reclassified to profit and loss	(13.62)	(50.50)
- income-tax on items that will not be reclassified to profit and loss	2.67	13.72
Total comprehensive income for the quarter/ year (VII+VIII)	3,426.82	(28.88)
Profit/ (Loss) for the quarter/ year attributable to:		
Owners of the Parent	3,381.76	(40.35)
Non-controlling interest	56.01	48.25
Other comprehensive income attributable to:		
Owners of the Parent	(11.03)	(36.56)
Non-controlling interest	0.08	(0.22)
Total comprehensive income attributable to:		
Owners of the Parent	3,370.73	(76.91)
Non-controlling interest	56.09	48.03
Paid-up share capital (Face value of INR 2/- per share)	306.21	286.13
Other equity	30,163.93	6,808.85
Earnings per share (of INR 2/- each) (EPS for quarters have not been annualised):		
Basic and diluted	22.60	(0.28)

Key highlights of the Company's standalone financial performance during FY 2024-25 are as follows:

- Revenue from operations declined by 09.16%.
- Total Income is also declined by 6.65%.

Key highlights of the Company's consolidated financial performance during FY 2024-25 are as follows:

- Revenue from operations are stable with slight decline of 1.44%.
- Total Income is also stable with slight decline of 1%.

Dividend

Akums has consistently pursued a path of expansion to drive long term growth. In line with the need to conserve the Company's resources, the Board of Directors has not recommended any dividend for the financial year 2024-25.

Transfer to Reserves

The total comprehensive profit of INR 1,609.26 million for the FY 2024-25 had been transferred to previous year's other equity of INR 1,152.65 million to arrive at the current year's other equity of INR 22,746.26 million, which includes, Securities Premium of INR 9,567.99 million, put option adjustment of INR 8,615.12 million and put option reserve adjustment INR 1,801.24 million, which was retained in the Balance Sheet.

Extract of Annual Returns

Pursuant to Section 92(3) of the Companies Act, 2013, a copy of the annual return for the FY 2023-24 has been placed on the website (Link: <https://www.akums.in/investors/annual-return/>) of the Company. The annual return of 2024-25 will be placed post completing Annual filings.

Integrated Annual Report

In line with the SEBI circular dated February 6, 2017, Akums has voluntarily released its Integrated Annual Report. This comprehensive report combines both financial and non-financial information and follows the International Integrated Reporting Framework. It highlights the Company's strategy, governance, performance and future value creation prospects, structured around six key forms of capital: Financial Capital, Manufactured Capital, Intellectual Capital, Human Capital, Social & Relationship Capital and Natural Capital.

Material Event (s)

Initial Public Offer

The FY 2024-25, has marked a significant milestone in the corporate history of Akums. During the year under review, the Company successfully completed its Initial Public Offer (IPO), comprising both an Offer for Sale and Fresh Issue, details of which are summarized below:

Fresh issue of 10,037,708 Equity Shares of face value of INR 2 each aggregating to INR 6,800 million

Offer for sale by Existing Shareholders of 17,330,435 Equity Shares of face value of INR 2 each aggregating to INR 11,767.37 million

Total Offer Size 27,368,143 Equity Shares aggregating to INR 18,567.37 million

The IPO was opened to the public from July 30, 2024 and closed on August 01, 2024 (both days inclusive). The offer witnessed significant investor interest, with oversubscriptions exceeding 63 times across all investor categories. On the listing day, the share price surged significantly above the IPO price band, reflecting investor confidence in Company's future prospects.

The equity shares of the Company were listed on the Stock Exchanges, namely NSE India Ltd and BSE Limited on August 6, 2024.

Strategic Reduction in Subsidiary Entities

In the month of April 2024, Akums undertook a strategic review of its subsidiary portfolio and decided to disinvest from certain subsidiaries that were either non-operational or conducting business at a nominal scale or were transacting; and were facing headwinds in scaling up of their business operations.

The list of such entities is mentioned below:

- Amazing Research & Laboratories Ltd.,
- May & Baker Pharmaceuticals Ltd. and
- Burroughs Welcome Pharmacia Pvt. Ltd.

Therefore, during the financial year Amazing Research & Laboratories Ltd., May & Baker Pharmaceuticals Ltd. and Burroughs Welcome Pharmacia Pvt. Ltd. (Now Hygosap Pharma Private Limited) ceased to be subsidiaries of the Company with effect from 01st April 2024.

Incorporation of subsidiary in United Kingdom

Akums Healthcare UK Ltd. was incorporated as a foreign wholly owned subsidiary of the Company on 18th March, 2025.

Changes in Capital Structure

During the FY 2024-25, there was no change in the Company's authorised share capital.

However, issued, subscribed and paid-up capital share capital of the Company underwent the following changes.

S. No.	Allotment details	Date of Allotment	Amount (Face Value)
1	4291930 Equity Shares has been issued, subscribed and allotted to the Akums Employee Benefits Trust	31-May-2024	85,83,860
2	10037708 Equity Shares has been issued, subscribed and allotted to the public as a fresh issue portion of IPO	02-August-2024	2,00,75,416

Therefore, as on March 31, 2025 the Company's authorised share capital was INR 400,000,000/- (INR 40 crore) divided into 200,000,000 (INR 20 crore) equity shares of face value INR 2 each and issued, subscribed and paid-up share capital was INR 31,47,87,976 divided in to 15,73,93,988 equity shares of face value INR 2 each.

Changes in Directors and Key Managerial Personnel

During the FY 2024-25, Mr. N.L. Kalra ceased to be an Independent Director, with effect from 05.02.2025. on account of attaining the 75 years of age.

The Board places on record its sincere appreciation for his valuable contribution, guidance and service during the tenure with the Company.

As per the provisions of the Companies Act, 2013, Mr. Sanjeev Jain, Director, will retire at the ensuing Annual General Meeting and being eligible, and has offered himself for reappointment. The Board of Directors recommended his re-appointment for the approval of the shareholders

Meetings of the Board of Directors

During the FY 2024-25, the Board of Directors duly met seven times on 04.05.2024, 31.05.2024, 24.07.2024, 01.08.2024, 24.08.2024, 09.11.2024 and 06.02.2025 in respect of which proper notices were given and the proceedings were properly recorded and signed in the 'Minutes Book' maintained for the purpose.

In cases of urgent business requirements, the Board or its Committees also passed resolutions by circulation, in accordance with the provisions of the Companies Act, 2013.

The details of attendance of directors at the board meetings of the company during F.Y. 2024-25 are given as under:

Name of Director	Category	No. of Board Meetings		%
		Eligible to attend	Attended	
Mr. Sanjeev Jain	Managing Director	7	7	100
Mr. Sandeep Jain	Managing Director	7	7	100
Mr. Sanjay Sinha	Whole Time Director	7	7	100
Mr. N.L. Kalra	Independent Director	6	6	100
Mr. Kewal Handa	Independent Director	7	6	85.71
Ms. Matangi Gowrishankar	Independent Director	7	7	100
Mr. Sunil Kumar Thakur	Non-Executive Director	7	7	100
Mr. Satwinder Singh	Independent Director	7	7	100

Meeting of Board Committees and General Meeting(s) during FY 2024-25

Details of meetings of various committees of the Company held during the period under review, are given as under:

S. No.	Committee	No. of Meetings	Date of Meetings
1.	Audit Committee	5	4-May-2024, 31-May-2024, 24-August-2024, 9-Nov-2024, 6-Feb-2025
2.	Nomination & Remuneration Committee	5	4-May-2024, 24-August-2024, 9-Nov-2024, 29-Jan-2025, 6-Feb-2025
3.	Stakeholder relationship Committee	1	6-Feb-2025
4.	Risk Management Committee	1	9-Nov-2024
5.	IPO Committee	2	29-July-2024, 02-August-2024

The details of attendance of members of the Audit Committee (AC), Nomination and Remuneration Committee (NRC), Stakeholder relationship Committee (SRC), Risk Management Committee (RMC) and IPO Committee (IPOC) of the company are given as under:

Name of Director	Category	ACM		NRC		SRC		RMC		IPOC	
		Eligible	Attended	Eligible	Attended	Eligible	Attended	Eligible	Attended	Eligible	Attended
Mr. Sanjeev Jain	Managing Director	-	-	-	-	1	1	1	1	2	2
Mr. Sandeep Jain	Managing Director	4	4	-	-	1	1	1	1	2	2
Mr. Kewal Handa	Independent	5	5	5	5	-	-	1	1	-	-
Mr. N.L. Kalra	Independent	4	4	4	3	-	-	1	1	-	-
Ms. Matangi Gowrishankar	Independent	5	5	5	5	-	-	1	1	-	-
Mr. Sunil Kumar Thakur	Non-Executive	5	5	5	5	-	-	-	-	2	2
Mr. Satwinder Singh	Independent	5	5	5	5	1	1	-	-	-	-

The Annual General Meeting (AGM) of Akums for the previous financial year, i.e. 2023-24, was held on 31.05.2024. The meeting was duly attended by all Directors and Shareholders of the Company along with the Company Secretary, Chief Financial Officer, representatives of the Statutory Auditor and the Secretarial Auditor of the Company.

During the FY 2024-25, the Company conducted two Postal Ballot events vide notice dated 09th November, 2024 and 06th February, 2025.

One separate meeting of the Independent Director was held on 24th July, 2024.

Directors' Responsibility Statement

Pursuant to the provisions of Section 134(3) read with Section 134(5) of Companies Act, 2013, the Directors confirm that:

- In the preparation of the annual accounts, the applicable accounting standards have been followed along with proper explanation relating to material departures.
- The Directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit and loss of the Company for that period.

- The Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- The Directors have prepared the annual accounts on a going concern basis.
- The Directors have laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively. These controls are critical for ensuring the orderly and efficient conduct of business, including an adherence to the Company's policies, the safeguarding of its assets, prevention and detection of frauds and errors, accuracy and completeness of accounting records and the timely preparation of reliable financial information.
- The Directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and operating effectively.
- The Directors have established proper systems to ensure compliance with the provisions of all applicable secretarial standards and confirm that such systems are adequate and operating effectively.

Declarations by Independent Directors

The Company has received declarations from all the independent directors confirming that they meet the criteria of independence as provided in sub-section (6) of Section 149 of the Companies Act, 2013. In the opinion of the Board, the Independent Directors of the Company fulfil the conditions specified under the act and the Regulation 16(1)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. There has been no change in the circumstances affecting their status as Independent Directors of the Company and in the opinion of the Board, the Independent Directors fulfils the conditions specified under the Act and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and are Independent of the management.

Audit Committee

The details pertaining to the composition of the Audit Committee are included in the Corporate Governance Report, which forms a part of this report.

Corporate Social Responsibility (CSR) Committee

The details regarding the composition of the CSR committee are provided in the Corporate Governance Report, which forms an integral part of this report.

Nomination and Remuneration Committee

The information regarding the composition of the Nomination and Remuneration committee is included in the Corporate Governance Report, which forms an integral part of this report.

Stakeholders' Relationship Committee

The details involving the composition of the Stakeholders' Relationship Committee are included in the Corporate Governance Report, which forms an integral part of this report.

Risk Management Committee

The data relating to the composition of the risk management committee are disclosed in the Corporate Governance Report, which forms an integral part of this report.

Auditor(s)

Statutory Auditor

Walker Chandio & Co LLP (WCC) has been re-appointed as the statutory auditor of the Company pursuant to members' approval obtained at the 20th Annual General Meeting held on 31st May 2024. The re-appointment is for a term of five consecutive years, to audit the financials of the company for the FY 2024-25 to 2028-29 (both inclusive). Accordingly, they shall hold office till the conclusion of the 25th Annual General Meeting of the Company.

The Auditors' Report for the FY ended on 31st March 2025 on the financial statements of the company forms part of this Annual Report.

The Auditors' Report does not contain any qualification or adverse remark or comment or a disclaimer in its report.

Details in Respect of Frauds Reported by the Auditors under Section 143(12):

As specified under the second proviso of Section 143 (12) of the Companies Act, 2013, the Statutory Auditors have not reported any incident of fraud on the Audit Committee during the year under review.

Cost Auditor

As per the provisions of Section 148 the Companies Act, 2013 read with Companies (Audit & Auditors') Rules, 2014 and the Companies (Cost Records and Audit) Amendments Rules, 2014, the Company is required to maintain the cost records in respect of its business and accordingly such records are made and maintained.

The Board had appointed M/s. Balwinder & Associates, as the Cost Auditors of the Company for the FY 2024-25.

Now that its tenure has expired, the Board has recommended to re-appointed M/s Balwinder & Associates as the Cost Auditors to audit the cost accounts of the Company for the FY 2025-26.

As required by the Act, the remuneration of the cost auditors must be ratified by the members. Accordingly, the resolution relating to the cost auditors is being placed before the members for their ratification.

Internal Auditor

As per the provisions of Section 138 read with Rule 13 of The Companies (Accounts) Rules, 2014, with regard to internal audit, M/s Vibhor Gupta & Associates were appointed as the Internal Auditor for the FY 2024-25. The audits are based on an internal audit plan, which is reviewed each year by the Management and the Audit Committee. The internal audit process is designed to review the adequacy of internal control checks in the system and covers all significant areas of the Company's operations.

Secretarial Auditor

Section 204 (1) of the Companies Act 2013 and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, mandate a secretarial audit for the prescribed class of companies.

In terms of Section 204 of the Act and Rules made thereunder, M/s. A.K. Nandwani & Associates, was appointed as secretarial auditor of the company for the FY 2024-25, and there tenure has expired. The Board has recommended to appoint M/s SPG & Associates, Company Secretaries (a peer reviewed firm) as secretarial auditor for next five years starting from FY 2025-26 till FY 2029-30 (both inclusive).

In terms of sub-section (3) of Section 134 of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 the Secretarial Audit Report in the Form MR-3 of the Company for the FY 2024-25 is annexed with the Board's report as **Annexure-1**.

The Secretarial Audit Report for the year contain two remarks which are mentioned here below and more specifically mentioned in the report:

S. No.	Please specify unit	Management's Comment
1	Some of the employees (designated individuals as per Insider Trading Code of Conduct) sold their shares within 6 months, however, the fact was apprised to the Stock Exchanges.	This has happened due to unawareness of law by few employees during initial listing days of the Company. Though the same was intimated to the Audit Committee & the exchanges.
2	Due to cessation of Mr. Nand Lal Kalra, Independent Director effective from February 5, 2025, the composition of the Board of Directors no longer meets the requirements of the Regulation 17(1)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations.	The Company is in process of shortlisting & finalization of a suitable candidate; and the position will be filled up soon.

In terms of Regulation 24A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Secretarial Audit of four material unlisted subsidiaries of the Company, namely Pure and Cure Healthcare Private Limited, Malik Lifesciences Private Limited, Akumentis Healthcare Limited and Maxcure Nutravedics Limited was undertaken by Sangeeta Chaudhary & Associates, Company Secretaries. The Secretarial Audit Reports issued by the Auditor are annexed to this Report as **Annexure- 1A, Annexure-1B, Annexure-1C, Annexure-1D** respectively. The Secretarial Audit Reports for these material unlisted Indian Subsidiaries contain certain remarks, more specifically mentioned in the reports.

Management Auditors

The Company has appointed Ernst & Young LLP (E&Y), Deloitte and Protiviti India Member Private Limited as Management Auditors for 2024-25. These management auditors had conducted audits of certain processes and functions of the Company and its subsidiaries and have submitted its reports to the management for its perusal.

The Company has appointed Ernst & Young LLP (E&Y), Mahajan & Aibara and Protiviti India Member Private Limited as management auditors for 2025-26 as well. The management auditors will conduct audits of assigned processes and functions of the Company and its subsidiaries.

Implementation and Ratification of ESOP Scheme

The Company has observed from market experience that an equity-based compensation plan is an effective tool to motivate and reward the existing key talent based on the performance and criticality of the profile. For the Company, this will also help attract new talent and retain them for ensuring sustained corporate growth.

In view of this, Akums has implemented an Employee Stock Option Plan (ESOP) called Akums Employee Stock Option Scheme 2022 (ESOP Scheme 2022). This scheme will cover eligible employees of the Company and employees of its subsidiary companies. During the current year, in terms of regulation 12 of SEBI (Share Based

Employee Benefits and Sweat Equity) Regulations, 2021, the Company has obtained shareholders ratification to implement the ESOP Scheme 2022 through 'Akums Employee Benefits Trust'.

Change in the Nature of Business (If Any)

The Company and its subsidiaries are engaged, inter alia, in the business of manufacturing, marketing, trading, importing, exporting, developing, testing and allied activities of pharmaceutical formulations of drugs, ayurvedic, herbals, toiletries, nutraceuticals, food and dietary supplements, derma and cosmetics, healthcare and hospital products, over-the-counter (OTC) products, active pharmaceutical ingredients, excipients and compounds.

During the period under review there has been no change in the nature of the business of the Company.

Companies Which Became/Ceased to Be Company's Subsidiaries, Joint Ventures and Associate Companies

As on March 31, 2025, the Company has 13 subsidiaries, including one step-down subsidiary and one limited liability partnership (LLP) and one foreign wholly owned subsidiary which was incorporated on 18th March, 2025.

S. No.	Name of Subsidiary	Nature of Business	% of Shareholding	Status WOS* / Subsidiary
1	Pure & Cure Healthcare Pvt. Ltd.	Manufacturing of Pharmaceutical Formulations	100%	WOS
2	Maxcure Nutravedics Ltd.	Manufacturing of Nutraceuticals & Cosmetics	100%	WOS
3	Malik Lifesciences Pvt. Ltd.	Manufacturing of Pharmaceutical Formulations	100%	WOS
4	Akums Healthcare Ltd.	Manufacturing of formulations	100%	WOS
5	Qualymed Pharma Pvt. Ltd.	Manufacturing of formulations	100%	WOS
6	Akumentis Healthcare Ltd.	Branded Marketing	91.50%	Subsidiary
7	Unosource Pharma Ltd.	Export Marketing	100%	WOS
8	Sarvagunaushdhi Pvt. Ltd.	Retail Sales	100%	WOS
9	Plenteous Pharmaceuticals Ltd.	Generic Branded Marketing	100%	WOS
10	Nicholas Healthcare Ltd.	Institutional Sales	100%	WOS
11	Upadhrish Reserchem LLP	Manufacturing of formulations	100%	WOS
12	Medibox Pharma Ltd.	Generic Branded Marketing	100%	WOS
13.	Akums Healthcare UK Ltd	Trading or Marketing of Pharmaceutical Formulations.	100%	WOS

*WOS means Wholly Owned Subsidiary

During the period under review Amazing Research & Laboratories Ltd., May & Baker Pharmaceuticals Ltd. and Burroughs Welcome Pharmacia Pvt. Ltd. (Now Hygosap Pharma Private Limited) ceased to be subsidiaries of the Company with effect from 01st April 2024.

Further, Akums Healthcare UK Ltd. was incorporated as a foreign wholly owned subsidiary of the Company on 18th March, 2025.

The statement containing the salient features of the financial statements of the Company's subsidiaries is given in Form AOC-1, annexed as **Annexure-2**, which is a part of the report.

Particulars of Loans, Guarantees and Investments

The details of loans, guarantees and investments, as contemplated under Section 186 of the Companies Act, 2013, made by the Company and remaining outstanding as on 31.03.2025, are annexed with this report as **Annexure - 3**.

Particulars of Related Party Transactions

In line with the requirements of the Act and SEBI Listing Regulations, the Company has formulated a Policy on Related Party Transactions, which is available on the website of the Company.

All contracts, arrangements and transactions entered by the Company with related parties during FY 2024-25 were at arm's length and in the ordinary course of business.

Omnibus approvals of the Audit Committee and the Board wherever applicable were obtained for the transactions which are of a foreseeable and repetitive nature. In all other cases, the approval of Board or the Audit Committee is taken for entering into a related party transaction.

During the year, the Company did not enter into any transaction, contract or arrangement with related parties, which could be considered material, in accordance with the Company's Policy on dealing with Related Party Transactions ("RPT Policy").

Though Section 188 is not applicable to the transactions, yet the details of related party transactions are provided under notes to financial statements and Form AOC-2 (as **Annexure-4**) are annexed with the Board Report.

All applicable related party transactions were presented before the Audit Committee/Board. The disclosure on related party transactions as per Ind AS-24 has been provided under Note No. 42 of the standalone financial statements and Note No. 42 of the consolidated financial statements.

Deposits Under Chapter V of the Companies Act, 2013

During the year under review, the Company has not accepted any deposit from the public within the meaning of Chapter V of Companies Act, 2013 and as such no amount on account of principal or interest on public deposit was outstanding as on the date of the balance sheet.

Management Discussion and Analysis Report

The Management Discussion and Analysis Report providing the detailed overview of the Company's performance, industry trends, business and risks involved has been provided separately and forms part of this report.

Directors' Appointment and Remuneration Policy

For the purpose of selection of any director, the Nomination and Remuneration Committee identifies persons of integrity who possess relevant expertise, experience and leadership qualities required for the position. The committee also ensures that the incumbent fulfils such criteria with regard to qualifications, positive attributes, independence, age and other criteria as laid down under the Act.

The Company has a remuneration policy, which is available on the website of the Company at <https://www.akums.in/investors/corporate-governance-policies/>, which provides the basis for fixation of remuneration of directors and key managerial personnel of the Company.

Conservation of Energy, Technology Absorption and Foreign Exchange Earnings and Outgo

Conservation of Energy

Energy conservation measures taken are as under:

1. Optimum energy conservation steps are being taken to reduce per unit cost. Power load factor is being monitored continuously as an energy conservation measure. Maintenance of proper voltage supply, proper load distribution and replacement of traditional tube

lights with LEDs lead to regular saving of energy. Installed variable speed-based controller on the air compressor for minimising the losses during unloading.

2. An ON/OFF-based controller was installed in the cooling tower and the switching-based controller was monitored in the cooling tower fans, for reducing the specific power consumption. No waste is generated in the company which can be converted into any source of energy.
3. No other alternative source of energy is feasible.
4. Adequate additional investment is being made on energy conservation.

The average performance in terms of production units is under control. However, electricity tariffs are beyond the control of the Company summarized as follows: -

Particulars	FY'2024-25	FY '2023-24
Units of Electricity Purchased (Lakh Kwh)	398.44	377.63
Total Amount of Electricity Purchased (Lakh INR)	3,021.51	2,925.24
Rate of Electricity Per Unit (INR)	7.58	7.75
Units (Lakh Kwh) Own Generation (DG. Set)	7.08	5.43
Consumption of Diesel Oil in DG (Lakh Lts.)	2.02	1.57
Units generated Per Litre of Diesel Oil	3.51	3.45
Total amount of Diesel consumed (Lakh INR)	167.6	125.43
Cost Per Unit (INR)	23.68	23.08

Technology absorption

Efforts are continuously being made for technology absorption. Currently the Company has implemented following technologies during this financial year:

1. **CIMS (Customer Invoice Management System):** This system allows us to send digitally signed invoices to our customers.
2. **EPMT (Export Product Management Tool):** This tool streamlines the ENCQ process, enabling initiators to check the current status of their ENCQ.
3. **DRF (Dossier Request Form):** This form streamlines our dossier filing process and tracks the registration we are submitting to the Ministry of Healthcare.
4. **CLM (Contract Life Management):** Contract Lifecycle Management (CLM) is a centralized tool designed to manage all contracts executed by the Company for its business

operations. It streamlines the entire contract process, from initiation to execution, and offering several key benefits, such as; *Real-Time Tracking, Renewal Notifications, Centralized Contract Data and Document Storage & Compliance Checks*. Therefore, CLM enhances efficiency, transparency, and control over a Company's contract management process.

Upcoming Projects:

5. LMS (Litigation Management System): This system will allow users to enter litigation data digitally and track it on a single page.
6. Akums Business Ethics Helpline (CoVigilance Portal): This portal will enhance our ability to monitor and report on adverse events and ensure compliance with regulatory requirements.

The Company has its own research and development centres that are approved by the Department of Scientific and Industrial Research (DSIR), Government of India. These centres play a pivotal role in driving innovation, developing new formulations, and enhancing product quality, thereby strengthening the Company's edge in pharmaceuticals industry.

During the FY 2024-25, expenditure on research and development was **₹ 286.92 million**, as against **₹ 292.55 million** during the previous year.

Foreign Exchange Earnings and Outgo:

During the financial year 2024-25, trade receivables and trade and other payables in foreign currencies amounted to **₹ 33.29 million** and **₹ 44.49 million**, respectively.

Risk Management Policy

The Company has constituted a Risk Management Committee and has an adequate risk management process to identify and notify the Board of Directors about the risk or opportunities that could have an adverse impact on its operations or could be exploited to maximise the gains. The process and procedures are in place to act in a time-bound manner, to manage the risks or opportunities. The risk management process is reviewed and evaluated by the committee and the Board of Directors. Meeting of the Risk Management Committee was held on 09th November, 2024.

Akums has also adopted a Risk Management Policy. The Company's internal control systems are commensurate with the nature of its business and the size and complexity of its operations. These are routinely tested and certified by statutory auditors.

Environment and Social Responsibility Policy

Akums is committed to minimizing the adverse environmental and social impacts of its business activities. The organization pledges to:

- Identify and manage environmental and social risks related to its operations.
- Comply with all applicable environmental laws and regulations.
- Align with the International Finance Corporation (IFC) Performance Standards.
- Set and pursue targets to avoid, reduce, or mitigate negative impacts.
- Integrate environmental considerations into all levels of planning and decision-making.
- Use eco-friendly, energy-efficient, and sustainable technologies.
- Promote sustainable development through the conservation of resources using the 4R approach (recovery, recycling, reuse, reduction).
- Regularly review performance and allocate resources for policy implementation.
- Foster continual improvement through employee and stakeholder involvement.
- Maintain open communication and transparent reporting of policy adherence.
- Provide training to encourage environmental and social responsibility.
- Ensure any policy violations are reported up to senior leadership.
- Implement the policy under leadership guidance, embedding sustainability into operations.

Corporate Social Responsibility (CSR)

In compliance with the requirements of section 135 of the Act read with the Companies (Corporate Social Responsibility Policy) Rules, 2014, the Board of Directors has constituted a Corporate Social Responsibility (CSR) committee. The details of membership of the committee and the meeting held are given in details in the Corporate Governance Report, which forms a part of this report.

In line with the provisions of the Companies Act, 2013, the Company has framed its CSR Policy and CSR Annual Action Plan and the same has been approved by the CSR committee and the Board of Directors. The CSR Policy of the Company provides the roadmap for its CSR activities. The CSR policy is available on the website of the Company at <https://www.akums.in/investors/corporate-governance-policies/>.

The Company believes, considers and promotes the fact that with a dynamic CSR culture, society will benefit; and when society benefits, corporations also benefit.

It is reflected in the Company's culture that the responsibilities of the entrepreneur are not confined to the four walls of its business or its customers. The Company also has a commitment and social responsibilities towards the community. The Company has complied with the provisions of law in its true spirit.

In terms of section 135(5), the Company was required to spend at least 2% of its average net profits as calculated in accordance of section 198 of the Companies Act, 2013, made during three immediately preceding financial years, i.e. it was required to make such spending during FY 2024-25 related to the financial years 2021-22, 2022-23 and 2023-24.

Net profits as per the provisions of Section 198 during the immediately preceding three financial years had been as under:

Financial Year	INR – Million
2021-22	(3349.73)
2022-23	1503.17
2023-24	(1029.35)

Average profits of the financial years 2021-22, 2022-23 and 2023-24 had been INR (958.64 million), which was negative. Therefore, the Company was not required to spend any amount during the financial year 2024-25.

However, during the FY 2024-25 the Company has spent an amount of INR 41.00 lakh on CSR activities. Such spent amount will be carried forward and will be set off from the CSR obligation of FY 2025-26.

The CSR activities undertaken during the year by the Company have been mentioned in the CSR report annexed as **Annexure-5**.

Remuneration of Directors, Key Managerial Personnel and Particulars of Employees

The information required to be disclosed in the Board's Report pursuant to Section 197(12) of the Act read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 is annexed as **Annexure-6** to this report.

The Annual Report is being sent to the Shareholders of the Company excluding information required under Section 197 (12) read with Rule 5(2) and 5(3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014. Any Shareholder interested in obtaining a copy of such statement

may write to the Company Secretary of the Company at cs@akums.net.

Pursuant to Section 197(14) of the Act, the Managing Director and Whole-time Director of the Company do not receive any remuneration or commission from any of the subsidiaries of the Company.

Evaluation of Board Performance

In accordance with the provisions of Section 134(3)(p) of the Companies Act, 2013 and Rule 8(4) of the Companies (Accounts) Rules, 2014, and Regulation 34(3) of SEBI (LODR) Regulations, 2015 read with Schedule V, the Company has carried out annual evaluation of the performance of the Board of Directors, its Committees, and individual Directors. These provisions are applicable to the Company as it has a paid-up share capital exceeding INR 25.00 crore.

The Company has implemented a structured procedure for evaluating the performance of the Board, its Committees, and individual Directors. During the year under review, the annual performance evaluation was conducted in accordance with the evaluation framework and criteria approved by the Nomination and Remuneration Committee. The framework is aligned with the SEBI Guidance Note on Board Evaluation.

The Board reviewed and discussed the outcome of the performance evaluation and expressed satisfaction with the overall functioning and effectiveness of the Board, its Committees, and the individual Directors, including the Managing Directors.

Furthermore, the Board also evaluated the fulfilment of the independence criteria by the Independent Directors and confirmed that all Independent Directors continue to meet the requirements of independence as prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and remain independent of the management.

Opinion of the Board about Independent Directors

Akums has appointed the following persons as independent directors:

Mr. Kewal Handa,
Ms. Matangi Gowrishankar
Mr. Satwinder Singh and
Mr. N.L Kalra (ceased w.e.f. 05.02.2025)

As per the opinion of the board all the independent directors are of integrity and have rich experience of their domain. The Board is of the view that under their able guidance and

suggestions, the Company will achieve new milestones of success in the coming years.

Material Courts Orders

During the year, no material order was passed by any regulators, tribunals or courts which impacts the going concern and the Company's operations in future.

Internal Control Systems and Their Adequacy

The Company has an adequate system of internal controls to safeguard and protect itself from loss, unauthorised use or disposition of its assets. All the transactions are properly authorised, recorded and reported to the management. The Company is following all the applicable accounting standards for properly maintaining the books of accounts and reporting financial statements. The management of the Company checks and verifies the internal control and monitors them in accordance with policies adopted by the Company. The Company continues to ensure proper and adequate systems and procedures commensurate with its size and nature of its business.

Maintenance of Cost Records

In terms of provisions of Section 148(1) of the Companies Act, 2013 and rules made thereunder, the Company is required to maintain cost records. The Company has maintained such accounts and records in a proper manner. The same was also made available to the Cost Auditors of the Company for their audit. M/s. Balwinder & Associates, cost accountants, were engaged to carry out an audit of cost records of the Company during FY 2024-25.

Vigil Mechanism Policy

In terms of the provisions of Section 177(9) of the Companies Act, 2013, the Company has established a policy on vigil mechanism for the directors and key managerial personnel and the employees, to report its genuine concerns relating to actual or suspected fraud, unethical behaviour, violation of the Company's code of conduct or any other event which would adversely affect its business interests.

Human Resources

Akums takes immense pride in the commitment, competence and dedication demonstrated by its employees in all areas

of business. The Company is deeply committed to nurturing, enhancing and retaining talent through superior learning and organisational development.

The Company believes that people are its biggest assets. Hence, it invests in productive training programs for the employees. The Company encourages individuals to explore opportunities aligned with natural talent and provides an environment that nurtures growth.

The Company embeds a sense of inclusion and equality in its people. This means fostering a conducive work environment that enhances professional and personal growth. A strong culture of mutual trust, oneness, learning, care and concern is a key inspiration to meet tomorrow's challenges.

Disclosure Under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013

The Company believes in providing a safe and harassment free workplace for each and every individual working for it through various interventions and practices. It is the continuous endeavour of the management to create and provide an environment to all its employees that is free from discrimination and harassment including sexual harassment.

The Company has in place an anti-sexual harassment policy in line with the requirement of the Sexual Harassment of Women at the Workplace (Prevention, Prohibition & Redressal) Act, 2013. Two separate Internal Complaints Committee (ICC) have been set up at Delhi & Haridwar locations to redress complaints received regarding sexual harassment. All employees are covered under this policy.

A mechanism has been established to report such matters to the ICCs. During the period under review, on group level, 12 complaints were received in this regard, on which proper action has been taken i.e. nine Termination, one Counselling, one Conciliation and one Nullified. All such complaints were dealt with care and closed properly.

Consolidated Accounts

The consolidated financial statements for the year ended on March 31st, 2025 have been prepared in accordance with the Indian Accounting Standards (IND AS) notified under the Companies (Indian Accounting Standards) Rules, 2015.

Credit Rating

The Company has a rating agreement with ICRA Limited. ICRA is required to review the rating on an annual basis and as and when the circumstances warrant such a review. During the month of October 2024, credit ratings were assessed and the rating committee of ICRA has provided the following ratings to the Company:

S. No.	Particulars	Rating Action
1	Long term-fund based working capital facilities	[ICRA]AA(Stable); Upgraded from [ICRA]AA-(Stable)
2	Unallocated limits	[ICRA]AA (Stable)/ [ICRA]A1+; LT rating upgraded from [ICRA]AA-(Stable) & ST rating reaffirmed
3	Short term-non fund based working capital limits	[ICRA]A1+; Reaffirmed
4	Long term / short term-fund based/non fund-based limits	[ICRA]AA (Stable)/ [ICRA]A1+; LT rating upgraded from [ICRA]AA-(Stable) & ST rating reaffirmed

Secretarial Standards

During the year under review, the Company has complied with all applicable secretarial standards issued by the Institute of Companies Secretaries of India (ICSI).

Other Reports Forming Part of Board's Report

The following reports forming part of the Board's Report are enclosed:

- Management Discussion and Analysis (MDA) Report
- Secretarial Audit Report of Akums & its Material Subsidiaries
- Corporate Social Responsibility (CSR) Report
- Corporate Governance Report
- Business Responsibility and Sustainability Report (BRSR)

Acknowledgements

The Directors wish to convey their appreciation to business associates for their support and contribution during the year. The Directors would also like to thank the employees, customers, suppliers, alliance partners, bankers and all other stakeholders for the continued support given by them to the Company and for the confidence they have reposed in the management.

For and on behalf of the Board of Directors
Akums Drugs and Pharmaceuticals Limited

SD/-
Sanjeev Jain
 Managing Director
 DIN: 00323433

SD/-
Sandeep Jain
 Managing Director
 DIN: 00323476

Place: Delhi
 Date: 26.05.2025

Annexure-1

Form No. MR-3 Secretarial Audit Report

For the financial year ended 31.03.2025

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Akums Drugs and Pharmaceuticals Limited
304 Mohan Place LSC,
Saraswati Vihar, Delhi-110034

We have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Akums Drugs and Pharmaceuticals Limited** (CIN: L24239DL2004PLC125888) (hereinafter called the company).

The Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/ statutory compliances and expressing our opinion thereon.

Based on our verification of the books, papers, minute books, forms and returns filed and other records maintained by the company and also the information provided by the company, its officers, agents and authorized representatives during the conduct of secretarial Audit, we hereby report that in our opinion, the company has, during the audit period covering the financial year ended on 31.03.2025 complied with the statutory provisions listed hereunder and also that the company has proper Board processes and Compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31.03.2025 according to the provisions of:

- (i) The Companies Act, 2013 ("the Act") and the rules made there under;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed there under;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made there under to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; **As applicable**
- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act') **as amended from time to time:** -
 - (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
 - (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018;
 - (d) The Securities and Exchange Board of India (Shares Based Employee Benefits and Sweat Equity) Regulations, 2021;
 - (e) The Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021; **(Not applicable on the Company during the Audit period)**
 - (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;
 - (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; **(Not applicable on the Company during the Audit period)**
 - (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018; **(Not applicable on the Company during the Audit period)** and
 - (i) The Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018.
 - (j) The Drugs and Cosmetics Act, 1940

We have also examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards issued by The Institute of Company Secretaries of India related to Board Meetings and General Meetings.
- (ii) The Listing agreement entered into by the Company with BSE Limited and National Stock Exchange of India Limited and Securities and Exchange Board of India (Listing Obligations and Disclosures Requirements) Regulations, 2015.
- (iii) The various policies applicable to the Company, as mandated under the Companies Act, 2013, SEBI (Listing Obligations and Disclosure Requirements) Regulations, and other applicable laws and regulations, which have been duly formulated, adopted, and implemented by the Company.

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above except to the extent as mentioned below:

1. Remuneration approved for Managing Directors in Annual General Meeting held on 30.06.2023 were for a period of 5 (five) years. The period covered under Audit was the 2 (Second) financial year from date when remuneration was approved by shareholders. The Company has sufficient time to revisit the remuneration approved and to take approval of shareholders within 3 financial years from last approval.
2. Some of the employees (designated individuals as per Insider Trading Code of Conduct) sold their shares within 6 months, however, the fact was apprised to the Stock Exchanges.
3. In Annual Filing eForms there were certain clerical errors made while filing.
4. Certain Form MGT-14 for registration of Resolutions have been missed.

We further report that:

1. The Board of Directors of the Company comprises of an optimum combination of Executive Directors, Non-Executive Directors and Independent Directors. There was no change in the composition of the Board of Directors that took place during the period under review. However, consequent to cessation of Mr. Nand Lal Kalra, Independent Director effective from February 5, 2025, the composition of the Board of Directors no longer meet the requirements of the Regulation 17(1)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations. The Company has identified candidates and is in the process of appointment of a suitable person on its Board.

2. Adequate notice is given to all Directors of the scheduled Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance or conducted meetings at shorter notice also after complying with the necessary provisions), and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.
3. The minutes of the Board Meetings and Committee Meetings have not identified any dissent by members of the Board/Committee of the Board, hence we have no reason to believe that the decisions by the Board were not approved by all the directors present. The Minutes of the Board Meetings and Committee Meetings were duly approved by the Chairman of the Meeting.
4. We further report that there are adequate systems and processes in the Company commensurate with its size and operations, to monitor and ensure compliance with applicable laws, rules, regulations and guidelines. As informed, the Company has responded appropriately to communication received from various statutory /regulatory authorities and Auditors including initiating actions for corrective measures, wherever found necessary.

We further report that, the compliance by the Company of applicable financial laws like direct & indirect tax laws and maintenance of financial records and books of accounts has not been reviewed in this Audit since the same have been subject to review by statutory financial auditors and other designated professionals.

We further report that during the audit period the company has come up with its Initial Public Offer (IPO) comprising of fresh issue of 1,00,37,708 equity shares of INR 2/- each aggregating to 6800 million and an offer for sale upto 1,73,30,435 equity shares of INR 2/- each aggregating to 11767.37 million and listed its shares on BSE Limited and National Stock Exchange of India Limited.

FOR **A.K. NANDWANI & ASSOCIATES**
COMPANY SECRETARIES

KAVITA

PARTNER

M. NO. FCS 9115

C. P. NO.: 10641

UDIN: F009115G000351677

PR 1136/2021

DATE: 15.05.2025

PLACE: NEW DELHI

This report is to be read with our letter of even date which is annexed as Annexure A and forms an integral part of this report.

'Annexure A'

To,
The Members,
Akums Drugs and Pharmaceuticals Limited
304 Mohan Place LSC,
Saraswati Vihar, Delhi-110034

Our report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the company.
4. Wherever required, we have obtained the management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor of the efficiency or effectiveness with which management has conducted the affairs of the company.

FOR **A.K. NANDWANI & ASSOCIATES**
COMPANY SECRETARIES

KAVITA
PARTNER
M. NO. FCS 9115
C. P. NO.: 10641
UDIN: F009115G000351677
PR 1136/2021

DATE: 15.05.2025
PLACE: NEW DELHI

Annexure-1A

Form No. MR-3 Secretarial Audit Report

For the financial year ended 31.03.2025

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Pure and Cure Healthcare Private Limited
305, 3rd Floor, Mohan Place, L.S.C, Block-C,
Saraswati Vihar, Delhi-110034

I have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Pure & Cure Healthcare Private Limited** (hereinafter called the "**Company**"). The Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period ended on **31.03.2025**, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books and forms filed and other records maintained by the Company for the financial year ended on **31.03.2025** according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 and the rules made thereunder; *(Not applicable during the audit period)*
- (iii) The Depositories Act, 1996 and the regulations and by-laws framed thereunder; apart from issuance of preference shares in physical mode instead of demat.
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; *(Not applicable during the audit period)*.

- (v) The provisions of Securities and Exchange Board of India Act, 1992 ('SEBI Act') and the Rules, Regulations and Guidelines framed thereunder; *(Not applicable during the audit period)*

I have also examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards issued by The Institute of Company Secretaries of India.
- (ii) The Listing Agreement entered into by the Company with the Stock Exchange; *(Not applicable during the audit period)*

During the period under review the Company has complied with the provisions of the Act, Rules, Guidelines, Standards, etc. mentioned above except to the extent as mentioned below:

- 1. The Company has issued 2,78,740 (Two Lakh Seventy-Eight Thousand Seven Hundred Forty) 0.01% Optionally Convertible Redeemable Preference Shares (OCRPS) in physical form whereas, in accordance with the Rule 9A & 9B of the Companies (Prospectus and Allotment of Securities) Rules, 2014 the OCRPS shall be issued in dematerialized form.

I further report that:

- 1. As explained and undertaken by the management, the Board of Directors of the Company comprises of an optimum combination of Executive Directors, Non-executive Directors and Independent Director.
- 2. Adequate notice was given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

3. Forms, returns, documents, resolutions and intimations required to be filed with the Registrar of Companies, Regional Director and the Central Government have been filed on time.
4. All the decisions of the Board and committees thereof were carried out with requisite majority.
5. As explained and undertaken by the management, the Company has complied with the provisions of all the other applicable laws.

I further report that, there are adequate systems and processes in the Company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I further report that, the Compliance by the Company of applicable financial laws like direct & indirect tax laws and maintenance of financial records and books of accounts has not been reviewed in this Audit since the same have been subject to review by statutory financial audit and other designated professionals.

I further report that, during the audit period the following events has been occurred:

1. Re-Classification of the authorised share capital from INR 15,24,50,00,000 (Rupees Fifteen Hundred Twenty-Four Crore and Fifty Lakhs Only) divided into 1,52,45,00,000 (One Hundred Fifty-Two Crore and Forty-Five Lakhs) equity shares of INR 10/- each to INR 15,24,20,00,000 (Rupees Fifteen Hundred Twenty-Four Crore and Twenty Lakhs Only) divided into 1,52,42,00,000 (One Hundred Fifty-Two Crore and Forty-Two Lakhs) equity shares of INR 10/- each and INR 30,00,000 (Rupees Thirty Lakhs Only) divided into 3,00,000 (Three Lakhs) preference shares of INR 10/- each and consequent alteration of capital clause of Memorandum of Association.
2. Offer & Issue of 2,78,740 (Two Lakh Seventy-Eight Thousand Seven Hundred Forty) 0.01% Optionally Convertible Redeemable Preference Shares (OCRPS) of INR 10/- (Rupees Ten Only) each at a premium of INR 7,240.11/- (Rupees Seven Thousand Two Hundred Forty and Paisa Eleven

Only) per share, total amounting to INR 202,08,95,661/- (Indian Rupees Two Hundred and Two Crores Eight Lakhs Ninety-Five Thousand Six Hundred and Sixty-One Only) on preferential basis and the issued preference shares shall rank pari-passu with the securities of this class in all respects, on preferential basis.

3. During the financial year, the Company has adopted new set of Memorandum of Association as per the provisions of Companies Act, 2013 and complied with all mandatory requirements of the Companies Act, 2013 regarding said adoption.
4. Further, during the financial year, the Company has altered the Article of Association by removing Part-B from the Articles and complied with all mandatory requirements of the Companies Act, 2013 regarding said alteration.
5. During the financial year, the promoters of the Company has been reconstituted and now Akums Drugs and Pharmaceuticals Ltd. is the only promoter of the Company. The Company has complied with all mandatory requirements of the Companies Act, 2013 regarding said reconstitution.

Apart from this, there was no specific events / actions having a major bearing on the company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. referred to above.

For **Sangeeta Choudhary & Co.**
(Practicing Company Secretaries)

Sangeeta Choudhary

(Proprietor)

ACS 34310

C P No.: 12774

UDIN: A034310G000299454

Place: New Delhi

Date: 08.05.2025

This report is to be read with our letter of even date which is annexed as **Annexure 1** and forms an integral part of this report.

Annexure 1

To,
The Members,
Pure and Cure Healthcare Private Limited
305, 03rd Floor, Mohan Place, L.S.C, Block-C,
Saraswati Vihar, Delhi-110034

Based on audit, our responsibility is to express an opinion on the compliance with the applicable laws and maintenance of records by the Company. We conducted our audit in accordance with the auditing standards CSAS-1 to CSAS-4 ("CSAS") prescribed by the ICSI. These standards require that the auditor complies with statutory and regulatory requirements and plans and performs the audit to obtain reasonable assurance about compliance with applicable laws and maintenance of records.

Our report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices, I followed provide a reasonable basis for our opinion.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the company.
4. Where ever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

For **Sangeeta Choudhary & Co.**
(Practicing Company Secretaries)

Sangeeta Choudhary
(Proprietor)
ACS 34310
C P No.: 12774
UDIN: A034310G000299454

Place: New Delhi
Date: 08.05.2025

Annexure-1B

Form No. MR-3 Secretarial Audit Report

For the financial year ended 31st March, 2025

[Pursuant to section 204(1) of the Companies Act, 2013 and Rule No.9 of the Companies (Appointment and Remuneration Personnel) Rules, 2014]

To,
The Members,
MALIK LIFESCIENCES PRIVATE LIMITED
CIN: U63021DL2004PTC299408
301, 03rd Floor, Laxmi Tower, LSC, C-Block,
Saraswati Vihar, Delhi-110034

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **MALIK LIFESCIENCES PRIVATE LIMITED** (hereinafter called the company). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the **MALIK LIFESCIENCES PRIVATE LIMITED** books, papers, minute books, forms and returns filed and other records maintained by the company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in our opinion, the company has, during the audit period covering the financial year ended on 31st March, 2025 complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter.

I have examined the books, papers, minute books, forms and returns filed and other records maintained by **MALIK LIFESCIENCES PRIVATE LIMITED** ("the Company") for the financial year ended on **31st March, 2025** according to the provisions of:

- i. The Companies Act, 2013 (the Act) and the rules made thereunder;
- ii. The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- iii. The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- iv. Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign

Direct Investment, Overseas Direct Investment and External Commercial Borrowings; **(Not applicable during the audit period)**

- v. The provisions of Securities and Exchange Board of India Act, 1992 ('SEBI Act') and the Rules, Regulations and Guidelines framed thereunder; **(Not applicable during the audit period)**

I have also examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards issued by The Institute of Company Secretaries of India.
- (ii) The Listing Agreement entered into by the Company with the Stock Exchange; **(Not applicable during the audit period)**

During the period under review and as per the explanations, clarifications, representations made by the management to us, we report that, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. that are applicable to the Company.

I further report that:

1. As explained and undertaken by the management, the Board of Directors of the Company comprises of an optimum combination of Executive Directors, Non-executive Directors, and Independent Directors. The Change in the composition of the Board of Directors that took place during the period under review was carried out in compliance with the provisions of the Act, if any.
2. Adequate notice was given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for

seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

3. Forms, returns, documents, resolutions and intimations required to be filed with the Registrar of Companies, Regional Director and the Central Government have been filed on time.
4. All the decisions of the Board and committees thereof were carried out with requisite majority.
5. As explained and undertaken by the management, the Company has complied with the provisions of all the other applicable laws.

I further report that there are adequate systems and processes in the Company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

Further, the Compliance by the Company of applicable financial laws like direct & indirect tax laws and maintenance of financial records and books of accounts has not been reviewed in this Audit since the same have been subject to review by statutory financial audit and other designated professionals.

I further report that during the audit period there were no specific events / actions except those stated below having a major bearing on the company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. referred to above.

1. The Company has adopted new set of Memorandum of Association as per the provisions of Companies Act, 2013 and complied with all mandatory requirements of the Companies Act, 2013 regarding said adoption.
2. The Company has altered the Article of Association by removing Part-B from the Articles and complied with all mandatory requirements of the Companies Act, 2013 regarding said alteration.
3. The promoters of the Company have been reconstituted and "Akums Drugs and Pharmaceuticals Ltd" is the only promoter of the Company for all purposes, regulatory, statutory or otherwise. The Company has complied with all mandatory requirements of the Companies Act, 2013 regarding said reconstitution.

For **Sangeeta Choudhary & Co.**
Company Secretaries

Sangeeta Choudhary

M. No. 34310
CP No. 12774
UDIN: A034310G000351484

Date: 15.05.2025
Place: Delhi

This report is to be read with our letter of even date which is annexed as **Annexure 1** and forms an integral part of this report.

Annexure 1

To,
The Members
MALIK LIFESCIENCES PRIVATE LIMITED
CIN: U63021DL2004PTC299408
301, 03rd Floor, Laxmi Tower, LSC, C-Block,
Saraswati Vihar, Delhi-110034

Based on audit, our responsibility is to express an opinion on the compliance with the applicable laws and maintenance of records by the Company. We conducted our audit in accordance with the auditing standards CSAS-1 to CSAS-4 ("CSAS") prescribed by the ICSI. These standards require that the auditor complies with statutory and regulatory requirements and plans and performs the audit to obtain reasonable assurance about compliance with applicable laws and maintenance of records.

Our report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices, I followed provide a reasonable basis for our opinion.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the company.
4. Where ever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

For **Sangeeta Choudhary & Co.**
Company Secretaries

Sangeeta Choudhary
M. No. 34310
CP No. 12774
UDIN: A034310G000351484

Date: 15.05.2025
Place: Delhi

Annexure-1C

Form No. MR-3 Secretarial Audit Report

For the financial year ended 31.03.2025

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Akumentis Healthcare Limited
CIN: U72900DL2010PLC206414
209, 02nd Floor, Mohan Place, L.S.C, Block-C,
Saraswati Vihar, Delhi-110034

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Akumentis Healthcare Limited** (the "Company"). Secretarial Audit was conducted in a manner that provided me, a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the Company books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on **31.03.2025**, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books and forms filed and other records maintained by the Company for the financial year ended on 31.03.2025 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 (SCRA) and the rules made thereunder; **(Not applicable during the audit period)**
- (iii) The Depositories Act, 1996 and the regulations and by-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of foreign Direct Investment; **(Not applicable during the audit period)**

- (v) The provisions of Securities and Exchange Board of India Act, 1992 ('SEBI Act') and the Rules, Regulations and Guidelines framed thereunder; **(Not applicable during the audit period)**

I have also examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards issued by The Institute of Company Secretaries of India.
- (ii) The Listing Agreement entered into by the Company with the Stock Exchange; **(Not applicable during the audit period)**

During the period under review and as per the explanations, clarifications, representations made by the management to us, we report that, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. that are applicable to the Company.

I further report that:

1. As explained and undertaken by the management, the Board of Directors of the Company comprises of an optimum combination of Executive Directors, Non-executive Directors, and Independent Directors. The Change in the composition of the Board of Directors that took place during the period under review was carried out in compliance with the provisions of the Act.
 - *Resignation of Mr. Arvind Kumar (DIN: 07183322) from directorship of the Company as an Independent Director w.e.f 25.04.2024.*
 - *Appointment of Mr. Shahbaz Alam (DIN: 06824697) as an Additional Director under Independent category w.e.f 29.05.2024.*

- Appointment of Mr. Nand Lal Kalra (DIN: 05268554) as an Additional Director under Independent category w.e.f 20.08.2024.
 - Appointment of Mr. Ajay Kumar Dhiman (PAN: ACJPD6118P) as CEO of the Company w.e.f 20.08.2024
 - Change in designation of Mr. Shahbaz Alam as an Independent Director
 - Mr. Nand Lal Kalra resigned from the position of Independent Director of the Company w.e.f 05.02.2025.
 - Mr. Sanjay Chandrakant Chalke (DIN: 07679410) resigned from the position of Whole Time Director of the Company w.e.f 18.03.2025.
2. Adequate notice was given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.
 3. Forms, returns, documents, resolutions and intimations required to be filed with the Registrar of Companies, Regional Director and the Central Government have been filed on time.
 4. All the decisions of the Board and committees thereof were carried out with requisite majority.
 5. As explained and undertaken by the management, the Company has complied with the provisions of all the other applicable laws.
 6. There were following instances occurred during the audit period :-
 - The Equity Authorised Share Capital of the Company has been increased to INR 15,08,200/- from 7,00,000/- and no change in preference authorised share capital.
 - The Company has adopted new set of Memorandum of Association as per the provisions of Companies Act, 2013 and complied with all mandatory requirements of the Companies Act, 2013 regarding said adoption.
 - The Company has altered the Article of Association by removing Part-B from the Articles and complied with all mandatory requirements of the Companies Act, 2013 regarding said alteration.
 - The promoters of the Company have been reconstituted and "Akums Drugs and Pharmaceuticals Ltd" is the only promoter of the Company for all purposes, regulatory, statutory or otherwise. The Company has complied with all mandatory requirements of the Companies Act, 2013 regarding said reconstitution.
 - During the period under review, the Company has converted CCCPS into equity shares and reverse the conversion thereafter.
- I further report** that there are adequate systems and processes in the Company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.
- Further,** the Compliance by the Company of applicable financial laws like direct & indirect tax laws and maintenance of financial records and books of accounts has not been reviewed in this Audit since the same have been subject to review by statutory financial audit and other designated professionals.
- I further report** that during the audit period there were no specific events / actions having a major bearing on the company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. referred to above.
- For **Sangeeta Choudhary & Co.**
(Practicing Company Secretaries)
- Sangeeta Choudhary**
(Proprietor)
ACS 34310
CP No.: 12774
UDIN: A034310G000351440
- Place: New Delhi
Date: 15.05.2025
- This report is to read with our letter of even date which is annexed as **Annexure 1** and forms an integral part of this report.*

'Annexure 1'

To,
The Members,
Akumentis Healthcare Limited
CIN: U72900DL2010PLC206414
209, 02nd Floor, Mohan Place, L.S.C, Block-C,
Saraswati Vihar, Delhi-110034

Based on audit, our responsibility is to express an opinion on the compliance with the applicable laws and maintenance of records by the Company. We conducted our audit in accordance with the auditing standards CSAS-1 to CSAS-4 ("CSAS") prescribed by the ICSI. These standards require that the auditor complies with statutory and regulatory requirements and plans and performs the audit to obtain reasonable assurance about compliance with applicable laws and maintenance of records.

Our report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the company. Our responsibility is to express an opinion on these records based on our audit.
2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices, we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Where ever required, we have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor to the efficacy or effectiveness with which the management has conducted the affairs of the company.

For **Sangeeta Choudhary & Co.**
(Practicing Company Secretaries)

Sangeeta Choudhary
(Proprietor)
ACS 34310
CP No.: 12774
UDIN: A034310G000351440

Place: New Delhi
Date: 15.05.2025

Annexure-1D

Form No. MR-3 Secretarial Audit Report

For the financial year ended 31.03.2025

[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of the Companies (Appointment and Remuneration Personnel) Rules, 2014]

To,
The Members,
Maxcure Nutravedics Limited
Unit 101, Plot No.4, 1st Floor, Mohan Place LSC,
Block-C, Saraswati Vihar Delhi 110034

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **MAXCURE NUTRAVEDICS LIMITED** (hereinafter called the company) (CIN:U74899DL1994PLC057323). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on our verification of the books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, We hereby report that in our opinion, the company has, during the audit period covering the financial year ended on **31st March, 2025** complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter.

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on **31st March, 2025** according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder; **Not Applicable during the audit period**
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;

- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; **Not Applicable during the audit period**

- (v) The provisions of Securities and Exchange Board of India Act, 1992 ('SEBI Act') and the Rules, Regulations and Guidelines framed thereunder; Not Applicable during the audit period

We have also examined compliance with the applicable clauses of the following:

- I. The Secretarial Standards (SS-1 and SS-2) issued by The Institute of Company Secretaries of India as amended from time to time.
- II. The Listing Agreements entered into by the Company with Stock Exchange(s) - **Not Applicable during the audit period**

During the period under review and as per the explanations, clarifications, representations made by the management to us, We report that, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. that are applicable to the Company.

We further report that:

- 1) As explained and undertaken by the management, the Board of Directors of the Company comprises of an optimum combination of Executive Directors, Non-executive Directors, and Independent Directors. The Change in the composition of the Board of Directors that took place during the period under review was carried out in compliance with the provisions of the Act.

- **During the year under review, Mr. Rohitaswa (DIN:06724730) has resigned from the position of Whole Time Director of the Company w.e.f. 29th November, 2024.**

- 2) Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.
- 3) There were adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.
- 4) Forms, returns, documents, resolutions and intimations required to be filed with the Registrar of Companies, Regional Director and the Central Government have been filed on time.
- 5) All the decisions of the Board and committees thereof were carried out with requisite majority.
- 6) There were following instances occurred during the audit period:

- **Re-classification of Authorized Share Capital & Consequent Alteration of Memorandum of Association:**

The authorized capital has been reclassified from INR 25,00,000 (Rupees Twenty-Five Lakhs Only) divided into 2,50,000 (Two Lakh Fifty Thousand) equity shares of INR 10/- (Rupees 10 only) to INR 25,00,000 (Rupees Twenty-Five Lakhs Only) divided into 2,45,000 (Two Lakh Forty-Five Thousand) equity shares of INR 10/- each and 5,000 (Five Thousand) preference shares of INR 10/- each.

- **Offer & Issue of Preference shares (OCRPS):**

Company had issued 4,919 (Four Thousand Nine Hundred Nineteen) OCRPS of INR 10/- (Rupees Ten Only) each having coupon rate of 0.01% at a premium of INR 50,813/- (Rupees Fifty Thousand Eight Hundred and Thirteen only) per share, total amounting to INR 24,99,98,337 (Rupees Twenty-four crore ninety-

nine lakh ninety-eight thousand three hundred and thirty-seven) on preferential basis to Akums Drugs and Pharmaceuticals Limited.

- **Alteration of Articles of Association:**

Company has altered its articles of association by removing "Part-B".

- **Re-constitution of promoters:**

Company has identified "Akums Drugs and Pharmaceuticals Limited" as 'promoters' of the Company for all purposes, regulatory, statutory or otherwise."

- 7) As explained and undertaken by the management, the Company has complied with the provisions of all the other applicable laws.

We further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

Further, the Compliance by the Company of applicable financial laws like direct & indirect tax laws and maintenance of financial records and books of accounts has not been reviewed in this Audit since the same have been subject to review by statutory financial audit and other designated professionals.

We further report that during the audit period, there were no specific events/ actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. as referred above.

For **Sangeeta Choudhary & Co.**
Company Secretaries

Sangeeta Choudhary

M. No. 34310
CP No. 12774
UDIN: A034310G000351495

Date: 15.05.2025
Place: Delhi

This report is to be read with our letter of even date which is annexed as **Annexure 1** and forms an integral part of this report.

Annexure 1

To,
The Members,
Maxcure Nutravedics Limited
Unit 101, Plot No.4, 1st Floor, Mohan Place LSC,
Block-C, Saraswati Vihar, Delhi 110034

Based on audit, our responsibility is to express an opinion on the compliance with the applicable laws and maintenance of records by the Company. We conducted our audit in accordance with the auditing standards CSAS-1 to CSAS-4 ("CSAS") prescribed by the ICSI. These standards require that the auditor complies with statutory and regulatory requirements and plans and performs the audit to obtain reasonable assurance about compliance with applicable laws and maintenance of records.

Our report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices, I followed provide a reasonable basis for our opinion.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the company.
4. Where ever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

For **Sangeeta Choudhary & Co.**
Company Secretaries

Sangeeta Choudhary

M. No. 34310

CP No. 12774

UDIN: A034310G000351495

Date: 15.05.2025

Place: Delhi

Form AOC-1

Statement containing salient features of financial statement of subsidiaries/associate companies/joint ventures
Pursuant to first proviso to sub-section (3) of Section 129 read with rule 5 of Companies (Accounts) Rules, 2014

Part "A": Subsidiaries

Company Name	Akums Healthcare Ltd.	Upadhrish Research LLP	Mailk Lifesciences (P) Ltd	Maxcure Nutraceuticals Limited	Pure & Cure Healthcare (P) Ltd	Unosource Pharma Ltd	Medibox Pharma (P) Ltd	Akumtis Healthcare Limited	Plenteous Pharmaceuticals Ltd	Nicholas Healthcare Ltd	Sarvagunaushahi (P) Ltd	Qualymed Pharma (P) Ltd
Relationship	Subsidiary	Subsidiary	Subsidiary	Subsidiary	Subsidiary	Subsidiary	Subsidiary	Subsidiary	Subsidiary	Subsidiary	Subsidiary	Subsidiary
Reporting Period for the subsidiary concerned, if different from the holding company's reporting period	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Reporting currency and Exchange rate as on the last date of the relevant Financial year in the case of foreign subsidiaries.	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Share Capital and Instrument entirely in nature of equity	72,25,680	15,01,000	32,45,12,332	5,49,190	2,97,87,400	18,02,00,000	38,53,030	11,54,220	5,00,000	10,83,370	1,89,560	1,00,000
Reserves and Surplus	-3,13,67,805	12,32,57,835	32,45,12,332	1,54,00,10,921	8,80,64,38,171	-22,78,66,821	-16,67,98,395	1,94,90,55,670	-27,96,91,657	31,93,27,770	43,34,11,746	-525,74,416
Total assets	2,82,69,45,440	33,76,45,748	3,31,06,68,065	2,67,67,61,515	18,50,45,04,126	91,73,77,143	17,89,73,143	3,05,10,41,130	32,64,48,343	52,13,36,487	53,44,08,180	50,45,77,944
Total liabilities	2,82,69,45,440	33,76,45,748	3,31,06,68,065	2,67,67,61,515	18,50,45,04,126	91,73,77,143	17,89,73,143	3,05,10,41,130	32,64,48,343	52,13,36,487	53,44,08,180	50,45,77,944
Investment	-	-	-	-	1,70,14,23,500	-	-	-	-	-	-	-
Turnover	53,27,13,329	38,04,94,699	5,94,10,49,354	5,97,00,31,225	16,42,95,00,324	1,44,48,98,978	22,11,71,330	4,33,58,84,988	50,12,96,438	45,63,52,456	-	3,12,90,274
Profit before taxation	-37,91,17,841	13,31,57,422	8,74,79,042	19,83,19,801	56,46,08,827	21,29,45,629	-7,20,32,857	87,48,30,533	-10,72,06,540	-19,35,64,531	-81,29,511	-41,39,969
Provision for taxation	-	4,72,09,966	4,30,67,604	5,37,78,797	-91,90,52,699	5,41,04,910	-	21,66,34,025	-	-	-	2,84,496
Profit after taxation (incl. OCI)	-38,19,64,464	8,59,47,457	4,37,10,002	14,38,75,837	1,47,66,30,780	15,98,35,021	-7,20,82,112	65,90,88,071	-10,75,59,167	-19,36,28,161	-81,29,511	-420,89,435
Proposed dividend	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
% of Shareholding	100%	99.93%	100%	100%	100%	100%	100%	91.49%	100%	100%	100%	100%

Names of subsidiaries which are yet to commence operations

NA

Names of subsidiaries which have been liquidated or sold during the year

Entity sold during the year:

1. Anazing Research & Laboratories Ltd.
2. May & Baker Pharmaceuticals Ltd.
3. Hygosap Pharma Private Limited (erstwhile Burroughs Welcome Pharmacia Pvt. Ltd.)

For and on behalf of the Board of Directors

Akums Drugs and Pharmaceuticals Limited

Sd/-
Sanjeev Jain
Managing Director
DIN: 00323433

Sd/-
Sandeep Jain
Managing Director
DIN: 00323476

Place: Delhi
Date: 26.05.2025

Part 'B': Associates and Joint Ventures

Statement pursuant to Section 129(3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures -

There are no Associates and Joint Ventures of the Company in the current year

Name of Associates/Joint Ventures	Name 1	Name 2	Name 3
1. Latest audited Balance Sheet Date	NA	NA	NA
2. Shares of Associate/Joint Ventures held by the company on the year end	NA	NA	NA
No.			
Amount of Investment in Associates/Joint Venture			
Extent of Holding %			
3. Description of how there is significant influence	NA	NA	NA
4. Reason why the associate/joint venture is not consolidated	NA	NA	NA
5. Networth attributable to Shareholding as per latest audited Balance Sheet	NA	NA	NA
6. Profit/Loss for the Year	NA	NA	NA
Considered in Consolidation			
Not Considered in Consolidation			

Names of associates or joint ventures which are yet to commence operations.

NA

Names of associates or joint ventures which have been liquidated or sold during the year.

NA

For and on behalf of the Board of Directors

Akums Drugs and Pharmaceuticals Limited

Sd/-

Sanjeev Jain

Managing Director

DIN: 00323433

Sd/-

Sandeep Jain

Managing Director

DIN: 00323476

Place: Delhi

Date: 26.05.2025

Annexure-3

Akums Details as on 31.03.2025

(Amt. in INR Million)

Particulars	Standalone		Guarantee Outstanding Bank Loan
	Investments	Loans	
Pure and Cure ¹	2,499.97	5,315.80	-
Malik Lifesciences	34.85	1,727.70	-
Akums Healthcare	1.00	2,651.30	-
Unosource	196.20	-	-
Maxcure ¹	330.42	-	-
Plenteous	0.50	-	-
Medibox ³	-	-	-
Upadhrish	1.50	138.90	-
Nicholas	0.50	-	-
Sarvagunaushdhi	0.10	-	-
Qualymed	0.10	544.51	-
Akumentis Healthcare	595.00	-	-
Total	3,660.13	10,378.21	-

***Note:**

- During the year, the Company had invested in 0.01% Optionally Convertible Redeemable Preference Shares (OCRPS) of its wholly owned subsidiaries Pure and Cure Healthcare Private Limited (INR 2,020.90 million) and Maxcure Nutravedics Limited (INR 250 million).
- During the year, the Company has disposed off its investments in below mentioned entities:
 - Amazing
 - May & Baker
 - Hygosap
- Investment of INR 30.64 million in Medibox has been written off during FY 23-24.
- The details furnished for Akums Drugs and Pharmaceuticals Ltd. have been prepared after including Akums Employee Benefits Trust ('ESOP Trust') as an integral part of the Company, hence loans given to ESOP Trust amounting to INR 3,004.35 million have not been disclosed above.
- The above figures exclude interest receivable from subsidiaries, totaling INR 65.18 million.

Annexure- 4

Form - AOC-2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto

1. Details of contracts or arrangements or transactions not at arm's length basis

During the financial year under review there was no such related party transaction, which was not at arm's length basis.

2. Details of material contracts or arrangement or transactions at arm's length basis

(a) Name(s) of the related party and nature of relationship

During the F.Y. 2024-25 the company had entered into transaction with the following related parties (Standalone): -

In INR

Type of related party transaction	Value of transactions	In case monies are due to either party as a result of the transaction		Details of the loans, inter-corporate deposits (ICD), advances made or given or investments made				
		Opening balance	Closing balance	Nature of loan etc.	Interest Rate (%)	Tenure	Secured/ unsecured	end-use of funds
Akums Healthcare Ltd. (Wholly owned subsidiary)								
Loan given	1,23,58,00,000	2,36,20,00,000	2,65,13,00,000	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Loan repaid	5,20,00,000	-	-	-	-	-	-	-
Interest income	16,66,83,751	1,45,26,351	1,62,72,813	-	-	-	-	-
Expense incurred on behalf of Company	10,02,864	-	-	-	-	-	-	-
Sale of Goods and others	2,22,61,186	19,66,968	14,61,985	-	-	-	-	-
Sale of Property, Plant and Equipment	9,83,718	-	-	-	-	-	-	-
Purchase of Goods and Others	1,79,70,165	33,04,758	1,39,10,500	-	-	-	-	-
Expenses paid by other Group Company	40,000	-	-	-	-	-	-	-
Purchase of Property, Plant and Equipment	50,13,188	-	-	-	-	-	-	-
Corporate Guarantee Charges	16,20,500	-	-	-	-	-	-	-
Corporate guarantee withdrawn	8,45,00,000	7,99,87,543	-	-	-	-	-	-
Amazing Research Laboratories Ltd (Entity in which KMP are interested)								
Security deposit received	-	17,40,000	-	-	-	-	-	-
Malik Lifesciences Pvt. Ltd. (Wholly owned subsidiary)								
Loan given	4,91,74,00,000	1,81,85,99,900	1,72,76,99,900	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Loan repaid	5,07,87,00,100	-	-	-	-	-	-	-
Interest income	13,22,54,476	1,10,72,119	99,30,459	-	-	-	-	-

Type of related party transaction	Value of transactions	In case monies are due to either party as a result of the transaction		Details of the loans, inter-corporate deposits (ICD), advances made or given or investments made				
		Opening balance	Closing balance	Nature of loan etc.	Interest Rate (%)	Tenure	Secured/ unsecured	end-use of funds
Expense incurred on behalf of Company	66,32,506	-	-	-	-	-	-	-
Rent Received	1,82,67,120	-	-	-	-	-	-	-
Sale of Goods and others	11,67,98,232	95,08,353	2,99,07,332	-	-	-	-	-
Expenses incurred	79	-	-	-	-	-	-	-
Job Work Charges	8,21,45,024	-	-	-	-	-	-	-
Sales of RODTEP scrips	11,58,353	-	-	-	-	-	-	-
Purchase of Goods and Others	26,31,35,742	4,36,62,565	4,34,61,447	-	-	-	-	-
Purchase of Property, Plant and Equipment	6,82,488	-	-	-	-	-	-	-
Sale of Property, Plant and Equipment	3,17,968	-	-	-	-	-	-	-
Expenses paid by other Group Company	1,10,077	-	-	-	-	-	-	-
Maxcure Nutravedics Ltd. (Wholly owned subsidiary)								
Loan given	2,47,64,00,000	-	-	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Loan repaid	2,51,64,00,000	-	-	-	-	-	-	-
Interest income	1,20,23,660	81,370	4,65,171	-	-	-	-	-
Expense incurred on behalf of Company	36,82,215	-	-	-	-	-	-	-
Rent Received	53,07,120	-	-	-	-	-	-	-
Expenses incurred	58,603	-	-	-	-	-	-	-
Consumption of stores and spare parts	28,57,192	-	-	-	-	-	-	-
Sale of Goods and others	1,20,61,825	31,82,156	20,43,387	-	-	-	-	-
Expenses paid by other Group Company	73,885	-	-	-	-	-	-	-
Purchase of Goods and Others	1,03,75,62,278	22,64,06,520	19,43,26,897	-	-	-	-	-
Purchase of Property, Plant and Equipment	3,33,040	-	-	-	-	-	-	-
Sale of Property, Plant and Equipment	11,33,308	-	-	-	-	-	-	-
Investment through acquisition of shares	24,99,98,337	-	-	-	-	-	-	-
Nicholas Healthcare Ltd. (Wholly owned subsidiary)								
Loan given	2,50,000	-	-	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Loan repaid	7,55,50,000	-	-	-	-	-	-	-
Interest income	38,15,245	19,529	-	-	-	-	-	-
Expense incurred on behalf of Company	11,83,130	-	-	-	-	-	-	-
Sale of Goods and others	1,92,55,027	1,45,01,532	1,32,07,431	-	-	-	-	-
Service Income	40,000	-	-	-	-	-	-	-

In INR

Type of related party transaction	Value of transactions	In case monies are due to either party as a result of the transaction		Details of the loans, inter-corporate deposits (ICD), advances made or given or investments made				
		Opening balance	Closing balance	Nature of loan etc.	Interest Rate (%)	Tenure	Secured/unsecured	end-use of funds
Purchase of Goods and Others	-	17,920	-	-	-	-	-	-
Corporate Guarantee Charges	27,01,400	-	-	-	-	-	-	-
Corporate guarantee withdrawn	2,99,49,283	-	-	-	-	-	-	-
Rent Received	13,27,509	-	-	-	-	-	-	-
Expenses incurred	1,10,500	-	-	-	-	-	-	-
Purchase of Property, Plant and Equipment	16,000	-	-	-	-	-	-	-
Plenteous Pharmaceuticals Ltd. (Wholly owned subsidiary)								
Loan given	17,02,50,000	-	-	-	-	-	-	-
Loan repaid	54,32,50,000	-	-	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Interest income	2,03,91,232	-	-	-	-	-	-	-
Corporate Guarantee Charges	45,01,000	-	-	-	-	-	-	-
Expense incurred on behalf of Company	6,40,201	-	-	-	-	-	-	-
Rent Received	17,24,338	-	-	-	-	-	-	-
Sale of Goods and others	5,56,89,123	3,35,95,603	2,21,72,294	-	-	-	-	-
Service Income	2,63,579	-	-	-	-	-	-	-
Corporate guarantee withdrawn	3,50,89,836	3,42,37,019	-	-	-	-	-	-
Purchase of Goods and Others	70,400	-	-	-	-	-	-	-
Security deposit received	-	7,80,000	7,80,000	-	-	-	-	-
Pure & Cure Healthcare Pvt. Ltd. (Wholly owned subsidiary)								
Loan given	7,06,75,00,000	6,03,77,00,000	5,31,58,00,000	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Loan repaid	7,45,92,00,000	-	-	-	-	-	-	-
Interest income	43,18,65,512	3,79,51,046	3,33,91,324	-	-	-	-	-
Expense incurred on behalf of Company	1,73,49,842	-	-	-	-	-	-	-
Rent Received	1,63,60,680	-	-	-	-	-	-	-
Sale of Goods and others	36,14,33,032	5,30,15,146	5,30,24,463	-	-	-	-	-
Sale of Property, Plant and Equipment	1,50,10,832	-	-	-	-	-	-	-
Expenses paid by other Group Company	34,62,298	-	-	-	-	-	-	-
Job Work Charges	25,04,74,707	-	-	-	-	-	-	-
Purchase of Goods and Others	61,82,83,706	11,25,29,185	1,91,40,620	-	-	-	-	-
Consumption of stores and spare parts	32,06,317	-	-	-	-	-	-	-
Purchase of Property, Plant and Equipment	1,14,83,546	-	-	-	-	-	-	-
Job Work Income	1,60,88,511	-	-	-	-	-	-	-
Corporate guarantee withdrawn	81,25,00,000	-	-	-	-	-	-	-
Investment through acquisition of shares	2,02,08,95,661	-	-	-	-	-	-	-

Type of related party transaction	Value of transactions	In case monies are due to either party as a result of the transaction		Details of the loans, inter-corporate deposits (ICD), advances made or given or investments made				
		Opening balance	Closing balance	Nature of loan etc.	Interest Rate (%)	Tenure	Secured/ unsecured	end-use of funds
Sarvagunaushdhi Pvt. Ltd. (Wholly owned subsidiary)								
Expenses Incurred	33,000	-	-	-	-	-	-	-
Unosource Pharma Ltd. (Wholly owned subsidiary)								
Loan given	15,00,00,000	-	-	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Loan repaid	76,00,00,000	-	-	-	-	-	-	-
Interest income	2,86,12,465	60,68,589	-	-	-	-	-	-
Expense incurred on behalf of Company	8,60,584	-	-	-	-	-	-	-
Expenses paid by other Group Company	75,280	-	-	-	-	-	-	-
Job Work Income	7,035	-	-	-	-	-	-	-
Sale of Goods and others	79,46,38,827	28,81,79,521	30,48,74,118	-	-	-	-	-
Service Income	92,39,382	-	-	-	-	-	-	-
Corporate Guarantee Charges	50,01,500	-	-	-	-	-	-	-
Upadhrish Reserchem LLP (Wholly owned subsidiary)								
Loan given	-	14,49,00,000	13,89,00,000	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Loan repaid	60,00,000	-	-	-	-	-	-	-
Interest income	1,16,67,333	17,71,253	16,98,819	-	-	-	-	-
Expense incurred on behalf of Company	5,45,790	-	-	-	-	-	-	-
Sale of Goods and others	25,91,596	1,85,459	19,90,014	-	-	-	-	-
Sale of Property, Plant and Equipment	83,334	-	-	-	-	-	-	-
Consumption of stores and spare parts	8,76,56,653	-	-	-	-	-	-	-
Purchase of Goods and Others	4,29,87,602	98,31,972	82,72,080	-	-	-	-	-
Purchase of Property, Plant and Equipment	3,68,757	-	-	-	-	-	-	-
Repairs and maintenance- Plant and machinery	1,14,83,487	-	-	-	-	-	-	-
Service Income	4,000	-	-	-	-	-	-	-
Job Work Charges	23,07,705	-	-	-	-	-	-	-
Share of profit from Partnership firm/ LLP	8,66,47,912	11,47,92,042	12,38,62,813	-	-	-	-	-
May and Baker Pharmaceuticals Ltd. (Entity in which KMP are interested)								
Sale of Goods and others	2,56,53,294	14,58,150	2,62,080	-	-	-	-	-
Expenses Incurred	20,339	43,731	-	-	-	-	-	-
Expenses paid by other Group Company	3,47,841	-	1,87,935	-	-	-	-	-
Medibox Pharma Pvt. Ltd. (Wholly owned subsidiary)								
Loan given	8,00,00,000	-	-	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Loan repaid	34,22,00,000	-	-	-	-	-	-	-

In INR

Type of related party transaction	Value of transactions	In case monies are due to either party as a result of the transaction		Details of the loans, inter-corporate deposits (ICD), advances made or given or investments made				
		Opening balance	Closing balance	Nature of loan etc.	Interest Rate (%)	Tenure	Secured/unsecured	end-use of funds
Interest income	1,83,69,564	7,35,156	-	-	-	-	-	-
Sale of Goods and others	67,87,270	17,25,272	36,95,701	-	-	-	-	-
Expense incurred on behalf of Company	8,86,320	-	-	-	-	-	-	-
Service Income	33,600	-	-	-	-	-	-	-
Rent Received	59,55,057	-	-	-	-	-	-	-
Corporate Guarantee Charges	7,00,700	-	-	-	-	-	-	-
Security deposit received	-	-	26,93,760	-	-	-	-	-
Akumentis Healthcare Limited (Subsidiary)								
Expense incurred on behalf of Company	5,11,135	-	-	-	-	-	-	-
Sale of Goods and others	22,08,85,445	6,27,58,995	2,85,42,900	-	-	-	-	-
Service Income	27,66,588	-	-	-	-	-	-	-
Qualymed Pharma Pvt. Ltd. (Wholly owned subsidiary)								
Loan given	45,84,06,000	52,86,06,000	54,45,06,000	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose
Sale of Goods and others	14,907	-	-	-	-	-	-	-
Purchase of Goods and Others	1,05,53,213	13,47,257	13,21,720	-	-	-	-	-
Expense incurred on behalf of Company	64,237	-	-	-	-	-	-	-
Interest income	2,79,11,562	33,17,430	34,20,787	-	-	-	-	-
Rent Paid	24,40,000	-	-	-	-	-	-	-
Expenses paid by other Group Company	29,655	-	-	-	-	-	-	-
Akums Health and Education Society (Entity in which KMP are interested)								
Sale of Goods and others	37,184	14,653	14,585	-	-	-	-	-
Akums Foundation (Entity in which KMP are interested)								
Sale of Goods and others	5,320	-	5,958	-	-	-	-	-
CSR Contribution	41,00,000	-	-	-	-	-	-	-
Akome Lifecare Pvt. Ltd. (Entity in which KMP are interested)								
Rent Paid	2,62,00,530	-	18,36,000	-	-	-	-	-
Expense incurred on behalf of Company	1,76,947	1,26,452	1,76,947	-	-	-	-	-
Purchase of Goods and Others	2,17,58,360	85,80,796	34,52,284	-	-	-	-	-
Expenses paid by other Group Company	49,93,720	-	-	-	-	-	-	-
Dhanwantri Vedaresearch LLP (Entity in which relatives of KMP are interested)								
Sale of investment in subsidiaries	10,28,720	-	-	-	-	-	-	-
AVHA Lifesciences Pvt Ltd (Entity in which KMP are interested)								
Expenses paid by other Group Company	96,100	96,100	-	-	-	-	-	-
Akums Employee Benefits Trust (Entity in which KMP are interested)								
Loan given	3,00,43,51,000	3,00,43,51,000	3,00,43,51,000	Loan	8.25%	Upto Dec-2026	Unsecured	Business purpose

In INR

Name	Remuneration	Director sitting fees	Legal & professional charges	Rent Paid	Expenses Incurred
Mr. Sanjeev Jain*	8,27,78,407	-	-	39,90,000	-
Mr. Sandeep Jain*	8,18,70,541	-	-	49,50,000	-
Mr. Kewal Handa	-	18,00,000	17,00,000	-	-
Mr. Sanjay Sinha	1,31,81,600	-	-	-	-
Mr. Nand Lal Kalra	-	15,00,000	-	-	35,500
Ms. Matangi Gowrishankar	-	19,00,000	12,00,000	-	-
Mr. Satwinder Singh	-	19,00,000	-	-	-
Mr. Sumeet Sood	2,23,63,141	-	-	-	-
Mr. Dharamvir Malik	30,44,085	-	-	-	-
Ms. Arushi Jain	76,28,100	-	-	-	-
Mr. Manan Jain	2,73,950	-	-	-	-
Mr. Umang Jain	24,01,100	-	-	-	-
Ms. Shivangi Jain	21,81,745	-	-	-	-

*remuneration includes variable pay of INR 1,90,00,000 each.

(b) Nature of contracts/arrangements/transactions

Agreements with related parties were entered into on principal to principal basis.

(c) Duration of the contracts / arrangements/transactions

Contracts with related parties would be valid 31st March 2028 or as mutually decided by both the parties.

(d) Salient terms of the contracts or arrangements or transactions including the value, if any:

All related party contracts, arrangements & transactions entered were at market value, arm's length & in ordinary course of business.

Though, as per Ministry of Corporate Affairs (MCA) notification dated 05.06.2015 transactions entered between Holding, Subsidiary, Associate Company and sister concern does not fall under section 188 of Companies Act, 2013 and compliance of section 188 does not required. However, as an abundant cautionary measure the Audit Committee/ Board had approved the transactions.

Values of transactions are given under note no. 42 of notes to the accounts.

(e) Date(s) of approval by the Board, if any:

Omnibus approval of related party transactions for F.Y 2024-25 were approved by the Audit Committee / Board of Directors in their meetings; and all the related party transactions entered into by the Company during F.Y. 2024-25 were approved by the Audit Committee / Board of Directors in their respective quarterly meetings held during the F.Y 2024-25.

(f) Amount paid as advances, if any:

No advance amount was paid in any related party transactions.

For and on behalf of the Board of Directors
Akums Drugs and Pharmaceuticals Limited

Sd/-
Sanjeev Jain
Managing Director
DIN: 00323433

Sd/-
Sandeep Jain
Managing Director
DIN: 00323476

Place: Delhi
Date: 26.05.2025

Annexure- 5

Annual Report on CSR Activities

(for the financial year ended 31.03.2025)

1. Brief outline on CSR Policy of the Company:

Company has adopted the CSR policy in the Board meeting at the recommendation of CSR committee pursuant to Section 135 of the Companies Act, 2013 read with rules made thereunder; the prime focus of the CSR policy is on the activities relating rural development including promotion of education, employments, preventive healthcare, safe drinking water, environment sustainability, enhancing vocational skills and providing on job training, etc.

All the facilities for which the contribution is made falls under Schedule VII of the Companies Act, 2013 as amended till date. Further, the Company had made ensure that the contribution in CSR activity shall be undertaken by the Company itself by making contribution through implementing agencies, including but not limited to, Red Cross society, Akums Health & Education Society and Akums Foundation and same contribution does fall under the Schedule VII. Also, the details of contribution made are being part of this report.

2. Composition of CSR Committee

In pursuant to the Section 135 of the Companies Act, 2013, the composition of CSR Committee is given as under:

Sl. No.	Name of Director	Designation/Nature of Directorship	Number of meetings of CSR Committee held during the year.	Number of meetings of CSR Committee attended during the year.
1.	Mr. Sanjeev Jain	Managing Director	-	-
2.	Mr. Sandeep Jain	Managing Director	-	-
3.	Ms. Matangi Gowrishankar	Independent Director	-	-
4.	Mr. Sunil Kumar Thakur	Non-Executive Director	-	-

- Provide the web link where Composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the Company: <https://www.akums.in/investors/composition-of-directors/>
- Provide the executive summary along with web-link(s) of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014: **Not applicable to the Company.**
- Details of the amount available for set off in pursuance of sub-rule (3) of rule 7 of the Companies (Corporate Social responsibility Policy) Rules, 2014 and amount required for set off for the financial year, if any

Sl. No.	Financial Year	Amount available for set-off from preceding financial years (in Rs)	Amount required to be set- off for the financial year, if any (in Rs)
1	2023-24	0	0
2	2022-23	35,000/-	0
3	2021-22	0	0
TOTAL		35,000/-	0

6. a. Average net profit/(loss) of the Company as per sub-section (5) of section 135: INR (958.64 Millions)
- b. Two percent of average net profit of the Company as per sub-section (5) of section 135: Average net profit was in negative figure, therefore, the Company was not required to spend any amount during the financial year 2024-25.
- c. Surplus arising out of the CSR projects or programmes or activities of the previous financial years: Nil
- d. Amount required to be set off for the financial year, if any: Nil
- e. Total CSR obligation for the financial year (5b + 5c - 5d): Nil

7. (a) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year.	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per section 135(6).		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5).		
	Amount.	Date of transfer.	Name of the Fund	Amount.	Date of transfer.
INR 41,00,000/-	Not Applicable, since there is no unspent amount				

- (b) Amount spent on CSR Projects (both Ongoing Project and **other than ongoing projects**): **Ongoing Project = Nil, Other than ongoing projects ₹ 41,00,000/-**

Sl. No.	Name of the Project	Item from the list of activities in schedule VII to the Act.	Local area (Yes/No).	(5)		(6)	(7)	(8)	
				Location of the project.		Amount spent for the project (in ₹).	Mode of implementation-Direct (Yes/No).	Mode of implementation - Through implementing agency.	
				State.	District.			Name.	CSR registration number
1.	Promoting health care including preventive health care*	(i)	Yes	Uttarakhand Delhi	Uttarakhand Delhi	41,00,000/- (Transaction Reference No: N355243466106437)	No	Akums Foundation	CSR00002200
TOTAL						41,00,000/-			

*Distribution of Medicines to needy people in the region where manufacturing facilities of the Company situated.

- (c) Amount spent in Administrative Overheads: **Nil**
- (d) Amount spent on Impact Assessment, if applicable: **Not Applicable**
- (e) Total amount spent for the Financial Year: **₹ 41,00,000/-**
- (f) Excess amount for set off, if any: **₹ 35,000/-**

Sl. No.	Particular	Amount (INR)
(i)	Two percent of average net profit/(loss) of the Company as per section 135(5)	(1,91,72,755)
(ii)	Amount Required to be spent u/s 135 (5) after setting off of excess amount spend in Prev. financial years	Nil
(iii)	Total amount spent for the Financial Year 2024-25	41,00,000
(iv)	Excess amount spent for the financial year [(iii)-(ii)]	41,00,000
(v)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	NIL
(vi)	Amount available for set off in succeeding financial years [(iv)-(v)+Prev. Excess Amount]	41,35,000

8. Details of Unspent CSR amount for the preceding three financial years: Not Applicable

1	2	3	4	5	6		7	8
Sl. No.	Particular	Amount transferred to Unspent CSR Account under section 135(6) (in ₹)	Balance Amount in Unspent CSR Account under section 135(6) (in ₹)	Amount Spent in the Financial Year (in ₹)	Amount transferred to a Fund as specified VII as per second proviso to section 135(5), if any		Amount remaining to be spent in succeeding Financial Years (in ₹)	Deficiency, if any
					Amount (in ₹)	Date of Transfer		
1	FY-1	-	-	-	-	-	-	-
2	FY-2	-	-	-	-	-	-	-
3	FY-3	-	-	-	-	-	-	-

9. Whether any capital assets have been created or acquired through CSR amount spent in the Financial Year:

☐ Yes ☒ No

If yes, enter the number if Capital assets created/ acquired:

Furnish the details relating to such asset(s) so created or acquired through CSR amount spent in the Financial Year:

Sl. No.	Short particulars of the property or asset(s)	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent	Details of entity/ Authority/ beneficiary if the registered owner		
(1)	(2)	(3)	(4)	(5)	(6)		
					CSR Registration Number, if applicable	Name	Registered Address

10. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135(5): Not Applicable

For and on behalf of the Board of Directors

Akums Drugs and Pharmaceuticals Limited

Sd/-

Sanjeev Jain

(Managing Director & Chairman of CSR Committee)

Sd/-

Sandeep Jain

(Managing Director & Member of CSR Committee)

Date: 26.05.2025

Place: New Delhi

Annexure-6

Particulars of Employees

The information required under Section 197 of the Companies Act, 2013 read with Rule 5 of the Companies (Appointment & Remuneration of Managerial Personnel) Rules, 2014 are given below:

- Ratio of the remuneration of each Director to the median remuneration of the employees of the Company for the financial year 2024-25: -

Name of Directors	Category	Total Remuneration/ Sitting Fees/ Prof. Fees (in ₹)	Ratio of remuneration of Director to the median remuneration
Mr. Sanjeev Jain	Managing Director	8,27,78,407	219.04
Mr. Sandeep Jain	Managing Director	8,18,70,541	216.64
Mr. Kewal Handa	Independent Director	35,00,000	9.26
Ms. Matangi Gowrishanker	Independent Director	31,00,000	8.20
Mr. Sunil Kumar Thakur	Non-Executive Director	-	-
Mr. Sanjay Kumar Sinha	Whole Time Director	1,31,81,600	34.88
Mr. Satwinder Singh	Independent Director	19,00,000	5.03
Mr. Nand Lal Kalra*	Independent Director	15,00,000	3.97

*Mr. Nand Lal Kalra ceased to be an Independent Director of the Company w.e.f. 05-Feb-2025

- The percentage increase in remuneration of Chief Financial Officer, Company Secretary and other Executive Directors in the financial year 2024-25: -

Name of Directors	Category	Remuneration (in ₹)		Percentage Increase/Decrease
		2023-24	2024-25	
Mr. Sanjeev Jain	Managing Director	5,42,22,249	8,27,78,407	52.66%
Mr. Sandeep Jain	Managing Director	5,36,74,768	8,18,70,541	52.53%
Mr. Sanjay Kumar Sinha	Whole Time Director	1,02,70,339	1,31,66,112	28.35%
Mr. Sumeet Sood	Chief Financial Officer	1,76,39,423	2,09,54,376	18.79%
Mr. Dharamvir Malik	Company Secretary & Compliance Officer	26,78,464	30,44,085	13.65%

- The percentage increase in the median remuneration of all employees in the financial year 2024-25: 7.91%
- The number of permanent employees on the roll of the Company (Standalone basis) during the financial year 2024-25: 1,692 (as on March 31, 2025)
- Average percentile increases in salaries of employees other than managerial personnel and its comparison with percentile increase in the remuneration of Managerial personnel:

Particular	Remuneration (in ₹)		Percentage Increase/ Decrease
	2023-24	2024-25	
Average salary of all employees (other than Key Managerial Personnel)	5,33,925	5,79,435	8.52%
Average Salary of MD & WTD	3,93,89,119	5,92,76,849	50.49%*
Average Salary of CFO and CS	1,01,58,944	1,19,99,231	18.11%

*Note:

- During the FY 2020-21, 2021-22, 2022-23, Managing Directors either were granted no increment or a nominal increment was granted. In order to compensate that gap and considering contribution of Managing Directors (MDs) during the last couple of years MDs were granted above normal increment during FY 2023-24 & 2024-25.
- It is also important to note that during the FY 2025-26, remuneration of MDs was reviewed by Nomination & Remuneration Committee and it was decided not to grant any increment, so the MDs will continue to draw same remuneration as they were drawing hitherto.

- The Company affirms remuneration paid as per the Remuneration Policy of the Company.

Corporate Governance Report

1. Brief Statement on philosophy on code of governance

At Akums, we believe that robust corporate governance is fundamental to sustainable growth, stakeholder trust, and long-term value creation. Our governance philosophy is rooted in principles of transparency, accountability, integrity, and fairness. We are committed to ethical conduct and compliance with all applicable laws and regulations, ensuring that our business practices reflect the highest standards. Through a well-structured governance framework, we foster a culture of responsibility, promote effective decision-making, and safeguard the interests of all stakeholders.

2. Board of directors

Composition of Board

The Company's Board is an optimum mix of Executive, Non-Executive and Independent Directors, including a women independent director, for effective governance and management, and a mix of professionalism, knowledge and experience. As on March 31, 2025, the company had a total strength of seven* (7) Directors on the Board, comprising of three (3) Executive Directors, four (4) Non-executive Directors (i.e. more than 50%) out of which three (3) are Independent Directors (including one (1) women independent director). The Board reviews its strength and composition from time to time to ensure that it remains aligned with the statutory as well as business requirements.

During the year under review, Board of Directors met 7 (seven) times i.e. on May 4, 2024, May 31, 2024, July 24, 2024, August 01, 2024, August 24, 2024, November 9, 2024, and February 6, 2025. The requisite quorum was present at all the meetings. The details of meetings held and attended by the directors during FY 2024-25 are provided below:

Key Information pertaining to directors during the financial year 2024-25

Name & Category of Director	No. of Board Meetings		Attendance at last AGM held on 31.05.2024	No. of Directorship in other Companies as on 31.03.2025	No. of Committee Positions in all public companies as on 31.03.2025	
	Held	Attended			Chairperson	Membership
Mr. Sanjeev Jain Promoter / Executive Director	7	7	Yes	0	0	1
Mr. Sandeep Jain Promoter / Executive Director	7	7	Yes	0	0	1
Mr. Sanjay Sinha WTD / Executive Director	7	7	Yes	0	0	0
Mr. Kewal Handa Non - Executive Independent Director	7	6	Yes	9	5	10
Ms. Matangi Gowrishankar Non - Executive Independent Director	7	7	Yes	5	1	5
Mr. Satwinder Singh Non - Executive Independent Director	7	7	Yes	3	2	4
Mr. Sunil Kumar Thakur Non-Executive Non-Independent Director	7	7	Yes	0	0	1
Mr. Nand Lal Kalra* Non - Executive Independent Director	7	6	Yes	-	-	-

*During the year under review Mr. Nand Lal Kalra (DIN: 05268554), Independent Director of the Company, ceased to be an independent director effective from 05.02.2025 due to attained the age of 75 years on 04.02.2025. He was eligible to attend 6 meetings during the year under review. Therefore w.e.f 05.02.2025, seven (7) directors are serving on the board of the company and the company is in the process of appointing a suitable candidate for the same.

Note:

- Other Directorship does not include, the company, Private Limited Companies, Foreign Companies and companies registered under section 8 of the Companies Act, 2013.
- As per regulation 26(1), Chairmanship/Membership of committees only include Audit Committee and Stakeholders' Relationship Committee (including Akums Drugs & Pharmaceuticals Limited). Membership of the audit committee and the Stakeholders' Relationship Committee alone considered and membership includes chairmanship.
- None of the Directors on the Board is member in more than ten Committees or Chairman of more than five Committees across all the public companies in which they are Directors. The Directors have made necessary disclosures regarding Committee positions in other public companies.

Names of the other listed companies where the person is a director and category of directorship

Name of Director	Directorship in other Listed Company	Category of Directorship
Mr. Sanjeev Jain	NIL	NA
Mr. Sandeep Jain	NIL	NA
Mr. Sanjay Sinha	NIL	NA
Mr. Satwinder Singh	NIL	NA
Mr. Sunil Kumar Thakur	NIL	NA
Mr. Nand Lal Kalra*	NIL	NA
Mr. Kewal Handa	BOROSIL LIMITED	Non - Executive Independent Director
	POONAWALLA FINCORP LIMITED	Non - Executive Independent Director
	BOROSIL SCIENTIFIC LIMITED	Non - Executive Independent Director
	HEUBACH COLORANTS INDIA LIMITED	Non - Executive Independent Director
	IDFC FIRST BANK LIMITED	Non - Executive Independent Director
	SUVEN PHARMACEUTICALS LIMITED	Non - Executive Independent Director
	GUJARAT PIPAVAV PORT LIMITED	Non - Executive Independent Director
	GREENLAM INDUSTRIES LIMITED	Non - Executive Independent Director
	CYIENT LIMITED	Non - Executive Independent Director
Ms. Matangi Gowrishankar		

Disclosure of relationships between directors inter-se: None of the member of the board are related to each other except Mr. Sanjeev Jain and Mr. Sandeep Jain are real brothers.

Number of shares and convertible instruments held by non- executive directors

Name and Category of Director	No. of Shares held as on 31st March, 2025
Mr. Kewal Handa Non - Executive Independent Director	Nil
Ms. Matangi Gowrishankar Non - Executive Independent Director	Nil
Mr. Satwinder Singh Non - Executive Independent Director	Nil
Mr. Sunil Kumar Thakur Non - Executive Independent Director	Nil

Web link where details of familiarization programmes imparted to independent directors is disclosed:

During the FY 2024-25, the Company got listed on National Stock Exchange of India Limited ('NSE') and BSE Limited ('BSE') effective from August 6, 2024. All directors were provided with necessary information, documents, reports and internal policies to familiarise them with the Company's procedures and practices. Directors are made aware of their roles and duties at the time of their appointment / re-appointment. The Company's Policy on conducting the familiarisation programme has been displayed on the website of the Company i.e. https://www.akums.in/wp-content/uploads/2025/05/Familiarisation-Programme_Independent-Directors.pdf

Matrix setting out the skills/expertise/competence of the board of directors:

In accordance with the Company's business and activities, the skills/ expertise/ competencies in the areas of General Management, Entrepreneurship, Pharmaceuticals, Public Health, Business Leadership, Strategy, Finance, Taxation, Legal, Risk Management, Governance, Human Resources and Marketing skills are needed for it to function effectively.

The Company's Board is comprised of individuals who are reputed in these skills, competence and expertise that allow them to make effective contribution to the Board and its Committees. From time to time, members of the Board have also received recognition from various Industry Bodies and Business Associations for the contribution made in their respective areas of expertise.

Sl. No.	Name and Category of Director	Skills/expertise/competence
1.	Mr. Sanjeev Jain	Pharmaceuticals and Marketing
2.	Mr. Sandeep Jain	Pharmaceuticals and Manufacturing
3.	Mr. Sanjay Sinha	Pharmaceuticals and Manufacturing
4.	Mr. Kewal Handa	Finance, Taxation and Audit
5.	Ms. Matangi Gowrishankar	Human Resource
6.	Mr. Satwinder Singh	Legal and Compliance
7.	Mr. Sunil Kumar Thakur	Finance and Pharmaceuticals

Confirmation that in the opinion of the board, the independent directors fulfill the conditions specified in these regulations and are independent of the management: Based on the declaration submitted by the Independent Directors, the Board hereby certify that all the Independent Directors appointed by the Company fulfills the conditions specified in these regulations and are independent of the management.

Detailed reasons for the resignation of an independent director who resigns before the expiry of his /her tenure along with a confirmation by such director that there are no other material reasons other than those provided. None of the independent director resigned during the FY 2024-25.

Company's Code of Conduct to Regulate, Monitor, Report Trading by Designated Persons and their immediate relatives:

The Company has formulated a "Code of Conduct to Regulate, Monitor, Report Trading by Designated Persons and their immediate relatives" to prevent and deter the insider trading in the securities of the Company based on the unpublished price sensitive information.

The Code envisages procedures to be followed and disclosures to be made while dealing in the securities of the Company. The said policy was last reviewed and approved by the Board on 26.05.2025 pursuant to SEBI (Prohibition of Insider Trading) Regulations, 2015 and amendments thereto. The full text of the Code is available on the website of Company under 'Policies' in the Investor section and can be accessed at <https://www.akums.in/wp-content/uploads/2025/05/Code-of-Conduct-to-Regulate-Monitor-and-Report-for-Trading-by-Designate.pdf>

Committees of the Board of Directors

- i. Audit Committee
- ii. Nomination and Remuneration Committee
- iii. Stakeholder Relationship Committee
- iv. Risk Management Committee
- v. Corporate Social Responsibility Committee

3. Audit Committee

The Composition of the Audit Committee of the Company complies with the provisions of Section 177 of the Act read with the Companies (Meetings of Board and its Powers) Rules, 2014 and Regulation 18 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

As on March 31, 2025, the Audit Committee comprised 4 (four) Directors, of which three (3) are Independent Director and one (1) is a Non-Executive Non-Independent Director of the Company.

During the year under review, Audit Committee met 5 (five) times i.e. on May 4, 2024, May 31, 2024, August 24, 2024, November 9, 2024, and February 6, 2025. The requisite quorum was present at all the meetings. The details of meetings attended by the Committee members during FY 2024-25 are provided below:

Sl. No.	Name and Category of Director	Position / Designation	No. of Meeting attended
1.	Mr. Kewal Handa Non - Executive Independent Director	Chairperson	5
2.	Ms. Matangi Gowrishankar Non - Executive Independent Director	Member	5
3.	Mr. Satwinder Singh Non - Executive Independent Director	Member	5
4.	Mr. Sunil Kumar Thakur Non - Executive Non-Independent Director	Member	5
5.	Nand Lal Kalra* Non - Executive Independent Director	Member	4*
6.	Mr. Sandeep Jain** Promoter / Executive Director	Member	4**

* Mr. Kalra was eligible to attend four Audit Committee meetings during the year, as his term expired ended on 05.02.2025 upon attaining the age of 75 years.

** Mr. Sandeep Jain also stepped down as a member from the Audit Committee to ensure compliance with the applicable composition requirements and was therefore not eligible to attend the meeting held on 06.02.2025.

Brief description of terms of reference:

- (a) To oversight of Company's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible;
- (b) recommendation for appointment, re-appointment and replacement, remuneration and terms of appointment of auditors, including the internal auditor, cost auditor and statutory auditor, of the Company and the fixation of audit fee;
- (c) approval of payment to statutory auditors for any other services rendered by the statutory auditors;
- (d) reviewing, with the management, the annual financial statements and auditor's report thereon before submission to the board for approval, with particular reference to:
 - i. matters required to be included in the director's responsibility statement to be included in the board's report in terms of clause (c) of sub-section (3) of Section 134 of the Companies Act, 2013;
 - ii. changes, if any, in accounting policies and practices and reasons for the same;
 - iii. major accounting entries involving estimates based on the exercise of judgment by management;
- iv. significant adjustments made in the financial statements arising out of audit findings;
- v. compliance with listing and other legal requirements relating to financial statements;
- vi. disclosure of any related party transactions;
- vii. modified opinion(s) in the draft audit report;
- (e) reviewing, with the management, the quarterly, half-yearly and annual financial statements before submission to the board for approval;
- (f) reviewing, with the management, the statement of uses / application of funds raised through an issue (public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document / prospectus / notice and the report submitted by the monitoring agency monitoring the utilisation of proceeds of a public or rights issue, or preferential issue or qualified institutions placement, and making appropriate recommendations to the board to take up steps in this matter;
- (g) reviewing and monitoring the auditor's independence and performance, and effectiveness of audit process;
- (h) formulating a policy on related party transactions, which shall include materiality of related party transactions;

- (i) approval or any subsequent modification of transactions of the Company with related parties and omnibus approval for related party transactions proposed to be entered into by the Company subject to such conditions as may be prescribed;
 - (j) scrutiny of inter-corporate loans and investments;
 - (k) valuation of undertakings or assets of the Company and appointing a registered valuer in terms of Section 247 of the Companies Act, wherever it is necessary;
 - (l) evaluation of internal financial controls and risk management systems;
 - (m) reviewing, with the management, performance of statutory and internal auditors, adequacy of the internal control systems;
 - (n) reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;
 - (o) discussion with internal auditors of any significant findings and follow up there on;
 - (p) reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the Board;
 - (q) discussion with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern;
 - (r) to look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors;
 - (s) to review the functioning of the whistle blower mechanism;
 - (t) monitoring the end use of funds through public offers and related matters;
 - (u) approval of appointment of chief financial officer after assessing the qualifications, experience and background, etc. of the candidate;
 - (v) identification of list of key performance indicators and related disclosures in accordance with the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended, for the purpose of the Company's proposed initial public offering;
 - (w) carrying out any other function as is mentioned in the terms of reference of the audit committee or as required as per the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, or any other applicable law, as and when amended from time to time;
 - (x) reviewing the utilization of loans and/ or advances from/investment by the holding company in the subsidiary exceeding INR100 crore or 10% of the asset size of the subsidiary, whichever is lower including existing loans / advances / investments existing as on the date of coming into force of this provision; and
 - (y) consider and comment on rationale, cost-benefits and impact of schemes involving merger, demerger, amalgamation etc., on the Company and its shareholders.
- The Audit Committee shall mandatorily review the following information:
- i. management discussion and analysis of financial condition and results of operations;
 - ii. management letters / letters of internal control weaknesses issued by the statutory auditors;
 - iii. internal audit reports relating to internal control weaknesses; and
 - iv. the appointment, removal and terms of remuneration of the chief internal auditor shall be subject to review by the audit committee.
 - v. statement of deviations:
 - quarterly statement of deviation(s) including report of monitoring agency, if applicable, submitted to stock exchange(s) in terms of Regulation 32(1) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.
 - annual statement of funds utilized for purposes other than those stated in the offer document/ prospectus/notice in terms of Regulation 32(7) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.
 - vi. To review the financial statements, in particular, the investments made by any unlisted subsidiary; and
 - vii. Such information as may be prescribed under the Companies Act and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

4. Nomination and Remuneration Committee:

The Composition of the Nomination and Remuneration Committee of the Company complies with the provisions of Section 178 of the Act read with the Companies (Meetings of Board and its Powers) Rules, 2014 and Regulation 19 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

As on March 31, 2025, the Nomination and Remuneration Committee comprised 4 (four) Directors, of which three (3) are Independent Director and one (1) is a Non-Executive Non-Independent Director of the Company.

During the year under review, Nomination and Remuneration Committee met 5 (five) times i.e. on May 4, 2024, August 24, 2024, November 9, 2024, January 29, 2025 and February 6, 2025. The requisite quorum was present at all the meetings. The details of the meetings attended by the Committee members during FY 2024-25 are provided below:

Sl. No.	Name and Category of Director	Position / Designation	No. of Meeting attended
1.	Ms. Matangi Gowrishankar Non - Executive Independent Director	Chairperson	5
2.	Mr. Kewal Kundan Lal Handa Non - Executive Independent Director	Member	5
3.	Mr. Satwinder Singh Non - Executive Independent Director	Member	5
4.	Mr. Sunil Kumar Thakur Non - Executive Non-Independent Director	Member	5
5.	Nand Lal Kalra* Non - Executive Independent Director	Member	3*

* Mr. Kalra was eligible to attend four Committee meetings during the year, as he ceased as a member of this committee on 05.02.2025 upon attaining the age of 75 years.

Brief description of terms of reference;

- (a) formulation of the criteria for determining qualifications, positive attributes and independence of a director and recommend to the board of directors of the Company (the "Board" or "Board of Directors") a policy relating to the remuneration of the directors, key managerial personnel and other employees ("Remuneration Policy"). The Nomination and Remuneration Committee, while formulating the Remuneration policy, should ensure that:
 - (i) the level and composition of remuneration be reasonable and sufficient to attract, retain and motivate directors of the quality required to run our Company successfully;
 - (ii) relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and
 - (iii) remuneration to directors, key managerial personnel and senior management involves a balance between fixed and incentive pay reflecting short- and long-term performance objectives appropriate to the working of the Company and its goals.
- (b) formulation of criteria for evaluation of performance of independent directors and the Board;
- (c) for every appointment of an independent director, the Nomination and Remuneration Committee shall evaluate the balance of skills, knowledge and experience on the Board and on the basis of such evaluation, prepare a description of the role and capabilities required of an independent director. The person recommended to the Board for appointment as an independent director shall have the capabilities identified in such description. For the purpose of identifying suitable candidates, the Committee may:
 - (i) use the services of an external agencies, if required;
 - (ii) consider candidates from a wide range of backgrounds, having due regard to diversity; and
 - (iii) consider the time commitments of the candidates.
- (d) devising a policy on Board diversity;
- (e) identifying persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, and recommend to the Board their appointment and removal and carrying out evaluation of every director's performance (including independent director);

- (f) whether to extend or continue the term of appointment of the independent director, on the basis of the report of performance evaluation of independent directors;
- (g) recommend to the Board, all remuneration, in whatever form, payable to senior management;
- (h) perform such functions as are required to be performed by the Nomination and Remuneration Committee under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021, as amended, including the following:
 - administering the employee stock option plans of the Company, as may be required;
 - determining the eligibility of employees to participate under the employee stock option plans of the Company;
 - granting options to eligible employees and determining the date of grant;
 - determining the number of options to be granted to an employee;
 - determining the exercise price under the employee stock option plans of the Company; and
 - construing and interpreting the employee stock option plans of the Company and any agreements defining the rights and obligations of the Company and eligible employees under the employee stock option plans of the Company, and prescribing, amending and/or rescinding rules and regulations relating to the administration of the employee stock option plans of the Company.
- (i) carrying out any other activities as may be delegated by the Board of Directors and functions required to be carried out by the Nomination and Remuneration Committee as provided under the Companies Act, 2013, the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 or any other applicable law, as and when amended from time to time."

Independent Directors

The Company has received necessary disclosures from each of the Independent Directors in accordance with Section 149(7) of the Act and Regulation 25(8) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 that he/she meets the criteria of independence as laid out in Section 149(6) of the Act and Regulation 16(1)(b) of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 and confirmed that they are not aware of any circumstances or situation, which exists or may be reasonably anticipated, that could impair or impact their ability to discharge their duties.

The Board is satisfied of the integrity, expertise and experience (including proficiency in terms of Section 150(1) of the Act and applicable rules thereunder) of all Independent Directors on the Board.

Further, in terms of Section 150 read with Rule 6 of the Companies (Appointment and Qualification of Directors) Rules, 2014, as amended, Independent Directors of the Company have included their names in the data bank of Independent Directors maintained with the Indian Institute of Corporate Affairs.

Separate meeting of Independent Directors namely Mr. Kewal Kundan Lal Handa, Mr. Nand Lal Kalra, Ms. Matangi Gawrishankar, and Mr. Satwinder Singh, was held on 24th July 2024, inter alia:

- a. To review the performance of Non-Independent directors, Chairman of the Board and the Board as a whole.
- b. To assess the quality, quantity and timeliness of flow of information between the Company's Management and the Board/Committee(s) that is necessary for the Board/Committee(s) to effectively and reasonably perform their duties.

During the year under review, none of the Independent Directors resigned from the board of Company. However, upon attaining the age of 75 years, the second term of Mr. Nand Lal Kalra (DIN: 05268554), Independent Director of the Company, concluded on February 4, 2025. Accordingly, he ceased to be an Independent Director on the Board with effect from February 5, 2025.

Performance evaluation criteria for independent directors

The Nomination and Remuneration Committee has adopted performance evaluation criteria for Independent Directors, aligned with the guidance note issued by SEBI and the Institute of Company Secretaries of India (ICSI) on Board Evaluation. These criteria encompass parameters such as knowledge, competency, fulfillment of functions, availability and attendance, initiative, integrity, contribution, and the ability to exercise independent judgment and provide an unbiased perspective.

The details of the performance evaluation conducted for the financial year are disclosed in the Board's Report, which forms an integral part of this Integrated Annual Report.

5. Stakeholders' Relationship Committee

The Composition of the Stakeholders' Relationship Committee of the Company complies with the provisions of Section 178 of the Act read with the Companies (Meetings of Board and its Powers) Rules, 2014 and Regulation 20 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

As on March 31, 2025, the Stakeholders' Relationship Committee comprised 3 (Three) Directors, of which one (1) is Independent Director and two (2) are Promoter and Executive Directors of the Company.

During the year under review, the Stakeholders' Relationship Committee met one (1) time on February 6, 2025. The requisite quorum was present at the meetings. The details of meetings attended by the Committee members during FY 2024-25 are provided below:

Sl. No.	Name and Category of Director	Position / Designation	No. of Meeting attended
1.	Mr. Satwinder Singh Non - Executive Independent Director	Chairperson	1
2.	Mr. Sanjeev Jain Promoter / Executive Director	Member	1
3.	Mr. Sandeep Jain Promoter / Executive Director	Member	1
4.	Nand Lal Kalra* Non - Executive Independent Director	Member	0
5.	Mr. Kewal Kundan Lal Handa** Non - Executive Independent Director	Member	0

* Mr. Kalra ceased to be an Independent Director of the Company upon attaining the age of 75 years with effect from 05.02.2025, and was therefore not eligible to attend the Committee meeting held thereafter during the year.

** Mr. Handa served as member of this committee till 24.11.2024, therefore he was not eligible to attend SRC meeting.

Shareholders Grievance Redressal

During the FY 2024-25, all complaints received were redressed to the satisfaction of shareholders. No complaints were outstanding as on March 31, 2025. The details of investor complaints received and resolved during the year are as follows:

Number of Complaints received	Number of Complaints resolved	Number of pending complaints as on 31.03.2025
14	14	0

The Registrar and Share Transfer Agents ('RTA') namely MUFG Intime India Private Limited (Formerly Link Intime India Private Limited), attend to all grievances of shareholders received directly or through SEBI, Stock Exchanges or the Ministry of Corporate Affairs. The Company maintains continuous interaction with the RTA and takes proactive steps and actions for resolving shareholder complaints/queries.

6. Risk management committee:

The composition of the Risk Management Committee of the Company complies with the provisions of Regulation 21 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and is in line with the applicable provisions of the Companies Act, 2013 and the Companies (Meetings of Board and its Powers) Rules, 2014.

As on March 31, 2025, the Risk Management Committee comprised 5 (Five) members, of which Two (2) are Executive Director and two (2) are Non-Executive Independent Directors and one (1) is non-board member who is CFO of the Company.

During the year under review, the Risk Management Committee met one (1) time on November 9, 2024. The requisite quorum was present at the meetings. The details of meetings attended by the Committee members during FY 2024-25 are provided below:

Sl. No.	Name and Category of Director	Position / Designation	No. of Meeting attended
1.	Mr. Sanjeev Jain Promoter / Executive Director	Chairperson	1
2.	Mr. Sandeep Jain Promoter / Executive Director	Member	1
3.	Ms. Matangi Gowrishankar Non - Executive Independent Director	Member	1
4.	Mr. Kewal Kundanlal Handa Non - Executive Independent Director	Member	1
5.	Mr. Nand Lal Kalra* Non - Executive Independent Director	Member	1
6.	Mr. Sumeet Sood ** Chief Financial Officer	Member	1

* Mr. Kalra ceased to be an Independent Director of the Company upon attaining the age of 75 years with effect from 05.02.2025, and was therefore not eligible to attend the Committee meeting held thereafter during the year.

** Mr. Sood is a non-board member in the committee.

brief description of terms of reference;

- To formulate a detailed risk management policy which shall include:
 - A framework for identification of internal and external risks specifically faced by the Company, in particular including financial, operational, sectoral, sustainability (particularly, ESG related risks), information, cyber security risks or any other risk as may be determined by the Committee.
 - Measures for risk mitigation including systems and processes for internal control of identified risks.
 - Business continuity plan.
- To ensure that appropriate methodology, processes and systems are in place to monitor and evaluate risks associated with the business of the Company;
- To monitor and oversee implementation of the risk management policy, including evaluating the adequacy of risk management systems;
- To periodically review the risk management policy, at least once in two years, including by considering the changing industry dynamics and evolving complexity;
- To keep the board of directors informed about the nature and content of its discussions, recommendations and actions to be taken;
- The appointment, removal and terms of remuneration of the Chief Risk Officer (if any) shall be subject to review by the Risk Management Committee;
- any other similar or other functions as may be laid down by Board from time to time and/or as may be required under applicable law, as and when amended from time to time, including the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

7. Senior Management Personal:

Particulars of senior management including the changes therein since the close of the previous financial year.

Sl. No.	Name	Designation	Changes, if any
1	Arvind Srivastava	President - HR	-
2	Sanjay Sinha	President - Operation (WTD)	-
3	Sanjay Sharma	President - Strategy, New Projects & Business Excellence	-
4	Sumeet Sood	CFO	-
5	Dharamvir Malik	CS & CO	-
6	Sunil Jaiswal	Sr. VP - R & D	-
7	Jitendra Mishra	Sr. VP - IT	-
8	Raj Kumar Singh	Asst. VP - Drug Regulatory Affairs	-
9	Ashish Sharma	VP - ESG & Sustainability	Resigned w.e.f 25.03.2025
10	Amrut Medekar	CEO – CDMO	Resigned w.e.f 15.07.2025

8. Corporate Social Responsibility Committee:

The Corporate Social Responsibility Committee was formed pursuant to Section 135 of the Companies Act, 2013 read with the Companies (Corporate Social Responsibility Policy) Rules, 2014. The job of the committee was to formulate and recommend to the board a Corporate Social Responsibility policy indicating the activities to be undertaken by the company as specified in Schedule VII of the Act, to recommend the amount of expenditure to be incurred on such activities, and to monitor the CSR policy of the company from time to time.

During the year under review, the no Committee meeting held. The composition of the committee is as below:

Sl. No.	Name	Position / Designation
1.	Mr. Sandeep Jain Promoter / Executive Director	Chairperson
2.	Mr. Sanjeev Jain Promoter / Executive Director	Member
3.	Ms. Matangi Gowrishankar Non - Executive Independent Director	Member
4.	Mr. Sunil Kumar Thakur Non - Executive non-Independent Director	Member
5.	Mr. Nand Lal Kalra* Non - Executive Independent Director	Member

* Mr. Kalra ceased to be an Independent Director of the Company upon attaining the age of 75 years with effect from 05.02.2025, and was therefore not eligible to attend the Committee meeting held thereafter during the year.

The Annual Report on CSR activities undertaken by the company and amount spent during the year 2024-25 is mentioned in the boards' report which forms a part this integrated report.

9. SEBI COMPLAINTS REDRESSAL SYSTEM (SCORES) & ONLINE DISPUTE RESOLUTION MECHANISM (ODR)

SCORES is an online platform established by the Securities and Exchange Board of India (SEBI) to facilitate investors in lodging and tracking complaints against listed companies. It is centralized web-based complaints redressal system, which serves as a centralized database of all complaints received, enables uploading of Action Taken Reports by the Company, and facilitates online filing of the complaint by the investors and subsequently viewing of actions taken on the complaint and its current status. The company authenticate itself on score for effective redressal of Investor Complaints.

SEBI has also introduced an Online Dispute Resolution (ODR) platform to facilitate the transparent and speedy resolution of investor grievances. If a shareholder's grievance is not satisfactorily resolved by the Company or its Registrar and Share Transfer Agent (RTA), either directly or through the SCORES platform, the investor may initiate a dispute resolution process via the ODR portal. The ODR platform can be accessed at: <https://smartodr.in/login>

10. Remuneration of directors:

- (a) All pecuniary relationship or transactions of the non-executive directors vis-à-vis the listed entity: None, except for the Sitting Fee or professional and advisory related fees to Non-Executive Directors.
- (b) Criteria of making payments to non-executive directors:

The Company has adopted a Nomination and Remuneration Policy for Directors, Key Managerial Personnel and Employees. The Policy is also available on the website of the Company and may be accessed at 'Disclosure under Regulation 46 of SEBI' in the Investor section at https://www.akums.in/wp-content/uploads/2025/03/2.-Policy_Nomination-Remuneration_signed.pdf.

- (c) Disclosures with respect to remuneration: in addition to disclosures required under the Companies Act, 2013, the following disclosures shall be made:

(in millions)

Sl. No.	Name of Director	No. of shares allotted/ transferred under ESPS	Sitting Fee (A)	Salary (B)	Perquisites (C)	Commission (D)	Total (A+B+C+D)
1.	Mr. Sanjeev Jain Managing Director	0	NA	63.78	0	19.48	83.26
2.	Mr. Sandeep Jain Managing Director	0	NA	62.87	0	19.48	82.35
3.	Mr. Sanjay Sinha Whole Time Director	0	NA	13.18	0	0	13.18
4.	Mr. Sunil Thakur Non-Executive Non-Independent Director	0	NA	NA	0	0	0
5.	Mr. Kewal Kundanlal Handa* Non-Executive Independent Director	0	1.8	NA	0	0	1.8
6.	Ms. Matangi Gowrishankar* Non-Executive Independent Director	0	1.9	NA	0	0	1.9
7.	Mr. Satwinder Singh Non-Executive Independent Director	0	1.9	NA	0	0	1.9
8.	Mr. Nand Lal Kalra Non-Executive Independent Director	0	1.4	NA	0	0	1.5

* During the FY-2024-25, Mr. Handa and Ms. Gowrishankar, Independent Directors of the Company, received professional and advisory related fees of ₹1.7 million and ₹1.2 million respectively, in addition to sitting fees as mentioned above in the table. These payments were made for services rendered in a professional capacity, and not in the capacity of Directors, and are in compliance with the provisions of Section 149(9) of the Companies Act, 2013.

Note:

- (i) The details of fixed component is as provided in the table above and there are no other performance linked incentives paid to any Director of the Company.
- (ii) Mr. Sanjeev Jain and Mr. Sandeep Jain Managing Directors of the company are entitled to Commission @ 0.4% each amounting to Rs. 19.48 million of the EBITA which is still payable.
- (iii) No severance fees are payable to any directors.
- (iv) None of the directors have been granted any stock options during the FY 2024-25.

11. General body meetings

a. Location and time, where last three annual general meetings held and Special resolution passed

Day, Date & time of Annual General Meeting	Location	Details of Special Resolution Passed, If any
Friday, May 31, 2024 at 02:00 P.M	Plot no. 131 to 133, Block-C, Mangolpuri Industrial Area, Phase-1, Delhi-110083	- To approve continuation of payment of remuneration to Executive Directors who are not promoters or members of the promoter group in excess of threshold limits as per SEBI (LODR) Regulations, 2015. - To approve the remuneration to directors in excess of the limits as per the Companies Act, 2013 in case of no profit / Inadequate Profit - To approve the borrowing limits under the provisions of the Companies Act, 2013 - To approve the borrowing limits under the provisions of the Companies Act, 2013 - To authorize for sale / lease / disposal of part or Whole of Undertaking - To approve the limits of material related party transactions with Pure and Cure Healthcare Private Limited - To approve the limits of material related party transactions with Akums Healthcare Limited - To approve the limits of material related party transactions with Malik Lifesciences Private Limited - To approve the limits of material related party transactions with Maxcure Nutravedic Limited - To approve the limits of material related party transactions with Unosource Pharma Limited - To approve the limits of material related party transactions with Qualymed Pharma Private Limited - To approve the limits of material related party transactions with Akumentis Healthcare Limited - Adoption of new set of articles of association of the company.
Friday, June 30, 2023 at 04.30 P.M	Akums House, Plot no. 131 to 133, Block-C, Mangolpuri Industrial Area, Phase-1, Delhi-110083	Appointment of Shri. Sanjeev Jain and Shri Sandeep Jain as Managing Director(s).
Friday, the 29th July, 2022 at 04.00 P.M.	304, Mohan Place, L.S.C., Saraswati Vihar, Delhi – 110034	None

b. Details of special resolutions passed through postal ballot, details of the voting pattern, the persons who conducted the postal ballot exercise and procedure of postal ballot:

During FY 2023-24, the Company passed or not passed the following Ordinary / Special resolution(s) by way of postal ballots:

Sl No.	Description of Resolution	Vote in the favour of the resolution(s)		Vote against f the resolution(s)	
		No. of Votes	% of Valid Votes	No. of Votes	% of Valid Votes
Postal ballot Notice dated 11.11.2024					
1.	Resolution no. 1- Approval of the transaction termed as reward to Sanjeev Jain & Sandeep Jain, Promoters cum Managing Directors of the company from RUBY QC Investment Holdings Pte. Ltd. (Ordinary Resolution - Not passed)	8873674	47%	10119085	53%
Postal ballot Notice dated 06.02.2025					
1.	Resolution no. 1- Ratification of Employee Stock Option Scheme 2022 of Akums Drugs and Pharmaceuticals Limited. (Special Resolution passed)	132093100	92.06%	11385655	7.94%
2.	Resolution no. 2- Ratification of Extension of benefit under Employee Stock Option Scheme 2022 of Akums Drugs and Pharmaceuticals Limited To The Employees Of Subsidiaries Of The Company. (Special Resolution passed)	132093009	92.06%	11385664	7.94%
3.	Resolution no. 3- Approval for variation / amendment of terms of Employee Stock Option Scheme 2022 of Akums Drugs and Pharmaceuticals Limited. (Special Resolution passed)	132343118	92.23%	11135555	7.77%

The Company appointed Mr. Suresh Pandey, Partner at SPG & Associates, Company Secretaries (Membership No. FCS 7776, COP No. 8529), as the Scrutinizer to oversee and scrutinize the e-voting process in a fair and transparent manner for both postal ballot processes as mentioned above. He submitted his reports on December 17, 2024, and March 17, 2025, respectively.

Procedure of Postal Ballot: The postal ballot was carried out in accordance with the provisions of Sections 108 and 110 and other applicable provisions of the Companies Act, 2013, read with the relevant Rules framed thereunder, applicable MCA and SEBI circulars, and the Secretarial Standard on General Meetings (SS-2) issued by the Institute of Company Secretaries of India, along with other applicable laws and regulations, as amended from time to time.

Whether any special resolution is proposed to be conducted through Postal Ballot: No Special resolution is proposed to be conducted through Postal Ballot as on the date of this report.

Company publishes the audited financial results both standalone & consolidated for the complete financial year. The same are also available on the website of the company and may be accessed at <https://www.akums.in/investors/financial-report/>

b. Newspapers wherein results normally published

The quarterly, half-yearly and annual financial results are published in Financial Express (English) and Jansatta (Hindi).

c. Any website, where displayed

The financial results and the official news releases are also placed on the Company's website www.akums.in under Investor Section.

d. whether it also displays official news releases

Yes, the Company regularly publishes an information update on its financial results and also displays official news releases in the Investors section.

e. Presentations made to institutional investors or to the analysts

The Company conducts earnings and analyst/investor meet calls each quarter to share updates on its performance and future outlook, thereby ensuring timely and transparent dissemination of information to the public.

12. Means of communication

a. Quarterly Results

The Company publishes limited reviewed un-audited standalone & consolidated financial results for each quarter. In respect of the financial year ended, the

13. General shareholder information

(a) Annual general meeting

Date: 18Th July, 2025

Time (IST): 11:00 AM

Venue: Through Video conferencing / Other Audio-Visual means (OAVM) at Company's Corporate office i.e. Akums House, Plot no. 131 to 133, Block-C, Mangolpuri Industrial Area, Phase-1, Delhi-110083 will be considered as venue for the purpose of 21st Annual General Meeting.

(b) Financial Year: The Financial year of the Company starts from 1st April of a year and ends on 31st March of the following year.

The tentative calendar of Meeting of Board of Directors for consideration of quarterly financial results for the Financial Year 2025-26 are as follows:

First Quarter Results	: Saturday, 9 th August, 2025
Second Quarter and Half yearly Results	: Thursday, 13 th November, 2025
Third Quarter Results	: Friday, 13 th February, 2025
Fourth Quarter and Annual Results	: Friday, 29 th May, 2026

(c) Dividend Payment date: The company has not declared any dividend during the year 2024-25.

(d) Stock Exchange(s) at which the listed entity's securities are listed and a confirmation about payment of annual listing fee to each of such stock exchange(s)

The equity shares of the Company are listed at:

The National Stock Exchange of India Ltd. (NSE)	BSE Limited (BSE)
Exchange Plaza, C-1,	Phiroze Jeejeebhoy Towers,
Block G, Bandra Kurla Complex,	Dalal Street, Mumbai- 400 001
Bandra (E), Mumbai- 400 051	Code: 544222
Symbol: AKUMS	

The annual listing fee for the FY 2025-26 has been paid by the Company to both the stock exchanges within the stipulated time.

(e) in case the securities are suspended from trading, the directors report shall explain the reason thereof: No such instances occurred during the FY 2024-25.

(f) Registrar to an issue and share transfer agents

MUFG Intime India Private Limited
(Formerly Link Intime India Private Limited)
Address: C-101, 247 Park, L.B.S. Marg,
Vikhroli (West), Mumbai - 400 083
Phone: +91 22 4918 6000
Website: www.in.mpms.mufg.com

(g) Share transfer system

As per SEBI mandate, effective from 1st April, 2019, no share can be transferred in physical mode. SEBI in continuation of its efforts to enhance ease of dealing in securities market by investors vide its Circular No. SEBI/HO/MIRSD/MIRSD_RTAMB/P/ CIR/2022/8 dated 25th January, 2022, has mandated the listed entities to issue securities for the following service requests only in dematerialised form Issue of duplicate securities certificate, Claim from Unclaimed Suspense Account, Renewal/Exchange of securities certificate, Endorsement, Sub-division/Split of securities certificate, Consolidation of securities certificates/folios, Transmission and Transposition. Transmission, dematerialisation of shares, dividend payment and all other investor related matters are attended to and processed through the Company's RTA.

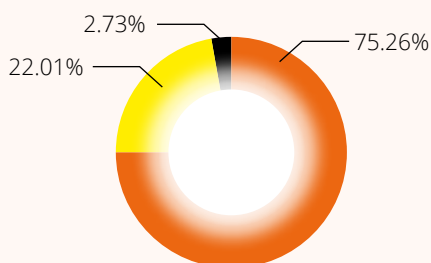
100 % shares of the Company are in dematerialized form and are traded exclusively in dematerialized mode on the Stock Exchanges.

(h) distribution of shareholding

No. of Shares held	No. of Shareholders	% of total no. of Shareholders	No. of Share	% of total no. of Share
1 to 500	68600	97.65	3165260	2.01
501 to 1000	843	1.20	634279	0.40
1001 to 2000	366	0.52	533633	0.34
2001 to 3000	142	0.20	369409	0.23
3001 to 4000	65	0.09	228698	0.15
4001 to 5000	44	0.06	204503	0.13
5001 to 10000	74	0.11	524615	0.33
10001 & above	115	0.16	151733591	96.40
Total	70249	100.00	157393988	100

Ownership Pattern as on 31st March, 2025

Category of shareholders	Number of equity shares	Shareholding %
A Promoter & Promoter Group		
1 Indian		
Individuals / Hindu Undivided Family	54255380	34.47
Body Corporate (Trust)	64200000	40.79
2 Foreign	0	0
Total Promoter and Promoter Group Shareholding (A1+A2)	118455380	75.26
B Public		
1 Institutions (Domestic)		
Mutual Fund	9616023	6.11
Alternate Investment Funds	981310	0.62
Insurance Companies	1043060	0.66
2 Institutions (Foreign)		
Foreign Portfolio Investors Category I	8980181	5.71
Foreign Portfolio Investors Category II	98316	0.06
3 Central Government/ State Government(s)		
Central Government/ State Government(s)	0	0.00
4 Non-Institutions		
Directors and their relatives (excluding Independent Directors and nominee Directors)	42	0.00
Key Managerial Personnel	794	0.00
Resident Individual holding nominal share capital up to Rs. 2 lakhs.	5372820	3.41
Non-Resident Indians (NRIs)	110474	0.07
Foreign Companies	7278535	4.62
Bodies Corporate	871163	0.55
Any Other (Trusts, LLPs, HUF, Clearing Member)	293960	0.19
Total Public Shareholding (B1+B2+B3+B4)	34646678	22.01
C Total Non-Promoter- Non-Public Shareholding (ESOP Trust)	4291930	2.73
GRAND TOTAL (A+B+C)	157393988	100.00



● Total Promoter and Promoter Group Shareholding (A1+A2)	118455380
● Total Public Shareholding (B1+B2+B3+B4)	34646678
● Total Non-Promoter- Non-Public Shareholding (ESOP Trust)	4291930

(i) dematerialization of shares and liquidity

The entire share capital of the Company is in dematerialized form and are available for trading through both National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL). The Company's equity shares are actively traded and enjoy a high degree of liquidity on the stock exchanges i.e NSE and BSE. The status of shares held in demat and physical format is given below:

Particulars	As on 31st March 2025	Percentage
Dematerialized Shares	15,73,93,988	100
Physical	0	0
Total	15,73,93,988	100

(j) outstanding global depository receipts or american depository receipts or warrants or any convertible instruments, conversion date and likely impact on equity: There are no GDRs/ ADRs/ Warrants outstanding as on 31st March 2025.

(k) Commodity price risk or foreign exchange risk and hedging activities: The foreign exchange risk management is disclosed in the note no. 45(C) and 44 of the audited Standalone and Consolidated Financial Statements respectively forming part of this Integrated Annual Report.

(l) plant locations of the company and its subsidiaries:

Akums Drugs & Pharmaceuticals Limited

Plant-I	Plot No. 19, 20 & 21, Sector-6A, IIE, Sidcul, Ranipur, Haridwar-249403, Uttarakhand, India
Plant-II	Plot No. 22, Sector-6A, IIE, Sidcul, Ranipur, Haridwar-249403, Uttarakhand, India
Plant-III	Plot No. 2, 3, 4 & 5, Sector-6B, IIE, Sidcul, Ranipur, Haridwar-249403, Uttarakhand, India
Plant-IV	Plot No. 47-48, Sector-6A, IIE, Sidcul, Ranipur, Haridwar, Uttarakhand, India
Plant-V	Plot No. 47-48, Sector-6A, IIE, Sidcul, Ranipur, Haridwar, Uttarakhand, India
Plant-VI	Plot No. 1A, Sector-10, IIE, Sidcul, Ranipur, Haridwar-249403, Uttarakhand, India

Subsidiaries Plant Location

Plant-VII	Plot No. 26A, 27-30, Sector-8A, IIE, Sidcul, Ranipur, Haridwar-249403, Uttarakhand, India
Plant-VIII	Vill. Mankapur, P.O. Lodhimajra, Baddi, Distt: Solan-173205, Himachal Pradesh, India
Plant-IX	Vill-Makhnu Majra, Pargana Dharampur, Post Office - Bhud, Tehsil Baddi, Distt: Solan - 173205, Himachal Pradesh, India
Plant-X	Plot No. 13, Sector-6A, IIE, Sidcul, Ranipur, Haridwar- 249403, Uttarakhand, India
Plant-XI	Plot No. 16, N.H.-58,Vardhman Industrial Estate, Bahadarpur Saini, Roorkee-247667, Haridwar, Uttarakhand, India
Plant-XII	Plot No. B-6, 7, 8 & 9, Sector-I, Siggadi Growth Centre, Sidcul, Kotdwar, Distt: Pauri Garhwal-246149, Uttarakhand, India
Plant-XIII	Plot No. 1 Sector-3, IIE, Sidcul, Ranipur, Haridwar, Uttarakhand, India

Pure & Cure Healthcare Private Limited (Material Subsidiary) API Plant Location

ALS-1	API Manufacturing Unit Village Sundhran P.O Mubarakpur Derabassi (Punjab)
ALS- 2	Plot Plan Lalru for Phase-1 Village Chachrauli P.O Lalru Derabassi (Punjab)
ALS-3	280-281, HSIDC, Barwala Dist., Panchkula

(m) Name and Designation of Compliance officer and address for correspondence by investor:

Mr. Dharamvir Malik
Company Secretary & Compliance officer
Regd. Off: 304 Mohan Place
LSC Saraswati Vihar,
New Delhi – 110034

Corp. Office: Akums House,
Plot no 131 to 133,
Block-C Mangolpuri Industrial Area Phase-I
Delhi – 110083

- (n) **List of all credit ratings obtained by the entity along with any revisions thereto during the relevant financial year, for all debt instruments of such entity or any fixed deposit programme or any scheme or proposal of the listed entity involving mobilization of funds, whether in India or abroad.** The credit ratings assigned to the company during the FY 2024-25, time to time may be referred on the website of the company through the link <https://www.akums.in/investors/credit-rating/>.

14. Other Disclosures:

- (a) **disclosures on materially significant related party transactions that may have potential conflict with the interests of listed entity at large:** There were no materially significant related party transactions during the financial year 2024-25 that could have a potential conflict with the interests of the Company at large. Details of related party transactions, as required under IND AS-24, are disclosed in notes no. 42 the standalone and consolidate audited accounts respectively which is part of the this Integrated Annual Report.
- (b) **details of non-compliance by the listed entity, penalties, strictures imposed on the listed entity by stock exchange(s) or the board or any statutory authority, on any matter related to capital markets, during the last three years:** The equity shares of the company got listed on August 6, 2024 on the stock exchanges (i.e NSE and BSE). No penalties or strictures have been imposed on the Company by the stock exchanges, SEBI, or any other statutory authority in relation to capital market matters during the last three financial years.
- (c) **details of establishment of vigil mechanism / whistle blower policy, and affirmation that no personnel has been denied access to the audit committee:** The Company has established a Vigil Mechanism / Whistle Blower Policy pursuant to the provisions of Section 177 of the Companies Act, 2013 and rules made thereunder as amended from time to time and Regulation 22 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, for its Directors and Employees to report the genuine concerns about unethical behavior, actual or suspected fraud or violation of law and breach of the Company's Code of Conduct, Policies and Guidelines. During the year under report, no complaint received by Director or Employee neither has been denied access to the Audit Committee.

The vigil mechanism / whistle blower policy is available on the website of the Company under 'Disclosure

under Regulation 46 of SEBI' in the Investor section and may be accessed at https://www.akums.in/wp-content/uploads/2025/03/4.-Policy_Whistle-Blower_signed.pdf

- (d) **details of compliance with mandatory requirements and adoption of the non-mandatory requirements:** The Company has complied with the mandatory requirements of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (e) **web link where policy for determining material subsidiaries is disclosed:** The policy for determining 'material' subsidiaries is available on the website of the Company under 'Disclosure under Regulation 46 of SEBI' in the Investor section and may be accessed at <https://www.akums.in/wp-content/uploads/2025/03/Determining-Material-Subsidiaries.pdf>
- (f) **web link where policy on dealing with related party transactions:** The policy on dealing with Related Party Transactions is available on the website of the Company and under 'Disclosure under Regulation 46 of SEBI' in the Investor section and may be accessed at the web link <https://www.akums.in/wp-content/uploads/2025/05/Policy-on-dealing-with-related-party-transactions.pdf>
- (g) **disclosure of commodity price risks and commodity hedging activities:** Exposure to commodity risk with respect to commodity prices primarily arises from the purchases and sales of active pharmaceutical ingredients, including the raw material components for such active pharmaceutical ingredients. The prices of the raw materials generally fluctuate in line with commodity cycles. Commodity price risk exposure is evaluated and managed through operating procedures and sourcing policies.
- (h) **Details of utilization of funds raised through preferential allotment or qualified institutions placement as specified under Regulation 32 (7A):** The Company had not raised any funds through preferential allotment or qualified institutions placement as specified under Regulation 32 (7A) during the financial year 2024-25.
- (i) **a certificate from a company secretary in practice that none of the directors on the board of the company have been debarred or disqualified from being appointed or continuing as directors of companies by the Board/Ministry of Corporate Affairs or any such statutory authority:** M/s SPG & Associates, Company Secretaries (Membership No. FCS 7776, CP No. 8529), have issued a certificate,

confirming that none of the Directors on Board of the Company has been debarred or disqualified from being appointed or continuing as Director of companies by SEBI / MCA or any such authority. The certificate is enclosed with this corporate governance report as **Annexure-A**.

- (j) **where the board had not accepted any recommendation of any committee of the board which is mandatorily required, in the relevant financial year, the same to be disclosed along with reasons thereof:** The Board accepted the recommendations of its Committees, wherever made, during the year.
- (k) **total fees for all services paid by the listed entity and its subsidiaries, on a consolidated basis, to the statutory auditor and all entities in the network firm/network entity of which the statutory auditor is a part:** Total fees for all services paid by the listed entity to the statutory auditor (namely M/s Walker Chandiok & Co LLP) and all entities in the network firm/network entity of which the statutory auditor is a part, is disclosed in note no. 37 of audited Standalone Financial Statement forming part of this Integrated Annual Report.

Further the statutory auditor (namely M/s Walker Chandiok & Co LLP) has been paid a total of INR 6.50 million by the respective subsidiaries for their audit conducted during the FY2025.

- (l) **disclosures in relation to the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013:**
- number of complaints filed during the financial year - 12
 - number of complaints disposed of during the financial year - 12
 - number of complaints pending as on end of the financial year - 0
- (m) **disclosure by listed entity and its subsidiaries of 'Loans and advances in the nature of loans to firms / companies in which directors are interested by name and amount':** The disclosure with respect to Loans and Advances in the nature of Loans to Firms / Companies in which Directors are interested is set out in Note no. 53 of audited Standalone Financial Statements forming part of this Integrated Annual Report.

15. Details of material subsidiaries, including the date and place of incorporation and the name and date of appointment of the statutory auditors of such subsidiaries.

Name of Material Subsidiaries	Date and Place of Incorporation	Name of auditor	Date of appointment
Pure and Cure Healthcare Private Limited	13/09/2005 Uttar Pradesh	Walker Chandiok & Co LLP.	13/12/2020
Malik Lifesciences Private Limited	05/02/2004 Uttarakhand	Walker Chandiok & Co LLP.	13/09/2020
Akumentis Healthcare Limited	29/07/2010 New Delhi	Walker Chandiok & Co LLP.	13/09/2020
Maxcure Nutravedics Limited	10/02/1994 New Delhi	Walker Chandiok & Co LLP.	26/09/2021

16. Non-compliance of any requirement of corporate governance report, with reasons thereof shall be disclosed:

The company has complied with all requirements of corporate governance report for the year 2024-25.

17. The corporate governance report shall also disclose the extent to which the discretionary requirements as specified in Part E of Schedule II have been adopted.

- (a) The Board: Chairperson of the Company being an Executive Director, therefore the provision of

entitlement of chairperson's office at the Company's expense is not applicable.

- (b) Shareholder Rights: Quarterly and half yearly financial statements are published in leading newspapers and uploaded on Company's website at www.akums.in.
- (c) Modified opinion(s) in audit report: Auditors have raised no qualification on the financial statements.
- (d) Separate posts of Chairperson and the Managing Director or the CEO: Presently, Shri Sanjeev Jain or Sandeep Jain, are Managing Directors of the Company, also chairs meetings on being appointed as Chairperson by the directors present at the meeting.

18. The disclosures of the compliance with corporate governance requirements specified in regulation 17 to 27 and clauses (b) to (i) of sub-regulation (2) of regulation 46 shall be made in the section on corporate governance of the annual report: The Company has complied with all the corporate governance requirements specified in Regulations 17 to 27 and clauses (b) to (i) of sub – regulation (2) of Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

However, after cessation of Mr. Nand Lal Kalra (DIN: 05268554) as an Independent Director of the Company effective from 05.02.2025, the composition of the Board no longer complied with the requirement under Regulation 17(1) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, which mandates that at least fifty percent of the Board should comprise Independent Directors. The Company is in the process of appointing an independent director and will again become compliant with the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

- A. Declaration signed by the Managing Directors stating that the members of board of directors and senior management personnel have affirmed compliance with the code of conduct of board of directors and senior management:** The Board noted the confirmation received from that the members of board of directors and senior management personnel that they have complied with the code of conduct of board of directors and senior management.
- B. Compliance certificate received from Mr. Suresh Pandey, Practicing Company Secretary and Partner at SPG & Associates, regarding compliance of conditions of corporate governance annexed with the corporate governance report as Annexure-B.**
- C. Disclosures with respect to demat suspense account / unclaimed suspense account**

The listed entity shall disclose the following details in its annual report, as long as there are shares in the demat suspense account or unclaimed suspense account, as applicable:

Particulars	No. of Shareholders	No. of Equity Shares
aggregate number of shareholders and the outstanding shares in the suspense account lying at the beginning of the year	Nil	Nil
number of shareholders who approached listed entity for transfer of shares from suspense account during the year	Nil	Nil
number of shareholders to whom shares were transferred from suspense account during the year	Nil	Nil
aggregate number of shareholders and the outstanding shares in the suspense account lying at the end of the year	Nil	Nil
that the voting rights on these shares shall remain frozen till the rightful owner of such shares claims the shares	Nil	Nil

"During the financial year 2024–25, 22 equity shares allotted in the IPO of the Company to a shareholder were initially credited to the 'LIIPL – Unclaimed Securities Suspense Account' due to the shareholder's demat account being inactive. Subsequently, upon receipt of details of the active demat account, the said shares were transferred to the shareholder's demat account."

D. Disclosure of certain types of agreements binding listed entities

There is no such agreement which is required to be disclosed under clause 5A of paragraph A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Annexure-A

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

(Pursuant to Regulation 34(3) read with Schedule V Para C clause (10)(i) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members of
Akums Drugs and Pharmaceuticals Limited
CIN: L24239DL2004PLC125888
304, Mohan Place, LSC, Saraswati Vihar,
Delhi-110034

I have examined the relevant registers, records, forms, returns and disclosures received from the Directors of **Akums Drugs And Pharmaceuticals Limited (CIN-L24239DL2004PLC125888)** and having **Registered office at 304, Mohan Place, LSC, Saraswati Vihar, Delhi-110034** (hereinafter referred to as 'the Company'), produced before me by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In my opinion and to the best of my information and according to the verifications (including Directors Identification Number (DIN) status at the portal www.mca.gov.in) as considered necessary and explanations furnished to me by the Company & its officers, I hereby certify that none of the Directors on the Board of the Company as stated below for the **Financial Year ended on 31st March, 2025** have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs, or any such other Statutory Authority.

Sl. No.	Name of Director	DIN	Date of Appointment in Company
1.	Kewal Kundanlal Handa	00056826	16.03.2022
2.	Matangi Gowrishankar	01518137	16.03.2022
3.	Sandeep Jain	00323476	19.04.2004
4.	Sanjeev Jain	00323433	19.04.2004
5.	Satwinder Singh	00164903	17.01.2024
6.	Sunil Kumar Thakur	03266370	17.01.2024
7.	Sanjay Sinha	03627342	17.01.2024

Ensuring the eligibility for the appointment / re-appointment/continuity of a Director on the Board of the Company is the ultimate responsibility of the management of the Company. Our responsibility is to express an opinion on the bases of the disclosure/information provided by the management of the company. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For SPG & Associates

Company Secretaries
Firm Registration No.:- P2009DE074200
Peer Review Certificate No.:-1318/2021

Sd/-

CS Suresh Pandey

Partner

FCS:- F7776 C.P. No.:-8529

Place: Delhi
Date: 2ND May 2025
UDIN: F007776G000253912

Annexure-B**CORPORATE GOVERNANCE COMPLIANCE CERTIFICATE**

**[Pursuant to Regulation 34(3) read with Schedule V Para E of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015]**

To,
The Members
Akums Drugs and Pharmaceuticals Limited
(CIN: L24239DL2004PLC125888)

We have examined all relevant records of Akums Drugs And Pharmaceuticals Limited (the Company), having its Registered Office situated at 304, Mohan Place, LSC, Saraswati Vihar, Delhi-110034 for the financial year ended on March 31, 2025, as stipulated in the relevant regulations of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulation, 2015 as amended from time to time.

The compliance of the conditions of Corporate Governance is the responsibility of the management. Our examination was limited to a review of procedures and implementation thereof, adopted by the Company for ensuring compliance with the conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above-mentioned Listing Regulations.

We further state that this certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For SPG & Associates

Company Secretaries
Firm Registration No.:- P2009DE074200
Peer Review Certificate No.:-1318/2021

Place: Delhi
Date: 2ND May 2025
UDIN: F007776G000254055

Sd/-
CS Suresh Pandey
Partner
FCS:- F7776 C.P. No.:-8529

Management's Discussion and Analysis

Economic Overview

Global Economic Review¹

The global economy exhibited resilience despite early concerns about a potential recession driven by supply chain issues, geopolitical tensions in the West and inflationary pressures, achieving a growth rate of 3.3% in CY 2024. In CY 2024, emerging markets and developing economies grew faster than advanced economies with a growth rate of 4.3% and 1.8% respectively. This expansion in global economic activity was supported by a decline in global inflation, which fell from 6.8% in CY 2023 to 5.7% in CY 2024.

The decline in inflation was largely attributed to the implementation of stringent monetary policies by central banks and an expansion in energy supply, both of which played a crucial role in stabilising price levels and sustaining economic growth. Despite concerns over potential stagflation and recession, economic activity maintained a steady pace of expansion, supported by robust government expenditure and resilient household consumption.

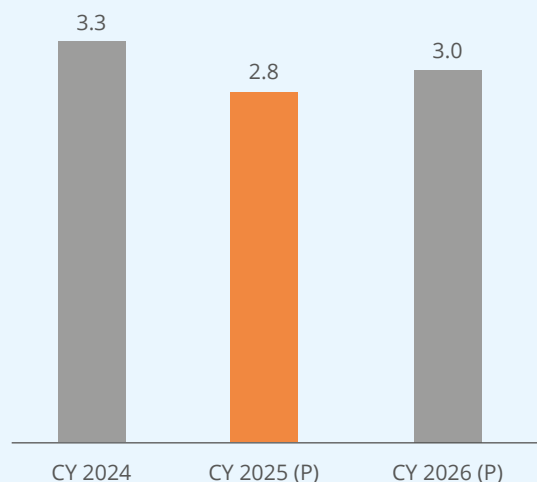
The United States (US) economy has demonstrated surprising resilience amid global disinflation trends. Emerging markets have also demonstrated strength as they navigated a complex and challenging economic landscape. The US Federal Reserve has implemented a series of interest rate cuts to further stimulate economic growth. By reducing borrowing costs, these measures aim to enhance consumer spending, boost business investments and sustain economic momentum.

In the forthcoming years, the global economic outlook remains positive as central banks transition toward more expansionary monetary policies and inflationary pressures continue to subside across various regions. Global GDP growth is projected to stabilise at 2.8% in CY 2025 and 3.0% in CY 2026, signalling a gradual economic recovery despite persistent geopolitical challenges. The emerging markets and developing economies are expected to increase by 3.7% in CY 2025 while the advanced economies are projected to grow by 1.4% during the same period. Moreover, emerging economies such as the Philippines and South Africa are set for strong growth, driven by sectoral strengths and rising consumption. The projected growth in the global economy will be supported by the declining global inflation level to 4.3% in CY 2025 and 3.6% in CY 2026. Moreover, as per the expectations, the global inflation level is anticipated to meet its target level faster in advanced economies than in the emerging market and developing economies.

The anticipated easing of monetary policies is expected to create a more favourable environment for sustained economic expansion. While challenges persist—particularly geopolitical tensions and structural constraints in key emerging markets such as China—the overall outlook indicates that sustained government initiatives and a commitment to medium-term fiscal consolidation will play an important role in fostering a stable and inclusive growth trajectory.

Further to this, the international trade is anticipated to remain positive and grow by 3.2% in CY 2025 driven by healthy exports of both manufactured goods and services from the Asian economies. The global inflation level is anticipated to decrease further to 4.3% in CY 2025, offering a favourable business environment globally.²

Growth in the Global GDP



P-projected

Source: World Economic Outlook
April 2025, IMF

¹<https://www.imf.org/en/Publications/WEO/Issues/2025/04/22/world-economic-outlook-april-2025>

²<https://www.imf.org/external/datamapper/PCPIPCH@WEO/QEMDC/ADVEC/WEOWORLD/SSA>



Indian Economic Review

India's economy continues to be the fastest-growing major economy, with an estimated 6.5% GDP expansion in FY 2024-25³. The growth in the domestic economic activity was supported by declining inflation level from 5.4% in FY 2023-24⁴ to 5.2% in FY 2024-25. This resilience stems from strategic government policies, strong private consumption and rising investments. Along with this, there has been a significant rise in private final consumption within the economy, accompanied by a strong increase in adoption of e-commerce among individuals.

The government's focus on fostering a business-friendly environment, particularly through increased foreign direct investment (FDI) in manufacturing, has further propelled growth. In FY 2025, India attracted USD 81.04 billion in FDI, marking a increase from FY 2024, with key beneficiaries including manufacturing and retail.

The 'China+1' strategy, 'Make in India' and targeted policy interventions played a pivotal role in driving domestic manufacturing activity throughout the year. The expansion of manufacturing not only strengthened core industries but also had a ripple effect on niche sectors such as pharmaceuticals.

To further accelerate growth, the Indian government strategically implemented the Production-Linked Incentive (PLI) scheme, allocating INR 15,000 crore to support domestic manufacturers. This initiative aimed to enhance financial backing, diversify pharmaceutical production portfolios and upgrade manufacturing facilities, reinforcing India's position as a global manufacturing hub⁵.

The Indian economy is expected to sustain positive growth in the coming years, driven by strong investment activities and increased public expenditure by the government. As per IMF, India has surpassed Japan to become the world's fourth-largest economy. India is now positioned to displace Germany to become the third-largest economy by FY 2028. Furthermore, India is closely observing the evolving global tariff scenario, while crafting a calibrated response.

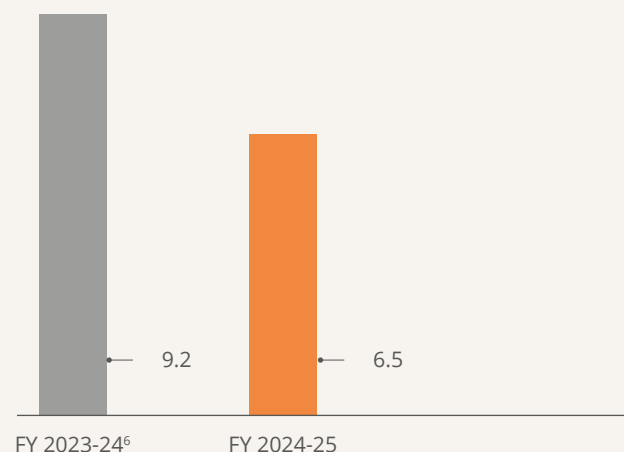
4th

Largest economy

14%

Growth in FDI⁷

GDP growth trend in India (%)



*Projected

Source: RBI Bulletin April 2025

Company Overview

“The Government of Zambia and Akums will together set up manufacturing facilities to meet the pharmaceutical demand of the region.”

Akums has entered into a Memorandum of Understanding with The Government of Republic of Zambia through Ministry of Health situated at Ndeke House, in Lusaka Province for Local Manufacturing of medicines and to recognise the existing collaboration between the Zambian Government and Akums in the field of medicines and medical supplies and to strengthen collaboration between the entities. Further to this, Akums and Zambia Government is working on signing of the definitive agreement to set up a manufacturing facility at Zambia.

³<https://rbidocs.rbi.org.in/rdocs/Bulletin/PDFs/0BULLETIN17012025618F21033FC94574912BFCF428F88A50.PDF>

⁴<https://www.cmie.com/kommon/bin/sr.php?kall=warticle&dt=20240208113526&msec=190>

⁵<https://www.pib.gov.in/PressNoteDetails.aspx?NotelD=152038&ModuleId=3®=3&lang=1>

⁶<https://www.pib.gov.in/PressReleasePage.aspx?PRID=2106921>

⁷<https://www.pib.gov.in/PressReleasePage.aspx?PRID=2131716>

India's no. 1

CDMO focused Company

31 DCGI

Launched in FY 2025

1,412

Number of customers

70+

Countries where Akums products are exported

AA rating

Stable for long-term

A1+ rating

For the Short term

9.3%

of Indian CDMO market captured as on FY 24 (in terms of values)

8.8%

Market captured in Indian pharmaceutical market as on FY24 (IPM, by volume)

14

Manufacturing facilities

95%

Domestic

Key Performance of the Company in FY 2024-25



- Received a patent for its room temperature stable oral suspension of Hydroxyurea to manage sickle cell disease
- Received exclusive rights for manufacture and market products innovated by Triple Hair Inc. Commercial production of the new injectable facility in Haridwar
- Signed memorandum of understanding (MoU) with the Government of Zambia for local manufacturing of medicines
- Received exclusive rights for manufacture and market products innovated by Caregen Co. Ltd., a leading South Korean company in Nutraceuticals segment
- Entered into an agreement with one of the leading global pharmaceutical companies for the manufacture and supply of selected pharmaceutical formulations in the European market, with a composite value of approximately 200 million Euro

Key Strengths



- Varied clientele

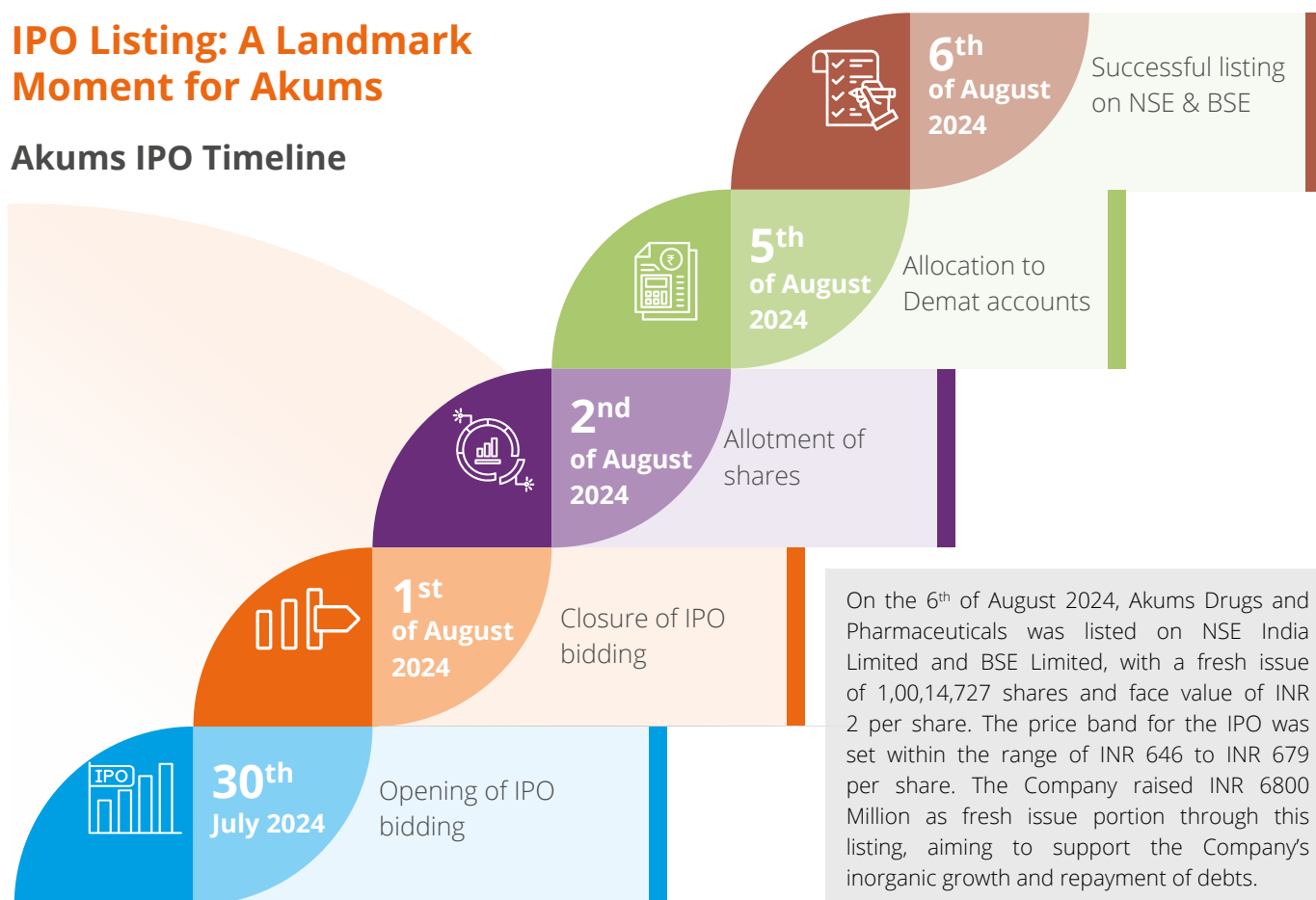
The diversified client base of the Company consists of pharmaceutical companies, nutraceutical companies, wellness companies, healthcare providers as well as central and the state government. This benefits the Company by supporting its sustainable growth and minimising its reliance on a single industry.

- Rapidly growing R&D capabilities

With a strong leadership position in the Indian CDMO industry, the Company offers differentiated products and services. This is strongly supported by the Company's consistency in improving its R&D and innovation facilities.

IPO Listing: A Landmark Moment for Akums

Akums IPO Timeline



Pharmaceutical Industry

Global Pharmaceutical Industry

Fuelled by increased consumer spending and the stabilisation of inflation levels in the US and European Union (EU), CY 2024 has proven to be a pivotal year for the global pharmaceutical industry. This resurgence was marked by the resumption of clinical trials, driven by the heightened demand for safe and effective pharmaceutical solutions. Despite the persistent volatility in the global economic landscape,

the industry effectively navigated challenges, including escalating geopolitical tensions, rising inflation and supply chain disruptions. The global pharmaceutical market reached a size of USD 1,763.90 billion in CY 2024⁹.

Throughout the reporting year, the global pharmaceutical industry placed a strong emphasis on the development of innovative therapies, thereby enhancing the solutions provided to patients. Strategic collaborations between pharmaceutical companies and regulatory bodies played a crucial role in fostering sustainable growth within the industry.

The global pharmaceutical market is projected to reach a size of USD 1,922 billion by CY 2028⁷. The Asia Pacific region is expected to lead the generic drug market, followed by Europe, North America, Latin America, Africa and the Middle East. The continued digital transformation of the industry will further drive productivity, enabling enhanced data collection and supporting more informed decision-making. As the industry continues to expand, key players are expected to prioritise the enhancement of their market presence, resulting in a significant increase in mergers and acquisitions activities in the coming years.

Indian Pharmaceutical Industry

The Indian pharmaceutical industry is globally regarded as the 'Pharmacy of the World' for its ability to meet the global demand for vaccines and essential medicines. It is ranked as the 13th largest pharmaceutical industry by value and the third largest by volume, globally. Additionally, the sector accounts for 60% of the world's vaccines and it supplies more than 20% of the global generic medicines industry⁸. Over time, the industry has significantly enhanced its innovative capabilities, reinforcing its role as a key player in the international pharmaceutical market. In the reporting year, there was a marked increase in research and development activities among leading pharmaceutical companies, underscoring the sector's continued advancement and contribution to global healthcare.

Further to this, the growth was principally fuelled by an increased demand across both Tier 1 cities and rural markets, reflecting the expanding reach and accessibility of pharmaceutical products throughout the country. Since the pharmaceutical sector is regulated, every stage of the process—from medicine production to marketing—is regulated to guarantee that patients have access to safe and efficient products.

The R&D activities undertaken by the industry have had a significant positive impact on the overall growth and revenue generation during the reporting year. By leveraging cost-effective R&D initiatives, the industry has enabled key pharmaceutical players to optimise their operational costs. Moreover,

collaborations and partnerships between Indian companies and global industry leaders have played a significant role in supporting the R&D efforts throughout the year, enhancing innovation and strengthening the industry's competitive position.

The Indian industry witnessed healthy foreign direct investment, amalgamation and collaboration. Additionally, the number of Abbreviated New Drug Applications (ANDA) to the United States Food and Drug Administration (US FDA) increased over the years. Presently, India has the largest number of US FDA approved manufacturing sites. This significantly boosts the global confidence in Indian manufactured drugs and pharmaceutical products.

In addition, the domestic pharmaceutical industry has emerged as one of the preferred sectors for global investors. Recognising this potential, the Indian government has permitted 100% foreign direct investment (FDI) through the automatic route, further facilitating investment and fostering growth within the sector.

Government Policies Supporting the Growth of the Indian Pharmaceutical Industry

Pradhan Mantri Bhartiya Janaushadhi Pariyojana (PMBJP)



- Promoting safe medicines among patients at affordable price
- Making generic medicines available to the masses

Scheme for Promotion of Bulk Drug Parks



- Providing the drug parks with required infrastructural facilities
- Making India self-reliant in bulk drug production

Scheme for Promotion of Research and Innovation in Pharma MedTech Sector (PRIP)



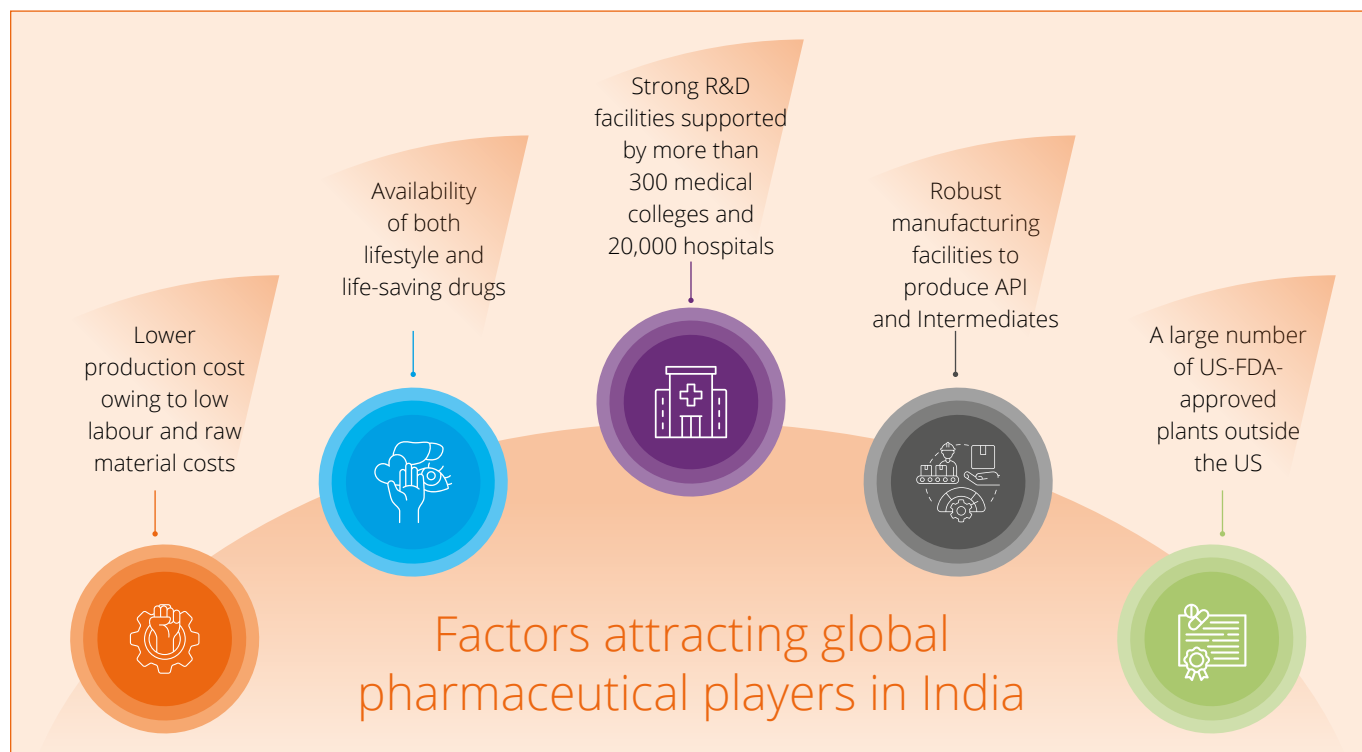
- Introduced by the Indian Government to position India as a global powerhouse for R&D in Pharma MedTech sector
- The scheme was introduced with a total financial outlay of INR 5,000 Crores

⁷https://pharmexcil.com/uploads/files/Hand_Book_16_08_2024.pdf

⁸<https://www.brickworkratings.com/Research/Drugsand%20Pharmaceuticals%20Industry-India-Nov2024.pdf>

⁹<https://www.fortunebusinessinsights.com/impact-of-covid-19-on-pharmaceuticals-market-102685>

In the coming years, the Indian pharmaceutical industry is projected to experience significant growth, with an expected market size of USD 130 billion by 2030⁹. The forecasted growth of the industry is expected to be driven by strong support from the Indian government, coupled with expanded collaborations with public and private research institutions. Further to this, the volume of clinical trials is projected to increase, with the clinical trials market forecast to attain a value of USD 3.37 billion, representing a compound annual growth rate (CAGR) of 8.6% from 2025 to 2030.⁷ Additionally, the sector is expected to witness a rise in investments in APIs, which is likely to further bolster exports in the coming years.



Contract Development and Manufacturing Organisation (CDMO)

Global CDMO

The CDMO sector plays a pivotal role in facilitating drug development and clinical trial activities. In CY24, the global CDMO industry reached a market size of USD 184.90 billion, with the Asia Pacific region making a substantial contribution to the industry's growth¹⁰. Moreover, the API segment accounted for the largest share in the CDMO in CY24.

The growth of the CDMO industry is driven by the enhancement of pharmaceutical manufacturing standards, the introduction of new therapies and the rising demand for personalised medicines. Additionally, CDMOs have adopted sustainable manufacturing practices and implemented automation to further enhance productivity and operational efficiency.

The pharmaceutical CDMO sector is projected to reach a market size of USD 368.70 billion by 2034, reflecting a CAGR of 7.2% from 2024 to 2034. Furthermore, the Finished Dosage Formulation (FDF) development segment is projected to grow at a CAGR of 7.9% from 2024 to 2034¹¹. From a regional perspective, North America is expected to emerge as the fastest-growing market in the coming years, driven by its well-established pharmaceutical industry and advanced infrastructure.

Indian CDMO

The Indian CDMO industry has achieved notable success, making it a preferred destination among global pharmaceutical players seeking outsourcing services. The Indian industry is well known for its ability to produce high-quality generics. Its growth can be attributed to rising demand for generic drugs and biosimilars, as well as the increasing tendency among pharmaceutical companies to outsource manufacturing activities. Cost-efficient

⁹https://www.nishithdesai.com/fileadmin/user_upload/pdfs/Research_Papers/The-Indian-Pharmaceutical-Industry.pdf

¹⁰<https://www.globenewswire.com/news-release/2024/11/28/2988792/0/en/Pharmaceutical-CDMO-Market-Size-Projected-to-Reach-USD-368-70-Bn-by-2034.html#>

¹¹<https://www.precedenceresearch.com/pharmaceutical-cdm0-market#>

manufacturing capabilities, skilled workforce and robust pharmaceutical infrastructure have also driven the growth in the Indian CDMO industry. Along with this, India's strong position for the production of generic drugs has also enabled the growth in the Indian CDMO industry. It is necessary for the pharmaceutical manufacturers to abide by the provisions of Schedule M of DCR as prescribed by GMP guidelines in compliance with the international GMP standards of the World Health Organisation (WHO-GMP). This has positively affected the contract manufacturing activities between Indian and foreign players in the industry. Furthermore, the contract manufacturing services lead the CDMO industry in India because of the capability for large-scale production of pharmaceutical products. During the reporting year, there existed a trend where the Indian CDMO players heavily invested in technological advancements such as continuous manufacturing and bioprocessing. The presence of both established and emerging players in the CDMO industry makes it heavily competitive. Moreover, strategic partnerships and mergers have further increased the competition in the industry.

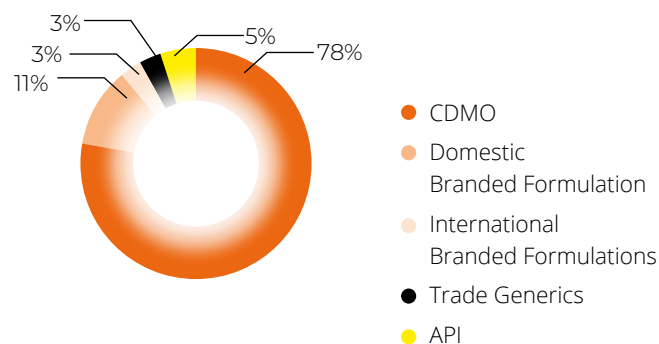
Shifting geopolitical dynamics have led major economies, such as the US, to seek alternatives beyond China for diversifying the pharmaceutical supply chain and benefitting the Indian CDMO industry. Along with this, the increasing global demand for biologics is anticipated to offer the Indian CDMO with growth opportunities. The contract manufacturing services are projected to grow at a CAGR of 14.6 % through 2031 supported by cost efficiency, high-quality production and increased global outsourcing¹². Additionally, the expansion of CDMO activities in India will be further supported by various initiatives undertaken by the Indian government to strengthen manufacturing capabilities within the pharmaceutical sector.

Key Focus of the Indian CDMO Industry During FY 2025



- Adhering to Good Manufacturing Practices (GMP) and following the guidelines of the regulatory body
- Integrating digital tools and automated systems to monitor the manufacturing process
- Building a strong workforce who are also updated with the latest regulations

Segment-wise Performance Highlights- (Only for the revenue of FY 2025)



CDMO

The CDMO is the flagship business of Akums and it contributes three-fourths of the group's revenue. In the reporting year, the Company operated 13 manufacturing plants to assist its CDMO manufacturing activities.

Revenue generated

CDMO

FY 2025
INR 3,208 Cr.

Branded Formulations

Akums market has a wide range of branded formulations, including gynaecology, cardiology and paediatrics. In the reporting year, the Company sold its brands with the help of well-established domestic marketing strategies and a robust distribution network.

Revenue generated

Branded formulations

Domestic Branded Formulation Revenue
INR 434 Cr.

International Branded Formulations Revenue
INR 143 Cr

¹²<https://www.persistencemarketresearch.com/market-research/india-cdm0-market.asp>

Generic Formulations

Akums, through its several wholly-owned subsidiaries, provides generic products through trade channel. The focus is on supplying affordable, high-quality products to PAN India network of distributors.

Export of pharmaceutical formulations – Akums

With the help of its dedicated export marketing Company, Akums markets its products to more than 70 countries across a range of dosage and therapeutic areas.

API

Akums' has a long expertise in safely manufacturing high-quality APIs to meet the specific needs of its customers. Over the years, the Company has made significant investments to enhance the manufacturing facilities that adhere to the global regulatory standards, to assist in the Company's API manufacturing activities.

Revenue generated

API
FY 2025
INR 219 Cr.

Key Financial Highlights

(in INR million)

S. No.	Financial KPIs	Unit	Year ended		Note reference
			31-Mar-25	31-Mar-24	
(a)	Revenue from operations	(INR in million)	41,181.58	41,781.82	
(b)	EBITDA	(INR in million)	5,018.98	1,570.10	Note 1
(c)	EBIT	(INR in million)	3,485.35	313.70	Note 2
(d)	EBIT margin	%	8.36%	0.74%	Note 3
(e)	Profit for the year	(INR in million)	2,203.30	7.90	
(f)	Segment results before depreciation	(INR in million)			
	- CDMO		4,181.64	4,866.92	
	- API		-428.02	-455.14	
	- Branded & Generic Formulations		970.61	590.58	
(g)	Segment results before depreciation margin	%			Note 4
	- CDMO		13.03%	14.90%	
	- API		-19.52%	-21.42%	
	- Branded & generic formulations		14.05%	8.45%	
(h)	Adjusted EBITDA#	(INR in million)	4,980.31	5,147.84	Note 5
(i)	Adjusted EBIT#	(INR in million)	3,446.68	3,891.44	Note 6



Key Financial Highlights

(in INR million)

S. No.	Financial KPIs	Unit	Year ended		Note reference
			31-Mar-25	31-Mar-24	
(a)	Fixed asset turnover ratio	Times	2.95	3.30	Note 7
(b)	Debt-equity ratio	Times	0.00	0.69	Note 8
(c)	Return on equity	%	7.40%	0.11%	Note 9
(d)	Return on capital employed	%	14.45%	3.37%	Note 10
(e)	Adjusted Return on equity#	%	7.27%	17.19%	Note 11
(f)	Adjusted Return on Capital employed#	%	14.29%	16.94%	Note 12
(g)	Adjusted EBITDA margin	%	11.9%	12.2%	Note 13
(h)	Adjusted EBIT margin	%	8.27%	9.24%	Note 14
(i)	EBITDA margin	%	12.04%	3.73%	Note 15
(j)	Profit after tax margin	%	5.28%	0.02%	Note 16

Calculated without considering the computation of fair value of the put option liability. The Put option liability arose as a result of buyback obligation on account of certain exit rights granted to Ruby QC Investment Holdings Pte. Ltd. by our Company, under the shareholder agreement, dated October 3, 2019, entered among our Company and the Promoters. This put option liability or the buyback obligation is recognised as a financial liability and is re-measured at each accounting date and has been recognized as fair value changes to the financial instrument in the Consolidated Financial Information in accordance with Ind AS 109 "Financial Instruments" applicable to our Company. On May 29, 2024, Ruby QC Investment Holdings Pte. Ltd. waived its exit right, which required our Company to buy back the Equity Shares held by Ruby QC Investment Holdings Pte. Ltd., or any portion thereof, in accordance with applicable law.

Notes:

- (1) EBITDA refers to sum of EBIT and depreciation and amortization expense.
- (2) EBIT refers to earnings before interest and tax, calculated as the sum of restated profit/(loss) before share of profit/(loss) of associates and exceptional items for the year and finance costs.
- (3) EBIT margin is calculated as EBIT divided by total income.
- (4) Segment results before depreciation margin is calculated as segment results before depreciation from each segment divided by revenue from operations from that segment.
- (5) Adjusted EBITDA is calculated as the sum of restated profit for the year, tax expenses, finance costs, depreciation and amortization expense, fair value changes to financial instruments, share of profit/ (loss) of associates and exceptional items.
- (6) Adjusted EBIT is calculated as the sum of our restated profit/(loss) before share of profit/(loss) of associates and exceptional items for the year, finance costs and fair value changes to financial instruments.
- (7) Fixed asset turnover ratio is calculated as revenue from operations divided by fixed assets at the end of the year. Fixed assets includes Property, plant and equipment, Capital work-in-progress, Other intangible assets and Intangible assets under development
- (8) Debt-equity ratio is calculated by dividing total debt (including both current and non-current borrowings) by equity attributable to equity holders of the parent.
- (9) Return on equity is calculated by dividing restated profit for the year by total equity.
- (10) Return on Capital Employed is calculated as EBIT divided by capital employed (i.e. sum of total equity and net debt). Net debt is calculated as total debt (including both current and non-current borrowings) less cash and cash equivalent, bank balance other than cash and cash equivalents and fixed deposits with remaining maturity of more than 12 months.
- (11) Adjusted return on equity is calculated by dividing the sum of profit after tax for the year and fair value changes to financial instrument by the sum of total equity and put option liability.

- (12) Adjusted return on capital employed is calculated as Adjusted EBIT divided by capital employed (i.e. sum of total equity, net debt and put option liability). Net debt is calculated as total debt (including both current and non-current borrowings) less cash and cash equivalent, bank balances other than cash and cash equivalents and fixed deposits with remaining maturity of more than 12 months.
- (13) Adjusted EBITDA margin is calculated as Adjusted EBITDA divided by total income.
- (14) Adjusted EBIT margin is calculated as Adjusted EBIT divided by total income.
- (15) EBITDA margin is calculated as EBITDA divided by total income.
- (16) Profit after tax margin is calculated as the percentage of restated profit after tax for the year divided by total income.

Human Resource (HR)

The Company's human resources are a critical asset in ensuring the successful execution of the Company's operations. As of FY 2024-25, the Company has employed a total of 17,500+ employees. The high retention rate reflects the Company's commitment to fostering a conducive work environment and its ability to attract, retain and nurture a highly skilled talent pool.

The Company places significant emphasis on continuous learning and professional development, equipping employees with the necessary skills to enhance their competencies and remain aligned with industry advancements. Through structured training programmes and upskilling initiatives, Akums ensures that its workforce remains agile, innovative and well-prepared to contribute effectively to the Company's sustained growth and operational excellence.



Risk Management

	Key Risks	Mitigation Strategies
Economic risk 	The Company's performance is closely linked to prevailing economic conditions. Consequently, any adverse fluctuations in key economic indicators, such as inflation levels and interest rates, may pose challenges to the Company's operations and overall business performance.	The net cash positive strategy followed by the Company helps it to effectively navigate any adverse impact in the economy, including fluctuations in the economy. Furthermore, it passes the increased input costs on to the clients, such that the fluctuations in the raw materials have a minimal impact on the Company's operations.

	Key Risks	Mitigation Strategies
International trade risk 	Ongoing geopolitical shifts have the potential to influence international trade, which may, in turn, affect the Company's export revenue and weaken its competitive position in global markets.	The Company has a diverse global presence, limiting its reliance on a single location. This also limits its vulnerability to shifts in the region-specific global economic landscape. Additionally, imports account for only 6% of the Company's sales, offering a natural hedging.
Procurement risk 	Akums relies on the efficient procurement of raw materials to sustain its operations. Any disruptions in the supply chain or obstacles to the seamless acquisition of raw materials may adversely impact the Company's productivity.	The Company has numerous sources for procuring key ingredients. In addition, efficient supply chain management is being integrated, including the maintenance of surplus inventories to satisfy the needs. These procedures enable the Company to effectively mitigate the risk posed by interrupted procurement operations.
Operation risk 	Any disruptions in the Company's manufacturing capabilities may adversely affect its business operations and overall efficiency.	Currently, the manufacturing capacity for each API product exceeds the market requirement by more than 160%. This additional capacity helps to reduce risk associated with manufacturing disruptions.
Competition risk 	Akums operates in a highly competitive market, where the presence of key players may exert pricing pressure, potentially affecting the Company's market share and overall competitiveness.	Implementing efficient strategies such as effective sourcing, cost optimisation, better R&D, a strong emphasis on quality and a customer-focused approach allows the Company to stay ahead of the competition.
Compliance risk 	The Company is obligated to comply with all applicable legal and regulatory requirements to safeguard its operations and protect its profitability from potential disruptions.	Given the importance of regulatory compliance, the Company follows industry standards, quality control procedures and legal frameworks. This allows the Company to reduce the risks associated with regulatory violations and legal penalties. In addition, the Company has introduced a number of tools to digitise its compliance tracking system.
Financial risk 	It is imperative for the Company to effectively manage its financial strategies, as any disruption in cost optimisation or capital allocation could significantly impact profitability and hinder the long-term sustainable growth of the Company.	Akums implements financial measures such as quality budgeting and forecasting, as well as careful monitoring of operational cash flow and free cash flow. Also, adopting an effective capital allocation strategy by reviewing the performance of existing investments helps to mitigate risks associated with inefficient financial management.

Subsidiary Update

The Company incorporated a wholly owned subsidiary, Akums Healthcare UK Limited, on March 18, 2025, in the United Kingdom, to expand its international footprint and strengthen its presence in the global healthcare market.

Company Outlook

Given the sustained long-term demand for outsourced drug development and manufacturing, it is expected that Akums' performance and profitability will be positively influenced through the implementation of effective strategies. Moreover, the Company's continued efforts to strengthen its relationships with its client base by providing the necessary formulations and therapies will remain crucial to driving growth. Additionally, Akums plans to commence commercial production at its newly acquired land for the Jammu plant by 2026-27, which is expected to significantly enhance the organisation's volume productivity and contribute to its long-term growth.

Internal Control and Adequacy

The Company has a strong internal control system in place to guarantee that all divisions run smoothly. This system is well-suited to the Company's type and scope of operations, providing for effective financial monitoring while also assuring

legal and regulatory compliance. As a result, it increases overall operational efficiency. The Company has been using compliance tool all across the group for tracking and monitoring all types of compliance which helped in devising the proper mechanism for good compliance management. Internal audits are conducted on a regular basis by certified accounting firms to ensure transparency and accountability. The Audit Committee of the Board of Directors receives the findings from these audits, as well as any corrective actions performed. The committee carefully evaluates these reports, evaluating the adequacy and efficacy of internal control procedures.

Cautionary Statement

The Management Discussion and Analysis (MDA) section may include forward-looking statements regarding potential future developments. However, these projections and forecasts are subject to a range of known and unknown risks, which could significantly impact actual outcomes. Variations in the broader economic environment may introduce unforeseen challenges and uncertainties that could affect the organisation and its operations. The insights presented in these projections are derived from a combination of internal and external data, forming the basis for certain facts and figures provided. It is important to acknowledge that the estimates used in these projections inherently carry a degree of uncertainty.



Business Responsibility & Sustainability Report



SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity:	L24239DL2004PLC125888
2.	Name of the Listed Entity:	Akums Drugs & Pharmaceuticals Limited
3.	Year of incorporation:	2004
4.	Registered office address:	304, 3rd Floor, Mohan Place, L.S.C, C-Block, Saraswati Vihar Delhi-110034
5.	Corporate address:	Akums House, Plot No. 131 to 133, Block-C, Mangolpuri Ind. Area, Phase-I, Delhi - 110083
6.	E-mail:	akumsho@akums.net
7.	Telephone:	011- 69041000
8.	Website:	www.akums.in
9.	Financial year for which reporting is being done:	2024-25
10.	Name of the Stock Exchange(s) where shares are listed:	1. BSE Limited 2. National Stock Exchange of India
11.	Paid-up Capital:	31,47,87,976
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report:	Dharamvir Malik, Company Secretary and Compliance Officer
13.	Reporting boundary -	Consolidated
14.	Name of assurance provider:	Not Applicable (NA) for the current financial year
15.	Type of assurance obtained:	NA

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Manufacturing of pharma products and rendering of allied services	CDMO	77.9%
		API	5.3%
		Domestic Branded Formulations	10.5%
		International Branded Formulations	3.5%
		Trade Generics	2.8%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service*	NIC Code	% of total Turnover contributed
1	Pharmaceutical formulations	2100	100.00%

*Considering "Pharmaceutical formulations" as a single product/service including testing, development and job work charges charged to customers.

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	14	5	20
International	0	0	0

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	All over india
International (No. of Countries)	72

b. What is the contribution of exports as a percentage of the total turnover of the entity?

- 3.5%

c. A brief on types of customers

Akums serves a diverse range of customers, including:

Pharmaceutical Companies: Akums manufactures formulations for leading pharmaceutical companies such as Alembic Pharmaceuticals, Alkem Laboratories, Cipla, Dabur India, Dr. Reddy's Laboratories, Ipca Laboratories, Mankind Pharma, and Sun Pharmaceutical.

Healthcare Providers: The Company supplies products to physicians, pharmacists, and hospitals who prescribe or dispense its medicines.

Distributors and Retailers: Akums engages with distributors and retail pharmacy outlets across India to ensure widespread availability of its products.

International Markets: Through its subsidiaries, Akumentis and Unosource, Akums markets branded formulations globally, exporting to over 60 countries.

Government and Regulatory Bodies: The Company works closely with government agencies and regulatory bodies to ensure compliance and quality standards.

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	6,737	5,966	88.56%	771	11.44%
2.	Other than Permanent (E)	25	24	96.00%	1	4.00%
3.	Total employees (D + E)	6,762	5,990	88.58%	772	11.42%
WORKERS						
4.	Permanent (F)	799	782	97.87%	17	2.13%
5.	Other than Permanent (G)	10,303	6,790	65.90%	3,513	34.10%
6.	Total workers (F + G)	11,102	7,572	68.20%	3,530	31.80%

b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	14	13	92.86%	1	7.14%
2.	Other than Permanent (E)	0	0	0.00%	0	0.00%
3.	Total differently abled employees (D + E)	14	13	92.86%	1	7.14%
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	6	6	100.00%	0	0.00%
5.	Other than Permanent (G)	10	9	90.00%	1	10.00%
6.	Total differently abled workers (F + G)	16	15	93.75%	1	6.25%

21. Participation/Inclusion/Representation of women

S. No.	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	7	1	14.28%
Key Management Personnel	5	0	0

22. Turnover rate for permanent employees and workers

Disclose trends for the past 3 years

	FY'2024-25			FY'2023-24			FY'2022-23		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	35.71%	48.55%	37.21%	60.38%	66.13%	61.05%	45.82%	42.63%	45.47%
Permanent Workers	25.92%	18.18%	25.76%	29.55%	33.33%	29.60%	25.83%	0.00%	25.76%

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. (a) Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the holding /subsidiary/ associate companies/ joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares ³ held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	Pure & Cure Healthcare Pvt. Ltd.	Wholly owned subsidiary (WOS)	100.00%	Yes
2	Maxcure Nutravedics Ltd.	WOS	100.00%	Yes
3	Malik Lifesciences Pvt. Ltd.	WOS	100.00%	Yes
4	Akums Healthcare Ltd.	WOS	100.00%	Yes
5	Qualymed Pharma Pvt. Ltd.	WOS	100.00%	No
6	Akumentis Healthcare Ltd.	Subsidiary	91.50%	Yes
7	Unosource Pharma Ltd.	WOS	100.00%	Yes
8	Sarvagunaushdhi Pvt. Ltd.	WOS	100.00%	No
9	Plenteous Pharmaceuticals Ltd.	WOS	100.00%	No
10	Nicholas Healthcare Ltd.	WOS	100.00%	No
11	Upadhrish Reserchem LLP	WOS	100.00%	Yes
12	Medibox Pharma Pvt. Ltd.	Step Down Subsidiary	100.00%	No
13	Akums Healthcare UK Ltd.	WOS	100.00%	No

VI. CSR Details

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes

(ii) Turnover (Standalone in Cr.) - 1,444.12

(iii) Net worth (Standalone in Cr.) - 143.88

VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY'2024-25			FY'2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	No	0	0	NA	0	0	NA
Investors (other than shareholders)	No	0	0	NA	0	0	NA
Shareholders	No	0	0	NA	0	0	NA
Employees and workers	Yes support@myakumentis.com	0	0	NA	0	0	NA
Customers	Yes, https://www.akums.in/contact-us/	925	46	NA	809	0	NA
Value Chain Partners	No	0	0	NA	0	0	NA

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
Environment					
1	Water management	R	Water scarcity and pollution can impact production processes and community relations.	Investing in water-efficient technologies and wastewater treatment systems.	Negative: Increased operational costs.
2	Waste management	R	Frequent regulatory changes require timely compliance, posing a risk. Proper waste disposal is essential for environmental safety. Secured storage demands significant space, and managing diverse waste types within limited areas adds to the challenge.	A strong compliance framework with continuous monitoring, timely regulation implementation, and employee training ensures adherence. Prioritizing recycling, co-processing, and vendor partnerships enhances waste disposal, while efficient storage and on-site treatment optimize space and reduce risks.	Negative: Regulatory Non-Compliance Penalties, Operational Costs
3	Climate Change	R	Climate change can affect raw material availability, production processes, storage and distribution processes	Implementing climate resilience strategies and reducing carbon footprint. Also the company has developed policy on Energy and Carbon and Sustainability policy	Negative: Increased costs for adaptation measures.
4	Raw Material Sourcing	O	Ensuring sustainable sourcing to avoid supply chain disruptions and ethical concerns.	Establishing sustainable procurement policies and diversifying suppliers.	Positive: Decreased operational costs and penalties/fines
5	Renewable Energy	O	Transitioning to renewable energy can reduce carbon footprint and operational costs.	Investing in renewable energy sources.	Positive: Decreased operational costs
6	Energy Management	O	Managing energy use is crucial for regulatory compliance and cost savings	Implementing energy-efficient practices.	Negative: Initial investment costs.
7	Emissions Management	O	Managing emissions is crucial for regulatory compliance and cost savings.	Implementing emissions reduction technologies.	Negative: Initial investment costs.

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
Social					
8	Occupational Health & Safety	R	Ensuring employee safety to avoid accidents and legal liabilities.	Implementing comprehensive health and safety programs and regular training.	Negative: Costs for safety measures.
9	Sustainable supply chain and responsible procurement	O	Ensuring ethical and sustainable practices in the supply chain to avoid disruptions and ethical issues.	Implementing supplier audits and sustainability criteria in procurement processes.	Positive: Stable and ethical supply chain.
10	Protection of Human Rights	R	Violations can lead to legal issues and damage to reputation.	Adopting strict human rights policies and conducting regular audits.	Negative: Potential legal costs.
11	Product Quality, Safety & Recall Management	R	Ensuring product safety to avoid recalls and maintain customer trust.	Implementing stringent quality control measures and recall procedures.	Negative: Costs associated with recalls.
12	Health Education and Prevention	O	Promoting health education can enhance community relations and brand reputation.	Investing in health education programs and community outreach.	Positive: Enhanced brand reputation and community relations.
Governance					
13	Corporate Governance, Business Ethics, Integrity & transparency	O	Ensuring strong governance to avoid legal issues and enhance reputation.	Implementing comprehensive governance policies and regular audits.	Positive: Enhanced reputation and compliance.
14	Consumer and Patient Safety & Pharmacovigilance	O	Ensuring safety to avoid legal issues and maintain trust.	Implementing robust pharmacovigilance systems and safety monitoring.	Positive: Reduced legal risks and maintained trust.
15	Combatting counterfeit medicines	R	Counterfeit medicines can harm patients and damage the company's reputation.	Implementing anti-counterfeiting technologies and strict supply chain controls.	Negative: Costs for anti-counterfeiting measures.



SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
b. Has the policy been approved by the Board? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
c. Web Link of the Policies , if available	P-1: Related party transactions P-4: Nomination & Remuneration P-1: Determining Material Subsidiaries P-4: Whistle Blower P-8: CSR P-4: Risk Management P-1: Foreign Exchange Risk Management P-1: Succession Planning for the Board and Senior Management P-3: Prevention of Sexual Harassment at Work Place P-4: Board Diversity P-4: Determination of Materiality for disclosure of events or information P-4: Preservation & Archival of Documents P-4: Disclosure of Unpublished Price Sensitive Information P-4: Dividend Distribution P-1: Provision on Trade Receivable (CDMO) P-2: Provision on Inventory P-1&7: Code of Conduct P-1: Code of Conduct to Regulate, Monitor and Report for Trading by Designate P-6: Energy and Carbon Policy P-6: Environmental Social and Responsibility Policy P-5: Human Rights P-3: OHS Policy P-9: Supplier Code of Conduct P-6: Sustainability Policy								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Y	N	N	N	N	N	N	Y	N
4. Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	EU GMP: European Union Good Manufacturing Practice FSSAI: Food Safety and Standards Authority of India D.C.G.I: Drugs Controller General of India ISO 50001:2018: Energy Management Systems ISO 9001:2015: Quality Management Systems NSF International: National Sanitation Foundation International The United States Food and Drugs Administration (FDA or USFDA) ISO 22000:2018: Food Safety Management Systems ISO 45001:2018: Occupational Health and Safety Management Systems								

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Currently, the Company has not set specific targets, goals, or commitments. However, it is actively progressing in the ESG space and is in the process of establishing targets for the future. The Company is committed to making significant strides in areas such as climate change, energy efficiency, water conservation, waste management, reduction of air emissions and greenhouse gases, and the protection of biodiversity.								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.									

Governance, leadership and oversight

7.	Statement by Director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure) Akums Drugs & Pharmaceuticals Limited recognizes that responsibility extends beyond business performance to include environmental sustainability and resource stewardship. The company aims to create long-term value by integrating sustainable practices across operations while maintaining its position as a leading pharmaceutical manufacturer. During FY 2024-25, Akums achieved several environmental milestones. The new facilities at Kotdwar and Haridwar incorporate sustainability principles with modern technology while meeting quality and environmental standards. The company has implemented measures for natural resource conservation, maintaining soil, air, and water quality, and ensuring ecological balance in operational areas. Resources have been allocated toward adopting renewable energy sources across manufacturing facilities, reducing carbon footprint. Programs to increase green cover around operational areas have been initiated, contributing to improved air quality and ecological health. Despite progress, Akums faces several sustainability challenges. Managing environmental impact while expanding manufacturing capabilities remains a challenge. Pharmaceutical manufacturing requires continuous innovation to optimize water and energy usage without compromising quality. Extending sustainability principles throughout supply chain partners requires ongoing engagement. The company continues to integrate eco-friendly practices in manufacturing operations to minimize ecological footprint. By focusing on innovation, pharmaceutical excellence, and sustainability, Akums is confident these efforts will strengthen its market position while contributing positively to communities and the environment. Sandeep Jain Managing Director	
8.	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies). Sandeep Jain Managing Director	
9.	Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details. No	

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action									Director									Periodically/ Need based
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances									Director									Ongoing basis

11	P1	P2	P3	P4	P5	P6	P7	P8	P9
Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.									
	No. The Company internally reviews the working of the above-mentioned policies								

12. If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/ No)									
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/ No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									



SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping entities demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as “Essential” and “Leadership”. While the essential indicators are expected to be disclosed by every entity that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

PRINCIPLE 1

Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	% age of persons in respective category covered by the awareness programmes
Board of Directors	6	1,4,5,6,8,9	100.00%
Key Managerial Personnel	2	1,4,5,6,8,9	100.00%
Employees other than Board of Directors and KMPs	38	- Ergonomics - Basic Life Saving - Cancer Screening Training - Fitness Training - Data Protection Awareness Session - Emergency Response Training - Emergency Fire/Safety Drill - ESG & Sustainability Awareness - Fostac Training - Selling & Negotiation Skills - GST Training - Knowing DPCO & NPPA Regulations - NPI / NCQ and Uday Training - Women's Day Wellness Session	100.00%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

	Monetary				
	NGRBC Principles	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/ No)
Penalty/ Fine					
Settlement					
Compounding fee					

No such fine penalties

	Non-Monetary			
	NGRBC Principles	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment				
Punishment				

No such incident

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
	No such Incident

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

The Company does not currently have a formalised anti-corruption or anti-bribery policy. However, The Company maintains rigorous ethical standards throughout its operations and is actively developing a comprehensive anti-corruption framework that will codify existing practices and further strengthen governance mechanisms to ensure compliance with all applicable regulations

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY'2024-25	FY '2023-24
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	0	0

6. Details of complaints with regard to conflict of interest:

	FY'2024-25		FY '2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	NA	0	NA
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	0	NA	0	NA

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

- Not Applicable

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY'2024-25	FY '2023-24
Number of days of accounts payables	80	64

9. Open-ness of business Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY'2024-25	FY '2023-24
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	4.26%	6.17%
	b. Number of trading houses where purchases are made from	166	164
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	51.73%	45.56%
Concentration of Sales	a. Sales to dealer / distributors as % of total sales	16.95%	16.94%
	b. Number of dealers / distributors to whom sales are made	2,979	3,743
	c. Sales to top 10 dealers / distributors as % of total sales to dealer / distributors	13.43%	11.11%
Share of RPTs in	a. Purchases (Purchases with related parties as % of Total Purchases)	24.81%	22.66%
	b. Sales (Sales to related parties as % of Total Sales)	12.49%	10.61%
	c. Loans & advances given to related parties as % of Total loans & advances	98.99%	99.25%
	d. Investments in related parties as % of Total Investments made	55.05%	67.42%

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
---	--	--

Currently, the Company has not conducted any awareness programs for value chain partners, as the policies are applicable only to the Company. However, the Company is committed to initiating such awareness programs in the future, based on materiality.

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

Yes, the entity has processes in place to avoid and manage conflicts of interest involving members of the Board. The company has established a comprehensive framework requiring Directors and Senior Management personnel to disclose any potential or actual conflicts of interest to the Board. These processes ensure that personal interests do not interfere with independent and sound judgment on behalf of the company. Additionally, prior approval from the Board is mandated for situations involving potential conflicts, and guidelines are in place to address relationships with suppliers, contractors, and other stakeholders. The policy also strictly prohibits acceptance of inappropriate gifts or favours to maintain professional integrity.

PRINCIPLE 2

Businesses should provide goods and services in a manner that is sustainable and safe

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY'2024-25	FY '2023-24	Details of improvements in environmental and social impacts
R&D	0.36%	0.38%	Energy Efficiency and Conservation - VFD (Variable Frequency Drive) Systems: Installation of VFD panels ranging from 1.5KW to 55KW across operations has significantly improved energy efficiency. - Advanced Chiller Systems: Deployment of high-efficiency chillers (320TR, 322TR, 490TR, 94TR, 80TR) with modern control systems has enhanced cooling efficiency while reducing energy consumption. - Economizer Integration: Installation of economizers for boilers (850KG capacity) has improved fuel efficiency. Water Conservation and Management - Cooling Tower Optimization: Modern cooling towers (600TR, 750TR) with advanced controls and VFDs have been installed. - Efficient Water Systems: Implementation of high-efficiency pumps and water-cooled systems has reduced water consumption. Emission Reduction - PNG (Piped Natural Gas) Integration - Advanced Boiler Technology: Modernization of steam boilers (850KG, 3TPH, 5TPH, 8TPH, 12TPH) with state-of-the-art combustion systems and controls. - SPM Analyzer - Improved Working Conditions: Installation of modern split AC units (1TR, 1.5TR, 2TR) across various facilities has created comfortable working environments, reducing heat stress and improving employee productivity and well-being. - Climate Control: Comprehensive air conditioning systems including window ACs and split ACs with stabilizers. - Drinking Water Facilities
Capex	2.27%	7.22%	

2.
 - a. Does the entity have procedures in place for sustainable sourcing?
 - The Policy is not into the place however The Company continues to drive its initiatives defined under its sustainability program
 - b. If yes, what percentage of inputs were sourced sustainably?
 - 90% of the inputs were sourced sustainably, with a significant portion procured locally from within the state and neighboring states. This approach contributed to the reduction of Scope 3 emissions and also promotes sustainable livelihoods within the community.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Plastics (including packaging)	Akums adheres to Extended Producer Responsibility (EPR) rules for plastic waste management and submits compliance reports as per statutory requirements. The company operates a plastic recycling plant where in-house generated plastic waste is recycled and sold to authorized manufacturers. Additionally, other recyclable plastic wastes are collected, stored at designated locations, and disposed of through government-authorized vendors.
E-waste	All electronic waste is collected and stored at designated locations for sorting before being sent to authorized vendors. Records of e-waste management are meticulously maintained using Form 2 of the E-waste Rules, 2016
Hazardous waste	Hazardous wastes generated within the plants are collected, stored, and disposed of in accordance with compliance and consent to operate at each site. The collected hazardous waste is sent to recyclers approved by regulatory agencies, ensuring safe and compliant disposal.
Other waste	Other wastes, such as canteen waste, horticulture waste, and municipal solid waste (MSW), are collected using color-coded bins, stored, and disposed of sustainably. For instance, canteen waste is decomposed in composters and used as manure. Color-coded bins facilitate the segregation and collection of various waste categories, promoting efficient waste management practices.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

- Yes. As a pharmaceutical company, the Extended Producer Responsibility (EPR) framework is applicable to the company's operations. Waste management plan is meticulously aligned with the EPR plans submitted to the Pollution Control Boards. This alignment ensures that waste management practices are not only compliant with regulatory requirements but also reflect our commitment to environmental sustainability and responsible production.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product /Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/ No) If yes, provide the web-link.
----------	--------------------------	---------------------------------	--	---	---

No LCA has been conducted for current financial year

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of Product	Description of the risk	Action Taken Service concern
NA		

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	FY'2024-25	FY'2023-24
Nil		

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY'2024-25			FY'2023-24		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	-	-	-	-	-	-
E-waste	-	-	-	-	-	-
Hazardous waste	-	-	-	-	-	-
Other waste	-	-	-	-	-	-

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Plastic Granuals recycled from plastic waste generated from ampouls etc.	The Company is working towards identification of the accurate percentage in future.

PRINCIPLE 3

Businesses should respect and promote the well-being of all employees, including those in their value chains

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	Total (A)	% of employees covered by									
		Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Permanent employees											
Male	5,966	5,699	95.52%	5,717	95.83%	0	0.00%	198	3.32%	4,273	71.62%
Female	771	667	86.51%	665	86.25%	17	2.20%	0	0.00%	567	73.54%
Total	6,737	6,366	94.49%	6,382	94.73%	17	2.20%	198	3.32%	4,840	71.84%
Other than Permanent employees											
Male	24	0	0	0	0	0	0	0	0	0	0
Female	1	0	0	0	0	0	0	0	0	0	0
Total	25	0	0	0	0	0	0	0	0	0	0

b. Details of measures for the well-being of workers:

Category	Total (A)	% of workers covered by									
		Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Permanent workers											
Male	782	555	70.97%	555	70.97%	0	0	0	0	782	100.00%
Female	17	0	0	0	0	0	0	0	0	17	100.00%
Total	799	555	69.46%	555	69.46%	0	0	0	0	799	100.00%
Other than Permanent workers											
Male	0	0	0	0	0	0	0	0	0	0	0
Female	0	0	0	0	0	0	0	0	0	0	0
Total	0	0	0	0	0	0	0	0	0	0	0

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format –

	FY'2024-25	FY '2023-24
Cost incurred on well- being measures as a % of total revenue of the company	0.13%	0.13%

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY'2024-25			FY'2023-24		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	33.43%	74.46%	Y	34.40%	73.28%	Y
Gratuity	90.17%	15.01%	Y	89.68%	15.73%	Y
ESI	8.28%	94.33%	Y	9.03%	93.39%	Y
Others – please specify	-	-	-	-	-	-

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

To comply with the Rights of Persons with Disabilities Act, 2016, The Company's manufacturing facilities and corporate offices are equipped with ramps, lifts, and other infrastructure to support individuals with disabilities.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

The Company does not currently have a formalised equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016. However, The Company remains committed to principles of inclusion and equal opportunity across all employment practices and is in the process of developing a comprehensive framework that will align with the provisions of the Act

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	0	0
Female	100%	100%	0	0
Total	100%	100%	0	0

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Grievances can be raised through line managers, HR, or Grievance Redressal Committees. These queries are resolved by the concerned HR within the stipulated turnaround time (TAT). If issues remain unresolved, workers have the right to escalate them to the Labour Commissioner or Industrial Tribunal.
Other than Permanent Workers	Issues are typically raised through contractors or supervisors. If these issues are not resolved, workers can approach labour welfare officers or statutory authorities for further assistance.
Permanent Employees	There is a mandated timeline and documentation process for raising grievances. They have access to Employee Assistance Programs (EAPs) and can raise their queries on the portal, where the HR Department resolves them. Often, queries are also resolved over the phone within the stipulated TAT.
Other than Permanent Employees	NA

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY'2024-25			FY'2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	NA			NA		
- Male						
- Female						
Total Permanent Workers						
- Male						
- Male						

8. Details of training given to employees and workers:

Category	FY'2024-25					FY'2023-24				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male										
Female	6,737	2,732	40.55%	3,076	45.66%	6,452	1,675	25.96%	2,545	39.45%
Total										
Workers										
Male										
Female	11,102	7,438	67.00%	4,975	44.80%	9,493	6,578	69.30%	4,256	44.80%
Total										

Note: The data has been presented on a cumulative basis, as The Company does not maintain division-wise records

9. Details of performance and career development reviews of employees and worker:

Category	FY'2024-25			FY'2023-24		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	5,966	5,966	100.00%	5,734	5,734	100.00%
Female	771	771	100.00%	718	718	100.00%
Total	6,737	6,737	100.00%	6,452	6,452	100.00%
Workers						
Male	7,572	7,572	100.00%	6,985	6,985	100.00%
Female	3,530	3,530	100.00%	2,923	2,923	100.00%
Total	11,102	11,102	100.00%	9,908	9,908	100.00%

10. Health and safety management system:

- a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes, The Company prioritises the health and safety of its employees. It advocates for strict adherence to safety protocols and encourages employees to promptly report any potential hazards. The objective is to cultivate a productive work environment while minimizing the risk of accidents, injuries, and health-related issues. All plants are certified with ISO 45001:2018 for Occupational Health and Safety Management Systems.

- b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

In accordance with the ISO 45001:2018 Standard, the company conducts periodic internal and external audits to monitor compliance and promptly identify and assess work-related hazards. The company provides Environment Health and Safety (EHS) training to its personnel and implements a Process Safety Management system to support best safety practices. Potential risks are identified through designed checklists, Hazard and Operability Studies (HAZOP), Hazard Identification and Risk Assessment (HIRA), and other consequence modeling studies. Implemented work permit system for non-routine activities. SOP's are implemented for all processess.

- c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks.

Yes

- d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services?

Yes, All the employees are covered with either ESIC or Medical Insurance.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY'2024-25	FY '2023-24
Lost Time Injury Frequency Rate (LTIFR)* (per one million-person hours worked)	Employees	0.38	0.48
	Workers	1.21	1.59
Total recordable work-related injuries	Employees	5	12
	Workers	33	35
No. of fatalities	Employees	0	0
	Workers	0	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	5	10
	Workers	28	35

* The LTIFR number indicated here covers only the formulation units.

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

The Company regularly conducts both internal and external audits to ensure its safety practices and procedures align with the EHS management system and ISO 45001:2018 criteria. During these audits, the Company identifies key areas that require immediate corrective action. Safety incidents and hazards are thoroughly investigated to determine their root causes, and corrective action plans are developed to prevent similar incidents in the future. Additionally, as part of the EHS management system, the Company provides safety training for all employees and workers through various modules and safety drills. Other initiatives like,

1. Occupational safety and health policy.
2. Regular Safety review meetings with top officials.
3. Responsibility and accountability.
4. Occupational safety and health management system documentation.
5. Internal & external safety audit.
8. Emergency preparedness & response.
6. Employee participation & consultation (Safety Committee Meeting, Events & Celebrations)

13. Number of Complaints on the following made by employees and workers:

	FY'2024-25			FY'2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	NA	0	0	NA
Health Safety	0	0	NA	0	0	NA

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100
Working Conditions	100

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

The Company has a system in place to investigate any incidents. The occurrence of such incidents is analyzed by the investigation team to identify the root cause, and accordingly, corrective and preventive actions are taken. Some of the actions taken include:

- Installation of emergency lights and exit signs (night glow)
- Adherence to safety SOPs
- BBS training to capture safety observations
- Adherence to safety PPEs
- Implementation of interlocking alarm systems
- Strengthening of work permit systems

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Employees: Yes

Workers: No

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Company mandates that its value chain partners adhere to the principles outlined in The Company's Supplier Code of Conduct. Additionally, they are required to integrate responsible business conduct principles into their operational practices, ensuring compliance with contractual obligations

3. Provide the number of employees / workers having suffered high consequence work- related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY'2024-25	FFY'2023-24	FY'2024-25	FFY'2023-24
Employees	Minor: 09 Major: 04	Minor: 04 Major: 05	0	0
Workers	Minor: 40 Major: 25	Minor: 28 Major: 33	0	0

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment?

The Company provides regular skill enhancement training to all employees throughout their tenure. These training programs are tailored to meet the specific needs of different cadres and key functional areas. This approach ensures that employees acquire expertise that may enable them to continue working post-retirement or after termination

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	-
Working Conditions	-

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

NA

PRINCIPLE 4**Businesses should respect the interests of and be responsive to all its stakeholders****Essential Indicators**

1. Describe the processes for identifying key stakeholder groups of the entity.

The Company identifies its key stakeholder groups through a comprehensive, data-driven materiality assessment process. This process involves engaging with a diverse array of stakeholders across multiple channels—such as surveys, focus groups, and direct consultations—to gather both quantitative and qualitative insights. The resulting analysis not only highlights the environmental, social, and governance (ESG) challenges but also drives strategic sustainability planning and risk management.

Based on this assessment, the stakeholder groups are categorized as follows:

Internal Stakeholders:-

- Employees: The workforce that drives day-to-day operations.
- Management: The leadership team responsible for strategic decision-making.
- Shareholders: Investors whose financial interests align with the company's long-term value creation.

External Stakeholders:-

- Regulators: Government agencies and regulatory bodies (e.g., FDA, CDSCO, and local health authorities) that oversee compliance and industry standards.
- Healthcare Providers: Physicians, pharmacists, and hospitals that prescribe or dispense the company's products.
- Suppliers and Distributors: Vendors that supply raw materials, packaging, and ensure efficient distribution channels.
- Communities and NGOs: Local communities where the company operates, and non-governmental organizations focused on social, economic, and environmental well-being.

Through this structured engagement process, insights from each stakeholder group are synthesized into a materiality matrix that prioritizes issues based on both business impact and stakeholder importance. Senior leadership reviews and validates these findings, ensuring that the voice of every stakeholder is integrated into strategic decision-making.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Regulators	No	Email, Official Letters, Meetings, Website	As Needed	Ensure compliance with regulations, discuss policy changes, address compliance issues and report on sustainability efforts.
Customers	No	Email, SMS, Website, Customer Service Hotline, Social Media, Advertisements	Annually	Gather feedback on product quality and safety, address customer concerns, provide product information and enhance customer satisfaction.
Employees & Workers	No	Email, Notice Board, Intranet, Meetings, Training Sessions, Newsletters	Monthly	Discuss workplace safety, health and well-being, career development and gather feedback on working conditions and company policies.
Suppliers	No	Email, Meetings, Supplier Portal, Website	As Needed	Ensure sustainable and responsible procurement, discuss supply chain issues and maintain strong supplier relationships.
Community	Yes	Community Meetings, Pamphlets, Advertisements, Social Media, Website, CSR Initiatives	As Needed	Engage in community development projects, address environmental and social impacts, gather feedback on community needs and enhance corporate social responsibility.

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

Below is the process for stakeholder engagement:

- **Shareholders:** The Investor Relations team manages communication and engagement with our shareholders to ensure that their feedback is embedded in our strategic decision-making.
- **Regulators:** The Regulatory Affairs team is responsible for maintaining ongoing communication with government agencies and regulatory bodies to ensure legal and compliance matters are thoroughly addressed.
- **Suppliers:** Our dedicated Procurement team handles relationships with suppliers, ensuring that any shared concerns or innovative suggestions are relayed upwards for strategic review.
- **Distributors/Clients:** The Marketing team manages engagement with distributors and clients, gathering insights that inform both market strategies and operational priorities.
- **Communities:** A dedicated Corporate Social Responsibility (CSR) and Public Affairs team engages with local communities through town hall meetings, focus groups, and public consultations. These interactions capture community perspectives on economic, environmental, and social matters, thereby enriching our decision-making.
- **Employees:** Our Human Resources and Employee Engagement teams facilitate internal consultations via surveys, town hall meetings, and open forums. Employee feedback on economic, environmental, and social topics is systematically collected and communicated to the Board.

Feedback from all these engagements is consolidated and regularly reported to the Board and top management. This structured approach ensures that concerns and suggestions from every stakeholder group, including communities and employees, are considered and acted upon in a timely and effective manner.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Material topics related to Environmental, Social, and Governance (ESG) are identified and prioritised through stakeholder consultations. Subsequently, the Company develops strategies and action plans to address these prioritised topics.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

The Company conducts community needs assessment as part of the Corporate Social Responsibility (CSR) programs to determine and prioritise the focus areas for community development. This initiative has enabled these workers to enhance their work profiles and advance their careers. By investing in their professional development, the company demonstrates its commitment to employee growth and empowerment, fostering a more skilled and capable workforce.

PRINCIPLE 5

Businesses should respect and promote human rights

Essential Indicators

- Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format

Category	FY'2024-25			FY'2023-24		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees / workers covered (D)	% (D / C)
Employees						
Permanent	Nil			Nil		
Other than permanent						
Total Employees						
Workers						
Permanent	Nil			Nil		
Other than permanent						
Total Workers						

- Details of minimum wages paid to employees and workers, in the following format

Category	FY'2024-25					FY'2023-24				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent										
Male	5,966	31	0.52%	5,935	99.48%	6,400	1	0.02%	6,399	99.98%
Female	771	1	0.13%	770	99.87%	814	0	0.00%	814	100.00%
Other than Permanent										
Male	0	0	0	0	0	0	0	0	0	0
Female	0	0	0	0	0	0	0	0	0	0
Workers										
Permanent										
Male	782	86	11.00%	696	89.00%	1,086	110	10.13%	976	89.87%
Female	17	15	88.24%	2	11.76%	43	14	32.56%	29	67.44%
Other than Permanent										
Male	6,790	3,666	53.99%	3,124	46.01%	21,827	11,851	54.30%	9,976	45.70%
Female	3,513	2,880	81.98%	633	18.02%	7,867	5,900	75.00%	1,967	25.00%

3. (a) Details of remuneration/salary/wages*, in the following format

	Male		Female	
	Number	Median remuneration / salary / wages of respective category (Lakh)	Number	Median remuneration/ salary/ wages of respective category (Lakh)
Board of Directors (BoD) Executive	3	600	0	0
Board of Directors (BoD) Non-Executive	4	25.5	1	30
Key Managerial Personnel	2	165	0	0
Employees other than BoD and KMP*	1,505	0.322	183	0.279
Workers	-	-	-	-

* Standalone Basis

(b) Gross wages paid to females as % of total wages paid by the entity, in the following format

	FY'2024-25	FY '2023-24
Gross wages paid to females as % of total wages	0.93%	0.87%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?

Yes. The Company has designated the Human Resources department as the focal point for addressing any human rights impacts or issues linked to its operations. This team operates under a clear open-door policy, ensuring employees and stakeholders can promptly raise concerns and access the necessary support. Through this proactive approach, the Company reinforces its commitment to transparency, accountability, and the highest human rights standards.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The company has established a robust internal mechanism to redress grievances related to human rights issues. Concerns can be raised through multiple designated channels:

- **Email:** Employees can submit their concerns directly via email.
- **Notice Board:** Grievances and updates are periodically posted on notice boards.
- **Intranet:** An internal portal is available for submitting feedback and tracking the status of reported issues.
- **Meetings:** Regular meetings provide a forum for face-to-face discussions.
- **Training Sessions:** These sessions not only educate employees on human rights standards but also serve as an opportunity to raise concerns.
- **Newsletters:** Periodic newsletters provide updates on grievance redressal initiatives and remind employees of the available channels.

The Human Resources team across all geographical locations actively monitors these channels to ensure that all reported issues are addressed transparently and in a timely manner. This structured, multi-channel approach reflects the company's commitment to upholding human rights and maintaining a supportive work environment.

6. Number of Complaints on the following made by employees and workers:

	FY'2024-25			FY'2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	12	0	N.A	0	0	N.A
Discrimination at workplace	0	0	-	0	0	-
Child Labour	0	0	-	0	0	-
Forced Labour/Involuntary Labour	0	0	-	0	0	-
Wages	0	0	-	0	0	-
Other human rights related issues	0	0	-	0	0	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY'2024-25	FY '2023-24
i) Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	12	0
ii) Complaints on POSH as a % of female employees / workers	0.33%	0.00%
iii) Complaints on POSH upheld	0	0

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company has implemented a POSH (Prevention of Sexual Harassment) policy and a Code of Conduct. Educative posters on POSH are displayed to raise awareness among employees. An Internal Committee (IC) is in place to address any issues, and POSH training programs are regularly organised for employees to ensure a safe and respectful workplace environment.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

No

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100.00
Forced/involuntary labour	100.00
Sexual harassment	100.00
Discrimination at workplace	100.00
Wages	100.00
Others – please specify	-

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above

No significant risk identified

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.

During the reporting year, no changes were made to business processes in response to human rights grievances or complaints.

2. Details of the scope and coverage of any Human rights due-diligence conducted.

Not Applicable

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

To comply with the Rights of Persons with Disabilities Act, 2016, our company's manufacturing facilities and corporate offices are equipped with ramps, lifts, and other infrastructure to support individuals with disabilities

4. Details on assessment of value chain partners

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	-
Discrimination at workplace	-
Child Labour	-
Forced Labour/Involuntary Labour	-
Wages	-
Others – please specify	-

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

NA

PRINCIPLE 6

Businesses should respect and make efforts to protect and restore the environment

Essential Indicators

1. Details of total energy consumption (in Giga-Joules) and energy intensity, in the following format:

Parameter		FY'2024-25	FY '2023-24
From renewable sources			
Total electricity consumption (A)	GJ	63.44	0
Total fuel consumption (B)	GJ	3,60,113.11	2,89,293.48
Energy consumption through other sources (C)	GJ	0	0
Total energy consumed from renewable sources (A+B+C)	GJ	3,60,176.54	2,89,293.48
From non-renewable sources			
Total electricity consumption (D)	GJ	5,73,693.33	5,18,766.97
Total fuel consumption (E)	GJ	1,34,948.15	1,47,486.26
Energy consumption through other sources (F)	GJ	0	0
Total energy consumed from non- renewable sources (D+E+F)	GJ	7,08,641.48	6,66,253.24

Parameter		FY'2024-25	FY '2023-24
Total energy consumed (A+B+C+D+E+F)	GJ	10,68,818.03	9,55,546.72
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations)	GJ/Rs crore of Revenue	259.54	228.70
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	GJ/crore of US\$	5,362.05	4,724.92
Energy intensity in terms of physical output	GJ/MT product	28.37	14.03
Energy intensity (optional)	-	-	-

Note: The boundary for Grid Electricity data encompasses all operational units, including Formulation Plants, Active Pharmaceutical Ingredient (API) units, Warehouses, Research & Development (R&D) facilities, and Corporate Offices. In contrast, data for other fuel usage is limited to Formulation Plants, API units, Warehouses, and R&D facilities, and does not include Corporate Offices.

*The Company has considered the PPA conversion factor for India from IMF as the latest one is 20.66 (Link: <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>)

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)
If yes, name of the external agency.

The financial data for FY 2025 has not yet been audited. For FY 2024, the first half of the data was partially audited by the third-party firm Nangia Andersen LLP.

- Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any

Not Applicable

- Provide details of the following disclosures related to water, in the following format

Parameter		FY'2024-25	FY '2023-24
Water withdrawal by source (in kiloliters)			
(i) Surface water	KL	0	0
(ii) Groundwater	KL	10,99,200.29	9,82,762.42
(iii) Third party water	KL	0	0
(iv) Seawater / desalinated water	KL	0	0
(v) Others	KL	0	0
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	KL	10,99,200.29	9,82,762.42
Total volume of water consumption (in kilolitres)	KL	10,99,200.29	9,82,762.42
Water intensity per rupee of turnover (Total water consumption / Revenue from operations)	KL/Rs crore of Revenue	266.92	235.21
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	KL/crore of US\$	5,514.47	4,859.50
Water intensity in terms of physical Output	KL/MT product	29.17	14.43
Water intensity (optional)	-	-	-

Note: The Company used different boundary for water related data which is Formulation plants, API, warehouse (no production) and R&D units.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)
If yes, name of the external agency.

The financial data for FY 2025 has not yet been audited. For FY 2024, the first half of the data was partially audited by the third-party firm Nangia Andersen LLP.

4. Provide the following details related to water discharged:

Parameter	FY'2024-25	FY '2023-24
Water discharge by destination and level of treatment (in kiloliters)		
(i) To Surface water	0	0
No treatment	0	0
With treatment – please specify level of treatment	0	0
(ii) To Groundwater	0	0
No treatment	0	0
With treatment – please specify level of treatment	0	0
(iii) To Seawater	0	0
No treatment	0	0
With treatment – please specify level of treatment	0	0
(iv) Sent to third-parties	0	0
No treatment	0	0
With treatment – please specify level of treatment	0	0
(v) Others	0	0
No treatment	0	0
With treatment – please specify level of treatment	0	0
Total water discharged (in kiloliters)	0	0

Note: Currently, the Company classifies all water withdrawals as water consumption, with no discharge recorded. However, the Company is in the process of reassessing its water accounting approach and aims to enhance transparency by exploring more detailed tracking of water discharge in future reporting cycles.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)
If yes, name of the external agency.

No

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

No, the Company is actively working towards implementing Zero Liquid Discharge (ZLD) systems as part of its ongoing commitment to sustainable water management. These efforts align with the Company's broader vision of becoming a water-positive organization.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY'2024-25	FY'2023-24
NO _x	Metric tonne (MT)	429.54	-
SO _x	MT	31.33	-
Particulate matter (PM)	MT	86.89	-
Persistent organic pollutants (POP)	-	-	-
Volatile organic compounds (VOC)	-	-	-
Hazardous air pollutants (HAP)	-	-	-
Others – CO	MT	67.93	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)
If yes, name of the external agency.

No

Note: The Company has started to calculate the precise values for air emission (other than GHG emissions) from current year onwards, i.e., FY 2024-25.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following form.

Parameter	Please specify unit	FY'2024-25	FY'2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)*	MT CO ₂ e	10,068.77	10,917.69
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)**	MT CO ₂ e	31,316.34	32,963.84
Total Scope 1 emissions	MT CO ₂ e	41,385.11	43,881.54
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	MT CO ₂ e	1,14,101.23	1,02,312.38
Total Scope 1 and Scope 2 emissions per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	MT CO ₂ e / Rs crore of Revenue	37.76	34.99
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	MT CO ₂ e / crore of US\$	780.04	722.89
Total Scope 1 and Scope 2 emission intensity in terms of physical output	MT CO ₂ e /MT product	4.13	2.15
Total Scope 1 and Scope 2 emission intensity (optional)	-	-	-

*Refers to emissions from fossil fuel sources, including those generated by company-owned vehicles used for commuting.

**Refers to emissions from biogenic sources, which, while categorized under Scope 1, are reported separately due to their distinct nature.

Note: The Company has developed a greenhouse gas (GHG) emissions inventory, FY2021 onwards, based on relevant and measurable categories within Scope 1&2. For the computation of emissions for scope 1 and 2, emission factors from GHG Protocol tool and CEA were applied to energy consumption quantities along with GWP values derived from Intergovernmental Panel on Climate Change Sixth Assessment Report (IPCC AR6).

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)
If yes, name of the external agency.

Yes. For FY 2024, half of the GHG emissions data was audited by the external agency Nangia Andersen LLP. For FY 2025, the company plans to obtain external assurance for its GHG emissions data.

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.

Yes, Akums has implemented a comprehensive decarbonization strategy with multiple initiatives aimed at reducing both direct (Scope 1) and indirect (Scope 2) greenhouse gas emissions. Strategic Decarbonization Initiatives include:

Renewable Energy Integration:

- Installation of a 600 kWp rooftop solar pilot project at our Haridwar facility, generating clean electricity and reducing dependency on grid power.

Clean Fuel Transition:

- Expanded adoption of piped natural gas (PNG) across operations, reducing the usage of fossil fuels.
- Optimization of biomass-based boiler efficiency and maximizing the use of renewable fuels to minimize emissions.

Electrification of Internal Transport:

- Deployment of electric forklifts and e-cycles for internal material movement, eliminating emissions from conventional fuel-powered equipment

Energy Efficiency Program:

- HVAC System Optimization
- Advanced Control Systems
- Equipment Modernization

9. Provide details related to waste management by the entity, in the following format

Parameter	Unit	FY'2024-25	FY'2023-24
Total Waste generated (in metric tonnes)			
Plastic waste (A)	MT	1,507.87	1,472.71
E-waste (B)	MT	28.93	4.73
Bio-medical waste (C)	MT	226.29	221.91
Construction and demolition waste (D)	MT	0.00	0.00
Battery waste (E)	MT	10.92	10.02
Radioactive waste (F)	MT	0.00	0.00
Other Hazardous waste. Please specify, if any. (G)	MT	1,516.43	1,195.09
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	MT	5,664.35	5,407.00
Total (A+B + C + D + E + F + G + H)	MT	8,954.78	8,311.46
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations)	MT/ Rs crore of Revenue	2.17	1.99
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	MT/ crore of US\$	44.92	41.10
Waste intensity in terms of physical output	MT waste generate/MT product	0.24	0.12
Waste intensity (optional)	-	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)			
Category of waste			
(i) Recycled	MT	0.00	0.00
(ii) Re-used	MT	0.00	0.00
(iii) Other recovery operations	MT	0.00	0.00
Total	MT	0.00	0.00
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)			
Category of waste			
(i) Incineration	MT	0.00	0.00
(ii) Landfilling	MT	0.00	0.00
(iii) Other disposal operations*	MT	8,954.78	8,311.46
Total	MT	8,954.78	8,311.46

*The waste is disposed of through government-authorized vendors in accordance with applicable regulations.

Note: Data for Hazardous and Biomedical waste has been audited for FY2024 half year by the third-party firm Nangia Andersen LLP. during their assurance process.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Akums has implemented a waste management hierarchy to minimise waste generation and ensure the disposal of waste through approved methods. The company continuously integrates waste management processes to achieve a comprehensive understanding and effective control of its waste streams.

Within Akums, a segregation process is established for hazardous, biomedical, and other wastes at their point of generation. These segregated wastes are then stored in designated areas. Hazardous and biomedical wastes are subsequently disposed off through authorized vendors, strictly adhering to regulatory guidelines and requirements.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
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Formulation operations are not subject to Environmental Impact Assessment (EIA) requirements for environmental clearances. The Company's Active Pharmaceutical Ingredient (API) operations possess a valid Environmental Clearance (EC) and operate in full compliance with the applicable regulatory conditions.

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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Not Applicable

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
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Yes, The Company is compliant with all applicable environmental laws and regulations

Leadership Indicators

1. **Water withdrawal, consumption and discharge in areas of water stress (in kiloliters):**

For each facility / plant located in areas of water stress, provide the following information:

- Name of the area** - Haridwar, Kotdwar, Baddi, Derabassi, Lalru, Barwala
- Nature of operations** - Formulation, AP, I warehouses, Offices
- Water withdrawal, consumption and discharge in the following format:**

Parameter	FY'2024-25	FY '2023-24
Water withdrawal by source (in kiloliters)		
(i) Surface water	0.00	0.00
(ii) Groundwater	10,99,200.29	9,82,762.42
(iii) Third party water	0.00	0.00
(iv) Seawater / desalinated water	0.00	0.00
(v) Others	0.00	0.00
Total volume of water withdrawal (in kilolitres)	10,99,200.29	9,82,762.42
Total volume of water consumption (in kilolitres)	10,99,200.29	9,82,762.42
Water intensity per rupee of turnover (KL/ Rs crore of Revenue)	266.92	235.21
Water intensity (optional) – the relevant metric may be selected by the entity	-	-

Parameter	FY'2024-25	FY '2023-24
Water discharge by destination and level of treatment (in kiloliters)		
(i) Into Surface water	0.00	0.00
- No treatment	0.00	0.00
- With treatment – please specify level of treatment	0.00	0.00
(ii) Into Groundwater	0.00	0.00
- No treatment	0.00	0.00
- With treatment – please specify level of treatment	0.00	0.00
(iii) Into Seawater	0.00	0.00
- No treatment	0.00	0.00
- With treatment – please specify level of treatment	0.00	0.00
(iv) Sent to third-parties	0.00	0.00
- No treatment	0.00	0.00
- With treatment – please specify level of treatment	0.00	0.00
(v) Others	0.00	0.00
- No treatment	0.00	0.00
- With treatment – please specify level of treatment	0.00	0.00
Total water discharged (in kiloliters)	0.00	0.00

The water stress area identified for the Company from the source of WRI Aqueduct tool (Version 4.0)

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency

The financial data for FY 2025 has not yet been audited. For FY 2024, the first half of the data was partially audited by the third-party firm Nangia Andersen LLP.

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Please specify unit	FY'2024-25	FY '2023-24
Purchased Goods	Metric tonnes of CO ₂ equivalent	1,44,047.33	–
Fuel and Energy Related	Metric tonnes of CO ₂ equivalent	29,421.47	–
Business Travel	Metric tonnes of CO ₂ equivalent	696.95	–
Employee Commute	Metric tonnes of CO ₂ equivalent	2,138.55	–
Total Scope 3 emissions (4 categories)	Metric tonnes of CO ₂ equivalent	1,76,304.32	–
Total Scope 3 emissions per rupee of turnover	Metric tonnes of CO ₂ equivalent/ Rs crore of Revenue	42.81	–
Total Scope 3 emission intensity (in terms of physical output)	MT CO ₂ e /MT product	4.68	–

The Company has commenced calculating greenhouse gas (GHG) emissions from the current year onward i.e., FY2025, based on relevant and measurable categories within Scope 3.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency

The assurance/ assessment/ evaluation activity has not been performed for the data yet.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

S. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Water Conservation Projects	- Utilization of RO reject water for road cleaning & fountains as well as in cooling towers. The RO reject water is also being used for steam condensate water recovery as boiler feed water. - Reusing of filter backwash water for gardening. - The company has also commenced the usage of soft water in boiler instead of RO water - Repurposing of the bottle rinse water to be used in cooling tower. - Recirculation of soft water for cooling of mechanical seal used in manufacturing and holding tank stirrer motors. and in vacuum pump of sugar suction. - Recovery of Soft water in recovery tank for reuse - Reduction of Water consumption during the CIP cycle - Purified water reduction in Oral Solid Dosage	Annual water savings of approximately 47,068 KL across facilities through implementation of closed-loop systems, water recovery, and reuse of process water streams
2	Energy Efficiency Projects	- Replacement of Cooling Tower Condenser Water Motors & Pumps, - Energy Cost Optimization through Power Factor improvement - VFD Installation on higher energy consumption machines as well as on chilled water circulation pump. - Installation of Hot water coil in AHU - Capacitor replacement and installation on chiller panel. - Reducing the chilled water-cooling loss from chiller outlet to cold well tank - Reducing chilled water-cooling loss from Hot Well Tank to Chiller Inlet - Replacement of existing Cold Well Pumps for new Chiller - Replacement of existing Hot Well Pumps with energy-efficient alternatives	Annual electricity savings of approximately 4,688,221 kWh through equipment upgrades, VFD installations, and system optimization to improve energy efficiency across facilities
3	Circular Water Economy	Implementation of comprehensive water recycling system where reject water, condensate, backwash and process water are recovered and reused in appropriate applications	Creation of a more sustainable operational model with reduced freshwater dependency and minimized wastewater discharge

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

The Company has implemented a comprehensive Business Continuity and Disaster Management Plan aimed at safeguarding critical operations during emergencies. This plan incorporates well-defined protocols, thorough risk assessments, and structured recovery procedures to ensure minimal disruption to business activities. Regular training programs, simulation exercises, and mock drills are conducted to equip employees with the necessary skills to respond effectively to various emergency scenarios. The Company also undertakes an annual review of these procedures to ensure their continued relevance and effectiveness. Additionally, the plan includes the deployment of onsite emergency response teams, coordination with local emergency services, and the establishment of robust communication strategies to facilitate the timely dissemination of critical information.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

The Company conducts regular evaluations of its value chain to identify potential environmental impacts. Although no significant adverse impacts have been recorded to date, certain operations such as energy-intensive manufacturing processes, transportation emissions, and waste generation carry inherent risks. To address these, the company has implemented a series of rigorous mitigation measures. Standard Operating Procedures have been updated to incorporate comprehensive screening and evaluation of value chain partners, ensuring that each vendor adheres to strict environmental sustainability standards.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

Akums has a Supplier Code of Conduct and a supplier screening and evaluation system for onboarding suppliers. This system includes assessments of safety and environmental aspects. Additionally, the Company has initiated discussions with key suppliers to address sustainability aspects and conduct sustainability assessments.

PRINCIPLE 7

Businesses when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1. (a) Number of affiliations with trade and industry chambers/ associations.
 - 2
- b) List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Indian Drug Manufacturers Association (IDMA)	National
2	Bombay Chamber of Commerce & Industry	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.
 - There is no such order against the Company.

Leadership Indicators

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly / Others – please specify)	Web Link, if available
Not Applicable					

PRINCIPLE 8

Businesses should promote inclusive growth and equitable development

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year

Name and brief details of project	SIA Notification No	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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During FY 2024-25, the Company has not undertaken any projects that require Social Impact Assessments (SIA).

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In INR)
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During FY 2024-25, the Company has not undertaken any projects that require Rehabilitation and Resettlement (R&R).

3. Describe the mechanisms to receive and redress grievances of the community.

The Company is dedicated to developing communities around its sites and addressing their grievances and concerns. Company representatives regularly engage with local communities to understand their issues. In the event of a specific grievance, it is duly recorded, investigated, and acted upon to ensure timely and effective resolution.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers[#]

	FY'2024-25	FY '2023-24
Directly sourced from MSMEs/ small producers	30.47%	30.43%
Directly from Within India	69.53%	69.57%

[#] The above data is excluding of inter-company purchases (i.e. RPT)

[#] Percentage are calculated on the basis of Quantity and not on the basis of amount

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost

Location	FY'2024-25	FY '2023-24
Rural		
% of Job creation in Rural areas	1.83%	1.62%
Semi-urban		
% of Job creation in Semi-urban areas	85.64%	84.23%
Urban		
% of Job creation in Urban areas	0.00%	0.29%
Metropolitan		
% of Job creation in Metropolitan areas	12.54%	13.86%

(Place to be categorized as per RBI Classification System - rural / semi-urban / urban / metropolitan)

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
It is not applicable as there was no Social Impact Assessment required to be conducted during FY 2024-25.	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies

S. No.	State	Aspirational District	Amount spent (In INR)
Not conducted			

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups?
No
- (b) From which marginalized /vulnerable groups do you procure?
NA
- (c) What percentage of total procurement (by value) does it constitute?
NA

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
Nil				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved

Name of authority	Brief of the Case	Corrective action taken
Nil		

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized group
1	Awareness Session on Sanitary Hygiene for Girls students at Government Intercollege	150	30%
2	Awareness Session on Water Conservation through Essay & Painting Competition at Government School	300	60%
3	Blood Donation Camp	1481	60%
4	Ganga Cleanliness Drive on every year	-	-
5	Awareness Session for Environment Conservation for employees	100	50%

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized group
6	Career Counselling sessions for underprivileged students through our initiative	100	50%
7	Financial Supprt to technical institute providing free technical education to girls	230	70%
8	Financial support to Cattle Welfare organization who are working for conserving them by harmful diseases	50	60%
9	Water conservation initiative through setting up of Rainwater harvesting system in Government School	250	100%
10	Infrastructural support by renovation work at Government School to give benefits to Girl's Students	500	60%
11	Awareness session on International Yoga Day at our unit	100	40%
12	Plantation Drive for conservation of environment on regional festival of Uttarakhand (Harela Tez)	1000	50%
13	Career Counselling Session for underprivileged students	150	60%
14	Gift Distribution at Ashram of people who are suffered from Leprosy diseases	300	100%
15	Medicine donation to Jagriti Foundation	382	100%
16	Medicine donation to NGO under CSR Initiative	320	100%

PRINCIPLE 9

Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback

The Company has established Standard Operating Procedures (SOP) to collect and respond to market and consumer complaints. These SOPs are an integral part of Akums' Quality Management System (QMS), ensuring systematic and effective handling of all feedback and issues raised by consumers.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	100%
Safe and responsible usage	100%
Recycling and/or safe disposal*	-

*The Company has the SOP for safe disposal and usage instruction/ information are available on the label of the product and inserts/ leaflet.

3. Number of consumer complaints in respect of the following:

	FY'2024-25		Remarks	FY'2023-24		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	0	0	N.A	0	0	N.A
Advertising	0	0		0	0	
Cyber-security	0	0		0	0	
Delivery of essential services	0	0		0	0	
Restrictive Trade Practices	0	0		0	0	
Unfair Trade Practices	0	0		0	0	
Other	N.A	N.A		N.A	N.A	

4. Details of instances of product recalls on account of safety issues:

S. No.	Number	Reasons for recall
Voluntary recalls	2	Quality Issue
Forced recalls	0	N.A

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes – The Company has IT Security Policy and framework on cyber security and privacy. There is no external link.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

N.A

7. Provide the following information relating to data breaches:

a. Number of instances of data breaches along-with impact	Nil
b. Percentage of data breaches involving personally identifiable information of customer	Nil
c. Impact, if any, of the data breaches	Nil

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available)

Link:

- <https://www.akums.in/nutraceutical-manufacturer-in-india/>
- <https://www.akums.in/third-party-cosmetic-manufacturer-in-india/>
- <https://www.akums.in/api-manufacturer-in-india/>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

The Company has established Standard Operating Procedures (SOP) for the safe disposal of products. Usage instructions and information are provided on the product labels and inserts/leaflets to ensure proper handling and compliance with safety guidelines.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

The company has established comprehensive protocols to ensure consumers are promptly informed of any potential risk of disruption or discontinuation of essential services. Detailed supply agreements require vendors and partners to notify the company of any emerging issues. In response, the company utilizes multiple communication channels, including email alerts, website updates, and its dedicated customer service hotline, to convey relevant information to consumers. This structured approach is designed to facilitate timely notification and ensure that consumers are well prepared to navigate any disruptions to essential services.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/ Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Yes, the Company displays product information exceeding the minimum requirements mandated under local laws. Detailed labels include comprehensive information covering product safety, health guidelines, proper usage instructions, and necessary precautions to ensure consumers are well informed for safe and effective use. In addition, the company conducts regular consumer satisfaction surveys focused on its major products, services, and significant locations of operation. The insights gathered from these surveys are used to refine product information and services continuously, ensuring that consumer needs and feedback are integral to the company's quality improvement and communication strategies.

Notice of 21st Annual General Meeting

Notice is hereby given that the Twenty First (21st) Annual General Meeting of members of Akums Drugs and Pharmaceuticals Limited will be held on Friday **18th July, 2025 at 11:00 AM IST** through video conference/ other audio-visual means to transact the following business: -

ORDINARY BUSINESS:

1. To receive, consider and adopt

- the audited standalone financial statement of the Company for the financial year ended on 31st March, 2025 and the report of the Board of Directors and Auditors thereon; and
- the audited consolidated financial statement of the Company for the financial year ended on 31st March 2025 and the report of Auditors thereon

To consider and if thought fit, to pass, with or without modification(s), the following resolutions as an **Ordinary Resolutions:**

- "RESOLVED THAT** the audited standalone financial statements of the Company for the financial year ended on March 31, 2025 and the reports of the Board of Directors and Auditors thereon, as circulated to the members, be and are hereby considered and adopted.
- RESOLVED FURTHER THAT** the audited consolidated financial statements of the Company for the financial year ended on March 31, 2025 and the report of Auditors thereon, as circulated to the members, be and are hereby considered and adopted".

2. To appoint Mr. Sanjeev Jain (DIN: 00323433) who retires by rotation as Director and being eligible offers himself for re-appointment:

To consider and, if thought fit, to pass with or without modification(s), the following resolution as an **Ordinary Resolution.**

"RESOLVED THAT in accordance with the provisions of Section 152 and other applicable provisions of the Companies Act, 2013, Mr. Sanjeev Jain (DIN: 00323433) who retire by rotation at this meeting be and is hereby re-appointed as Director of the Company."

SPECIAL BUSINESS

3. APPOINTMENT OF SECRETARIAL AUDITORS FOR FIVE FINANCIAL YEARS FROM FY 2025-26 TO FY 2029-30.

To consider and if thought fit, to pass with or without modification(s), the following resolution as an **Ordinary Resolution.**

"RESOLVED THAT pursuant to the provision of section 204 of the Companies Act, 2013, read with Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, Regulation 24A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (including any statutory modification(s), enactment(s) or re-enactment(s) thereof, for the time being in force) the consent of the members be and is hereby accorded to appoint M/s. SPG & Associates, a peer reviewed firm of Company Secretaries (Registration No P2009DE074200) as the Secretarial Auditors of the Company for a term of five financial years starting from FY 2025-26 to FY 2029-30 on such remuneration to be decided by Managing Director(s)/ CFO/Company Secretary in consultation with Secretarial Auditor from time to time.

RESOLVED FURTHER THAT approval of the members be and is hereby accorded to the Board to avail or obtain from the Secretarial Auditor, such other services or certificates, reports, or opinion which the Secretarial Auditors may be eligible to provide or issue under the applicable laws on such remuneration to be decided by Managing Director(s)/ CFO/Company Secretary in consultation with Secretarial Auditor from time to time.

RESOLVED FURTHER THAT the Board of Directors of the Company be and are hereby authorized to do all such acts, deeds, matters and things as may be considered necessary, desirable or expedient to give effect to this resolution."

4. RATIFICATION OF REMUNERATION OF THE COST AUDITORS FOR THE FINANCIAL YEAR 2025-26.

To consider and if thought fit, to pass with or without modification(s), the following resolution as an **Ordinary Resolution:**

"RESOLVED THAT pursuant to the provisions of Section 148 and other applicable provisions, of the Companies Act,

2013 read with the Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s), enactment(s) or re-enactment(s) thereof, for the time being in force), the remuneration of INR 1,60,000/- (Rupees One Lakh Sixty Thousand Only) plus applicable taxes and out of pocket expenses payable to M/s. Balwinder & Associates, (Firm Registration No. 000201), Cost Auditor, appointed by the Board of directors to conduct the audit of the cost records of the Company for the Financial Year 2025-26 be and is hereby ratified and confirmed.

RESOLVED FURTHER THAT the Board of Directors of the Company be and are hereby authorized to do all such acts, deeds, matters and things as may be considered necessary, desirable or expedient to give effect to this resolution."

5. APPOINTMENT OF MR. ANIL KUMAR ARVINDLAL AMIN (DIN:10594012) AS AN INDEPENDENT DIRECTOR OF THE COMPANY

To consider and, if thought fit, to pass with or without modification the following resolution as **Special Resolution**.

"RESOLVED AS SPECIAL RESOLUTION THAT pursuant to the provisions of Section 149, 150, 152 read with schedule IV and Section 161(1) of Companies Act, 2013 read with Companies (Appointment and Qualification of Directors) Rules, 2014, the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable provisions and based on recommendation of the Nomination and Remuneration Committee and Board of Directors, the consent of the members of the company be and is hereby accorded, to appoint Mr. Anil Kumar Arvindlal Amin (DIN: 10594012) as an Independent director of the company, who was appointed as an Additional Director, who possess relevant expertise & experience and is not disqualified under Section

164(2) of Companies Act, has provided his consent in writing to act as an independent director of the Company, and submitted a declaration in writing that he meets the criteria for appointment as an independent director under the Companies Act, 2013 & SEBI (LODR) Regulations, 2015 and who is eligible for appointment as an Independent Director at the Board of the Company, in respect of whom the Company has received a notice in writing under Section 160 of the Companies Act, 2013 proposing his candidature for appointment as an Independent Director, for a term of five consecutive years with effect from June 4th, 2025.

RESOLVED FURTHER THAT Mr. Anil Kumar Arvindlal Amin shall not liable to retire by rotation and shall not be counted in the total strength of the Board for the purpose of ascertaining the directors liable to retire by rotation.

RESOLVED FURTHER THAT Mr. Anil Kumar Arvindlal Amin be entitled to INR 30.00 lakh per annum as monetary compensation (including sitting fee and/ or incentive/ commission) plus travels & lodging expenses for attending of Board and Committees meetings and further Nomination & Remuneration Committee and / or the Board be and is authorised to review and modify such compensation from time to time, subject to the overall limit prescribe under Companies Act 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

RESOLVED FURTHER THAT the Company Secretary and Managing Director(s) of the Company be and are hereby severally authorized to sign and execute all such documents and papers (including appointment letter etc.) as may be required for the purpose and to file necessary e-form with the Registrar of Companies and to do all such acts, deeds and things as may have considered expedient and necessary in this regard."

By Order of the Board of Directors
For **Akums Drugs & Pharmaceuticals Ltd**

Dharamvir Malik
Company Secretary & Compliance Officer

Place : Delhi
Date : 07.06.2025

Regd Office: 304, 3rd Floor,
Mohan Place L.S.C, Block-C,
Delhi-110034

NOTES:

1. The Explanatory Statement pursuant to Section 102(1) of the Companies Act, 2013, in respect of Special Business as set out above to be transacted at the Meeting is annexed hereto as Annexure to the Notice and forms integral part of this notice. Further, additional information as required under SEBI Listing Regulations and Circulars issued thereunder are also annexed to this Notice.
2. Pursuant to the Circular No. 14/2020 dated April 08, 2020, Circular No.17/2020 dated April 13, 2020 issued by the Ministry of Corporate Affairs followed by Circular No. 20/2020 dated May 05, 2020 and Circular No. 02/2021 dated January 13, 2021 and all other relevant circulars issued from time to time, physical attendance of the Members to the AGM venue is not required and general meeting be held through video conference (VC) or other audio -visual means (OAVM). Hence, Members can attend and participate in the ensuing AGM through VC/OAVM.
3. Pursuant to the Circular No. 14/2020 dated April 08, 2020, issued by the Ministry of Corporate Affairs, the facility to appoint proxy to attend and cast vote for the members is not available. for the AGM conducted through VC/OAVM. Accordingly, the Proxy Form and Attendance Slip and Route Map are not Annexed to this notice.
4. The Body Corporates are entitled to appoint authorised representatives to attend the AGM through VC/OAVM and participate thereat and cast their votes through e-voting.
5. In case of joint holders, the Member whose name appears as the first holder in the order of names as per the Register of Members of the Company will be entitled to vote through e-voting during the AGM.
6. The Members can join the AGM in the VC/OAVM mode 15 minutes before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the AGM through VC/OAVM will be made available for 1000 members on first come first served basis. This will not include large Shareholders (Shareholders holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders Relationship Committee, Auditors etc. who are allowed to attend the AGM without restriction on account of first come first served basis.
7. The attendance of the Members attending the AGM through VC/OAVM will be counted for the purpose of reckoning the quorum under Section 103 of the Companies Act, 2013.
8. Pursuant to the provisions of Section 108 of the Companies Act, 2013 read with Rule 20 of the Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of SEBI (Listing Obligations & Disclosure Requirements) Regulations 2015 (as amended), and the Circulars issued by the Ministry of Corporate Affairs dated April 08, 2020, April 13, 2020 and May 05, 2020 the Company is providing facility of remote e-Voting to its Members in respect of the business to be transacted at the AGM. For this purpose, the Company has entered into an agreement with National Securities Depository Limited (NSDL) for facilitating voting through electronic means, as the authorized agency. The facility of casting votes by a member using remote e-Voting system as well as venue voting on the date of the AGM will be provided by NSDL.
9. In line with the Ministry of Corporate Affairs (MCA) Circular No. 17/2020 dated April 13, 2020, the Notice calling the AGM and the Integrated Annual Report for the Financial Year 2024-25 has been uploaded on the website of the Company at www.akums.in. The Notice can also be accessed from the websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively and the AGM Notice is also available on the website of NSDL (agency for providing the Remote e-Voting facility) i.e. www.evoting.nsdl.com.
10. AGM has been convened through VC/OAVM in compliance with applicable provisions of the Companies Act, 2013 read with MCA Circular No. 14/2020 dated April 08, 2020 and MCA Circular No. 17/2020 dated April 13, 2020, MCA Circular No. 20/2020 dated May 05, 2020 and MCA Circular No. 2/2021 dated January 13, 2021.
11. The Company has appointed Mr. Suresh Pandey, Partner of SPG & Associates Company Secretaries, Membership number: FCS 7776, COP: 8529 to scrutinize the e-voting process in a fair and transparent manner. The Scrutinizer shall immediately after the conclusion of voting at the AGM, unblock the votes cast through remote e-Voting and e-Voting on the date of the AGM, in the presence of at least two witnesses not in the employment of the Company and make, not later than 2 working days of the conclusion of the Meeting, a consolidated Scrutinizer's Report of the total votes cast in favour or against, if any, and forward to the Chairman / Managing Director(s) of the Company or any person authorized by him/them in writing and the Results shall be declared by the Chairman or any person authorized, thereafter within the stipulated timeline. The Results declared along with the Scrutinizer's Report shall be placed on the website of the Company www.akums.in and on the

website of NSDL immediately after the declaration of Result by the Chairman or any person authorized by him in writing. The results shall also be intimated to the stock exchanges where the shares of the Company are listed.

12. The MCA has taken a 'Green Initiative in Corporate Governance' by allowing companies to send documents to their members in electronic mode. To support this green initiative and to receive communication from the Company in electronic mode, members who have not registered their email ID are requested to contact MUFG Intime India Private Limited (formerly known as Link In Time India Private Limited) the Registrar and Share Transfer Agent of the Company 'MUFG'/'RTA' and register their email ID. Members may also contact their respective Depository Participants ('DPs') for the same. A person who is not a Member as on the cut-off date should treat this Notice for information purpose only.
13. A person, whose name is recorded in the Register of Members of the Company or in the register of beneficial owners maintained by the Depositories as on the cut-off date shall only be entitled to avail the facility of remote e-voting/ e-voting during the AGM.
14. Any person, who acquires equity shares of the Company and becomes a Member of the Company after the Company e-mailed the Notice of the AGM and holds equity shares as on the cut-off date, may obtain the User ID and password by sending a request at evoting@nsdl.co.in. However, if the Shareholder is already registered with NSDL for remote e-voting then he/ she can use his/ her existing User ID and Password for casting the vote. If a Member forgets the password, it can be reset by using 'Forgot User Details/ Password or Physical User Reset Password option available on www.evoting.nsdl.com
15. The Register of Directors and Key Managerial Personnel and their shareholdings maintained under Section 170 of the

Act, the Register of Contracts or Arrangements in which the Directors are interested, maintained under Section 189 of the Act, will be made available electronically for inspection by the Members during the AGM.

THE INSTRUCTIONS FOR MEMBERS FOR REMOTE E-VOTING AND JOINING GENERAL MEETING ARE AS UNDER: -

The remote e-voting period begins on Sunday, 13th July 2025 at 9:00 A.M (IST) and ends on Thursday, 17th July, 2025 at 5:00 P.M (IST). The remote e-voting module shall be disabled by NSDL for voting thereafter. The Members, whose names appear in the Register of Members / Beneficial Owners as on the record date (cut-off date) i.e. 11th July, 2025, may cast their vote electronically. The voting right of shareholders shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being 11th July, 2025.

How do I vote electronically using NSDL e-Voting system?

The way to vote electronically on NSDL e-Voting system consists of "Two Steps" which are mentioned below:

Step 1: Access to NSDL e-Voting system

A) Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode

In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Login method for Individual shareholders holding securities in demat mode is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	1. Existing IDeAS user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the "Beneficial Owner" icon under "Login" which is available under 'IDeAS' section, this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on "Access to e-Voting" under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 2. If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select "Register Online for IDeAS Portal" or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp

Type of shareholders	Login Method
	3. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 4. Shareholders/Members can also download NSDL Mobile App "NSDL Speede" facility by scanning the QR code mentioned below for seamless voting experience. The image shows a promotional banner for the NSDL Mobile App. At the top, it says "NSDL Mobile App is available on". Below this, there are two logos: the Apple App Store logo and the Google Play logo. Under each logo is a square QR code that users can scan to download the app.
Individual Shareholders holding securities in demat mode with CDSL	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi /Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then user your existing my easi username & password. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders (holding securities in demat mode) login through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. upon logging in, you will be able to see e-Voting option. Click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL.

Login type	Helpdesk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.com or call at 022 - 4886 7000
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800-21-09911

B) Login Method for e-Voting and joining virtual meeting for shareholders other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode.

How to Log-in to NSDL e-Voting website?

- Visit the e-Voting website of NSDL. Open web browser by typing the following URL: <https://www.evoting.nsdl.com/> either on a Personal Computer or on a mobile.
- Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/ Member' section.
- A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.

Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at <https://eservices.nsdl.com/> with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.

- Your User ID details are given below :

Manner of holding shares i.e. Demat (NSDL or CDSL) or Physical	Your User ID is:
a) For Members who hold shares in demat account with NSDL.	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12***** then your user ID is IN300***12*****.
b) For Members who hold shares in demat account with CDSL.	16 Digit Beneficiary ID For example if your Beneficiary ID is 12***** then your user ID is 12*****.
c) For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***

- Password details for shareholders other than Individual shareholders are given below:
 - If you are already registered for e-Voting, then you can use your existing password to login and cast your vote.
 - If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.
 - How to retrieve your 'initial password'?
 - If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The .pdf file contains your 'User ID' and your 'initial password'.

- (ii) If your email ID is not registered, please follow steps mentioned below in **process for those shareholders whose email ids are not registered.**
6. If you are unable to retrieve or have not received the "Initial password" or have forgotten your password:
 - a) Click on "**Forgot User Details/Password?**" (If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
 - b) **Physical User Reset Password?** (If you are holding shares in physical mode) option available on www.evoting.nsdl.com.
 - c) If you are still unable to get the password by aforesaid two options, you can send a request at evoting@nsdl.com mentioning your demat account number/folio number, your PAN, your name and your registered address etc.
 - d) Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.
 7. After entering your password, tick on Agree to "Terms and Conditions" by selecting on the check box.
 8. Now, you will have to click on "Login" button.
 9. After you click on the "Login" button, Home page of e-Voting will open.

Step 2: Cast your vote electronically and join General Meeting on NSDL e-Voting system.

How to cast your vote electronically and join General Meeting on NSDL e-Voting system?

1. After successful login at Step 1, you will be able to see all the companies "EVEN" in which you are holding shares and whose voting cycle and General Meeting is in active status.
2. Select "EVEN" of company for which you wish to cast your vote during the remote e-Voting period and casting your vote during the General Meeting. For joining virtual meeting, you need to click on "VC/OAVM" link placed under "Join Meeting".
3. Now you are ready for e-Voting as the Voting page opens.
4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on "Submit" and also "Confirm" when prompted.

5. Upon confirmation, the message "Vote cast successfully" will be displayed.
6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote

General Guidelines for shareholders

1. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/JPG Format) of the relevant Board Resolution/ Authority letter etc. with attested specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer by e-mail to suresh@spgindia.co.in with a copy marked to evoting@nsdl.com. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on "Upload Board Resolution / Authority Letter" displayed under "e-Voting" tab in their login.
2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the "Forgot User Details/Password?" or "Physical User Reset Password?" option available on www.evoting.nsdl.com to reset the password.
3. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on.: 022 - 4886 7000 or send a request to Ms. Pallavi Mhatre, Senior Manager, National Securities Depository Ltd., 3rd Floor, Naman Chamber, Plot C-32, G-Block, Bandra Kurla Complex, Bandra East, Mumbai, Maharashtra - 400051 at the designated email address: evoting@nsdl.com or at telephone no. 022-48867000.

Process for those shareholders whose email ids are not registered with the depositories for procuring user id and password and registration of e mail ids for e-voting for the resolutions set out in this notice:

1. In case shares are held in demat mode, please provide DPID-CLID (16 digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) to cs@akums.net. If you are an Individual shareholders holding securities in demat mode, you are requested to refer to the login method

explained at step 1 (A) i.e. Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode.

2. Alternatively shareholder/members may send a request to evoting@nsdl.com for procuring user id and password for e-voting by providing above mentioned documents.
3. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email ID correctly in their demat account in order to access e-Voting facility.
2. Members are encouraged to join the Meeting through Laptops for better experience.
3. Further Members will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
4. Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to Fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
5. Shareholders who would like to express their views/have questions may send their questions in advance mentioning their name demat account number/folio number, email id, mobile number at cs@akums.net.

THE INSTRUCTIONS FOR MEMBERS FOR e-VOTING ON THE DAY OF THE AGM ARE AS UNDER:-

1. The procedure for e-Voting on the day of the AGM is same as the instructions mentioned above for remote e-voting.
2. Only those Members/ shareholders, who will be present in the AGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system in the AGM.
3. Members who have voted through Remote e-Voting will be eligible to attend the AGM. However, they will not be eligible to vote at the AGM.
4. The details of the person who may be contacted for any grievances connected with the facility for e-Voting on the day of the AGM shall be the same person mentioned for Remote e-voting.

INSTRUCTIONS FOR MEMBERS FOR ATTENDING THE AGM THROUGH VC/OAVM ARE AS UNDER:

1. Member will be provided with a facility to attend the AGM through VC/OAVM through the NSDL e-Voting system. Members may access by following the steps mentioned above for **Access to NSDL e-Voting system**. After successful login, you can see link of "VC/OAVM" placed under "Join meeting" menu against company name. You are requested to click on VC/OAVM link placed under Join Meeting menu. The link for VC/OAVM will be available in Shareholder/Member login where the EVEN of Company will be displayed. Please note that the members who do not have the User ID and Password for e-Voting or have forgotten the User ID and Password may retrieve the same by following the remote e-Voting instructions mentioned in the notice to avoid last minute rush.

6. Speaker Registration before AGM:

Members of the Company who wish to speak, express their views, or raise questions during the Annual General Meeting (AGM) are requested to register themselves as speakers. Only those members holding shares as on the cut-off date and who have registered as speakers shall be allowed to participate in this capacity during the AGM.

To register, eligible members are required to send an email to cs@akums.net with the following details:

- Full Name
- Contact Number
- DP ID / Client ID
- Number of Shares held as on the cut-off date.

Please note that registration must be completed by 14th July, 2025. Due to limitations in transmission and coordination during the AGM, the Company may need to curtail or dispense with the speaker session at its discretion.

Accordingly, shareholders are encouraged to send their questions in advance by email to cs@akums.net to ensure appropriate consideration. Please note that the Company reserves the right to restrict the number of speakers depending on the availability of time for the AGM.

EXPLANATORY STATEMENT PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013.

ITEM NO. 3:

APPOINTMENT OF SECRETARIAL AUDITORS FOR FIVE FINANCIAL YEARS FROM FY 2025-26 to FY 2029-30

Pursuant to Section 204 of the Companies Act, 2013 ("the Act") the Company has to annex to its Board's Report a Secretarial Audit

Report given by a practicing company secretary in the format as prescribed in form MR-3. Further, section 179 of the Act read with Rule 8 of the Companies (Meeting of Board and its Power) Rules, 2014 provide that the appointment of Secretarial Auditor shall be made by the Board at the meeting of the Board of Directors.

SEBI vide its notification dated 12th December, 2024 amended Regulation 24A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations). The Amended regulation read with SEBI circular no SEBI/HO/CFD-Pod-2/CIR/P/2024/185 dated 31st December, 2024 (the Circular) have inter-alia prescribed the term of appointment/re-appointment, eligibility, qualifications and disqualifications of Secretarial Auditor of a Listed Company.

As per the amended Regulation 24A of the Listing Regulations, the Company and its material unlisted subsidiary company(ies) incorporated in India is required to undertake Secretarial Audit by a Secretarial Auditor who shall be Peer Reviewed Company Secretary and annex a Secretarial Auditor Report with the annual report of the Company.

Pursuant to the amended Regulation 24A of the Listing Regulations, w.e.f 01st April, 2025, every listed Company on the recommendation of Board of Directors shall appoint or re-appoint (i) an individual as Secretarial Auditor for not more than one term of five consecutive years or (ii) a Secretarial Audit firm as Secretarial Auditor for not more than two terms of five consecutive years with the approval of its shareholders in its Annual General Meeting.

In accordance with the above, the Board of Directors at its meeting held on 26th May, 2025 considered, approved and recommended to the shareholders of the Company for their approval, the appointment of M/s SPG & Associates, a peer reviewed firm of Company Secretaries in practice (Registration Number: P2009DE074200) as Secretarial Auditors of the Company at the ensuing 21st Annual General Meeting for a term of five consecutive years from FY 2025-26 to FY 2029-30 and issue (i) the Secretarial Audit Report under Section 204 of the Act for a each financial year and (ii) the Secretarial Audit Reports under Regulation 24A (1)(a) of the Listing Regulations for each financial year.

The Board of Directors have approved that in addition to issuing the Secretarial Audit Reports, the Secretarial Auditors shall also issue to the Company (i) the Secretarial Compliance Report under Regulation 24A(2) of the Listing Regulations for the term (ii) the Compliance certificate compliance of conditions of corporate governance as may be required under Para E of Schedule V of the Listing Regulations for the terms and (iii) the certificate on qualification of the directors as may be required under sub-clause (i) of clause 10 of Paragraph C of Schedule V of Listing Regulations for the term and (iv) such other certificates or reports or opinion which can be issued by the Secretarial Auditors under Applicable Laws.

M/s SPG & Associates have consented to the said appointment and confirmed that their appointment, if made, would be within the limits specified by the Institute of Companies Secretaries of India. They have further confirmed that they are not disqualified to be appointed as Secretarial Auditor in term of provisions of the Companies Act 2013, the Company Secretaries Act 1980 and Rules and Regulations made thereunder and the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015 and the Circular.

Brief Profile of M/s SPG & Associates, Company Secretaries in practice as under:

SPG & Associates is a Peer Reviewed firm of Company Secretaries, established in the year 2009, headquartered at New Delhi and having various affiliates across India, with a rich experience of fourteen years. They have a team of committed professionals including qualified Company Secretaries, Chartered Accountants, Cost Accountants, Advocates and other experienced resources with specialised skills, serving the dynamics business needs of the corporate world. More details of the firm are available at their website at the weblink: <https://spgindia.co.in/>

Other Disclosures

No order has been passed by ICSI/SEBI/MCA/ any other competent authority/ Court, both in India or outside India, in past 5 years against the proposed secretarial auditors.

M/s SPG & Associates is not associated with the Company, its holding or subsidiary companies, its holding or subsidiary companies or any of the Promoter or Promoter Group entities.

The Board after taking into account the qualification and experience of M/s SPG & Associates and the certificate submitted by them, was of the opinion that they are qualified to be appointed as the Secretarial Auditors of the Company in accordance with the Listing Regulations and the Circular, the qualification and experience of M/s SPG & Associates is commensurate with the size and requirements of the Company and have accordingly recommended their appointment as the Secretarial Auditors for the term, as set out in the proposed resolution, to the members of the Company.

It is to mention that, with the listing of the company and growth in the scale of the Company, the scope of work and responsibilities assigned to the Secretarial Auditor (proposed for appointment) have significantly increased. Further, in order to maintain good corporate governance and to ensure review and periodical checks on compliance, the frequency of periodical audit of the secretarial records has also been increased. In light of these factors, and to commensurate with the size of the group the remuneration of the proposed Secretarial Auditor has to be increased vis a vis existing outgoing secretarial auditor. Therefore, the shareholders are also requested to authorise Managing Director(s)/CFO/ Company Secretary to review and decide, time to time, the

remuneration payable for each financial year, in consultation with Secretarial Auditor.

None of the Directors, Key Managerial Personnel of the Company and their relatives, are concerned or interested, financially or otherwise, in this resolution.

The Board recommends the Ordinary Resolution set out at item no. 3 of the notice for approval by the shareholders.

Item No. 4

RATIFICATION OF REMUNERATION OF COST AUDITOR FOR F.Y. 2025-26

The Board of Directors, at their meeting held on 26th May, 2025, on the recommendation of the Audit Committee approved the re-appointment of M/s Balwinder & Associates, Cost Accountants, as Cost Auditors of the Company for conducting the audit of the cost records of the Company, for the Financial Year 2025-26 at a remuneration of Rs 1,60,000 (Rupees One Lakh Sixty thousand), plus taxes as may be applicable and reimbursement of such other out of pocket expenses, as may be incurred by them during the course of audit.

Pursuant to Section 148 of the Companies Act, 2013 read with the Companies (Audit and Auditors) Rules, 2014, Members are required to ratify the remuneration to be paid to the Cost Auditors of the Company. Accordingly, the consent of the Members of the Company is being sought to pass the ordinary resolution to ratify remuneration payable to the Cost Auditors for conducting the Audit of Cost records, for the financial year 2025-26.

None of the Directors, Key Managerial Personnel of the Company, their relatives are, in any way, concerned or interested, financially or otherwise, in the resolution.

The Board recommends the Ordinary Resolution set out at item no. 4 of the notice for approval by the shareholders.

ITEM NO. 5.

The Board of Directors based on the recommendation of Nomination and Remuneration Committee and, vide its circular resolution has approved the appointment of Mr. Anil Kumar Arvindlal Amin (DIN: 10594012) as an Additional Director in the category of Independent Director on the Board of the company and subject to approval of the shareholders to be appointed as an Independent Director with effect from June 04, 2025 for a term of five (5) consecutive years.

Earlier in the meeting held on 26th May, 2025, in order to facilitate deeper assessment and ensure greater clarity on the shortlisted candidate profiles for Independent Director, the Nomination and Remuneration Committee discussed and deliberated on profiles of all shortlisted candidates and reserved its recommendation to the Board.

On 2nd June, 2025, the Nomination and Remuneration Committee virtually interacted with Mr. Anil Kumar Arvindlal Amin, the shortlisted candidate, for appointment as an Independent Director of the company before passing the resolution by circulation, as per Section 175 of the Companies Act, 2013 and applicable rules framed thereunder, thereafter made its decision to recommend to the Board for consideration and appointment of Mr. Amin as an Additional Director in the category of Independent Director till the ensuing annual general meeting.

Subsequently, based on the above recommendation the Board passed circular resolution on 4th June, 2025 and approved appointment of Mr. Amin as an Additional Director in the category of Independent Director and recommends to the shareholder to consider and approve the appointment of Mr. Anil Kumar Arvindlal Amin (DIN: 10594012) as an Independent Director of the company for a term of five (5) consecutive years, whose office shall not be liable to retire by rotation.

“Brief Profile: Mr. Anil Amin is the former Chief Business Development Officer of Viatris, bringing with him over 30 years of experience in the pharmaceutical industry. In his role, he was responsible for advancing Viatris’ strategic growth through its Business Development organization, leading efforts to identify and execute strategic partnerships, joint ventures, alliances, and acquisitions that aimed to accelerate the company’s growth. He was a key architect in driving Viatris’ vision to become the Partner of Choice™ for entities looking to unlock the full global potential of their assets through partnerships. Additionally, he led the company’s divestment process, overseeing the carve-out of businesses globally and successfully concluding those transactions.

Prior to his tenure at Viatris, Mr. Amin served as the Head of Global Business Development at Mylan, where he was instrumental in the successful combination of Mylan and Upjohn, a division of Pfizer, which led to the formation of Viatris. Before joining Mylan, Mr. Amin was Vice President of Business Development and Alliance Management for Pfizer’s Established Products Business Unit and held various other roles in manufacturing over his 20-year career span at Pfizer.

Mr. Amin holds a master’s degree in technology management from the New Jersey Institute of Technology.”

The Company has received requisite consent, declarations and confirmation from Mr. Amin under Companies Act, 2013 (‘Act’) and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The Company has received a notice under Section 160 of the Companies Act, 2013 proposing his candidature for appointment as a Director in the capacity of an Independent Director of the Company.

The shareholder are also requested through the special resolution as set out in this notice to approve monetary compensation

(payable to Mr. Amin) of INR 30.00 lakh per annum (including sitting fee and/ or incentive/ commission) plus travels & lodging expenses for attending of Board and Committees meetings and authorization and delegation to Nomination & Remuneration Committee and / or the Board to review and modify such compensation from time to time, subject to the overall limit prescribe under Companies Act 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

None of the Directors, Key Managerial Personnel of the Company and their relatives, are concerned or interested, financially or otherwise, in this resolution

The Board recommends the Special Resolution set out at item no. 5 of the notice for approval by the shareholders.

Disclosures as required under Regulation 36 of SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015 read with Secretarial Standard-2 is given under **Annexure-A**.

By Order of the Board of Directors
For **Akums Drugs & Pharmaceuticals Ltd**

Dharamvir Malik
Company Secretary & Compliance Officer

Place : Delhi
Date : 07.06.2025

Regd Office: 304, 3rd Floor,
Mohan Place L.S.C, Block-C,
Delhi-110034

Annexure-A

Particular of Director seeking Appointment at the ensuing Annual General Meeting pursuant to Regulation 36(3) of SEBI (Listing Obligations and Disclosure Requirements), 2015 read with the Secretarial Standards- 2 prescribed for General Meeting.

Name / DIN of Director	Mr. Anil Kumar Arvindlal Amin (DIN: 10594012)
Date of Birth, Age	05.01.1967, 58 years
A Brief Resume	Mr. Anil Amin is the former Chief Business Development Officer of Viatris, bringing with him over 30 years of experience in the pharmaceutical industry. In his role, he was responsible for advancing Viatris' strategic growth through its Business Development organization, leading efforts to identify and execute strategic partnerships, joint ventures, alliances, and acquisitions that aimed to accelerate the company's growth. He was a key architect in driving Viatris' vision to become the Partner of Choice™ for entities looking to unlock the full global potential of their assets through partnerships. Additionally, he led the company's divestment process, overseeing the carve-out of businesses globally and successfully concluding those transactions. Prior to his tenure at Viatris, Mr. Amin served as the Head of Global Business Development at Mylan, where he was instrumental in the successful combination of Mylan and Upjohn, a division of Pfizer, which led to the formation of Viatris. Before joining Mylan, Mr. Amin was Vice President of Business Development and Alliance Management for Pfizer's Established Products Business Unit and held various other roles in manufacturing over his 20-year career span at Pfizer. Mr. Amin holds a master's degree in technology management from the New Jersey Institute of Technology.
Date of appointment as Director	04th June, 2025.
Qualification	Master's Degree in Technology Management from New Jersey Institute of Technology.
Experience	30 years
Terms of conditions of Appointment	Mr. Amin is being appointed as an Independent Director with effect from June 04th, 2025 for a term of five (5) consecutive years, not liable to retire by rotation.
Remuneration proposed to be paid (Sitting Fees)	Mr. Amin is not entitled to any remuneration except monetary compensation of as stated in the explanatory statement. The company pays sitting fees INR 1 Lakh per meeting of the Board and Committees in due compliance of Companies Act 2013.
No. of Meeting held during the year	Not Applicable
Directorship in other Public Company	None
Membership of Committees of other Public Company	Not Applicable
No. of Shares held in the Company	Nil
Relationship with any Director/ KMP	Not related with any Director / KMP of the Company

Financial Statements

Independent Auditor's Report

To the Members of
Akums Drugs and Pharmaceuticals Limited

Report on the Audit of the Standalone Financial Statements

Opinion

1. We have audited the accompanying standalone financial statements of Akums Drugs and Pharmaceuticals Limited ('the Company'), which comprise the Standalone Balance Sheet as at 31 March 2025, the Standalone Statement of Profit and Loss (including Other Comprehensive Income), the Standalone Statement of Cash Flow and the Standalone Statement of Changes in Equity for the year then ended, and notes to the standalone financial statements, including material accounting policy information and other explanatory information, which includes audited financial statement of Akums Employee Benefit Trust ('the Trust') for the year ended on that date.
2. In our opinion and to the best of our information and according to the explanations given to us, and based on the consideration of the reports of the other auditor on separate financial statements on the Trust as referred to in Other Matter section below, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ('the Act') in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards ('Ind AS') specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015 and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2025, and its profit (including other comprehensive income), its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing specified under section 143(10) of the Act. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with

the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained together with the audit evidence obtained by other auditor, in terms of their report referred to in the Other Matter section below is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter: Search and Seizure on the Company

4. We draw attention to note 56(c) to the accompanying standalone financial statements relating to a search and seizure operation carried out by the Income Tax Department during the financial year ended 31 March 2025, at certain offices and manufacturing units of the Company and its subsidiaries, and the residences of selected key managerial personnel of the Company from 15 January 2025 to 21 January 2025 under Section 132 of the Income Tax Act, 1961. Further, the Company has not received any order/notice/communication on the findings of such investigation by the Income tax department till date. Accordingly, the impact of this matter for the year ended 31 March 2025 and the adjustments (if any) required, is presently not ascertainable.

Our opinion is not modified in respect of this matter.

Key Audit Matter

5. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

6. We have determined the matter described below to be the key audit matter to be communicated in our report.

Key audit matter	How our audit addressed the key audit matter
Revenue Recognition (Refer note 1.20 and 43 to the standalone financial statements for material accounting policy information and revenue-related disclosures respectively): Revenue from the sale of goods is recognized when control over goods is transferred to a customer or as soon as the risk and rewards related to the transactions are transferred to the customer which is when the goods are dispatched from the premises of the Company. Further, revenue from services is recognised as per the terms of the contract basis the services rendered, and costs incurred by the Company. We have identified recognition of revenue as an area requiring significant auditor attention during the year as revenue is focused as a key performance indicator by the Company and its external stakeholders which could create an incentive for revenue to be recognised before the control is transferred. It has been identified as an area of presumed fraud risk by us as per the requirements of Standards on Auditing.	Our audit procedures with respect to revenue recognition included, but were not limited, to the following: - Understood the nature of revenue transactions, revenue recognition process and evaluated the appropriateness of the accounting policy adopted by the management in accordance with Ind AS 115; - Evaluated the design, implementation and tested the operating effectiveness of Company's internal controls around revenue recognition for a sample of transactions; - Evaluated the integrity of the general information and technology ('IT') control environment and testing the operating effectiveness of key IT application controls. - On a sample basis, performed substantive procedures for revenue transactions recorded during the year, and transactions recorded during specific period before and after year end through inspection of underlying supporting documents such as customer contracts, purchase orders/statement of work, proof of dispatch and delivery including regulatory documents used for movement of products as per applicable regulations, invoices, etc. to ensure revenue is recorded in the correct period and in accordance with the accounting policy of the Company; - Performed overall analytical procedures on revenue recognized during the year to identify unusual and/or material variances; - Tested unusual non-standard journal entries impacting revenue, selected based on risk-based criteria; and - Evaluated the appropriateness and adequacy of the disclosures made in the accompanying standalone financial statements in respect of revenue recognition in accordance with the applicable accounting standards.

Information other than the Standalone Financial Statements and Auditor's Report thereon

7. The Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report but does not include the standalone financial statements and our auditor's report thereon. The Annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Standalone Financial Statements

8. The accompanying standalone financial statements have been approved by the Company's Board of Directors. The Company's Board of Directors are responsible for the matters stated in section 134(5) of the Act with respect to the preparation and presentation of these standalone financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, changes in equity and cash flows of the Company in accordance with the Ind AS specified under section 133 of the Act and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance

with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

9. In preparing the standalone financial statements, the Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.
10. The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

11. Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.
12. As part of an audit in accordance with Standards on Auditing, specified under section 143(10) of the Act we exercise professional judgment and maintain professional skepticism throughout the audit. We also:
 - Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3) (i) of the Act we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls;
 - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;
 - Conclude on the appropriateness of Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern;
 - Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation; and
 - Obtain sufficient appropriate audit evidence regarding the business activities and financial statements of the Company which includes financial information of its Trust, to express an opinion on the standalone financial statements. We are responsible for the direction, supervision and performance of the audit of financial statements of the Company, included in the standalone financial statements, of which we are the independent auditors. For the Trust included in the standalone financial statements, which have been audited by the other auditor, such other auditor remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.
13. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

14. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
15. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

16. We did not audit the financial statements of Akums Employee Benefit Trust ('the Trust') included in the standalone financial statements of the Company whose financial statements reflects total assets of ₹ 3,004.35 million as at 31 March 2025, and the total revenues of ₹ 0.00 million and net cash inflows of ₹ 0.00 million for the year ended on that date. The standalone financial statements also include the Company's share in the net profit (including other comprehensive income) of ₹ 85.89 million for the year ended 31 March 2025 in respect of a LLP, whose financial statements have not been audited by us. These financial statements of the Trust and LLP have been audited by other auditor, whose reports have been furnished to us by the management and our opinion on the standalone financial statements, in so far as it relates to the amounts and disclosures included in respect of this Trust and LLP, and our report in terms of sub-section (3) of Section 143 of the Act in so far as it relates to the aforesaid Trust and LLP, is based solely on the report of such other auditors.

Further, the aforementioned financial statements of this Trust has been prepared in conformity with the Accounting Standards specified under section 133 of the Act, read with the Companies (Accounting Standards) Rules, 2021. The Company's management has converted these financial statements of this Trust to the accounting principles enunciated under the Indian Accounting Standards ('Ind AS') specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015 as applicable to the Company. We have audited these conversion adjustments made by the Company's management.

Our opinion above on the standalone financial statements, and our report on other legal and regulatory requirements below, is not modified in respect of the above matter with respect to our reliance on the work done by and the reports of the other auditors.

Report on Other Legal and Regulatory Requirements

17. As required by section 197(16) of the Act, based on our audit, we report that the Company has paid remuneration to its directors during the year in accordance with the provisions of and limits laid down under section 197 read with Schedule V to the Act.
18. As required by the Companies (Auditor's Report) Order, 2020 ('the Order') issued by the Central Government of India in terms of section 143(11) of the Act we give in the Annexure I a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
19. Further to our comments in Annexure I, as required by section 143(3) of the Act based on our audit, and on the consideration of the reports of the other auditors as referred to in Other Matter paragraph above, we report, to the extent applicable, that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the accompanying standalone financial statements;
 - b) Except for the matters stated in paragraph 19(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended); in our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c) The standalone financial statements dealt with by this report are in agreement with the books of account;
 - d) In our opinion, the aforesaid standalone financial statements comply with Ind AS specified under section 133 of the Act;
 - e) On the basis of the written representations received from the directors and taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2025 from being appointed as a director in terms of section 164(2) of the Act;
 - f) The qualification relating to the maintenance of accounts and other matters connected therewith are as stated in paragraph 19(b) above on reporting under

section 143(3)(b) of the Act and paragraph 19(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended);

- g) With respect to the adequacy of the internal financial controls with reference to financial statements of the Company as on 31 March 2025 and the operating effectiveness of such controls, refer to our separate report in Annexure II wherein we have expressed an unmodified opinion; and
- h) With respect to the other matters to be included in the Auditor's Report in accordance with rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditor as referred to in Other Matter paragraph above:
 - i. The Company, as detailed in note 35 to the standalone financial statements, has disclosed the impact of pending litigation on its financial position as at 31 March 2025;
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses as at 31 March 2025;
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company during the year ended 31 March 2025;
 - iv. a. The management has represented that, to the best of its knowledge and belief, as disclosed in note 57(e) to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or securities

premium or any other sources or kind of funds) by the Company to or in any person or entity, including foreign entities ('the intermediaries'), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ('the Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf the Ultimate Beneficiaries;

- b. The management has represented that, to the best of its knowledge and belief, as disclosed in note 57(f) to the standalone financial statements, no funds have been received by the Company from any person or entity, including foreign entities ('the Funding Parties'), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- c. Based on such audit procedures performed as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the management representations under sub-clauses (a) and (b) above contain any material misstatement.
- v. The Company has not declared or paid any dividend during the year ended 31 March 2025.

- vi. As stated in note 56(a) to the standalone to the financial statements and based on our examination which included test checks, except for instances mentioned below, the Company, in respect of financial year commencing on 1 April 2024, has used accounting software for maintaining its books of account which have a feature of recording audit trail (edit log) facility and the same have been operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with, other than the consequential impact of the exceptions given below. Furthermore, except for instances mentioned below the audit trail has been preserved by the Company as per the statutory requirements for record retention.

Nature of exception noted	Details of Exception
Instances of accounting software for maintaining books of account for which the feature of recording audit trail (edit log) facility was not operated throughout the year for all relevant transactions recorded in the software.	The audit trail feature was not enabled at the database level for accounting software to log any direct data changes, used for maintenance of all accounting record records by the Company.

For **Walker Chandiok & Co LLP**
Chartered Accountants
Firm's Registration No.: 001076N/N500013

Tarun Gupta
Partner

Membership No.: 507892
UDIN: 25507892BMNSLX4659

Place: Delhi
Date: 26 May 2025

Annexure I referred to in paragraph 18 of the Independent Auditor's Report of even date to the members of Akums Drugs and Pharmaceuticals Limited on the standalone financial statements for the year ended 31 March 2025

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit, and to the best of our knowledge and belief, we report that:

- (i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of property, plant and equipment, capital work-in-progress, investment property and relevant details of right-of-use assets.
- (B) The Company has maintained proper records showing full particulars of intangible assets.
- (b) The Company has a regular programme of physical verification of its property, plant and equipment, capital work-in-progress, investment property and relevant details of right-of-use assets under which the assets are physically verified in a phased manner over a period of three years, which in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. In accordance with this programme, certain property, plant and equipment, capital work-in-progress, investment property and relevant details of right-of-use assets were verified during the year and no material discrepancies were noticed on such verification.
- (c) The title deeds of all the immovable properties including investment properties held by the Company (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee), disclosed in note 2a to the standalone financial statements, are held in the name of the Company.
- (d) The Company has adopted cost model for its Property, Plant and Equipment (including right-of-use assets) and intangible assets. Accordingly, reporting under clause 3(i)(d) of the Companies (Auditor's Report) Order, 2020 (hereinafter referred to as 'the Order') is not applicable to the Company.
- (e) No proceedings have been initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended) and rules made thereunder.
- (ii) (a) The management has conducted physical verification of inventory at reasonable intervals during the year, except for goods-in-transit. In our opinion, the coverage and procedure of such verification by the management is appropriate and no discrepancies of 10% or more in the aggregate for each class of inventory were noticed as

compared to book records and in respect of goods-in-transit, these have been confirmed from corresponding receipt and/or dispatch inventory records.

- (b) As disclosed in note 21 to the standalone financial statements, the Company has been sanctioned a working capital limit in excess of Rs. 50.00 million, by banks based on the security of current assets. The quarterly returns/statements, in respect of the working capital limits have been filed by the Company with such banks and such returns/statements are in agreement with the books of account of the Company for the respective periods, which were subject to review/audit.
- (iii) The Company has not made investments in, provided any guarantee or security or granted any loans or advances in the nature of loans to firms and limited liability partnerships during the year. The Company has not provided any guarantee or security or granted any advances in the nature of loans to companies during the year. Further, the Company has made investment in, granted loans to companies during the year, in respect of which:

- (a) The Company has provided loan to Subsidiaries during the year as per details given below:

(₹ in million)	
Particulars	Loans
Aggregate amount provided/granted during the year:	
- Subsidiaries	16,556.01
Balance outstanding as at balance sheet date:	
- Subsidiaries	10,378.21

- (b) In our opinion, and according to the information and explanations given to us, the investments made, and terms and conditions of the grant of all loans provided are, prima facie, not prejudicial to the interest of the Company.
- (c) In respect of loans granted by the Company, the schedule of repayment of principal and payment of interest has been stipulated and the repayments/receipts of principal and interest are regular.
- (d) There is no overdue amount in respect of loans granted to such companies.
- (e) The Company has not granted any loan which has fallen due during the year. Further, no fresh loans were granted to any party to settle the overdue loans/advances in nature of loan that existed as at the beginning of the year.

- (f) The Company has not granted any loan, which is repayable on demand or without specifying any terms or period of repayment.
- (iv) In our opinion, and according to the information and explanations given to us, the Company has complied with the provisions of section 186 of the Act in respect of loans and investments made and guarantees provided by it, as applicable. Further, the Company has not entered into any transaction covered under section 185 and section 186 of the Act in respect of security provided by it.
- (v) In our opinion, and according to the information and explanations given to us, the Company has not accepted any deposits or there are no amounts which have been deemed to be deposits within the meaning of sections 73 to 76 of the Act and the Companies (Acceptance of Deposits) Rules, 2014 (as amended). Accordingly, reporting under clause 3(v) of the Order is not applicable to the Company.
- (vi) The Central Government has specified maintenance of cost records under sub-section (1) of section 148 of the Act in respect of the products of the Company. We have broadly reviewed the books of account maintained by the Company

pursuant to the rules made by the Central Government for the maintenance of cost records and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. However, we have not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.

- (vii) (a) In our opinion, and according to the information and explanations given to us, undisputed statutory dues including goods and services tax, provident fund, employees' state insurance, income-tax, duty of customs, cess and other material statutory dues, as applicable, have generally been regularly deposited with the appropriate authorities by the Company, though there have been slight delays in a few cases. Further, no undisputed amounts payable in respect thereof were outstanding at the year-end for a period of more than six months from the date they became payable.
- (b) According to the information and explanations given to us, we report that there are no statutory dues referred to in subclause (a) above that have not been deposited with the appropriate authorities on account of any dispute except for the following:

Name of the statute	Nature of dues	Gross amount	Amount paid under Protest	Period to which the amount relates	Forum where dispute is pending	Remarks, if any
Income Tax	Income Tax	11.51	1.11	FY 2016-2017	CIT (A)	-
		6.26	0.90	FY 2017-2018	CIT (A)	-
		5.76	-	FY 2019-2020	CIT (A)	-
		13.37	-	FY 2021-2022	CIT (A)	-
Goods and Service Tax Act, 2017	Goods and Service Tax	5.97	-	FY 2017-2018	Appellate Authority	-

- (viii) According to the information and explanations given to us, we report that no transactions were surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961) which have not been previously recorded in the books of accounts.
- (ix) (a) In our opinion and according to the information and explanations given to us, the Company has not defaulted in repayment of its loans or borrowings or in the payment of interest thereon to any lender.
- (b) According to the information and explanations given to us including representation received from the management of the Company, and on the basis of our audit procedures, we report that the Company has not been declared a willful defaulter by any bank or financial institution or government or any government authority.
- (c) In our opinion and according to the information and explanations given to us, the Company has not raised any money by way of term loans during the year and there has been no utilisation during the current year of the term loans obtained by the Company during any previous years. Accordingly, reporting under clause 3(ix)(c) of the Order is not applicable to the Company.
- (d) In our opinion and according to the information and explanations given to us, and on an overall examination of the financial statements of the Company, funds raised by the Company on short term basis have, prima facie, not been utilised for long term purposes.
- (e) In our opinion and according to the information and explanations given to us and on an overall examination of the financial statements of the Company, the

Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries.

- (f) In our opinion and according to the information and explanations given to us, the Company has not raised any loans during the year on the pledge of securities held in its subsidiary companies.
- (x) (a) In our opinion and according to the information and explanations given to us, money raised by way of initial public offer were applied for the purposes for which these were obtained, though idle funds which were not required for immediate utilisation have been invested in readily realisable liquid investments.
- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or (fully, partially or optionally) convertible debentures during the year. Accordingly, reporting under clause 3(x)(b) of the Order is not applicable to the Company.
- (xi) (a) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company or no fraud on the Company has been noticed or reported during the period covered by our audit.
- (b) According to the information and explanations given to us including the representation made to us by the management of the Company, no report under sub-section 12 of section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014, with the Central Government for the period covered by our audit.
- (c) According to the information and explanations given to us including the representation made to us by the management of the Company, there are no whistle-blower complaints received by the Company during the year.
- (xii) The Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it. Accordingly, reporting under clause 3(xii) of the Order is not applicable to the Company.
- (xiii) In our opinion and according to the information and explanations given to us, all transactions entered into by the Company with the related parties are in compliance with sections 177 and 188 of the Act, where applicable. Further, the details of such related party transactions have been disclosed in the standalone financial statements, as

required under Indian Accounting Standard (Ind AS) 24, Related Party Disclosures specified in Companies (Indian Accounting Standards) Rules 2015 as prescribed under section 133 of the Act.

- (xiv) (a) In our opinion and according to the information and explanations given to us, the Company has an internal audit system which is commensurate with the size and nature of its business as required under the provisions of section 138 of the Act.
- (b) We have considered the reports issued by the Internal Auditors of the Company till date for the period under audit.
- (xv) According to the information and explanation given to us, the Company has not entered into any non-cash transactions with its directors or persons connected with its directors and accordingly, reporting under clause 3(xv) of the Order with respect to compliance with the provisions of section 192 of the Act are not applicable to the Company.
- (xvi) (a) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, reporting under clauses 3(xvi)(a), (b) and (c) of the Order are not applicable to the Company.
- (d) Based on the information and explanations given to us and as represented by the management of the Company, the Group (as defined in Core Investment Companies (Reserve Bank) Directions, 2016) does not have any Core Investment Company (CIC).
- (xvii) The Company has not incurred any cash losses in the current financial year as well as the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory auditors during the year. Accordingly, reporting under clause 3(xviii) of the Order is not applicable to the Company.
- (xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information in the financial statements, our knowledge of the plans of the Board of Directors and management and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state

that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xx) According to the information and explanations given to us, the Company has met the criteria as specified under sub-section (1) of section 135 of the Act read with the Companies (Corporate Social Responsibility Policy) Rules,

2014, however, in the absence of average net profits in the immediately three preceding years, there is no requirement for the Company to spend any amount under sub-section (5) of section 135 of the Act. Accordingly, reporting under clause 3(xx) of the Order is not applicable to the Company.

(xxi) The reporting under clause 3(xxi) of the Order is not applicable in respect of audit of standalone financial statements of the Company. Accordingly, no comment has been included in respect of said clause under this report.

For **Walker Chandiok & Co LLP**
Chartered Accountants
Firm's Registration No.: 001076N/N500013

Tarun Gupta
Partner

Membership No.: 507892
UDIN: 25507892BMNSLX4659

Place: Delhi
Date: 26 May 2025

Annexure II to the Independent Auditor's Report of even date to the members of Akums Drugs and Pharmaceuticals Limited on the standalone financial statements for the year ended 31 March 2025

Independent Auditor's Report on the internal financial controls with reference to the standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act')

1. In conjunction with our audit of the standalone financial statements of Akums Drugs and Pharmaceuticals Limited ('the Company') as at and for the year ended 31 March 2025, we have audited the internal financial controls with reference to financial statements of the Company as at that date.

Responsibilities of Management and Those Charged with Governance for Internal Financial Controls

2. The Company's Board of Directors is responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statement criteria established by the Company considering the essential component of internal control stated in Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the 'Guidance Note') issued by the Institute of Chartered Accountants of India (the 'ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of the Company's business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility for the Audit of the Internal Financial Controls with Reference to Financial Statements

3. Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Standards on Auditing issued by the ICAI prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements, and the Guidance Note issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan

and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements includes obtaining an understanding of such internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

Meaning of Internal Financial Controls with Reference to Financial Statements

6. A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such controls were operating effectively as at 31 March 2025, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

For **Walker Chandiok & Co LLP**
Chartered Accountants
Firm's Registration No.: 001076N/N500013

Place: Delhi
Date: 26 May 2025

Tarun Gupta
Partner
Membership No.: 507892
UDIN: 25507892BMNSLX4659

CIN - L24239DL2004PLC125888

Standalone Balance Sheet

as at 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	As at 31 March 2025	As at 31 March 2024
ASSETS			
(1) Non-current assets			
(a) Property, plant and equipment	2a	2,647.05	2,507.76
(b) Right-of-use assets	54	702.12	446.24
(c) Capital work-in-progress	2b	537.11	85.66
(d) Investment property	3	184.88	188.63
(e) Intangible assets	4a	26.02	30.82
(f) Intangible assets under development	4b	30.24	0.86
(g) Financial assets			
(i) Investments	5	3,660.14	1,389.24
(ii) Loans	6	10,443.39	10,716.68
(iii) Others financial assets	7	100.44	93.67
(h) Non-current tax assets (net)	8	58.59	46.87
(i) Other non-current assets	9	127.31	115.41
Total non-current assets		18,517.29	15,621.84
(2) Current assets			
(a) Inventories	10	2,016.89	1,617.03
(b) Financial assets			
(i) Trade receivables	11	2,061.37	2,337.94
(ii) Cash and cash equivalents	12a	764.92	689.57
(iii) Bank balances other than (ii) above	12b	2,796.25	43.53
(iv) Others financial assets	13	204.87	246.31
(c) Other current assets	14a	487.51	397.00
Total current assets		8,331.81	5,331.38
(3) Assets held for sale	14b	-	1.03
Total Assets		26,849.10	20,954.25

CIN - L24239DL2004PLC125888

Standalone Balance Sheet

as at 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	As at 31 March 2025	As at 31 March 2024
EQUITY AND LIABILITIES			
Equity			
(a) Equity share capital	15	306.21	286.13
(b) Other equity	16	22,746.26	1,152.65
Total equity		23,052.47	1,438.78
Liabilities			
(1) Non-current liabilities			
(a) Financial liabilities			
(i) Borrowings	17	-	156.25
(ii) Lease liability	54	401.77	387.15
(iii) Other financial liabilities	18	97.84	13,738.05
(b) Provisions	19	129.31	113.52
(c) Deferred tax liabilities (net)	20	74.63	103.13
Total non-current liabilities		703.55	14,498.10
(2) Current liabilities			
(a) Financial liabilities			
(i) Borrowings	21	39.30	2,106.61
(ii) Lease liability	54	21.80	20.60
(iii) Trade payables	22		
Total outstanding dues to micro and small enterprises; and		225.20	121.99
Total outstanding dues of creditors other than micro and small enterprises		1,970.35	1,527.15
(iv) Other financial liabilities	23	684.12	1,031.13
(b) Other current liabilities	24	94.78	155.90
(c) Provisions	25a	57.11	53.99
(d) Current tax liabilities (net)	25b	0.42	-
Total current liabilities		3,093.08	5,017.37
Total equity and liabilities		26,849.10	20,954.25

Summary of the material accounting policies and other explanatory information 1-57

This is the Standalone Balance Sheet referred to in our report of even date

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited**Sanjeev Jain**

Managing Director

DIN: 00323433

Sandeep Jain

Managing Director

DIN: 00323476

Sumeet Sood

Chief Financial Officer

Dharamvir Malik

Company Secretary

Mem. No.: FCS 8596

Place : New Delhi

Date : 26 May 2025

Place : New Delhi

Date : 26 May 2025



CIN - L24239DL2004PLC125888

Standalone Statement of Profit and Loss

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	Year ended 31 March 2025	Year ended 31 March 2024
INCOME			
Revenue from operations	26	13,117.84	14,441.19
Other income	27	1,241.92	941.21
Total income		14,359.76	15,382.40
EXPENSES			
Cost of materials consumed		8,110.58	8,672.35
Change in inventories of finished goods and work-in-progress	28	(100.50)	64.42
Employee benefits expense	29	2,017.36	1,752.80
Finance costs	31	153.09	183.13
Depreciation and amortisation expense	32	395.45	326.94
Fair value changes to financial instruments (refer note 18.1)	18.1	(38.67)	3,577.74
Other expenses	30	1,744.08	1,640.46
Total expenses		12,281.39	16,217.84
Profit/ (loss) before exceptional items and tax		2,078.37	(835.44)
Exceptional items	33	-	(193.89)
Profit/ (loss) before tax		2,078.37	(1,029.33)
Tax expense:			
Current tax			
for current year		492.74	469.90
for earlier years		3.90	13.50
Deferred tax (credit)/ charge			
for current year		(7.14)	141.78
for earlier years		(21.11)	-
Total tax expense		468.39	625.18
Profit/ (loss) for the year		1,609.98	(1,654.51)
Other comprehensive income			
Items that will not be reclassified to statement of profit and loss			
Re-measurement gains/(losses) on defined benefit plans		(0.96)	(29.07)
Tax effect relating to these items		0.24	7.32
Total other comprehensive income, net of tax		(0.72)	(21.75)
Total comprehensive income (comprising of profit/ (loss) for the year and other comprehensive income for the year, net of tax)		1,609.26	(1,676.26)
Earnings per equity share of ₹ 2 (31 March 2024: ₹ 2) each			
Basic and diluted	34	10.76	(11.56)

Summary of the material accounting policies and other explanatory information 1-57

This is the Standalone Balance Sheet referred to in our report of even date

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited

Sanjeev Jain

Managing Director

DIN: 00323433

Sumeet Sood

Chief Financial Officer

Sandeep Jain

Managing Director

DIN: 00323476

Dharamvir Malik

Company Secretary

Mem. No.: FCS 8596

Place : New Delhi

Date : 26 May 2025

Place : New Delhi

Date : 26 May 2025

CIN - L24239DL2004PLC125888

Statement of Changes in Equity

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

a. Equity share capital

Particulars	Amount
As at 1 April 2023	286.13
Changes in equity share capital	-
As at 31 March 2024/ 1 April 2024	286.13
Changes in equity share capital (refer note 15.1 for details)	20.08
As at 31 March 2025	306.21

b. Other equity

Particulars	Reserves and surplus			Put option reserve	Total
	Security premium	Retained earnings	Share options outstanding account		
Balance as at 1 April 2023	-	4,630.15	-	(1,801.24)	2,828.91
Add: Loss for the year	-	(1,654.51)	-	-	(1,654.51)
Add: Other comprehensive income for the year, net of tax					
- Remeasurement of defined benefit plans	-	(21.75)	-	-	(21.75)
Add: Employee stock options granted during the year	-	-	6.91	-	6.91
Less: Employee stock options cancelled during the year	-	-	(6.91)	-	(6.91)
Balance as at 31 March 2024/ 1 April 2024	-	2,953.89	-	(1,801.24)	1,152.65
Add: Profit for the year	-	1,609.98	-	-	1,609.98
Add: Other comprehensive income for the year, net of tax					
- Remeasurement of defined benefit plans net	-	(0.72)	-	-	(0.72)
Add: On account of issue of equity shares	9,791.30	-	-	-	9,791.30
Less: On account of issue of equity shares to Akums	(2,995.77)	-	-	-	(2,995.77)
Employee Benefits Trust (ESOP Trust) (refer note 1.2)					
Add: On account of reversal of put option liability (refer note 18.1)	3,198.76	8,615.12		1,801.24	13,615.12
Less: Share issue expenses [refer note 56(b)]	(426.30)	-	-	-	(426.30)
Balance as at 31 March 2025	9,567.99	13,178.27	-	-	22,746.26

Summary of the material accounting policies and other explanatory information 1-57

This is the Standalone Balance Sheet referred to in our report of even date

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited**Sanjeev Jain**

Managing Director

DIN: 00323433

Sumeet Sood

Chief Financial Officer

Sandeep Jain

Managing Director

DIN: 00323476

Dharamvir Malik

Company Secretary

Mem. No.: FCS 8596

Place : New Delhi

Date : 26 May 2025

Place : New Delhi

Date : 26 May 2025

CIN - L24239DL2004PLC125888

Standalone Statement of Cash Flow

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	Year ended 31 March 2025	Year ended 31 March 2024
A. Cash flow from operating activities			
Net profit/ (loss) before tax		2,078.37	(1,029.33)
Adjustments for:			
Depreciation and amortisation expense	32	395.45	326.94
Bad debts		-	7.74
Diminution in the value of investment in subsidiaries	33	-	1.43
Loans given written off	33	-	192.46
Fair value changes on financial instruments	18.1	(38.67)	3,577.74
Provision for expected credit loss on trade receivable		74.01	27.96
Provision on advance to suppliers		20.00	-
Loss on sale of property, plant and equipment		0.56	2.89
Interest expense	31	153.09	183.13
Interest income		(973.11)	(749.22)
Gain on reassessment of right-of-use assets		(34.79)	-
Liability no longer required written back		(37.36)	(1.71)
Share of profit from investment in Limited Liability Partnership (LLP)		(85.89)	(89.35)
Rental income		(39.94)	(39.95)
Employee discount on issue of shares		15.60	-
Income-tax refund receivable		(19.25)	-
Operating profit before working capital changes		1,508.07	2,410.73
Adjustments for movement in working capital changes:			
(Increase)/ decrease in inventories		(399.86)	354.17
Decrease in trade receivables		202.56	187.69
Decrease/ (increase) in other financial assets		35.75	(93.66)
Increase in other assets		(87.82)	(20.43)
Increase/ (decrease) in trade payables		583.77	(130.58)
(Decrease)/ increase in other financial liabilities		(400.59)	54.92
Increase in provisions		17.95	0.61
(Decrease)/ increase in other liabilities		(61.12)	78.51
Cash flow generated from operations		1,398.71	2,841.96
Less: taxes paid (net)		(488.69)	(362.89)
Net cash flow generated from operating activities (A)		910.02	2,479.07
B. Cash flow from investing activities			
Purchase of property, plant and equipment and intangible assets (including investment property, capital work-in-progress, capital advances and payable towards property, plant and equipment)		(956.18)	(718.59)
Proceeds from sale of property plant and equipment		20.22	7.94
Advance against assets held for sale		-	1.03
Investment in subsidiaries		(2,270.90)	(0.10)
Investment in deposits/(proceeds from redemption of fixed deposits) having original maturity of more than 3 months, net		(2,750.87)	3.32
Loan given to subsidiaries		(16,556.01)	(27,274.35)
Loan repaid by subsidiaries		16,829.30	25,514.15
Withdrawals from partnership firm		82.96	23.00
Interest received		973.11	749.22
Rent received		39.94	39.95
Net cash flow (used in) investing activities (B)		(4,588.43)	(1,654.43)

CIN - L24239DL2004PLC125888

Standalone Statement of Cash Flow

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	Year ended 31 March 2025	Year ended 31 March 2024
C. Cash flow from financing activities			
Proceeds from issue of shares (net of share issue expenses)		6,373.70	-
Repayment of non-current borrowings		(218.75)	(31.25)
Repayment of current borrowings (net)		(2,004.81)	24.41
Payment of principal components of lease liabilities		(243.29)	(17.43)
Payment of interest components of lease liabilities		(31.01)	(37.56)
Interest paid		(122.08)	(145.57)
Net cash flow generated/ (used in) from financing activities (C)		3,753.76	(207.40)
Net increase in cash and cash equivalents (A+B+C)		75.35	617.24
Cash and cash equivalents at the beginning of the year		689.57	72.33
Cash and cash equivalents at the end of the year		764.92	689.57

Components of cash and cash equivalents are as below (refer note 12a):

Particulars	As at 31 March 2025	As at 31 March 2024
Balance with scheduled banks		
in current accounts	576.43	68.68
in deposit accounts with original maturity of less than 3 months	186.88	620.29
Cash on hand	1.61	0.60
	764.92	689.57

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Standalone Statement of Cash Flow

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Disclosures as required in terms of Ind AS 7 'Statement of cash flows' related to the change in financial liabilities arising from financing activity is as below:

Particulars	Current borrowings	Non-current borrowings*	Lease liabilities	Put option liability	Total
Net debt as on 1 April 2023	2,019.70	250.00	425.18	10,076.04	12,770.92
Cash flows					
(Repayments)/ Proceeds (net)	24.41	(31.25)	(54.99)	-	(61.83)
Non cash changes					
Interest on lease liability	-	-	37.56	-	37.56
Put option measurement/ fair value changes (refer note 18.1)	-	-	-	3,577.74	3,577.74
Balance as on 31 March 2024/ 1 April 2024	2,044.11	218.75	407.75	13,653.78	16,324.39
Cash flows					
(Repayments)/ Proceeds (net)	(2,004.81)	(218.75)	(274.30)	-	(2,497.86)
Non cash changes					
Interest on lease liability	-	-	31.01	-	31.01
Put option measurement/ fair value changes (refer note 18.1)	-	-	-	(38.67)	(38.67)
On account of reversal of put option liability (refer note 18.1)	-	-	-	(13,615.11)	(13,615.11)
Gain on reassessment of right-of-use assets	-	-	(34.79)	-	(34.79)
New leases	-	-	293.90	-	293.90
Balance as on 31 March 2025	39.30	-	423.57	-	462.87

*includes current maturities of non-current borrowings.

Summary of the material accounting policies and other explanatory information 1-57

This is the Standalone Balance Sheet referred to in our report of even date

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited

Sanjeev Jain

Managing Director

DIN: 00323433

Sandeep Jain

Managing Director

DIN: 00323476

Sumeet Sood

Chief Financial Officer

Dharamvir Malik

Company Secretary

Mem. No.: FCS 8596

Place : New Delhi

Date : 26 May 2025

Place : New Delhi

Date : 26 May 2025

CIN - L24239DL2004PLC125888

Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

1 Company overview and summary of material accounting policies

1.1 Company overview

Akums Drugs and Pharmaceuticals Limited (the 'Company') is a public limited company domiciled in India and incorporated under the provisions of the Companies Act applicable in India. The registered office of the Company is located at Delhi. During the current year, the Company completed its Initial Public Offer (IPO) and accordingly the Company's equity shares got listed on National Stock exchange of India Limited (NSE) and BSE Limited (BSE) on 6 August 2024.

The Company is engaged in contract manufacturing which involves manufacturing of pharmaceutical formulations and specializes in developing new formulations, undertaking bio equivalence studies, clinical trials, obtaining Drug Controller General of India's (DCGI) approval for manufacturing and marketing new Fixed Dose Combinations (FDCs) & molecules and thereby offering new formulations with Company's own technology to its customers under their brand names.

1.2 Basis of preparation

The standalone financial statement ('financial statements') of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) specified under Section 133 of the Companies Act, 2013 ("Act") read with the Companies (Indian Accounting Standards) Rules, 2015 (as amended from time to time).

The standalone financial statements have been prepared under the historical cost convention and amortised costs basis except for certain financial assets and liabilities which are measured at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The standalone financial statements of the Company are presented in Indian Rupees (₹), which is also its functional currency and all amounts disclosed in the financial statements and notes have been rounded off to the nearest two decimals in million as per the requirement of Schedule III to the Act, unless otherwise stated.

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria as set out in the Division II of Schedule III to the Companies Act, 2013. Based on the nature of products and the time between acquisition of assets for processing

and their realisation in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for the purpose of current or non-current classification of assets and liabilities.

The Company has prepared the standalone financial statements on accrual and going concern basis.

The standalone financial statements of the Company for the year ended 31 March 2025 were approved and authorised for issue by Board of Directors in their meeting held on 26 May 2025. The Board of Directors can permit revisions to these financial statements after obtaining necessary approvals or at the instance of regulatory authorities, as per provisions of the Act.

The standalone financial statements have been prepared using the material accounting policies and measurement bases summarised below. These accounting policies have been used throughout all periods presented in the standalone financial statements.

The Company has created an Akums Employee Benefits Trust ('ESOP Trust'). The Company uses the trust as a vehicle for distributing shares to employees under the employee stock option schemes. The Company treats the trust as its extension and shares held by trust are treated as treasury shares. Own equity instruments that are held by the trust are recognised at cost and deducted from equity. No gain or loss is recognised in standalone statement of profit and loss on the purchase, sale, issue, or cancellation of the Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognised in other equity.

Standards issued but not yet effective

Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as amended from time to time. During the year ended 31 March 2025, MCA has notified following new standards or amendments to the existing standards applicable to the Company:

Lack of exchangeability - Amendments to Ind AS 21: The amendments to Ind AS 21 The Effects of Changes in Foreign Exchange Rates specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its financial statements to understand

Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendments are effective for annual reporting periods beginning on or after 1 April 2025. When applying the amendments, an entity cannot restate comparative information.

The amendments will not have a material impact on the Company's standalone financial statements.

New and amended standard adopted by the Company

The Ministry of Corporate Affairs notified new standards or amendment to existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. The Company applied following amendments for the first-time during the current year which are effective from 1 April 2024:

- Lease liability in a sale and leaseback (amendments to Ind AS 116): The amendments require an entity to recognise lease liability including variable lease payments which are not linked to index or a rate in a way it does not result into gain on Right-of-use assets it retains.
- Introduction of Ind AS 117 MCA notified Ind AS 117, a comprehensive standard that prescribe, recognition, measurement and disclosure requirements, to avoid diversities in practice for accounting insurance contracts and it applies to all companies i.e., to all "insurance contracts" regardless of the issuer. However, Ind AS 117 is not applicable to the entities which are insurance companies registered with IRDAI.

The Company has reviewed the new pronouncements and based on its evaluation has determined that these amendments do not have impact on these standalone financial statements.

1.3 Use of judgment, estimates and assumptions

The preparation of financial statement is in conformity with Ind AS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, expenses and other comprehensive income (OCI) that are reported and disclosed in the financial statements and accompanying notes. Accounting estimates could change from period to period. Actual results may differ from these estimates.

Significant management judgement in applying accounting policies and estimation uncertainty

- Evaluation of indicators for impairment of assets – The evaluation of applicability of indicators of impairment of assets requires assessment of several external and internal factors which could result in deterioration of recoverable amount of the assets.
- Useful lives of depreciable/amortisable assets – Management reviews its estimate of the useful lives of depreciable/amortisable assets at each reporting date, based on the expected utility of the assets. Uncertainties in these estimates relate to technical and economic obsolescence that may change the utility of Company's assets.
- Provisions and contingent liabilities – The Company is the subject of legal proceedings and tax issues covering a range of matters, which are pending in various jurisdictions. Due to the uncertainty inherent in such matters, it is difficult to predict the final outcome of such matters. The cases and claims against the Company often raise difficult and complex factual and legal issues, which are subject to many uncertainties, including but not limited to the facts and circumstances of each particular case and claim, the jurisdiction and the differences in applicable law. In the normal course of business, management consults with legal counsel and certain other experts on matters related to litigation and taxes. The Company accrues a liability when it is determined that an adverse outcome is probable and the amount of the loss can be reasonably estimated. In the circumstances, when the outcome is not probable, company accounts for that as a contingent liability.
- Employee benefits – Management's estimate of the employee benefits is based on a number of critical underlying assumptions such as standard rates of inflation, mortality, discount rate and anticipation of future salary increases. Variation in these assumptions may significantly impact the employee benefits amount and the annual defined benefit expenses.
- Fair value measurement of financial instruments – When the fair values of financial assets and financial liabilities recorded in the Standalone Financial Statements cannot be measured based on quoted prices in active markets, their fair value is measured using internal valuation techniques. The inputs to

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

- f) Inventories – The Company estimates the net realisable values of inventories, taking into account the most reliable evidence available at each reporting date. The future realisation of these inventories may be affected by future technology or other market-driven changes that may reduce future selling prices.

1.4 Property, plant and equipment

Recognition and initial measurement

Property, plant and equipment are stated at their cost of acquisition. The cost comprises the purchase price and any attributable costs of bringing the asset to its working condition for its intended use. Any trade discount and rebates are deducted in arriving at the purchase price. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits attributable to such subsequent cost associated with the item will flow to the Company. All other repair and maintenance costs are recognised in statement of profit or loss as incurred.

In case an item of property, plant and equipment is acquired on deferred payment basis if any, interest expenses included in deferred payment is recognised as interest expense and not included in cost of asset.

Subsequent measurement (depreciation and useful lives)

Depreciation on property, plant and equipment is provided on the straight line method. The following useful life of assets has been taken by the Company:

Asset class	Useful lives
Buildings	30 years
Plant and equipments	15 years
Furniture and fittings	10 years
Vehicles	8/10 years
Office equipments	5 years
Computers	3/6 years
Research and development equipments	10 years
Electrical installations	10 years
Pollution control equipments	15 years

The residual values, useful lives and method of depreciation are reviewed at each financial year end and adjusted prospectively, if appropriate.

Where, during any financial year, any addition has been made to any asset, or where any asset has been sold, discarded, demolished or destroyed, or significant components replaced; depreciation on such assets is calculated on a pro rata basis as individual assets with specific useful life from the month of such addition or, as the case may be, up to the month on which such asset has been sold, discarded, demolished or destroyed or replaced.

Advances paid towards the acquisition of property, plant and equipment outstanding at each balance sheet date is classified as capital advances under other non-current assets and the cost of assets not put to use before such date are disclosed under 'capital work-in-progress'.

De-recognition

An item of property, plant and equipment and any significant part initially recognised is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit and loss when the asset is derecognised.

1.5 Intangible assets

Recognition and initial measurement

Intangible assets that are acquired are recognised only if it is probable that the expected future economic benefits that are attributable to the asset will flow to the Company and the cost of assets can be measured reliably. The intangible assets are recorded at cost of acquisition including incidental costs related to acquisition and installation and are carried at cost less accumulated amortisation and impairment losses, if any.

Subsequent measurement (amortisation)

All intangible assets are accounted for using the cost model whereby capitalised costs are amortised on a straight-line basis over their estimated useful lives. The estimated useful life of an identifiable intangible asset is based on a number of factors including the effects of obsolescence, demand, competition, and other economic factors (such as the stability of the industry, and known technological advances), and the level of maintenance expenditures required to obtain the expected future cash flows from the asset.

Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

The cost thereof is amortised over a period of 5 years. The amortisation period and the amortisation method for intangible assets are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

Revenue expenditure on research is recognised as expense in the year in which it is incurred and are included with the respective account heads in the standalone statement of profit and loss.

Capital expenditure on research is shown as addition to property, plant and equipment and depreciation is computed in a manner prescribed for property, plant and equipment.

De-recognition

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the standalone statement of profit and loss when the asset is derecognised.

1.6 Financial instruments

Financial instruments are recognised when the Company becomes a party to the contractual provisions of the instrument and are measured initially at fair value adjusted for transaction costs, except for those carried at fair value through profit or loss which are measured initially at fair value. Except for those trade receivables that do not contain a significant financing component and are measured at the transaction price in accordance with Ind AS 115. The Company applies Expected Credit Loss (ECL) model for measurement and recognition of impairment loss.

If the Company determines that the fair value at initial recognition differs from the transaction price, the Company accounts for that instrument at that date as follows:

- at the measurement basis mentioned above if that fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets. The Company recognises the difference between the fair value at initial recognition and the transaction price as a gain or loss.
- in all other cases, at the measurement basis mentioned above, adjusted to defer the difference between the

fair value at initial recognition and the transaction price. After initial recognition, the Company recognises that deferred difference as a gain or loss only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability.

Subsequent measurement of financial assets and financial liabilities is described below.

Non-derivative financial assets

Classification and subsequent measurement

For the purpose of subsequent measurement, financial assets are classified into the following categories upon initial recognition:

(i) Financial assets at amortised cost – a financial instrument is measured at amortised cost if both the following conditions are met:

- The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest method.

(ii) Financial assets at fair value

Investments in equity instruments other than above – All equity investments in scope of Ind AS 109 are measured at fair value. Equity instruments which are held for trading are classified as at fair value through profit and loss (FVTPL). For all other equity instruments, the Company decides to classify the same either as at fair value through other comprehensive income (FVOCI) or fair value through profit and loss (FVTPL). The Company makes such election on an instrument by instrument basis. The classification is made on initial recognition and is irrevocable.

If the Company decides to classify an equity instrument as at FVOCI, then all fair value changes on the instrument, excluding dividends, are recognised in the other comprehensive income (OCI). There is no recycling of the amounts from OCI to Profit and Loss,

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

even on sale of investment. However, the Company may transfer the cumulative gain or loss within equity. Dividends on such investments are recognised in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognised in the P&L.

De-recognition of financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and does not retain control of the financial asset. If the Company enters into transactions whereby it transfers assets recognised on its balance sheet, but retains either all or substantially all of the risks and rewards of the transferred assets, the transferred assets are not derecognised.

Non-Derivative financial liability:-

Initial recognition

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held for trading. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in Statement of Profit and Loss.

Subsequent measurement

After initial recognition, the financial liabilities are subsequently measured at amortised cost using the effective interest method (EIR).

Amortised cost is calculated by considering any discount or premium on acquisition and fees or costs that are integral part of the EIR. The effect of EIR amortisation is included as finance cost in the statement of profit and loss.

De-recognition of financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Company also derecognises a financial liability when its

terms are modified and the cash flows under the modified terms are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in Statement of Profit and Loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis to realise the assets and settle the liabilities simultaneously.

1.7 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial results are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.

Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements on a recurring basis, Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period or each case.

For the purpose of fair value disclosures, Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

1.8 Investment in subsidiaries

An investor, regardless of the nature of its involvement with an entity (the investee), shall determine whether it is a parent by assessing whether it controls the investee. An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Thus, an investor controls an investee if and only if the investor has all the following:

- power over the investee;
- exposure, or rights, to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

The Company has elected to recognise its investments in subsidiary at cost in accordance with the option available in Ind AS 27, 'Separate Financial Statements'.

Investments carried at cost are tested annually for impairment as per requirements of Ind AS 36 - Impairment of Assets.

1.9 Impairment of financial assets

All financial assets except for those at FVTPL are subject to review for impairment at least at each reporting date

to identify whether there is any objective evidence that a financial asset or a group of financial assets is impaired. Different criteria to determine impairment are applied for each category of financial assets.

In accordance with Ind-AS 109, the Company applies expected credit loss ("ECL") model for measurement and recognition of impairment loss for financial assets carried at amortised cost.

ECL is the weighted average of difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive, discounted at the original effective interest rate, with the respective risks of default occurring as the weights. When estimating the cash flows, the Company is required to consider –

- All contractual terms of the financial assets (including prepayment and extension) over the expected life of the assets.
- Cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

Trade receivables

The Company assesses impairment based on expected credit losses (ECL) model for measurement and recognition of impairment loss, the calculation of which is based on historical data, on the financial assets that are trade receivables or contract revenue receivables and all lease receivables.

The Company writes off trade receivables after it is established beyond doubt that the account is uncollectible. Financial assets that are written-off are still subject to enforcement activity by the Company.

Other financial assets

For recognition of impairment loss on other financial assets and risk exposure, the Company determines whether there has been a significant increase in the credit risk since initial recognition. If the credit risk has not increased significantly since initial recognition, the Company measures the loss allowance at an amount equal to 12-month expected credit losses, else at an amount equal to the lifetime expected credit losses.

When making this assessment, the Company uses the change in the risk of a default occurring over the expected

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life of the financial asset. To make that assessment, the Company compares the risk of a default occurring on the financial asset as at the balance sheet date with the risk of a default occurring on the financial asset as at the date of initial recognition and considers reasonable and supportable information, that is available without undue cost or effort, that is indicative of significant increases in credit risk since initial recognition. The Company assumes that the credit risk on a financial asset has not increased significantly since initial recognition if the financial asset is determined to have low credit risk at the balance sheet date.

1.10 Impairment of non-financial assets

For impairment assessment purposes, assets are grouped at the lowest levels for which there are largely independent cash inflows (cash generating units). As a result, some assets are tested individually for impairment and some are tested at cash-generating unit level.

At each reporting date, the Company assesses whether there is any indication based on internal/external factors, that an asset may be impaired. If any such indication exists, the Company estimates the recoverable amount of the asset. If such recoverable amount of the asset or the recoverable amount of the cash generating unit to which the asset belongs is less than its carrying amount, the carrying amount is reduced to its recoverable amount and the reduction is treated as an impairment loss and is recognised in the statement of profit and loss. If, at the reporting date there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed which is the higher of fair value less costs of disposal and value-in-use and the asset is reflected at the recoverable amount subject to a maximum of depreciated historical cost. Impairment losses previously recognised are accordingly reversed in the statement of profit and loss.

To determine value-in-use, management estimates expected future cash flows from each cash-generating unit and determines a suitable discount rate in order to calculate the present value of those cash flows. The data used for impairment testing procedures are directly linked to the Company's latest approved budget, adjusted as necessary to exclude the effects of future re-organisations and asset enhancements. Discount factors are determined individually for each cash-generating unit and reflect current market assessment of the time value of money and asset-specific risk factors.

1.11 Provisions, contingent liabilities and contingent assets

Provisions are recognised only when there is a present obligation, as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and when a reliable estimate of the amount of obligation can be made at the reporting date. These estimates are reviewed at each reporting date and adjusted to reflect the current best estimates. If the effect of the time value of money is material, provisions are discounted to reflect its present value using a current pre-tax rate that reflects the current market assessments of the time value of money and the risks specific to the obligation. When provisions are discounted, the increase in the provision due to the passage of time is recognised as a finance cost.

Contingent liability is disclosed for:

- Possible obligations which will be confirmed only by future events not wholly within the control of the Company; or
- Present obligations arising from past events where it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made.

Contingent assets are not recognised. However, when inflow of economic benefits is probable, related asset is disclosed.

1.12 Operating expense

Operating expenses are recognised in the standalone statement of profit or loss upon utilisation of the service or as incurred.

1.13 Foreign currency transactions and translations

i. Initial recognition

The Company's standalone financial statements are presented in Indian Rupee ('₹'), which is also the Company's functional currency. Transactions in foreign currencies are recorded on initial recognition in the functional currency at the exchange rates prevailing on the date of the transaction.

ii. Measurement at the balance sheet date

Foreign currency monetary items of the Company, outstanding at the balance sheet date are restated at the year-end rates. Non-monetary items which are carried at historical cost denominated in a foreign currency are reported using the exchange rate at the date of the transaction. Non-monetary items

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for the year ended 31 March 2025

measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

iii. Treatment of exchange difference

Exchange differences that arise on settlement of monetary items or on reporting at each balance sheet date of the Company's monetary items at the closing rate are recognised as income or expenses in the period in which they arise.

1.14 Earnings per share

Basic earnings per share is calculated by dividing the net profit or loss for the year attributable to equity shareholders (after deducting attributable taxes) by the weighted average number of equity shares outstanding during the year. The weighted average number of equity shares outstanding during the year is adjusted for events including a bonus issue if any.

For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares.

1.15 Taxes

Current income-tax

Current income-tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted in India, at the reporting date.

Current income-tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the corresponding amounts used for taxation purposes. Deferred tax is also recognised in respect of carried forward tax losses and tax credits.

Deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which they can be used. The existence of unused tax losses is strong evidence that future taxable profit may not be available. Therefore, in case of a history of recent losses, the Company recognises a deferred tax asset only to the extent that it has sufficient taxable temporary differences or there is convincing other evidence that sufficient taxable profit will be available against which such deferred tax asset can be realised.

The Company's ability to recover the deferred tax assets is assessed by the management at the close of each financial year which depends upon the forecasts of the future results and taxable profits that Company expects to earn within the period by which such brought forward losses may be adjusted against the taxable profits as governed by the Income-tax Act, 1961. Deferred tax assets – unrecognised or recognised, are reviewed at each reporting date and are recognised/ reduced to the extent that it is probable/ no longer probable respectively that the related tax benefit will be realised.

Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on the laws that have been enacted or substantively enacted by the reporting date. The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset deferred tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle deferred tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

1.16 Employee benefits

The Company provides post-employment benefits through various defined contribution and defined benefit plans:

Defined contribution plans

The Company's contribution to provident fund and employee state insurance fund is considered as defined contribution plan and is charged as an expense as they fall due based on the amount of contribution required to be made and when services are rendered by the employees. The Company has no legal or constructive obligation to pay contribution in addition to its fixed contribution.

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Defined benefit plans - unfunded

The Company operates a gratuity plan wherein every employee is entitled to the benefit. Gratuity is payable to all eligible employees (who have completed 5 years or more of service) of the Company on retirement, separation, death or permanent disablement, in terms of the provisions of the Payments of Gratuity Act, 1972.

Gratuity is post employment benefit and is in the nature of a defined benefit plan. The liability recognised in the financial statements in respect of gratuity is the present value of the defined benefit obligation at the reporting date, together with adjustments for unrecognised actuarial gains or losses and past service costs. The defined benefit obligation is calculated at or near the reporting date by an independent actuary using the projected unit credit method.

Actuarial gains and losses arising from past experience and changes in actuarial assumptions are credited or charged to the statement of profit and loss under other comprehensive income in the year in which such gains or losses are determined.

Other long-term employee benefits

Liability in respect of compensated absences becoming due or expected to be availed more than one year after the balance sheet date is estimated on the basis of an actuarial valuation performed by an independent actuary using the projected unit credit method.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering services (such as, salaries, wages, short-term compensated absences, performance incentives, expected cost of bonus, ex-gratia, etc.) are classified as short-term employee benefits. Expense in respect of short-term employee benefits is recognised on the basis of the amount paid or payable for the period during which services are rendered by the employee.

Equity settled share based payments

Employees of the Company receive remuneration in the form of share-based payments, whereby employees render services as consideration for equity instruments. The cost of equity-settled transactions is determined by the fair value at the date when the grant is made using an appropriate valuation model.

That cost is recognised, together with a corresponding increase in share-based payment reserves in equity, over the period in which the performance and/or service conditions are fulfilled. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Company best estimate of the number of equity instruments that will ultimately vest.

When the terms of an equity-settled award are modified, the minimum expense recognised is the expense had the terms had not been modified, if the original terms of the award are met. An additional expense is recognised for any modification that increases the total fair value of the share-based payment transaction, or is otherwise beneficial to the employee as measured at the date of modification. Where an award is cancelled by the entity or by the counterparty, any remaining element of the fair value of the award is expensed immediately through the Standalone Statement of Profit and Loss. The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share.

1.17 Cash flow statement

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. Cash and cash equivalents for the purposes of cash flow statement comprise cash at bank and on hand and bank deposit with banks where original maturity is three months or less.

1.18 Inventories

Inventories include raw material, stores and spares, finished goods, work in progress and packing material.

Inventories are stated at lower of cost or net realisable value. The cost in respect of the various items of inventory is computed as under:

- (i) Raw materials and packing materials are valued at lower of cost or net realisable value. However, these items are considered to be realisable at cost if the finished products, in which they will be used, are expected to be sold at or above cost. The cost includes

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direct expenses and is determined on the basis of weighted average method.

- (ii) Stores and spares - at cost or net realisable value, whichever is less. Cost is computed on weighted average basis.
- (iii) Work in progress - includes the cost of raw materials, packing materials, an appropriate share of fixed and variable production overheads as applicable and other costs incurred in bringing the inventories to their present location and condition.
- (iv) Finished goods - includes the cost of raw materials, packing materials, an appropriate share of fixed and variable production overheads as applicable and other costs incurred in bringing the inventories to their present location and condition.

Net realisable value is the estimated selling price in the ordinary course of business less any applicable selling expenses. Provision for expired stock and slow moving inventory, if required is made based on management's best estimates of net realisable value of such inventories.

1.19 Investment property

Investment properties are properties, either land or building or both, held to earn rentals and/or for capital appreciation. Investment properties are measured initially at cost including transactions costs. Subsequent to initial recognition, investment properties are measured in accordance with requirement for cost model.

The Company depreciates building component of investment property over 30 years from the date of original purchase. The Company depreciates the investment property using the straight line method.

The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used.

Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and accumulated impairment loss, if any.

Though the Company measures investment property using cost-based measurement, the fair value of investment property is disclosed in the notes. Fair values are determined

based on an annual evaluation performed by an accredited external independent valuer.

Investment properties are derecognised either when they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised in profit or loss in the period of derecognition. In determining the amount of consideration from the derecognition of investment property, the Company considers the effects of variable consideration, existence of a significant financing component, non-cash consideration, and consideration payable to the buyer (if any).

Transfers are made to (or from) investment property only when there is a change in use.

1.20 Revenue recognition

The five step model of Ind AS 115 - 'Revenue from Contracts from Customers' is used to determine whether revenue should be recognised at a point in time or over time, and at what amount is as below:

- Step 1: Identify the contract with the customer
- Step 2: Identify the performance obligations in the contract
- Step 3: Determine the transaction price
- Step 4: Allocate the transaction price to the performance obligations
- Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation.

Revenue from sale of goods is recognised upon transfer of control of promised goods to customers in an amount that reflects the consideration which the Company expects to receive in exchange for those products and which coincides with the dispatch of goods.

Revenue from services is recognized in accordance with the terms of contract when the services are rendered and the related costs are incurred.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts, price concessions and incentives, if any, as specified in the contract with the customer.

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Revenue also excludes goods and service tax (GST) collected from customers, since GST not received by the Company on its own account. Rather, it is collected tax on value added to the commodity/services by the seller, on behalf of the government and, therefore, these are not economic benefits flowing to the Company. Accordingly, it is excluded from revenue. Revenue from the sale of goods is net of returns.

1.21 Other income

Other income is comprised primarily of interest income, exchange gain/loss on translation of monetary assets and liabilities etc.

Interest

Interest income is recognised as and when due on the time proportion basis by using effective interest method. Interest income is included under the head "other income" in the standalone statement of profit and loss.

1.22 Leases

The Company as a lessee

The Company's lease asset classes primarily consist of leases for land and buildings. The Company assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether: (i) the contract involves the use of an identified asset (ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Company has the right to direct the use of the asset.

At the date of commencement of the lease, the Company recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Company recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for

any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses, if any.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. Right of use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable.

The lease liability is initially measured at amortised cost at the present value of the future lease payments. The lease payments are discounted using the incremental borrowing rates. Lease liabilities are remeasured with a corresponding adjustment to the related right of use asset if the Company changes its assessment as to whether it will exercise an extension or a termination option.

Lease liability and Right-of-use asset have been separately presented in the Standalone Balance Sheet and lease payments have been classified as financing cash flows.

The Company as a lessor

Leases for which the Company is a lessor is classified as a finance or operating lease. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

The Company assesses whether it transfers substantially all the risks and rewards of ownership. Those assets that do not transfer substantially all the risks and rewards are classified as operating leases. The Company has currently not entered into any lease that is classified as finance lease.

Rental income is accounted for on a straight-line basis over the lease term and is included in other income due to its nature.

1.23 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Company operates in a single segment of production of pharmaceuticals and relevant disclosure requirements as per Ind AS 108 "Operating Segments" have been disclosed by the Company under note no 48.

The board of directors of the Company has been identified as being the chief operating decision maker by the management of the Company.

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2a. Property, plant and equipment (PPE)

Particulars	Buildings	Plant and equipments	Furniture and fittings	Vehicles	Office equipments	Computers	Research and development equipments	Electrical installations	Pollution control equipments	Total
Gross block										
Balance as at 1 April 2023	1,061.69	2,344.16	162.53	38.57	107.17	147.36	464.60	178.62	8.20	4,512.90
Additions	173.17	414.11	82.52	0.14	10.21	36.45	21.78	29.81	-	768.19
Disposals/ adjustments	-	(12.58)	(2.03)	(0.60)	(0.52)	(4.46)	(6.98)	(0.04)	-	(27.21)
Balance as at 31 March 2024/ 1 April 2024	1,234.86	2,745.69	243.02	38.11	116.86	179.35	479.40	208.39	8.20	5,253.88
Additions	98.40	293.88	20.59	0.08	13.82	17.28	33.81	23.78	-	501.64
Disposals/ adjustments	-	(6.53)	(4.64)	(5.81)	(2.94)	(0.88)	(6.81)	(5.61)	-	(33.22)
Balance as at 31 March 2025	1,333.26	3,033.04	258.97	32.38	127.74	195.75	506.40	226.56	8.20	5,722.30
Accumulated depreciation										
Balance as at 1 April 2023	409.04	1,413.97	88.49	20.80	73.74	86.30	262.84	120.02	4.86	2,480.06
Charge for the year	37.22	155.05	15.21	2.83	11.07	18.88	32.27	9.50	0.41	282.44
Reversal of disposal	-	(6.79)	(0.92)	(0.57)	(0.47)	(4.05)	(3.58)	-	-	(16.38)
Balance as at 31 March 2024/ 1 April 2024	446.26	1,562.23	102.78	23.06	84.34	101.13	291.53	129.52	5.27	2,746.12
Charge for the year	41.28	197.79	21.53	2.39	11.66	24.06	32.05	11.43	0.41	342.60
Reversal of disposal	-	(0.48)	(0.63)	(4.31)	(0.27)	(0.60)	(1.88)	(5.30)	-	(13.47)
Balance as at 31 March 2025	487.54	1,759.54	123.68	21.14	95.73	124.59	321.70	135.65	5.68	3,075.25
Net block										
As at 31 March 2024	788.60	1,183.46	140.24	15.05	32.52	78.22	187.87	78.87	2.93	2,507.76
As at 31 March 2025	845.72	1,273.50	135.29	11.24	32.01	71.16	184.70	90.91	2.52	2,647.05

Notes:

- Refer note 39 for details of assets pledged as security by the Company.
- Refer note 36 for disclosures of contractual commitments for the acquisition of property, plant and equipment.
- Title deeds of all the immovable property held by the Company (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee) are in the name of the Company.

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2b. Capital work-in-progress

Particulars	Amount
As at 1 April 2023	161.29
Add: Additions during the year	85.66
Less: Capitalised during the year	(161.29)
As at 31 March 2024/ 1 April 2024	85.66
Add: Additions during the year	492.15
Less: Capitalised during the year	(40.70)
As at 31 March 2025	537.11

2c. Ageing of capital work-in-progress

The table below analyse the capital work-in-progress ageing:

31 March 2025

Particulars	Amount in capital work-in-progress for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Plant and equipments pending installation	155.04	-	-	-	155.04
Building under progress	337.11	44.96	-	-	382.07
	492.15	44.96	-	-	537.11

31 March 2024

Particulars	Amount in capital work-in-progress for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Plant and equipments pending installation	6.28	-	-	-	6.28
Building under progress	79.38	-	-	-	79.38
	85.66	-	-	-	85.66

Note : There are no such project under capital work in progress whose completion is overdue or has exceeded its cost compared to its original plan as of 31 March 2025 and 31 March 2024.

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3. Investment property

Tangible assets provided on operating lease to wholly owned subsidiaries as follows:

Particulars	Freehold land	Buildings	Total
Gross carrying value			
Opening balance as at 1 April 2023	113.50	129.58	243.08
Additions during the year	-	-	-
Closing balance as at 31 March 2024/ 1 April 2024	113.50	129.58	243.08
Additions during the year	-	-	-
Closing balance as at 31 March 2025	113.50	129.58	243.08
Accumulated depreciation			
Opening balance as at 1 April 2023	-	50.51	50.51
Charge for the year	-	3.94	3.94
Closing balance as at 31 March 2024/ 1 April 2024	-	54.45	54.45
Charge for the year	-	3.75	3.75
Closing balance as at 31 March 2025	-	58.20	58.20
Net carrying value			
As at 31 March 2024	113.50	75.13	188.63
As at 31 March 2025	113.50	71.38	184.88

Information regarding income and expenditure of Investment property

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Rental income derived from investment properties	21.36	21.36
Less – Depreciation	(3.75)	(3.94)
Profit arising from investment properties before indirect expenses	17.61	17.42

Fair value of the above said property at the end of the year is ₹ 295.85 million (31 March 2024: ₹ 250.16 million) as valued by an accredited independent valuer with specialisation in valuing these types of properties. The fair value so determined is higher than the carrying value of each respective asset.

Fair market value is the amount expressed in terms of money that may be reasonably be expected to be exchanged between a willing buyer and a willing seller, with equity or both. The valuation by the valuer assumes that Company shall continue to operate and run the assets to have economic utility.

The Company has no restrictions on the realisability of its investment properties and no contractual obligations to purchase, construct or develop investment properties or for repairs, maintenance and enhancements.

Fair value hierarchy

The fair value measurement for the investment property has been categorised as a Level 2 fair value based on the inputs to the valuation technique used.

Minimum lease payments receivable on leases of investment properties are as follows:

Minimum lease payments receivable	As at 31 March 2025	As at 31 March 2024
within 1 year	12.96	12.96
1-5 years	64.80	51.84
More than 5 years	30.24	56.16
Total	108.00	120.96

Further, rental income on short-term leases is ₹ 8.40 million (31 March 2024: ₹ 8.40 million).

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4(a). Intangible assets

Particulars	Brands / trademarks	Software	Total
Gross carrying value			
Opening balance as at 1 April 2023	4.90	132.04	136.94
Additions during the year	-	19.00	19.00
Closing balance as at 31 March 2024/ 1 April 2024	4.90	151.04	155.94
Additions during the year	-	6.28	6.28
Closing balance as at 31 March 2025	4.90	157.32	162.22
Accumulated amortisation			
Accumulated as at 1 April 2023	4.72	111.10	115.82
Charge for the year	0.17	9.13	9.30
Closing balance as at 31 March 2024/ 1 April 2024	4.89	120.23	125.12
Charge for the year	-*	11.08	11.08
Closing balance as at 31 March 2025	4.89	131.31	136.20
Net carrying value			
As at 31 March 2024	0.01	30.81	30.82
As at 31 March 2025	0.01	26.01	26.02

* rounded off to nil.

4(b). Intangible assets under development

Particulars	Amount
As at 1 April 2023	-
Add: Additions during the year	0.86
Less: Capitalised during the year	-
As at 31 March 2024/ 1 April 2024	0.86
Add: Additions during the year	30.24
Less: Capitalised during the year	(0.86)
As at 31 March 2025	30.24

4(c). Ageing of intangible assets under development**31 March 2025**

Particulars	Ageing				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Software pending installation	30.24	-	-	-	30.24
	30.24	-	-	-	30.24

31 March 2024

Particulars	Ageing				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Software pending installation	0.86	-	-	-	0.86
	0.86	-	-	-	0.86

Note : There are no such project in intangible under development whose completion is overdue or has exceeded its cost compared to its original plan as of 31 March 2025 and 31 March 2024.

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5. Investments

Investment in equity instrument

Investments in subsidiaries (measured at cost), Unquoted, traded, long-term

5.1. Investment in equity instruments of subsidiaries

Particulars	As at 31 March 2025	As at 31 March 2024
2,700,000 (31 March 2024: 2,700,000) equity shares of Pure and Cure Healthcare Private Limited of ₹ 10 each**	479.07	479.07
18,020,000 (31 March 2024: 18,020,000) equity shares of Unosource Pharma Limited of ₹ 10 each	196.20	196.20
50,951 (31 March 2024: 50,951) equity shares of Akumentis Healthcare Limited of ₹ 10 each	170.79	170.79
50,000 (31 March 2024: 50,000) equity shares of Maxcure Nutravedics Limited of ₹ 10 each	80.42	80.42
467,000 (31 March 2024: 467,000) equity shares of Malik Lifesciences Private Limited of ₹ 10 each	34.85	34.85
50,000 (31 March 2024: 50,000) equity shares of Nicholas Healthcare Limited of ₹ 10 each	0.50	0.50
50,000 (31 March 2024: 50,000) equity shares of Plenteous Pharmaceuticals Ltd. of ₹ 10 each	0.50	0.50
10,000 (31 March 2024: 10,000) equity shares of Sarvagunaushdhi Private Limited of ₹ 10 each	0.10	0.10
99,994 (31 March 2024: 99,994) equity shares of Akums Healthcare Limited of ₹ 10 each	1.00	1.00
10,000 (31 March 2024: 10,000) equity shares of Qualymed Pharma Private Limited of ₹ 10 each	0.10	0.10
1 (31 March 2024: Nil) equity shares of Akums Healthcare UK Limited of GBP 1 each***	-	-
Nil (31 March 2024: 50,000) equity shares of Amazing Research Laboratories Limited of ₹ 10 each	-	1.95
Nil (31 March 2024: 50,000) equity shares of May and Baker Pharmaceuticals Limited of ₹ 10 each	-	0.50
Nil (31 March 2024: 1,000) equity shares of Hygosap Pharma Private Limited of ₹ 10 each^	-	0.01
1,54,121 (31 March 2024: 1,54,121) equity shares of Medibox Pharma Private Limited of ₹ 10 each*	-	-
Less: Investment in subsidiaries held for sale (refer note 14b)	-	(2.46)
	963.53	963.53

5.2 Investment in preference shares

Particulars	As at 31 March 2025	As at 31 March 2024
Investments in subsidiaries (measured at cost), Unquoted, traded, long-term		
5,918 (31 March 2024: 5,918) Compulsorily Convertible Cumulative Preference shares of Akumentis Healthcare Limited of ₹ 100 each	424.21	424.21

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Particulars	As at 31 March 2025	As at 31 March 2024
2,78,740 (31 March 2024: nil) 0.01% Optionally Convertible Redeemable Preference shares of Pure and Cure Healthcare Private Limited of ₹ 10 each#	2,020.90	-
4,919 (31 March 2024: nil) 0.01% Optionally Convertible Redeemable Preference of Maxcure Nutravedics Limited of ₹ 10 each#	250.00	-
	2,695.11	424.21

5.3 Other investments - investments in limited liability partnership ("LLP") firms

Particulars	As at 31 March 2025	As at 31 March 2024
(Investments carried at cost, traded, long-term, unquoted)		
Upadhrish Reserchem LLP	1.50	1.50
(Name of the partner and share of profit/capital- Akums Drugs and Pharmaceuticals Limited (99.93 %) and S.P. Ojha (0.07%), Total Capital of the LLP ₹ 1,501,000 (31 March 2024 : ₹ 1,501,000)		
	1.50	1.50
	3,660.14	1,389.24
Aggregate amount of unquoted investments	3,660.14	1,389.24
Aggregate provision for impairment in value of investments	-	-

* The Company is exercising control over Medibox Pharma Private Limited jointly with its wholly owned subsidiary Maxcure Nutravedics Limited, the investment of which has been written off by the Company in the previous year.

** During the earlier year, Pure and Cure Healthcare Private Limited and erstwhile Akums Lifesciences Limited (both wholly owned subsidiaries of the Company) had filed a Scheme of Arrangement ('Scheme') under the provisions of Section 230 - 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, for the amalgamation of Akums Lifesciences Limited with and into Pure and Cure Healthcare Private Limited. During the previous year, the Scheme had been approved by respective NCLT of Chandigarh and New Delhi vide its order dated 24 August 2023 and 17 October 2023 respectively, with the appointed date as 1 April 2022. As per the Scheme of Arrangement, Pure and Cure Healthcare Private Limited had been allotted 4 equity shares of face value of ₹ 10 each in Pure and Cure Healthcare Private Limited for every 100 equity shares of face value of ₹ 10 each in erstwhile Akums Lifesciences Limited.

*** Pursuant to the Board resolution passed on 6 February 2025, as part of Company's overseas expansion strategy, the Company has incorporated a subsidiary in UK, Akums Healthcare UK Limited, with an initial investment of GBP 1 made for incorporation purposes.

During the year, the Company has subscribed to Optionally Convertible Redeemable Preference Shares (OCRPS) of face value of ₹ 10 each carrying coupon of 0.01% per annum issued by its wholly owned subsidiary i.e. Maxcure Nutravedics Limited and Pure and Cure Healthcare Private Limited. Such shares shall be optionally convertible to the equity shares either fully or partly at the option of the issuer at any time during the tenure of OCRPS.

^ formerly known as Burroughs Wellcome Pharmacia Private Limited.

6. Loans

Particulars	As at 31 March 2025	As at 31 March 2024
Unsecured, considered good		
Loans to related parties (refer note 42 and 53)*	10,443.39	10,716.68
	10,443.39	10,716.68

*Net of loan written off of ₹ nil (31 March 2024: ₹ 192.46 million)

* includes interest receivable from related parties amounting to ₹ 65.18 million (31 March 2024: ₹ 61.18 million)

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- 6.1 There are no loans due by directors or other officers of the Company or any of them either severally or jointly with any other person or debts due by firms or private companies respectively in which any director is a partner or a director or a member.

7. Other financial assets

Particulars	As at 31 March 2025	As at 31 March 2024
Unsecured, considered good		
Security deposits	94.75	86.13
Deposit having remaining maturity of more than 12 months*	5.67	7.52
Other receivable	0.02	0.02
	100.44	93.67

*pledged with government authorities and others.

8. Non-current tax assets

Particulars	As at 31 March 2025	As at 31 March 2024
Advance income-tax	58.59	46.87
	58.59	46.87

9. Other non-current assets

Particulars	As at 31 March 2025	As at 31 March 2024
Unsecured, considered good		
Capital advances	63.06	48.47
Advances other than capital advances:		
Tax deposited with sales tax department	51.31	51.31
Prepaid expenses	9.84	12.48
Other receivable	3.10	3.15
Unsecured, considered doubtful		
Capital advances	56.00	36.00
Less: Provision for doubtful advances	(56.00)	(36.00)
	127.31	115.41

10. Inventories

(refer note 1.18 in respect of mode of valuation of inventories)

Particulars	As at 31 March 2025	As at 31 March 2024
Raw materials		
on hand	1,131.00	910.96
in transit	15.29	24.40

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Particulars	As at 31 March 2025	As at 31 March 2024
Packing materials		
on hand	372.58	295.60
in transit	5.63	4.47
Work-in-progress	176.56	154.02
Finished goods	266.17	188.21
Stores and spares		
on hand	48.70	39.21
in transit	0.96	0.16
	2,016.89	1,617.03

Refer note 39 for information on inventories pledged as security by the Company

11. Trade receivables

Particulars	As at 31 March 2025	As at 31 March 2024
Trade receivables considered good (unsecured)	1,950.93	2,237.12
Trade receivables - significant increase in credit risk	251.35	177.98
	2,202.28	2,415.10
Less: Allowance for expected credit losses	(140.91)	(77.16)
	2,061.37	2,337.94

- 11.1 Dues from related party (refer note 42) 461.37 365.09
- 11.2 Refer note 39 for information on trade receivables pledged as security by the Company.
- 11.3 Refer note 50 (a) for the ageing of the trade receivables
- 11.4 No amount is due from directors or officers of the Company.
- 11.5 The credit period given to the customers ranges from 30 to 90 days.
- 11.6 The carrying amount of trade receivable does not include receivables of ₹ 931.28 million (31 March 2024: ₹ 517.51 million) which are subject to a factoring arrangement. Under this arrangement, the Company has transferred the relevant receivables to the factor in exchange for cash on non recourse basis. The Company, therefore, has derecognised the said receivables under the said arrangement. As of 31 March 2025, the Company has received ₹ 388.92 million in respect of these receivables, since the amount has not yet been transferred to the factor, it has been presented under 'Other financial liabilities.

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12. Cash and bank balances

12a. Cash and cash equivalents

Particulars	As at 31 March 2025	As at 31 March 2024
Balance with scheduled banks		
in current accounts	576.43	68.68
in deposit accounts with original maturity of less than 3 months	186.88	620.29
Cash on hand*	1.61	0.60
	764.92	689.57

Refer note 39 for assets pledged as security by the Company

*include cash amounting to ₹ 0.16 million which has been seized by the Income Tax Department ("IT Department") during search proceedings conducted from 15 January 2025 to 21 January 2025. The Company believes that the seized cash pertains to legitimate business activities and is fully recoverable. [Refer note 56(c)]

12b. Other bank balances

Particulars	As at 31 March 2025	As at 31 March 2024
Deposits with original maturity of more than 3 months and remaining maturity of less than 12 months*	2,796.25	43.53
	2,796.25	43.53

Refer note 39 for assets pledged as security by the Company

* includes ₹ 81.40 million (31 March 2024: nil) out of the IPO proceeds, which has been earmarked towards pursuing inorganic growth initiatives through acquisitions. [Refer note 56(b)]

Refer note 45 for disclosure of fair value in respect of financial assets measured at amortised cost and assessment of expected credit losses respectively.

13. Other financial assets

Particulars	As at 31 March 2025	As at 31 March 2024
Unsecured, considered good		
Dues from LLP (refer note 42)	123.11	120.18
Balance with statutory and other authorities	80.46	29.11
Others*	1.30	97.02
	204.87	246.31

Refer note 39 for assets pledged as security by the Company

*In connection with the Initial Public Offer ("IPO") of equity shares of the Company, expenses incurred by the Company towards the IPO of equity shares held by the selling shareholder amounting to Nil (31 March 2024: ₹ 93.02) was included in "others" under "other financial assets" and recovered from the selling shareholders (as per the offer agreement) during the year ended 31 March 2025.

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14a. Other current assets

Particulars	As at 31 March 2025	As at 31 March 2024
Advance to suppliers and others	43.56	32.57
Prepaid expenses	66.81	49.97
Balance with statutory authorities	366.32	267.23
Others*	10.82	47.23
	487.51	397.00

Refer note 39 for assets pledged as security by the Company

***Note:**

- Includes CSR asset amounting to ₹ 4.64 million (31 March 2024: ₹ 0.54 million). Refer note 44 for details.
- In connection with the Initial Public Offer ('IPO') of equity shares of the Company, expenses incurred by the Company in relation to its plan of raising funds from capital market through the IPO amounting to Nil (31 March 2024: ₹ 46.51 million) was included in "others" under "other current assets" which in current year have been adjusted towards the securities premium.

14b. Assets held for sale

Particulars	As at 31 March 2025	As at 31 March 2024
Investments in subsidiaries	-	1.03
	-	1.03

Note:

During the previous year, the management vide board resolution dated 18 March 2024 had decided to sell investment in its wholly owned subsidiaries: a) Amazing Research Laboratories Limited, b) May and Baker Pharmaceuticals Limited and c) Hygosap Pharma Private Limited (formerly known as Burroughs Wellcome Pharmacia Private Limited).

Accordingly, in terms of Ind AS 105 - 'Non-current assets held for sale and discontinuing operations', the investments in subsidiaries were presented as 'Assets held for sale' separately from other assets in the standalone balance sheet. The assets held for sale was measured at lower of the carrying value and the fair value it is expected to be realised. Accordingly, the difference in the fair value and carrying value i.e. ₹ 1.43 million was recognised as an exceptional expense in the standalone statement of profit and loss for the year ended 31 March 2024. During the year, the sale transactions have been concluded on 1 April 2024. (refer note 33)

15. Equity share capital

Particulars	As at 31 March 2025	As at 31 March 2024
Authorised		
20,00,00,000 (31 March 2024: 20,00,00,000) equity shares of ₹ 2 (31 March 2024: ₹ 2) each	400.00	400.00
Issued, subscribed and fully paid up		
15,73,93,988 (31 March 2024: 14,30,64,350) equity shares of ₹ 2 (31 March 2024: ₹ 2) each	314.79	286.13
Less: 42,91,930 (31 March 2024: Nil) Equity shares of face value of ₹ 2 each held by Akums Employee Benefits Trust (ESOP Trust) (refer note 15.5)	(8.58)	-
	306.21	286.13

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15.1 Reconciliation of equity shares outstanding at the beginning and at the end of the year:

Particulars	As at 31 March 2025		As at 31 March 2024	
	No. of shares	₹	No. of shares	₹
At the beginning of the year	14,30,64,350	286.13	14,30,64,350	286.13
Add: Shares issued during the year*	1,43,29,638	28.66	-	-
Less: Shares issued during the year to ESOP Trust*	(42,91,930)	(8.58)	-	-
At the end of the year	15,31,02,058	306.21	14,30,64,350	286.13

* The Company has completed its Initial Public Offer (IPO) of 27,368,143 equity shares of face value of ₹ 2 each at an issue price of ₹ 679 per share (including share premium of ₹ 677 per share) and as a result the equity shares of the Company were listed on National Stock Exchange of India Limited (NSE) and BSE Limited (BSE) on 6 August 2024. The issue comprised of fresh issue of 10,037,708 equity shares aggregating to ₹ 6,800.00 million and offer for sale of 17,330,435 equity shares by selling shareholders, aggregating to ₹ 11,767.37 million. [Refer note 56(b)]. In addition to this, the Company has allotted 42,91,930 equity shares of face value of ₹ 2 each at an issue price of ₹ 700 per share (including share premium of ₹ 698 per share) to the ESOP Trust. Since this ESOP Trust has been considered as an extension of the Company, hence, the shares issued to them have been netted off from the equity shares outstanding at the end of the year and securities premium thereon have been reduced from security premium account of the Company. (refer note 15.5 and 1.2)

15.2 Terms/rights attached to equity shares

The Company has only one class of equity shares having face value of ₹ 2 per share. Each equity shareholder is entitled to one vote per share. In the event of winding up of the Company, the equity shareholders will be entitled to be repaid remaining assets of the Company, after distribution of all preferential amounts, in the ratio of the amount of capital paid on such equity shares.

15.3 Details of shareholders holding more than 5% shares in the Company and shares held by promoters*

Name of shareholder	As at 31 March 2025		As at 31 March 2024	
	No. of shares	% Holding	No. of shares	% Holding
Akums Master Trust#	6,42,00,000	40.79	-	-
Sanjeev Jain#	2,70,80,940	17.21	6,06,92,940	42.42
Sandeep Jain#	2,71,16,690	17.23	6,07,28,690	42.45
Ruby QC Investment Holding Pte Ltd.	72,78,535	4.62	2,15,84,970	15.09

promoters of the Company.

*As per records of the Company, including its register of shareholders/ members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownerships of shares.

15.4 No shares, except below have been issued as bonus shares or issued for consideration other than cash or bought back during the period of five years immediately preceding the reporting date.

Particulars	No of shares
Shares issued as bonus shares in 2022-2023	7,15,32,175
Shares issued as bonus shares in 2021-2022	6,50,29,250
Additional shares issued on account of share split in 2021-2022	52,02,340

15.5 The Company vide board resolution dated 16 March 2022 and shareholder resolution dated 31 March 2022 approved the Employee Stock Option Scheme 2022 ('ESOP Scheme 2022') and authorised to create, grant, offer, issue and allot 10,72,983 employee stock options under Employee Stock Option Scheme 2022, for the benefit of employees and directors of the Company as decided by the board. The number of shares post bonus issue done in financial year ended 31 March 2023, resulted in increase of Employee Stock Options from 10,72,983 options to 21,45,966 options which in the previous year were further raised to 42,91,930 options. The Company vide board resolution dated 25 August 2023 decided to implement the ESOP Scheme 2022 through trust, pursuant to which the Company has registered Akums Employee Benefit Trust (ESOP Trust). On 31 May 2024, the Company has allotted 42,91,930 equity Shares to ESOP Trust to be given to the eligible employees as and when decided by the board pursuant to the ESOP Scheme 2022.

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16. Other equity

Particulars	As at 31 March 2025	As at 31 March 2024
(a) Securities premium		
Balance as at beginning of the year	-	-
Add: On account of issue of equity shares at premium	9,791.30	-
Add: On account of reversal of put option liability (refer note 18.1)	3,198.76	-
Less: On account of issue of equity shares to ESOP Trust (refer note 15.1)	(2,995.77)	-
Less: Share issue expenses [refer note 56(b)]	(426.30)	-
Balance as at end of the year	9,567.99	-
(b) Retained earnings		
Balance as at beginning of the year	2,953.89	4,630.15
Add: Profit/ (loss) for the year	1,609.98	(1,654.51)
Add: Other comprehensive income for the year		
- Remeasurement of defined benefit plans (net)	(0.72)	(21.75)
Add: On account of reversal of put option liability (refer note 18.1)	8,615.12	-
Balance as at end of the year	13,178.27	2,953.89
(c) Put option reserve		
Balance as at beginning of the year	(1,801.24)	(1,801.24)
Add: On account of reversal of put option liability (refer note 18.1)	1,801.24	-
Balance as at end of the year	-	(1,801.24)
(d) Share options outstanding account		
Balance as at beginning of the year	-	-
Add: Employee stock options granted during the year	-	6.91
Less: Employee stock options cancelled during the year	-	(6.91)
Balance as at end of the year	-	-
Total	22,746.26	1,152.65

Nature of reserves

The description of nature and purpose of each of the above reserve within equity is as under:

1. Securities premium

Securities premium is used to record the premium on issue of shares. The reserve can be utilised only for limited purposes such as issuance of bonus shares and share issue expenses in accordance with the provisions of the Companies Act, 2013.

2. Retained earnings

The retained earnings represents the undistributed surplus of the Company earned from its business operations and includes other comprehensive income generated on remeasurement of defined benefit plan.

3. Put option reserve

Refer note 18.1 for further details.

4. Share options outstanding account

The Company has an share option scheme under which option to subscribe for the Company's shares have been granted to certain executives and senior employees. The share options outstanding account is used to recognise the value of equity settled share based payments provided to employees, including key management personnel, as part of their remuneration. Refer to note 15.5 for further details.

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17. Borrowings

Term loans Secured From bank

Particulars	As at 31 March 2025	As at 31 March 2024
Loan from bank (refer note 17.1)	-	218.75
Less: Current maturities of non-current borrowings (refer note 21)	-	(62.50)
	-	156.25

Notes:

Nature of security and repayment terms of the above borrowings are as below:

17.1 Term loans - Secured- From bank

Term loan taken from HSBC Bank Limited

Particulars	Amount outstanding as at	
	As at 31 March 2025	As at 31 March 2024
carries an interest rate of 7.90% p.a. to 8.14% p.a. linked with 3 month T-Bill (31 March 2024: 6.95% p.a. to 7.99% p.a.) and is secured by way of mortgage/ hypothecation (pari passu) on immovable assets of Haridwar unit and movable assets of the Company, both present and future. The loan is repayable in quarterly installments of ₹ 15.63 million each till August 2027; starting from November 2023. The term loan has been fully repaid during the current year.	-	218.75
	-	218.75

- Refer note 39 for assets pledged as security
- The above loans have been utilised as per the purpose for these loans were sanctioned.
- The charges on the property for the loan taken by the Company have been duly registered with Registrar of companies.
- The Company has not defaulted in repayment of interest during the current year. Further, there have been no default in repayment of loan and breaches in the financial covenants of any interest-bearing loans and borrowings in the current year/previous year.

18. Other financial liabilities

Particulars	As at 31 March 2025	As at 31 March 2024
Put option liability (refer note 18.1 and 45)	-	13,653.78
Security deposit received		
from customers	30.77	30.10
from others*	67.07	54.17
	97.84	13,738.05

*includes retention amount of ₹ 59.61 million (31 March 2024: ₹ 47.10 million).

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18.1 On 3 October 2019, the Company executed a shareholders' agreement ("the Agreement") with its existing shareholders (Mr. Sandeep Jain and Mr. Sanjeev Jain) and Ruby QC Investments Pte. Limited ("the Investor") wherein 125,585 fully paid equity shares were issued by the Company and 70,642 equity shares were transferred by the said shareholders directly to the Investor for a total consideration of ₹ 5,000.00 million giving the Investors 15.09% stake in the Company.

Pursuant to the Agreement, the Investor had a right to exercise an option ("put option") after 54 months from 3 October 2019 to require the Company to issue 'Exit notice' to buyback its equity shares at fair market value at the date of exercise of the put option, in case the Company is not able to give exit to the Investor through an 'initial public offer' or a secondary sale to a third party. The Company per the agreement entered was required to buy back the equity securities held by the investor within 180 days from the date of the exit notice. Further, on 9 February 2024, the Company, shareholders and the Investor entered into a waiver cum amendment agreement wherein exit notice can only be issued by the investor after 6 months from 31 December 2024, subject to the term of the waiver cum amendment agreement.

On 29 May 2024, the Investor waived off its rights which requires the Company to buyback the equity shares in accordance with the terms of the shareholder's agreement dated 3 October 2019 read with the waiver cum amendment agreement dated 9 February 2024. Consequently, there are no longer any contractual obligation on the Company and the financial instrument have been reclassified as equity and other equity. Accordingly, fair value changes of ₹ 38.67 million (reversal) have been recognised in these standalone financial statements up to 29 May 2024. The put option liability amounting to ₹ 13,615.12 million has been reclassified as follows: ₹ 8,615.12 million to retained earnings, ₹ 1,801.24 million to the put option reserve, and ₹ 3,198.76 million to securities premium, all under other equity.

19. Provisions**(a) Provision for employee benefits**

Particulars	As at 31 March 2025	As at 31 March 2024
Gratuity (refer note 38)	103.84	86.99
Compensated absences	25.47	26.53
	129.31	113.52

20. Deferred tax liabilities (net)

In accordance with Ind AS 12 "Income Tax", the Company has accounted for deferred taxes.

Particulars	As at 31 March 2025	As at 31 March 2024
Deferred tax liabilities consists of:		
Temporary differences of book and tax depreciation	176.62	195.79
Right-of-use assets	105.40	93.41
Deferred tax assets consists of:		
Expenses allowable under Income Tax Act, 1961 on payment basis	51.23	59.56
Lease liability	106.60	102.62
Provision for credit losses on financial assets	49.56	20.24
Provision for demand raised by statutory authorities	-	3.65
Deferred tax liabilities (net)	74.63	103.13

Refer note 46 for movement of deferred tax assets

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21. Borrowings

Secured Loan repayable on demand (from bank)

Particulars	As at 31 March 2025	As at 31 March 2024
Working capital loan from bank (including interest accrued) (refer note a to e)	39.30	1,544.11
Current maturities of non-current borrowings (refer note 17)	-	62.50
Unsecured		
Working capital loan from bank (including interest accrued) (refer note e)	-	500.00
	39.30	2,106.61

Notes:

Nature of security and repayment terms of the above borrowings are as below:

	Amount outstanding as at	
	As at 31 March 2025	As at 31 March 2024
(a) Working capital loan from State Bank of India	-	377.66
Working Capital Loan from State Bank of India is secured by Company's all current assets (present and future) at Company's head office and hypothecation of stocks, book debts and fixed & movable assets of the Unit-I,II,III,IV & V; equitable mortgage by deposit of title deeds in respect of land at Haridwar of Unit I,II,III,IV & V and carries an interest rate in the range of 7.73% p.a. to 8.12% p.a. (previous year: 7.40% p.a. to 8.12% p.a.) and is repayable after minimum 7 days to maximum 180 days of utilisation of facility.		
(b) Working capital loan from HDFC Bank Limited	-	484.36
Working capital loan from HDFC Bank is secured by hypothecation/ mortgage of stocks,book debts and fixed and movable assets of Units I,II,III, IV & V, equitable mortgage by deposits of title deeds in respect of land at haridwar and carries an interest rate in the range of 8.08% p.a. to 8.50% p.a. (previous year: 7.60% p.a. to 8.67% p.a.) and is repayable after minimum 7 days to maximum 180 days of utilisation of facility.		
(c) Cash credit facility from HDFC Bank Limited	39.30	181.87
Cash credit facility from HDFC Bank is secured by hypothecation/ mortgage of stocks, book debts and fixed and movable assets of Units I,II,III, IV & V; equitable mortgage by deposits of title deeds in respect of land at Haridwar. The loan is repayable on demand and carries an interest rate in range of 4.59% p.a. to 8.62% p.a. (previous year: 7.60% p.a. to 8.80% p.a.)		
(d) Working capital loan from Yes Bank Limited	-	500.22
Working Capital Loan from Yes Bank Limited is secured by hypothecation/ mortgage of stocks, book debts and fixed and movable assets of unit I,II,III,IV & V; equitable mortgage by deposits of title deeds in respect of land at Haridwar. The loan is repayable on demand and carries an interest rate in the range of 7.50% p.a. to 7.80% p.a. (previous year: 7.60% p.a. to 8.10% p.a.) and is repayable after minimum 7 days to maximum 180 days of utilisation of facility.		

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	Amount outstanding as at	
	As at 31 March 2025	As at 31 March 2024
(e) Short term loan from HDFC Bank Limited	-	500.00
Unsecured short term loan from HDFC Bank availed on 27 September 2023 at an interest rate of 7.60% p.a. linked with 1 month T-bill and is repayable after 90 days.		
	39.30	2,044.11

- Refer note 39 for assets pledged as security
- Refer note 41 for note on submission of quarterly statements to the bank and its reconciliation with the amounts appearing in the books of accounts.
- The Company has not defaulted in repayment of interest during the current year. Further, there have been no default in repayment of loan and breaches in the financial covenants of any interest-bearing loans and borrowings in the current year/previous year.
- The above loans have been sanctioned and utilised for working capital purpose.

22. Trade payables

Particulars	As at 31 March 2025	As at 31 March 2024
Total outstanding dues of micro and small enterprises (refer note 52): and	225.20	121.99
Total outstanding dues of creditors other than micro and small enterprises	1,970.35	1,527.15
	2,195.55	1,649.14

Dues to related parties (refer note 42) 284.24 36.54

Refer note 50(b) for disclosure in respect of ageing of the above payables.

23. Other financial liabilities

Particulars	As at 31 March 2025	As at 31 March 2024
Employee payables	168.87	144.56
Payable for property, plant and equipment*	126.33	59.17
Refundable advance received from customers	-	827.40
Amount due to bank under factoring arrangement (refer note 11.6)	388.92	-
Others**	-	-
	684.12	1,031.13

* includes dues to micro and small enterprises of ₹ 21.93 million (31 March 2024: ₹ 19.73 million).

** includes provision of IPO related expenses of ₹ 385.65. million (31 March 2024: nil).

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24. Other current liabilities

Particulars	As at 31 March 2025	As at 31 March 2024
Advance from customers	42.19	98.49
Advance against sale of investment in shares of subsidiaries (refer note 14b)	-	1.03
Other payables		
Statutory dues	52.59	56.38
	94.78	155.90

25a. Provisions

Particulars	As at 31 March 2025	As at 31 March 2024
Provision for employee benefits		
Gratuity (refer note 38)	30.53	24.81
Compensated absences	26.58	14.69
Provision for demand raised by statutory authorities*	-	14.49
	57.11	53.99

*In earlier years, the Company had received demand notices relating to a shortfall in fulfilling export obligations under the Export Promotion Capital Goods (EPCG) scheme for licenses availed in prior periods. The Company had contested these demands and submitted the requisite documentation in support of its position. Based on the merits of the case and consultations with legal counsel, a provision was recognized in the standalone financial statements.

During the current year, the Company obtained a discharge certificate confirming fulfilment of its obligations under the EPCG scheme. Accordingly, the unutilized provision has been reversed in these standalone financial statements.

Note:

Movement of other provisions (including sales tax and demand raised by statutory authorities) in accordance with Ind AS 37

Particulars	As at 31 March 2025	As at 31 March 2024
Opening provisions	14.49	55.00
Add: Provision made during the year	-	-
Less: Provision reversed/ liability paid during the year	(14.49)	(40.51)
Closing provisions	-	14.49

25b. Current tax liabilities (net)

Particulars	As at 31 March 2025	As at 31 March 2024
Provision for income-tax, net of advance tax	0.42	-
	0.42	-

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26. Revenue from operations

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Sale of finished products	12,093.34	12,365.70
Sale of other products	529.11	418.42
Other operating revenues		
Job work income	271.64	259.24
Testing charges and others	167.95	1,339.58
Sale of scraps	55.80	58.25
	13,117.84	14,441.19

Refer note 43 in terms of disclosures required under Ind AS 115

27. Other income

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Interest income on:		
fixed deposits carried at amortised cost	118.74	10.10
loans given to related parties (refer note 42)	853.59	738.62
Others	0.78	0.50
Share of profit from investment in LLP	85.89	89.35
Foreign currency translations	-	6.52
Rental income	39.94	39.95
Income from government incentives	2.22	1.40
Liabilities no longer required, written back	37.36	1.71
Gain on reassessment of right-of-use assets	34.79	-
Miscellaneous income	68.61	53.06
	1,241.92	941.21

28. Change in inventory of finished goods and work-in-progress

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Opening stock		
Finished goods	188.21	260.59
Work-in-progress	154.02	146.06
	(A) 342.23	406.65
Less: Closing stock		
Finished goods	266.17	188.21
Work-in-progress	176.56	154.02
	(B) 442.73	342.23
Change in inventory of finished goods and work-in-progress	(A-B) (100.50)	64.42

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29. Employee benefits expense

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Salaries, wages and bonus*	1,899.97	1,646.14
Contributions to provident and other funds**	57.31	52.20
Staff welfare expense	60.08	54.46
	2,017.36	1,752.80

* includes a discount of ₹ 15.60 million (31 March 2024: Nil) granted to eligible employees at the time of Initial Public Offer (IPO). Refer note 56(b) for details.

** includes PF & ESIC contribution of ₹ 55.01 million (31 March 2024: ₹ 50.07 million). Refer note 38 for details.

30. Other expenses

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Consumption of stores and spare parts	237.08	195.78
Job charges paid	334.93	287.12
Power and fuel	453.59	424.04
Rent	7.08	9.67
Repairs and maintenance		
Plant and equipments	68.82	124.78
Buildings	40.99	19.22
Others	141.97	130.95
Travelling expense	24.14	25.48
Vehicle running expense	9.01	8.88
Fees and subscription	30.28	34.47
Legal and professional expenses	105.46	178.42
Payment to auditors (refer note 37)	5.41	2.92
Bad debts written off	-	7.74
Provision for expected credit loss on trade receivables	74.01	27.96
Provision on advance to suppliers	20.00	-
Commission on sales	13.60	4.28
Selling and distribution expenses	36.40	39.62
Loss on foreign exchange transactions and translations, net	3.12	-
Loss on sale of property, plant and equipment	0.56	2.89
Miscellaneous expenses	137.63	116.24
	1,744.08	1,640.46

31. Finance costs

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Interest on financial liabilities (using effective interest rate method):		
on borrowings	122.08	144.02
on lease liability	31.01	37.56
on late payment of statutory dues	-	1.55
	153.09	183.13

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32. Depreciation and amortisation expense

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Depreciation on property, plant and equipment	342.60	282.44
Depreciation on right-of-use assets (refer note 54)	38.02	31.26
Depreciation on investment property (refer note 3)	3.75	3.94
Amortisation of intangible assets (refer note 4a)	11.08	9.30
	395.45	326.94

33 Exceptional items

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Diminution in the value of investment in subsidiaries (refer note (a) below)	-	1.43
Loans given written off (refer note (b) below)	-	192.46
	-	193.89

Notes:

- (a) During the previous year, the Company had made an assessment of the recoverable value of investment in its subsidiary a) Amazing Research Laboratories Limited, b) May and Baker Pharmaceuticals Limited and c) Hygosap Pharma Private Limited (formerly known as Burroughs Wellcome Pharmacia Private Limited) taking into account the past business performance, prevailing business conditions and revised expectations of the future performance and decided to hived off the investment (refer note 14b). The investment in subsidiaries had been measured at lower of the carrying value and the fair value it is expected to be realised. Accordingly, the difference in the fair value and carrying value i.e. ₹ 1.43 million was recognised as an exceptional expense in the statement of profit and loss of the standalone financial statements prepared for the year ended 31 March 2024.
- (b) In the previous year, the Company had written off the loans given to its subsidiary companies 'Amazing Research Laboratories Limited' and 'Hygosap Pharma Private Limited (formerly known as Burroughs Wellcome Pharmacia Private Limited)' amounting to ₹ 150.85 million and ₹ 41.61 million, respectively. These companies were engaged in pharmaceutical product trading and had incurred considerable losses from their operations, leading to a significant reduction in net worth over the years. Accordingly, an amount of ₹ 192.46 million for the loan granted was written off in the statement of profit and loss of the standalone financial statements prepared for the year ended 31 March 2024.

34 Earning per equity share (EPS)

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Profit attributable to equity shareholders (₹)	1,609.98	(1,654.51)
Total number of equity shares outstanding at the end of the year (in nos.)	15,31,02,058	14,30,64,350
Weighted average number of equity shares in calculating basic and diluted EPS (in nos.)	14,96,09,486	14,30,64,350
Nominal value per share (₹)	2.00	2.00
Basic and diluted EPS (₹)	10.76	(11.56)

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35 Contingent liabilities

Particulars	As at 31 March 2025	As at 31 March 2024
Claim against the Company not acknowledged as debt:		
(i) Corporate guarantee given (refer note (a) below)	-	962.04
(ii) Income tax matters (refer note (b) below)	42.22	42.22
(iii) GST input tax reversal (refer note (c) below)	5.97	-
(iv) Others (refer note (d) below)	-	0.33

Notes:

- (a) Corporate guarantees given represents guarantees given to banks for the loans taken by subsidiary companies. (refer note 53)
- (b) Pursuant to the assessment of certain previous years (AY 2017-2018, AY 2018-2019, AY 2020-2021 and AY 2022-2023), department has raised demands of ₹ 36.89 million (31 March 2024: ₹ 42.22 million) on account of:

AY 2017-2018: Disallowance of deduction u/s 80IC and 35(2AB) of Income Tax Act, 1961 amounting to ₹ 11.51 million.

AY 2018-2019: Disallowance of deduction u/s 35(2AB) and 37(1) of Income Tax Act, 1961 amounting to ₹ 6.26 million.

AY 2020-2021: Initiation of penalty proceeding u/s 270 A of Income Tax Act, 1961 amounting to ₹ 5.76 million.

AY 2022-2023: Addition on account of unexplained investment u/s 69 of Income Tax Act, 1961 amounting to ₹ 13.37 million.

The matter are pending at CIT (Appeal) level and based on the assessments by the management, consideration of merits of the case and external legal advice, the Company believes that there is a fair chance of winning the case. Accordingly, no further provisions, if any, are considered necessary to be recorded in these standalone financial statements.

- (c) During the year, the State Tax Officer (GST) raised a demand in relation to the non reversal of common input tax credit under Rule 42 and 43 of the CGST Rules, pertaining to exempt supplies for the financial year 2017-18. The demand is based on the contention that the Company was required to reverse input tax credit attributable to exempt supplies. However, the Company has earned only interest income during the said period, which, as per the provisions of Rule 42 and 43 of the CGST Rules, is not considered as an 'exempt supply' for the purpose of input tax credit reversal.

The matter is currently pending before the Appellate Authority (GST). Based on an internal assessment by the management, consideration of merits of the case and consultations with external tax experts, the management is of the view that the Company has a likely chance of a favourable outcome. Accordingly, no provision has been made in these standalone financial statements in respect of the said demand.

- (d) In earlier years, a vendor had initiated legal proceedings against the Company in relation to an outstanding payment for materials supplied, claiming an amount of ₹ 0.33 million. The Company contested the claim and submitted all relevant documentation in support of its position. Based on a detailed evaluation of the case and upon consultation with legal counsel, the Company opted to resolve the matter through mediation. Consequently, in July 2024, the Company entered into a settlement agreement with the vendor and made a payment of ₹ 0.50 million as full and final settlement of the dispute. As the matter has been conclusively settled during the year, no contingent liability exists as at the end of the year.

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36 Capital and other commitments

Particulars	As at 31 March 2025	As at 31 March 2024
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	271.72	260.20

37 Payment to auditor

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
(a) for statutory audit (including limited review)	5.00	2.30
(b) for other services*	1.34	15.60
(c) for reimbursement of expenses	0.41	0.31
	6.75	18.21

*includes IPO expenses amounting to ₹ 1.10 million (31 March 2024: ₹ 15.20 million).

38 Employees benefits**A Defined contribution plan**

The amount recognised as expense towards contribution to defined contribution plans for the year is as below:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Company's contribution to Provident Fund	52.78	47.51
Company's contribution to Employees' State Insurance Scheme	2.23	2.56
Total	55.01	50.07

B Defined benefit plan - Gratuity**(i) Present value of defined benefit obligation as at the end of the year**

Particulars	As at 31 March 2025	As at 31 March 2024
Non-current	103.84	86.99
Current	30.53	24.81
	134.37	111.80

(ii) Changes in the present value of defined benefit obligation recognised in the balance sheet

Particulars	As at 31 March 2025	As at 31 March 2024
Present value of the obligation as at the beginning of the year	111.80	68.49
Service cost	17.01	14.19
Interest cost	8.07	5.04
Benefits paid	(3.47)	(4.99)
Actuarial (gain)/ loss recognised during the year in other comprehensive income	0.96	29.07
Present value of the obligation as at end of the year	134.37	111.80

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(iii) Expense recognised in the statement of profit and loss consists of:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Service cost	17.01	14.19
Interest cost	8.07	5.04
Net impact on profit before tax	25.08	19.23
Actuarial (gain)/ loss recognised during the year in other comprehensive income	0.96	29.07
Amount recognised in total comprehensive income	26.04	48.30

(iv) Breakup of actuarial gain/(loss):

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Actuarial (gain)/ loss from change in demographic assumption	2.44	10.35
Actuarial (gain)/ loss from change in financial assumption	(7.04)	106.97
Actuarial (gain)/ loss from experience adjustment	5.56	(88.25)
Total actuarial (gain)/ loss	0.96	29.07

(v) Change in fair value of plan assets

There are no plan assets against the aforesaid liability. Therefore, the return of change in fair value of plan assets is not given.

Employees benefits (cont'd)

(vi) Actuarial assumptions

Particulars	As at 31 March 2025	As at 31 March 2024
Discount rate (per annum)	6.99%	7.22%
Future salary increase (per annum)	10.00%	12.00%
Withdrawal rate		
Up to 30 Years	24.00%	26.00%
From 31 to 44 years	24.00%	26.00%
Above 44 years	24.00%	26.00%
Retirement age	58 years	58 years
Mortality rate	100% of IALM (2012-14)	100% of IALM (2012-14)
Average future service (in years)	22.87 years	23.11 years

Notes:

- The discount rate is based on the prevailing market yield of Indian Government bonds as at the balance sheet date for the estimated terms of obligations.
- The estimates of future salary increases considered takes into account the inflation, seniority, promotion and other relevant factors

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(vii) Sensitivity analysis for gratuity liability

Particulars	As at 31 March 2025	As at 31 March 2024
Impact of change in discount rate		
Present value of obligation at the end of the year	134.37	111.80
- Impact due to increase of 0.5 %	(2.29)	(1.88)
- Impact due to decrease of 0.5 %	2.38	1.95
Impact of change in salary increase		
Present value of obligation at the end of the year	134.37	111.80
- Impact due to increase of 0.5 %	2.19	1.78
- Impact due to decrease of 0.5 %	(2.14)	(1.74)

The above sensitivity analysis is based on a change an assumption while holding all other assumptions constant. In practice, this is unlikely to occur and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the year) has been applied which was applied while calculating the defined benefit obligation liability recognised in the balance sheet.

(viii) Maturity profile of defined benefit obligation (discounted)

Particulars	As at 31 March 2025	As at 31 March 2024
Within next 12 months	30.53	24.81
Between 1-5 years	70.01	61.26
Beyond 5 years	33.83	25.73
	134.37	111.80

(ix) Expected contribution

The expected future employer contributions for defined benefit plan ₹ 26.24 million as at 31 March 2025 (31 March 2024 : ₹ 22.46 million).

(x) Other long-term employee benefits

An amount of ₹ 19.61 million (31 March 2024 : ₹ 28.51 million) pertains to expense towards compensated absences.

39 Assets pledged as security (refer note 17 and 21)

	As at 31 March 2025	As at 31 March 2024
Current		
Non financial assets		
Inventories	1,348.23	1,583.04
Other current assets	210.49	129.96
Financial assets		
Cash and cash equivalents	45.80	7.18
Other financial assets	80.46	29.11
Trade receivables	693.24	2,272.49
Total current assets pledged as security	2,378.20	4,021.78

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	As at 31 March 2025	As at 31 March 2024
Non-current (non-financial assets)		
Property, plant and equipment	2,072.49	1,885.10
Capital work-in-progress	169.04	37.43
Total assets pledged as security	4,619.74	5,944.31

40 Charges on assets on which mortgaged or any charge created during the year has been duly registered with Registrar of companies. Refer note 57 (c).

41 Reporting to banks/ financial institutions

The Company is regular in submission of quarterly stock statements with banks for the borrowings sanctioned against hypothecation of current assets. Further, all the quarterly statements of current assets filed by the Company with banks or financial institutions are in agreement with books of accounts.

42 Related party disclosures

In accordance with Ind AS-24 on related party disclosures where control exist and where transactions in ordinary course of business have taken place and description of the relationships as identified and certified by the management are as follows:

I. Relationships

Name of entity	Principal place of business of investee	Shareholding as at	
		31 March 2025	31 March 2024
(a) Members of the same group			
Subsidiaries			
Akumentis Healthcare Limited	India	91.49%	91.49%
Akums Healthcare Limited	India	100.00%	100.00%
Maxcure Nutravedics Limited	India	100.00%	100.00%
Malik Lifesciences Private Limited	India	100.00%	100.00%
Nicholas Healthcare Limited	India	100.00%	100.00%
Plenteous Pharmaceuticals Limited	India	100.00%	100.00%
Pure and Cure Healthcare Private Limited (refer note 5)	India	100.00%	100.00%
Sarvagunaushdhi Private Limited	India	100.00%	100.00%
Unosource Pharma Limited	India	100.00%	100.00%
Upadhrish Reserchem LLP	India	99.93%	99.93%
Qualymed Pharma Private Limited (from 2 May 2023)	India	100.00%	100.00%
Amazing Research Laboratories Limited [till 31 March 2024 (refer note 14b and 33)]	India	-	100.00%
May and Baker Pharmaceuticals Limited [till 31 March 2024 (refer note 14b and 33)]	India	-	100.00%
Hygosap Pharma Private Limited** [till 31 March 2024 (refer note 14b and 33)]	India	-	100.00%
Akums Healthcare UK Limited (refer note 5)	UK	100.00%	-
Step down subsidiary of Company			
Medibox Pharma Private Limited*	India	100.00%	100.00%

*includes shares held by Maxcure Nutravedics Limited (wholly owned subsidiary of the Company)

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(b) Key management personnel (KMP)

Name	Designation
Mr. Sandeep Jain	Managing Director
Mr. Sanjeev Jain	Managing Director
Mr. Basant Kumar Singh	Whole Time Director (till 17 January 2024)
Mr. Sanjay Kumar Sinha	Whole Time Director (from 17 January 2024)
Mr. Nand Lal Kalra	Independent Director (till 5 February 2025)
Mr. Kewal Handa	Independent Director
Ms. Matangi Gowrishankar	Independent Director
Mr. Satwinder Singh	Independent Director (from 17 January 2024)
Mr. Amit Varma	Nominee Director (till 17 January 2024)
Mr. Sunil Kumar Thakur	Non-Executive & Non-Independent Director (from 17 January 2024)
Mr. Dharamvir Malik	Company Secretary#
Mr. Sumeet Sood	Chief Financial Officer#
# as per Companies Act, 2013	

(d) Relatives of KMP*

Ms. Arushi Jain
 Mr. D.C. Jain (till 19 March 2024)
 Mr. Manan Jain (till 15 June 2024)
 Mr. Umang Jain
 Ms. Shivangi Jain (from 4 May 2024)

(e) Entities where significant influence is exercised by KMP and/or their relatives having transactions with the Company*

Akome Lifecare Private Limited
 Akums Foundation
 Akums Health and Education Society
 Dhanwantri Vedaresearch LLP
 Amazing Research Laboratories Limited (from 1 April 2024)
 Hygosap Pharma Private Limited** (from 1 April 2024)
 May and Baker Pharmaceuticals Limited (from 1 April 2024)
 AVHA Lifesciences Private Limited

* where transactions have occurred.

** formerly known as Burroughs Welcome Pharmacia Private Limited

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II Summary of related party transactions [refer note 42(I) above, for relationships of related parties]:

Particulars	31 March 2025	31 March 2024
(a) Transactions during the year		
Inter-corporate loan given		
Pure and Cure Healthcare Private Limited	7,067.50	12,579.50
Maxcure Nutravedics Limited	2,476.40	7,765.50
Malik Lifesciences Private Limited	4,917.40	4,074.50
Others	2,094.71	2,854.85
Inter-corporate loan repaid		
Pure and Cure Healthcare Private Limited	7,459.20	12,773.00
Maxcure Nutravedics Limited	2,516.40	7,725.50
Malik Lifesciences Private Limited	5,078.70	3,554.50
Others	1,779.00	1,382.71
Loan written off		
Amazing Research Laboratories Limited	-	135.77
Hygosap Pharma Private Limited#	-	37.45
Assignment of trade receivables (net of provision) in lieu of Inter-corporate loan		
Amazing Research Laboratories Limited	-	76.61
Hygosap Pharma Private Limited#	-	28.92
Interest income		
Malik Lifesciences Private Limited	132.25	112.43
Pure and Cure Healthcare Private Limited	431.87	387.26
Others	289.47	238.92
Sale of goods and others		
Unosource Pharma Limited	794.64	733.86
Akumentis Healthcare Limited	220.89	220.50
Pure and Cure Healthcare Private Limited	361.43	186.10
Others	261.16	392.37
Sale of property, plant and equipments		
Pure and Cure Healthcare Private Limited	15.01	1.78
Akums Healthcare Limited	0.98	2.57
Upadhrish Reserchem LLP	0.08	0.09
Others	1.45	0.20
Sale of RODTEP License		
Malik Lifesciences Private Limited	1.16	-
Purchase of goods and others		
Maxcure Nutravedics Limited	1,037.56	1,029.41
Pure and Cure Healthcare Private Limited	618.28	601.86
Malik Lifesciences Private Limited	263.14	261.71
Others	93.34	72.29
Purchase of property, plant and equipments		
Pure and Cure Healthcare Private Limited	11.48	0.32
Upadhrish Reserchem LLP	0.37	0.35
Akums Healthcare Limited	5.01	1.34
Nicholas Healthcare Limited	0.02	0.39
Others	1.01	0.17
Expenses incurred		
Sarvagunaushdhi Private Limited	0.03	0.01
Pure and Cure Healthcare Private Limited	-	0.13

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Particulars	31 March 2025	31 March 2024
Maxcure Nutravedics Limited	0.06	-
Nicholas Healthcare Limited	0.11	-
Amazing Research Laboratories Limited	-	0.41
Mr. Nand Lal Kalra	0.04	0.02
Repairs and maintenance- Plant and equipments		
Upadhrish Reserchem LLP	11.48	43.40
Consumption of stores and spare parts		
Upadhrish Reserchem LLP	87.66	57.76
Pure and Cure Healthcare Private Limited	3.21	-
Maxcure Nutravedics Limited	2.86	-
Job work charges		
Pure and Cure Healthcare Private Limited	250.47	219.28
Malik Lifesciences Private Limited	82.15	64.39
Others	2.31	1.78
Expenses paid by other group company		
Akums Healthcare Limited	0.04	3.02
Pure and Cure Healthcare Private Limited	3.46	1.47
Others	5.65	1.52
Service income		
Unosource Pharma Limited	9.24	14.34
Others	3.10	1.71
Expenses incurred on behalf of Company		
Malik Lifesciences Private Limited	6.63	6.50
Pure and Cure Healthcare Private Limited	17.35	17.73
Others	9.55	14.26
Job work income		
Pure and Cure Healthcare Private Limited	16.09	13.67
Unosource Pharma Limited	0.01	-
Rent received		
Malik Lifesciences Private Limited	18.27	18.01
Maxcure Nutravedics Limited	5.31	5.95
Pure and Cure Healthcare Private Limited	16.36	15.98
Others	9.01	9.91
Corporate guarantee given/ (withdrawn)		
Pure and Cure Healthcare Private Limited	(812.50)	(52.50)
May and baker Pharmaceuticals Limited	-	4.74
Plenteous Pharmaceuticals Limited	(35.09)	(35.24)
Amazing Research Laboratories Limited	-	(30.26)
Akums Healthcare Limited	(84.50)	94.64
Nicholas Healthcare Limited	(29.95)	14.71
Corporate guarantee charges		
Pure and Cure Healthcare Private Limited	-	13.94
Others	13.82	7.93
Profit/ (loss) share from investment in LLP		
Upadhrish Reserchem LLP	86.65	89.35
Investment through acquisition of shares		
Qualymed Pharma Private Limited	-	0.10
Pure and Cure Healthcare Private Limited	2,020.90	-
Maxcure Nutravedics Limited	250.00	-

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Particulars	31 March 2025	31 March 2024
Akums Healthcare UK Limited	- [^]	-
Sale of investment in subsidiaries		
Dhanwantri Vedaresearch LLP	1.03	-
Remuneration paid*		
Mr. Sanjeev Jain	82.78	54.22
Mr. Sandeep Jain	81.87	53.67
Mr. Sanjay Sinha	13.18	2.10
Mr. Basant Kumar Singh	-	4.30
Mr. Sumeet Sood	22.36	22.47
Mr. Dharamvir Malik	3.04	2.68
Ms. Arushi Jain	7.63	6.94
Mr. Manan Jain	0.27	0.45
Mr. Umang Jain	2.40	0.20
Ms. Shivangi Jain	2.18	-
Rent paid		
Akome Lifecare Private Limited	26.20	24.96
Mr. Sanjeev Jain	3.99	3.84
Mr. Sandeep Jain	4.95	4.80
Qualymed Pharma Private Limited	2.44	-
Others	-	0.30
Director sitting fees		
Mr. Kewal Handa	1.80	1.70
Ms. Matangi Gowrishankar	1.90	1.70
Mr. Nand Lal Kalra	1.50	1.16
Mr. Satwinder Singh	1.90	0.50
Professional charges		
Mr. D.C. Jain	-	1.65
Mr. Kewal Handa	1.70	1.30
Ms. Matangi Gowrishankar	1.20	1.10

* excludes the post employment benefits and other long term benefits as being done on lumpsum for all the employee of the Company.

formerly known as Burroughs Welcome Pharmacia Private Limited.

[^] rounded off to nil

Particulars	31 March 2025	31 March 2024
(b) Balance outstanding at the end of the year		
Inter-corporate loan given		
Malik Lifesciences Private Limited	1,727.70	1,889.00
Pure and Cure Healthcare Private Limited	5,315.80	5,707.50
Akums Healthcare Limited	2,651.30	1,467.50
Others	683.41	1,591.50
Trade receivable		
Unosource Pharma Limited	304.87	187.25
Pure and Cure Healthcare Private Limited	53.02	15.99
Akumentis Healthcare Limited	28.54	44.76
Plenteous Pharmaceuticals Limited	22.17	94.75
Others	52.77	22.34

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Particulars	31 March 2025	31 March 2024
Interest receivable		
Pure and Cure Healthcare Private Limited	33.39	33.84
Malik Lifesciences Private Limited	9.93	10.02
Akums Healthcare Limited	16.27	8.71
Others	5.59	8.60
Trade payable		
Maxcure Nutravedics Limited	194.33	15.71
Pure and Cure Healthcare Private Limited	19.14	2.74
Upadhrish Reserchem LLP	8.27	14.96
Others	62.50	3.13
Expenses payable		
Akome Lifecare Private Limited	1.84	-
Advance against sale of shares		
Dhanwantri Vedaresearch LLP	-	1.03
Security deposit payable		
Medibox Pharma Private Limited	2.69	2.69
Plenteous Pharmaceuticals Limited	0.78	0.78
Dues from partnership firm and LLPs		
Upadhrish Reserchem LLP	123.11	120.18
Corporate guarantee**		
Pure and Cure Healthcare Private Limited	-	812.50
Plenteous Pharmaceuticals Limited	-	35.09
Nicholas Healthcare Limited	-	29.95
Akums Healthcare Limited	-	84.50
Remuneration payable		
Mr. Sanjeev Jain	13.80	10.00
Mr. Sandeep Jain	14.20	10.00
Mr. Sanjay Sinha	0.80	2.00
Mr. Sumeet Sood	0.78	4.83
Mr. Dharamvir Malik	0.22	-
Ms. Arushi Jain	0.44	-
Mr. Umang Jain	0.17	-
Ms. Shivangi Jain	0.15	-

* Unless otherwise stated, all related party transactions have been entered on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash.

** represents corporate guarantee given to subsidiaries for the loan taken by them. The guarantee given has been restricted to the amount of loan outstanding as on the closing date.

IPO expenses incurred as disclosed in note 13 and 14a to these standalone financial statements are to be borne by the Company and the selling shareholders. Portion of these expenses are recoverable from selling shareholders in proportionate to shares that will be offered to the public in the IPO.

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43 Disclosure required under Ind AS 115 - Revenue from customers

(i) Disaggregation of revenue:

Revenue arises mainly from the sale of manufactured and traded goods.

	Year ended 31 March 2025	Year ended 31 March 2024
Sale of products		
Revenue from sale of manufactured goods	12,093.34	12,365.70
Revenue from sale of goods - others	529.11	418.42
Other operating revenue		
Job work charges	271.64	259.24
Testing charges and others	167.95	1,339.58
Sale of scrap	55.80	58.25
	13,117.84	14,441.19

(ii) Assets and liabilities related to contracts with customers

	As at 31 March 2025		As at 31 March 2024	
	Non-current	Current	Non-current	Current
Contract liabilities related to sale of goods				
Advance received from customers	-	42.19	-	98.49

Receivable is the right to consideration in exchange for goods or services transferred to the customer. Contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration from the customer in advance.

(iii) Significant changes in the contract liabilities balances during the year are as follows:

	As at 31 March 2025	As at 31 March 2024
Particulars	Contract liabilities	Contract liabilities
	Advances from customers	Advances from customers
Opening balance	98.49	878.17
Addition during the year	42.19	98.48
Revenue recognised/ adjustments during the year	98.49	878.16
Closing balance	42.19	98.49

The Company does not have any remaining performance obligation as contracts entered for sale of goods are for a shorter duration. There are no contracts for sale of services wherein, performance obligation is unsatisfied to which transaction price has been allocated. The amounts receivable from customers become due after expiry of credit period which on an average is less than 60 days. There is no significant financing component in any transaction with the customers.

There is no difference between the contract price and actual revenue recognized during the year accordingly, no reconciliation has been provided

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44 Corporate social responsibility

As per section 135 of the Companies Act, 2013, a Company, meeting the applicable threshold, required to spend at least 2% of its average net profit for the immediately preceding three financial year as per section 198 of the Companies Act 2013 on corporate social responsibility(CSR) activities. The CSR committee has been formed by the Company as per the Act and the Company has identified areas of "Promoting Education and Healthcare and Rural Development projects" for CSR activities.

The Company has spent amount on corporate social responsibility expenses as below:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Unspent/ (Overspent) balance as at beginning of the year	(0.54)	(0.54)
Gross amount required to be spent during the year	-	-
Amount spent during the year		
- Construction/acquisition of any asset	-	-
- On purposes other than above	(4.10)	-
Unspent/ (Overspent) balance as at end of the year [(excess)/ shortfall]	(4.64)	(0.54)

The excess amount spent on CSR during the year ended 31 March 2025 has been recognised as an asset in the books of account as per Companies Act 2013 (refer note 14a)

45 Financial instruments**A Financial instruments by category**

The carrying value of financial instruments by categories were as follows:

Particulars	Amortised cost	
	As at 31 March 2025	As at 31 March 2024
Financial assets carried at amortised cost		
Investments	3660.14	1389.24
Trade receivables	2,061.37	2,337.94
Cash and cash equivalents	764.92	689.57
Other bank balances	2,796.25	43.53
Loans	10,443.39	10,716.68
Other financial assets	305.31	339.98
Total financial assets	20,031.38	15,516.94
Financial liabilities carried at amortised cost		
Borrowings	39.30	2,262.86
Trade payables	2,195.55	1,649.14
Lease liabilities	423.57	407.75
Other financial liabilities	781.96	1,115.40
Financial liabilities carried at fair value through profit and loss		
Liability arising out of put option	-	13,653.78
Total financial liabilities	3,440.38	19,088.93

The carrying amount of trade receivables, trade payables, capital creditors and cash and cash equivalent are considered to be the same as their fair values, due to short-term in nature.

The carrying value of the amortised financial assets and liabilities approximate to the fair value on the respective reporting dates.

Investments in subsidiaries and associate as at the close of the year ended 31 March 2025 are carried at cost, per the option availed by the Company under the relevant provision of Ind AS. Hence the same has not been considered in the above table.

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B. Fair values hierarchy

Financial assets and financial liabilities are measured at fair value in the standalone financial statements and are grouped into three Levels of a fair value hierarchy. The three Levels are defined based on the observability of significant inputs to the measurement, as follows:

The categories used are as follows:

Level 1: Quoted prices (unadjusted) for identical instruments in an active market;

Level 2: Directly (i.e. as prices) or indirectly (i.e. derived from prices) observable market inputs, other than Level 1 inputs; and

Level 3: Inputs which are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a net asset value or valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

B.1 Financial liabilities measured at fair value - recurring fair value measurements

Particulars	Period	Level 1	Level 2	Level 3	Total
Financial liabilities at fair value through profit and loss					
Liability arising out of put option	31 March 2025	-	-	-	-
	31 March 2024	-	-	13,653.78	13,653.78

B.2 Valuation process and technique used to determine fair value

Specific valuation techniques used to value financial instruments include:

- (a) for liability arising on account of put option, adjusted discounted cash flow method (income approach) has been used.

The following table summarises the quantitative information about the significant unobservable inputs used in level 3 fair value measurements.

Particulars	Fair value		Significant unobservable inputs
	31 March 2025	31 March 2024	
Liability arising out of put option - refer note 18.1	-	13,653.78	Growth and discount rate

B.3 Sensitivity analysis

Description	As at 31 March 2025	As at 31 March 2024
Impact on liability arising on account of put options fair value if change in growth rate		
- Impact due to increase of 0.5%	-	547.86
- Impact due to decrease of 0.5%	-	(493.37)
Impact on liability arising on account of put options fair value if change in discount rate		
- Impact due to increase of 0.5%	-	(868.68)
- Impact due to decrease of 0.5%	-	966.09

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B.4 The following table presents the changes in level 3 items for the years ended 31 March 2025 and 31 March 2024

Particulars	Liability arising out of put option
As at 1 April 2023	10,076.04
Add: Fair value changes during the year*	3,577.74
As at 31 March 2024/ 1 April 2024	13,653.78
Add: Fair value changes during the year*	(38.67)
Less: On account of reversal of put option liability (refer note 18.1)	13,615.11
As at 31 March 2025	-

*Disclosed in these standalone statement of profit and loss for the year ended 31 March 2025.

C Financial risk management**Financial risk management objectives and policies**

The Company's principal financial liabilities comprise borrowings, trade payables and other payables. The main purpose of these financial liabilities is to finance the Company's operations. The Company's principal financial assets include loans, investments, trade and other receivables, cash and cash equivalents and other financial assets.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's management oversees the management of these risks and also ensure that the Company's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company's policies and risk objectives.

The Board of Directors reviews and agrees policies for managing each of these risks, which are summarised below:

Financial risk factors

The Company's activities expose it to a variety of financial risks:

- a) Market risk
- b) Credit risk
- c) Liquidity risk

The primary market risk to the Company is foreign exchange risk. The Company's exposure to credit risk is influenced mainly by the individual characteristic of each customer and the concentration of risk from the top few customers. Liquidity risk is the risk that the company will encounter difficulty in raising funds to meet commitments associated with financial instruments that are settled by delivering cash or another financial asset. Liquidity risk may result from an inability to sell a financial asset quickly at close to its fair value.

C.1 Market risk**(a) Foreign currency risk**

The entity has international transactions and is exposed to foreign exchange risk arising from foreign currency transactions. Foreign exchange risk arises from future commercial transactions and recognised assets and liabilities denominated in a currency that is not the entity's functional currency. The company does not use forward contracts and swaps for managing risks associated with foreign currency nor used for speculative purposes.

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Foreign currency risk exposure:

Particulars	31 March 2025		31 March 2024	
	Foreign currency	₹ million	Foreign currency	₹ million
Trade receivables- USD	3,71,231	31.73	1,93,387	16.13
Trade receivables- EURO	16,955	1.56	1,71,510	15.41
Trade and other payables- EURO	-	-	39,113	3.52
Trade and other payables- USD	5,15,000	44.02	3,89,718	32.50
Trade and other payables- OMR	2,100	0.47	-	-
Total	9,05,286	77.78	7,93,728	67.56

Sensitivity

The sensitivity of profit or loss to changes in the exchange rates arises mainly from foreign currency denominated financial instruments.

Particulars	Currency	31 March 2025		31 March 2024	
		Increase	Decrease	Increase	Decrease
INR/USD- increase by 1%*	USD	(0.12)	0.12	(0.16)	0.16
INR/EURO- increase by 1%*	EURO	0.02	(0.02)	0.12	(0.12)
INR/OMR- increase by 1%*	OMR	0.00	(0.00)	-	-

(31 March 2024: 1%)

* Holding all other variables constant

There is no currency risk with respect to equity.

(b) Interest rate risk

(i) Financial liabilities

The Company's policy is to minimise interest rate cash flow risk exposures on external financing. At 31 March 2025 and 31 March 2024, the Company is exposed to changes in interest rates through bank borrowings carrying variable interest rates. The Company's investments in fixed deposits carry fixed interest rates.

Interest rate risk exposure

Below is the overall exposure of the entity to interest rate risk:

Particulars	As at 31 March 2025	As at 31 March 2024
Variable rate borrowing	39.30	2,262.86
Total borrowings	39.30	2,262.86

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Sensitivity

Below is the sensitivity of profit or loss and equity changes in interest rates.

Particulars	As at 31 March 2025	As at 31 March 2024
Interest sensitivity*		
Interest rates – increase by 100 basis points	0.39	22.63
Interest rates – decrease by 100 basis points	(0.39)	(22.63)

* Holding all other variables constant

(ii) Financial assets

The Company's deposits with banks are carried at amortised cost and are fixed rate instruments. They are, therefore, not subject to interest rate risk as defined in Ind AS 107, since neither the carrying amount nor the future cash flows will fluctuate because of a change in market interest rates.

(c) Price risk**(i) Exposure**

The Company is in the business of contract manufacturing wherein any increase in the price is passed to the customer and hence the Company is not exposed to significant price risk.

C.2 Credit risk

Credit risk is the risk that a counterparty fails to discharge its obligation to the Company. The Company's exposure to credit risk is influenced mainly by investments in cash and cash equivalents, trade receivables and other financial assets measured at amortised cost. The Company continuously monitors defaults of customers and other counterparties and incorporates this information into its credit risk controls.

(a) Credit risk management

The Company assesses and manages credit risk based on internal credit rating system. Internal credit rating is performed for each class of financial instruments with different characteristics. The Company assigns the following credit ratings to each class of financial assets based on the assumptions, inputs and factors specific to the class of financial assets.

The Company assesses and manages credit risk based on internal credit rating system. Internal credit rating is performed for each class of financial instruments with different characteristics. The Company assigns the following credit ratings to each class of financial assets based on the assumptions, inputs and factors specific to the class of financial assets.

(i) Low credit risk

(ii) Moderate credit risk

Based on business environment in which the Company operates, a default on a financial asset is considered when the counter party fails to make payments within the agreed time period as per contract. Loss rates reflecting defaults are based on actual credit loss experience and considering differences between current and historical economic conditions.

Assets are written off when there is no reasonable expectation of recovery, such as a debtor declaring bankruptcy or a litigation decided against the Company. The Company continues to engage with parties whose balances are written off and attempts to enforce repayment. Recoveries made are recognised in the statement of profit and loss.

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The Company provides for expected credit loss based on the following:

Basis of categorisation	Asset class exposed to credit risk	Provision for expected credit loss
Low credit risk	Loans, Cash and cash equivalents, financial assets measured at amortised cost	12 month expected credit loss
Moderate credit risk	Trade receivables	Trade receivables - Life time expected credit loss

Financial assets that expose the entity to credit risk –

Particulars	As at 31 March 2025	As at 31 March 2024
Low credit risk		
Cash and cash equivalents	764.92	689.57
Other bank balances	2,796.25	43.53
Loans	10,443.39	10,716.68
Other financial assets	305.31	339.98
Moderate credit risk		
Trade receivables	2,061.37	2,337.94
Total	16,371.24	14,127.70

Credit risk related to cash and cash equivalents and bank deposits is managed by only accepting highly rated banks and diversifying bank deposits and accounts in different banks across the country.

Trade receivables are generally unsecured and non-interest bearing. There is no significant concentration of credit risk. The Company's credit risk management policy in relation to trade receivables involves periodically assessing the financial reliability of customers, taking into account their financial position, past experience and other factors. The utilization of credit limit is regularly monitored and a significant element of credit risk is covered by credit insurance. The Company's credit risk is mainly confined to the risk of customers defaulting against credit sales made. Outstanding trade receivables are regularly monitored by credit monitoring Company. In respect of trade receivables, the Company recognises a provision for lifetime expected credit losses after evaluating the individual probabilities of default of its customers which are duly based on the inputs received from the marketing teams of the Company.

All of the entity's financial assets (other than trade receivables) measured at amortised cost, are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months' expected losses. Management consider 'low credit risk' for cash and cash equivalents and other bank balances being maintained with scheduled banks. Other instruments are considered to have low credit risk when they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

The expected loss rates are based on the payment profiles of sales over a period of 36 months before the reporting date and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

Trade receivables are written off where there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Company, and a failure to make contractual payments for a period of greater than 180 days past due.

Impairment losses on trade receivables and contract assets are presented as net impairment losses. Subsequent recoveries of amounts previously written off are credited against the same line item.

The carrying amounts of financial assets above represents the maximum exposure to credit risk.

The Company assumes increase in credit risk since initial recognition when financial assets are more than 30 days past due.

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(b) Expected credit losses for financial assets**(i) Financial assets (other than trade receivables)**

Company provides for expected credit losses on loans other than trade receivables by assessing individual financial instruments for expectation of any credit losses.

- For cash & cash equivalents and other bank balances - Since the Company deals with only high-rated banks and financial institutions, credit risk in respect of cash and cash equivalents and other bank balances and bank deposits is evaluated as very low.
- For loans and other financial assets - Credit risk is evaluated based on Company knowledge of the credit worthiness of those parties and loss allowance is measured. For such financial assets, the Company policy is to provide for 12 month expected credit losses upon initial recognition and provide for lifetime expected credit losses upon significant increase in credit risk.

31 March 2025	Gross carrying amount	Expected probability of default	Expected credit losses	Carrying amount net of loss allowance
Cash and cash equivalents	764.92	-	-	764.92
Other bank balances	2,796.25	-	-	2,796.25
Loans	10,443.39	-	-	10,443.39
Other financial assets	305.31	-	-	305.31

31 March 2024	Gross carrying amount	Expected probability of default	Expected credit losses	Carrying amount net of loss allowance
Cash and cash equivalents	689.57	-	-	689.57
Other bank balances	43.53	-	-	43.53
Loans	10,716.68	-	-	10,716.68
Other financial assets	339.98	-	-	339.98

(ii) Expected credit loss for trade receivables under simplified approach

As at 31 March 2025 and 31 March 2024, the Company considered the individual probabilities of default of its financial assets (other than trade receivables) and determined that in respect of counterparties with low credit risk, no default events are considered to be possible within the 12 months after the reporting date. In respect of trade receivables, the Company measures the loss allowance at an amount equal to lifetime expected credit losses using a simplified approach.

31 March 2025	Gross carrying amount	% of expected credit losses	Allowance for expected credit losses	Carrying amount net of loss allowance
Amount not yet due	1,240.93	-	-	1,240.93
Between one to six month overdue	650.32	-	(0.09)	650.23
Between six month to one year overdue	54.00	0.78%	(0.42)	53.58
Greater than one year overdue	257.03	54.62%	(140.40)	116.63
Total	2,202.28		(140.91)	2,061.37

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31 March 2024	Gross carrying amount	% of expected credit losses	Allowance for expected credit losses	Carrying amount net of loss allowance
Amount not yet due	1,862.37	-	-	1,862.37
Between one to six month overdue	312.27	-	-	312.27
Between six month to one year overdue	26.47	0.34%	(0.09)	26.38
Greater than one year overdue	213.99	36.02%	(77.07)	136.92
Total	2,415.10		(77.16)	2,337.94

Reconciliation of loss allowance provision from beginning to end of the year:

Particulars	Trade receivables
Loss allowance on 1 April 2023	32.39
Provision on debtors assigned (refer note 42)	16.81
Charge in statement of profit and loss	27.96
Loss allowance on 31 March 2024/ 1 April 2024	77.16
Charge in statement of profit and loss	74.01
Bad debts written off during the year	(10.26)
Loss allowance on 31 March 2025	140.91

C.3 Liquidity risk

Liquidity risk is the risk that the entity will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The entity's approach to managing liquidity is to ensure as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due.

Management monitors rolling forecasts of the entity's liquidity position and cash and cash equivalents on the basis of expected cash flows. The entity takes into account the liquidity of the market in which the entity operates.

(a) Financing arrangements (un-utilised)

The Company has access to the following undrawn borrowing facilities at the end of the reporting period:

Particulars	As at 31 March 2025	As at 31 March 2024
Working capital facility	2,419.69	1,366.89
Term loan facility	250.00	-

(b) Maturities of financial liabilities (excluding finance cost obligation for future payments, as applicable):

The tables below analyse the entity's financial liabilities into relevant maturity entitling's based on their contractual maturities.

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The amounts disclosed in the table are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances as the impact of discounting is not significant:

31 March 2025	Less than 1 year	1 - 5 years	More than 5 years	Total
Non-derivatives				
Borrowings	39.30	-	-	39.30
Trade payable	2,195.55	-	-	2,195.55
Lease liabilities	21.80	76.02	325.75	423.57
Other financial liabilities	684.12	97.84	-	781.96
Total	2,940.77	173.86	325.75	3,440.38

31 March 2024	Less than 1 year	1 - 5 years	More than 5 years	Total
Non-derivatives				
Borrowings	2,106.61	156.25	-	2,262.86
Trade payable	1,649.14	-	-	1,649.14
Lease liabilities	20.60	96.98	290.17	407.75
Other financial liabilities	1,031.13	13,738.05	-	14,769.18
Total	4,807.48	13,991.28	290.17	19,088.93

46 Taxes

Income tax expense in the statement of profit and loss comprises:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Current income-tax		
for current year	492.74	469.90
for earlier years	3.90	13.50
Deferred tax charge		
for current year	(7.14)	141.78
for earlier years	(21.11)	-
Tax on other comprehensive income	(0.24)	(7.32)
Tax expense	468.15	617.86

(a) Current tax

- a) Reconciliation of tax expense applicable to profit before tax at the latest statutory enacted tax rate in India to income tax expense reported is as follows:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Profit before tax	2,078.37	(1,029.33)
Income tax using the Company's domestic tax rate *	25.17%	25.17%
Expected tax expense [A]	523.08	(259.06)

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Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Tax effect of adjustment to reconcile expected income tax expense to reported income tax expense		
Effect of non-deductible expenses/ income	(38.71)	876.60
Others	0.99	(13.18)
Tax earlier years	(17.21)	13.50
Total adjustments [B]	(54.93)	876.92
Actual tax expense [C=A+B]	468.15	617.86

*Domestic tax rate applicable to the Company has been computed as follows

Base tax rate	22%	22%
Surcharge (% of tax)	10%	10%
Cess (% of tax)	4%	4%
Applicable rate of tax	25.17%	25.17%

b) Changes in deferred tax assets and liabilities for the year ended 31 March 2025 :-

Particulars	As at 31 March 2024	Recognised in other comprehensive income	Recognised in profit and loss	As at 31 March 2025
Deferred tax liability consists of:				
Temporary differences of book and tax depreciation	(195.79)	-	19.17	(176.62)
Right-of-use assets	(93.41)	-	(11.99)	(105.40)
Deferred tax assets consists of:				
Expenses allowable under Income Tax Act, 1961 on payment basis	59.56	0.24	(8.57)	51.23
Provision for credit losses on financial assets	20.24	-	29.32	49.56
Lease liability	102.62	-	3.99	106.60
Provision for demand raised by statutory authorities	3.65	-	(3.65)	-
Net deferred tax asset / (liability)	(103.13)	0.24	28.27	(74.63)

Changes in deferred tax assets and liabilities for the year ended 31 March 2024:-

Particulars	As at 31 March 2023	Recognised in other comprehensive income	Recognised in profit and loss	As at 31 March 2024
Deferred tax liability consists of:				
Temporary differences of book and tax depreciation	(268.11)	-	72.32	(195.79)
Right-of-use assets	(36.61)	-	(56.80)	(93.41)
Deferred tax assets consists of:				
Expenses allowable under Income Tax Act, 1961 on payment basis	24.51	7.32	27.73	59.56
Provision for credit losses on financial assets	15.15	-	5.09	20.24
Lease liability	107.01	-	(4.38)	102.62
Provision for diminution in value of intangible assets	175.55	-	(175.55)	-
Provision for demand raised by statutory authorities	13.84	-	(10.19)	3.65
Net deferred tax asset / (liability)	31.34	7.32	(141.78)	(103.13)

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The amount and expiry date of unused tax losses are as under:

Particulars	As at 31 March 2025		As at 31 March 2024	
	Unabsorbed losses	Expiry date	Unabsorbed losses	Expiry date
Unused tax losses*				
A.Y. 2023-24	9.31	2030-31	9.31	2030-31
	9.31		9.31	

*above losses includes long term capital loss of ₹ 9.31 million.

47 Research and development expenditure (revenue) incurred on DSIR approved units

The Company has its research and development centres (approved by DSIR) located in Haridwar and Mumbai which concentrates on the development of new pharmaceutical formulations. Research and development costs incurred amounted to ₹ 286.92 million (31 March 2024: ₹ 292.55 million) (including depreciation of ₹ 51.25 million (31 March 2024: ₹ 45.22 million) and interest expense of ₹ 0.45 million (31 March 2024: ₹ 0.83 million) recognised in the standalone statement of profit and loss.

48 Segment reporting

The Company is primarily engaged in the manufacturing of "pharmaceuticals formulations". Hence as per, chief operating decision maker, the sale of pharmaceuticals formulations has been considered as a single operating segment per Ind AS 108 'Operating Segments' and accordingly disclosures have been limited to single operating segment.

49 Capital management

The Company's capital management objectives are to ensure the Company's ability to continue as a going concern and to provide an adequate return to shareholders through continuing growth via expansion.

The Company manages its capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

Gearing ratio

Particulars	As at 31 March 2025	As at 31 March 2024
Total debt (including current maturities of non-current debt)	39.30	2,262.86
Less:		
Cash and cash equivalents	764.92	689.57
Other bank balances	2,796.25	43.53
Net debt	(3,521.87)	1,529.76
Total equity	23,052.47	1,438.78
Equity and net debt	19,530.60	2,968.54
Gearing ratio	-18.03%	51.53%

*Equity includes capital and all reserves of the Company that are managed as capital.

In order to achieve this overall objective, the entity's capital management, amongst other things, aims to ensure that it meets financial covenants and attached to the interest bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings.

No changes were made in the objectives, policies or processes for managing capital during the years ended 31 March 2025 and 31 March 2024.

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50 Ageing of trade receivables and trade payables as per Schedule III

a) Trade receivables ageing

The table below analyse the outstanding trade receivables:

31 March 2025

Particulars	Not due	Outstanding for the following periods from due date of payment					
		Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed trade receivables- considered good	1,240.93	649.97	52.34	7.65	0.04	-	1,950.93
(ii) Undisputed trade receivables- which have significant increase in credit risk	-	-	-	5.04	17.17	5.15	27.36
(iii) Disputed trade receivables- which have significant increase in credit risk	-	0.35	1.66	23.16	44.78	154.04	223.99
(iv) Provision for expected credit loss	-	(0.09)	(0.42)	(7.05)	(29.70)	(103.65)	(140.91)
	1,240.93	650.23	53.58	28.80	32.29	55.54	2,061.37

31 March 2024

Particulars	Not due	Outstanding for the following periods from due date of payment					
		Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed trade receivables- considered good	1862.37	312.27	26.12	35.46	0.90	-	2,237.12
(ii) Undisputed trade receivables- which have significant increase in credit risk	-	-	-	9.93	1.67	7.47	19.07
(iii) Disputed trade receivables- which have significant increase in credit risk	-	-	0.35	15.52	12.48	130.56	158.91
(iv) Provision for expected credit loss	-	-	(0.09)	(6.36)	(3.74)	(66.97)	(77.16)
	1,862.37	312.27	26.38	54.55	11.31	71.06	2,337.94

b) Trade payables ageing

The table below analyse the outstanding trade payables:

31 March 2025

Particulars	Unbilled dues	Outstanding for the following periods from due date of payment				
		Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
MSME	-	225.20	-	-	-	225.20
Others	400.75	1,558.17	4.76	5.38	1.29	1,970.35
	400.75	1,783.37	4.76	5.38	1.29	2,195.55

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

31 March 2024

Particulars	Unbilled dues	Outstanding for the following periods from due date of payment				
		Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
MSME	-	121.99	-	-	-	121.99
Others	39.54	1,439.57	44.09	2.06	1.89	1,527.15
	39.54	1,561.56	44.09	2.06	1.89	1,649.14

51 Ratio Disclosures

Particulars	Numerator	Denominator	Current year	Previous year	% Variance
Current ratio	Current Assets	Current liab	2.69	1.06	154%
Debt - Equity ratio ¹	Total debt	Shareholders equity	0.2%	157%	-100%
Debt service coverage ratio ¹	Earnings available for debt service	Debt Service	0.82	14.34	-94%
Return on equity ratio ²	Net Profits after taxes – Preference Dividend (if any)	Average Shareholder's Equity	13%	-73%	-118%
Inventory turnover ratio	Cost of goods sold	Average Inventory	4.41	4.87	-9%
Trade receivables turnover ratio	Net Credit Sales	Avg. Accounts Receivable	5.96	5.90	1%
Trade payables turnover ratio	Net Credit Purchases	Average Trade Payables	5.07	6.05	-16%
Net capital turnover ratio	Net Sales	Working Capital	2.50	45.99	-95%
Net profit ratio ²	Net Profit	Net Sales	12%	-11%	-207%
Return on capital employed ²	Earning before interest and taxes	Capital Employed	9%	79%	-88%
Return on investment ²	Profit after tax	Investment	7%	-115%	-106%

Reasons for variance:

1. Repayment of term loans and decrease in working capital loans on account of funds raised through Initial Public Offer (IPO) have lead to change in the ratios.
2. On account of fair value changes in the financial instrument (put option liability), there has been a change in the ratios.

52 Disclosures as required under Section 22 of the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006 due to micro enterprises and small enterprises

Particulars	As at 31 March 2025	As at 31 March 2024
The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of each accounting year		
- Principal amount due*	247.13	141.72
- Interest amount due	-	-
The amount of interest paid by the buyer in terms of section 16, along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year	119.40	-

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	As at 31 March 2025	As at 31 March 2024
The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the Act	-	-
The amount of interest accrued and remaining unpaid at the end of each accounting year; and	-	-
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23.	-	-

*includes capital creditors of ₹ 21.93 million (31 March 2024: ₹ 19.73 million).

The information disclosed above are per the information available with the Company.

53 The Company has given loans, made investment and given guarantee for various subsidiary companies. The details of loans, investment made and guarantee outstanding as at year end is given in below mentioned table along with purpose of the loan and guarantee given as required u/s 186(4) of the Companies Act 2013.

Name of Entity	Interest rate p.a.	Repayable (on or before)	As at 31 March 2025	As at 31 March 2024
a) Long term loan given for general corporate purpose				
Pure and Cure Healthcare Private Limited		December 2026	5,315.80	5,707.50
Malik Lifesciences Private Limited		December 2026	1,727.70	1,889.00
Akums Healthcare Limited	8.25% (April 2024	December 2026	2,651.30	1,467.50
Upadhrish Reserchem LLP	to November	December 2026	138.90	144.90
Qualymed Pharma Private Limited	2024: 8%) 31	December 2026	544.51	86.10
Unosource Pharma Limited	March 2024: 8%	December 2026	-	610.00
Plenteous Pharmaceuticals Limited	(April 2023 to	December 2026	-	373.00
Medibox Pharma Private Limited	June 2023: 7.5%)	December 2026	-	262.20
Nicholas Healthcare Limited		December 2026	-	75.30
Maxcure Nutravedics Limited		December 2026	-	40.00
Total loans given (A)			10,378.21	10,655.50

The above loan figures doesn't includes interest receivable from related parties amounting to ₹ 65.18 million (31 March 2024: ₹ 61.18 million)

Particulars	As at 31 March 2025	As at 31 March 2024
b) Particulars of Investment made- Equity instruments*		
Pure and Cure Healthcare Private Limited	479.07	479.07
Unosource Pharma Limited	196.20	196.20
Akumentis Healthcare Limited	170.79	170.79
Maxcure Nutravedics Limited	80.42	80.42
Malik Lifesciences Private Limited	34.85	34.85
Akums Healthcare Limited	1.00	1.00
Nicholas Healthcare Limited	0.50	0.50
Plenteous Pharmaceuticals Limited	0.50	0.50
Sarvagunaushdhi Private Limited	0.10	0.10
Qualymed Pharma Private Limited	0.10	0.10

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	As at 31 March 2025	As at 31 March 2024
Amazing Research Laboratories Limited (refer note 14b and 33)	-	1.95
Burroughs Welcome Pharmacia Private Limited (refer note 14b and 33)	-	0.01
May and Baker Pharmaceuticals Limited (refer note 14b and 33)	-	0.50
Less: Investment in subsidiaries held for sale (refer note 14b)	-	(2.46)
Total (B)	963.53	963.53

Particulars	As at 31 March 2025	As at 31 March 2024
c) Particulars of Investment made- Preference shares		
(i) 0.0001% Compulsorily Convertible Cumulative Preference Shares:		
Akumentis Healthcare Limited	424.21	424.21
(ii) 0.01% Optionally Convertible Redeemable Preference Shares:		
Pure and Cure Healthcare Private Limited	2,020.90	-
Maxcure Nutravedics Limited	250.00	-
Total (C)	2,695.11	424.21
Total investments made (B+C)	3,658.64	1,387.74

*As per requirement of Section 186(4), disclosure is required in regards to body corporates only.

Particulars	As at 31 March 2025	As at 31 March 2024
d) Guarantee given for subsidiary Companies for bank loan availed by them*		
Pure and Cure Healthcare Private Limited (refer note 5)	-	812.50
Plenteous Pharmaceuticals Limited	-	35.09
Nicholas Healthcare Limited	-	29.95
Akums Healthcare Limited	-	84.50
Total (guarantee)	-	962.04

*represents corporate guarantee given to subsidiaries for the loan taken by them. The guarantee given has been restricted to the amount of loan outstanding as on the closing date.

54 Lease

- (a) The Company recorded the lease liability at the present value of the lease payments discounted at the incremental borrowing rate and the Right-of-Use assets at its carrying amount as if the standard had been applied since the commencement date of the lease, but discounted at the lessee's incremental borrowing rate at the date of initial application.
- (b) The weighted average lessee's incremental borrowing rate applied to the lease liabilities was 9% p.a.
- (c) Reassessments and revaluation has been accounted for in the Right-of-use assets for the changes done in the original lease agreements in the current financial year.
- (d) The table below describes the nature of the Company's leasing activities by type of right-of-use asset recognised as on 31 March 2025:

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

As at 31 March 2025:

Right-of-use assets	No of right-of-use assets leased	Range of remaining term(years)	Average remaining lease term (years)
Land	9	28-92	81
Buildings	17	2-5	5

As at 31 March 2024:

Right-of-use assets	No of right-of-use assets leased	Range of remaining term(years)	Average remaining lease term (years)
Land	7	29-93	82
Buildings	5	3-6	6

There are no leases entered by the company which have any extension, termination or purchase option and the payment of lease rentals is not based on variable payments which are linked to an index.

(e) Amount recognised in balance sheet and statement of profit and loss:

Particulars	Category of Right-of-use assets		
	Land	Buildings	Total
Balance as at 1 April 2023	332.03	145.47	477.50
Less: Depreciation charged on the right-of-use assets (refer note 32)	9.56	21.70	31.26
Balance as at 31 March 2024/ 1 April 2024	322.47	123.77	446.24
Add: Additions during the year	209.44	214.45	423.89
Less: Deletion during the year	-	101.70	101.70
Less: Modifications during the year	28.29	-	28.29
Less: Depreciation charged on the right-of-use assets (refer note 32)	8.91	29.11	38.02
Balance as at 31 March 2025	494.71	207.41	702.12

(f) Lease payment not recognised as lease liability

	Year ended 31 March 2025	Year ended 31 March 2024
Expenses relating to short term leases (refer note 30)	7.08	9.67
Total	7.08	9.67

(g) The total cash outflow for leases for the year ended 31 March 2025 was ₹ 274.30 million. (31 March 2024: ₹ 54.99 million)

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

(h) Future minimum lease payments**As at 31 March 2025**

Minimum Lease payments due	As at 31 March 2025		
	Lease payment	Finance charges	Net Present Value
Within 1 Year	58.98	37.18	21.80
1-5 Year	208.66	132.64	76.02
More than 5 Year	628.92	303.17	325.75
Total	896.56	472.99	423.57

As at 31 March 2024

Minimum Lease payments due	As at 31 March 2024		
	Lease payment	Finance charges	Net Present Value
Within 1 Year	56.50	35.90	20.60
1-5 Year	220.42	123.45	96.97
More than 5 Year	636.64	346.46	290.18
Total	913.56	505.81	407.75

55 Share based payments

The Company has implemented Employee Stock Option Scheme 2022 (ESOP Scheme 2022) as approved by the shareholder on 31 March 2022. The scheme entitles employees and directors of the Company and its subsidiaries to purchase shares in the Company at the stipulated exercise price, subject to compliance with vesting conditions. The nomination and remuneration committee of the Board of the Company administers the Employee Stock Option Scheme 2022 and grants stock options to eligible employees.

Details of the options granted during the year ended 31 March 2024 under the scheme are given below:

Scheme details	Grant date	No. of options granted	Exercise price (₹) per option	Vesting period	Exercise period
Employee Stock Option Scheme 2022 (ESOP Scheme 2022)	1 April 2023	14,000	1,010.00	5 years	5 years from date of vesting of options

The vesting conditions are mix of service and performance based conditions. Further, during the vesting period, there will graded vesting which will be 25% each in last 4 years of vesting period.

The options are granted at an exercise price, which is in accordance with the relevant provisions of the Companies Act, 2013, at the time of such grants. Each option entitles the holder to exercise the right to apply for and seek allotment of one equity share of face value ₹ 2 each.

The options were granted on 1 April 2023 and were then forfeited during the previous year itself. Hence, there is no impact on the financial statements of the Company during the previous year. The fair values of options are measured based on the Black-Scholes-Merton model.

Weighted average share price for options exercised during the year :

Particulars	ESOP Scheme 2022
Weighted average share price (₹)	1,010.34
Fair value per Option at grant date (₹)	376.94 - 553.33
Exercise price (₹)	1,010.00

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for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	ESOP Scheme 2022
Expected Volatility	38.82% - 37.72%
Expected Life (in years)	3.5 - 7.5
Expected dividends	0.00%
Risk-free interest rate	6.87% - 7.03%

Stock option activity under the scheme for the year ended 31 March 2025 is set out below:

Particulars	No. of options	Weighted average exercise price (₹) per option	Range of exercise price (₹) per option	Weighted average remaining contractual life (years)
Outstanding as at 1 April 2023	-	-	-	-
Granted during the year	14,000	1,010.00	1,010.00	4.75
Forfeited/ cancelled during the year	(14,000)	1,010.00	1,010.00	-
Outstanding as at 31 March 2024/ 1 April 2024	-	-	-	-
Granted during the year	-	-	-	-
Forfeited/ cancelled during the year	-	-	-	-
Outstanding as at 31 March 2025	-	-	-	-

56 Other information

- (a) The Ministry of Corporate Affairs (MCA) has prescribed a new requirement for companies under the proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014, inserted by the Companies (Accounts) Amendment Rules 2021 requiring companies, which uses accounting software for maintaining its books of accounts, shall only use such accounting software which has a feature of recording audit trail of each and every transaction, creating an edit log of each change made in the books of account along with the date when such changes were made and ensuring that the audit trail cannot be disabled.

The Company has used accounting software for maintaining its books of account which has a feature of audit trail (edit log) facility and the same was enabled at the application level. During the year ended 31 March 2025, the Company has not enabled the feature of recording audit trail (edit log) at the database level for the said accounting software to log any direct data changes on account of recommendation in the accounting software administration guide which states that enabling the same all the time consume storage space on the disk and can impact database performance significantly.

- (b) The Company has completed its Initial Public Offer (IPO) of 27,368,143 equity shares of face value of ₹ 2 each at an issue price of ₹ 679 per share (including share premium of ₹ 677 per share). A discount of ₹ 64 per share was offered to eligible employees bidding in the employee reservation portion of 243,826 equity shares and as a result the equity shares of the Company got listed on National Stock exchange of India Limited (NSE) and BSE Limited (BSE) on 6 August 2024. The issue comprised of fresh issue of 10,037,708 equity shares aggregating to ₹ 6,800.00 million and offer for sale of 17,330,435 equity shares by selling shareholders, aggregating to ₹ 11,767.37 million.

The Company has estimated ₹ 1,116.58 million as IPO related expenses and allocated such expenses between the Company (₹ 426.30 million has been adjusted to the securities premium account) and selling shareholders (₹ 690.28 million) in proportion to the equity shares allotted to the public as fresh issue by the Company and under the offer for sale by selling shareholders respectively. Out of the total IPO proceeds the funds available in public offer account is ₹ 513.13 million for remitting funds for pending IPO related expenses.

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for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

The Company has received an amount of ₹ 6,373.70 million (net of IPO expenses of ₹ 426.30 million) from proceeds out of fresh issue of equity shares. The utilisation of the net IPO proceeds is summarised below:

Objects	Planned net proceeds as per prospectus	Actual net proceeds	Utilisation upto 31 March 2025	Unutilised amount as on 31 March 2025
Repayment/prepayment of all or certain borrowings of the Company	1,599.10	1,599.10	1,599.10	-
Repayment/prepayment of all or certain borrowings of the subsidiaries namely, Maxcure Nutravedics Limited and Pure and Cure Healthcare Private Limited	2,270.90	2,270.90	2,270.90	-
Funding incremental working capital requirements of the Company	550.00	550.00	550.00	-
Pursuing inorganic growth initiatives through acquisitions	278.70	278.70	197.30	81.40
General corporate purposes	1,675.00	1,675.00	1,675.00	-
Total proceeds	6,373.70	6,373.70	6,292.30	81.40

The net IPO proceeds of ₹ 81.40 million which were unutilised as at 31 March 2025 has been temporarily invested in fixed deposit by the Company.

- (c) During the financial year ended 31 March 2025, from 15 January 2025 to 21 January 2025, the Income Tax Department ("IT Department") has conducted a search and seizure operation under Section 132 of the Income Tax Act, 1961, at certain offices and manufacturing units of the Company and its subsidiaries, and the residences of selected key managerial personnel of the Company.

During the search and seizure proceedings, the Company has fully cooperated, provided the required information and responses to the IT Department. As a part of search and seizure operation, the IT department has cloned electronic books of accounts, laptops, data backups and seized certain documents, cash and other materials for further investigation. The business and operations of the Company continued without any disruptions, except some minor operational hiccups, and customer commitments were met during this period. The Company has not received any written order/ notice/ communication as the findings of such investigation from the department except for receipt of summons basis which the management is in the process of submitting the requested details to the authorities. There have been no demands which have been raised on the Company as of date. Based on the foregoing and having regard to the matters of the inquiry during the search proceedings stated above, management is of the view that no material adjustments are required to these standalone financial statements for the year ended 31 March 2025 in this regard.

- (d) There are no subsequent events that occurred after the reporting date which may have an impact on these financial statements.

57 Other statutory information

- (a) The Company do not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property.
- (b) The Company do not have any transactions with companies struck off.
- (c) The Company do not have any charges or satisfaction which are yet to be registered with Registrar of Companies beyond the statutory period, except the satisfaction of charge with respect to repayment of term loan from HSBC Bank is yet to be registered with Registrar of Companies.

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

- (d) The Company have not traded or invested in Crypto currency or Virtual Currency during the year.
- (e) The Company have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
 - (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries
- (f) The Company have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
 - (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries,
- (g) The Company have not any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income tax Act, 1961
- (h) The Company is not declared wilful defaulter by any bank or financial institution or government or any government authority.
- (i) During the previous year, the Company had complied with the approved scheme of arrangement. Refer note 5.
- (j) The Company has not revalued its property, plant and equipment (including right-of-use assets) or intangible assets or both during the current or previous year.

As per our report of even date attached

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited

Sanjeev Jain

Managing Director

DIN: 00323433

Sandeep Jain

Managing Director

DIN: 00323476

Sumeet Sood

Chief Financial Officer

Dharamvir Malik

Company Secretary

Mem. No.: FCS 8596

Place : New Delhi

Date : 26 May 2025

Place : New Delhi

Date : 26 May 2025

Independent Auditor's Report

To the Members of
Akums Drugs and Pharmaceuticals Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

1. We have audited the accompanying consolidated financial statements of Akums Drugs and Pharmaceuticals Limited ('the Holding Company') and its subsidiaries (the Holding Company and its subsidiaries together referred to as 'the Group'), as listed in Annexure I, which comprise the Consolidated Balance Sheet as at 31 March 2025, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Cash Flow Statement and the Consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated financial statements, including a material accounting policy information and other explanatory information.
2. In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditor on separate financial statements and on the other financial information of the subsidiary, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ('the Act') in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards ('Ind AS') specified under section 133 of the Act, read with the Companies (Indian Accounting Standards) Rules, 2015, and other accounting principles generally accepted in India of the consolidated state of affairs of the Group, as at 31 March 2025, and their consolidated profit (including other comprehensive income), consolidated cash flows and the consolidated changes in equity for the year ended on that date.

Basis of Opinion

3. We conducted our audit in accordance with the Standards on Auditing specified under section 143(10) of the Act. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group, in accordance with the Code of Ethics issued by the Institute of Chartered Accountants

of India ('ICAI') together with the ethical requirements that are relevant to our audit of the consolidated financial statements under the provisions of the Act and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained together with the audit evidence obtained by the other auditors in terms of their reports referred to in paragraph 16 of the Other Matter section below, is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter- Search and Seizure on the Group

4. We draw attention to note 54(e) to the accompanying consolidated financial statements relating to a search and seizure operation carried out by the Income Tax Department during the financial year ended 31 March 2025, at certain offices and manufacturing units of the Holding Company and its subsidiaries, and the residences of selected key managerial personnel of the Group from 15 January 2025 to 21 January 2025 under Section 132 of the Income Tax Act, 1961. Further, the Group has not received any order/notice/communication on the findings of such investigation by the Income tax department till date. Accordingly, the impact of this matter for the year ended 31 March 2025 and the adjustments (if any) required, is presently not ascertainable.

Our opinion is not modified in respect of this matter.

Key Audit Matter

5. Key audit matters are those matters that, in our professional judgment and based on the consideration of the reports of the other auditors on separate financial statements of the subsidiaries, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

6. We have determined the matter described below to be the key audit matter to be communicated in our report.

Key audit matter	How our audit addressed the key audit matter
Revenue Recognition (Refer note 1.5 and 43 to the consolidated financial statements for material accounting policy information and revenue-related disclosures respectively): Revenue from the sale of goods is recognized when control over goods is transferred to a customer or as soon as the risk and rewards related to the transactions are transferred to the customer which is when the goods are dispatched from the premises of the Group. Further, revenue from services is recognised as per the terms of the contract basis the services rendered, and costs incurred by the Group. We have identified recognition of revenue as an area requiring significant auditor attention during the year as revenue is focused as a key performance indicator by the Group and its external stakeholders which could create an incentive for revenue to be recognised before the control is transferred. It has been identified as an area of presumed fraud risk by us as per the requirements of Standards on Auditing.	Our audit procedures with respect to revenue recognition included, but were not limited, to the following: - Understood the nature of revenue transactions, revenue recognition process and evaluated the appropriateness of the accounting policy adopted by the management in accordance with Ind AS 115; - Evaluated the design, implementation and tested the operating effectiveness of the Group internal controls around revenue recognition for a sample of transactions; - Evaluated the integrity of the general information and technology ('IT') control environment and tested the operating effectiveness of key IT application controls. - On a sample basis, performed substantive procedures for revenue transactions recorded during the year, and transactions recorded during specific period before and after year end through inspection of underlying supporting documents such as customer contracts, purchase orders/statement of work, proof of dispatch and delivery including regulatory documents used for movement of products as per applicable regulations, invoices, etc to ensure revenue is recorded in the correct period and in accordance with the accounting policy of the Group. - Performed overall analytical procedures on revenue recognized during the year to identify unusual and/or material variances; - Tested unusual non-standard journal entries impacting revenue, selected based on risk-based criteria; and - Evaluated the appropriateness and adequacy of the disclosures made in the accompanying consolidated financial statements in respect of revenue recognition in accordance with the applicable accounting standards.

Information other than the Consolidated Financial Statements and Auditor's Report thereon

7. The Holding Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the consolidated financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

8. The accompanying consolidated financial statements have been approved by the Holding Company's Board of Directors. The Holding Company's Board of Directors are responsible for the matters stated in section 134(5) of the Act with respect to the preparation and presentation of these consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with the Ind AS specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, and other accounting principles generally accepted in India. The Holding Company's Board of Directors are also responsible for ensuring accuracy of records including financial information considered necessary for the preparation of consolidated Ind AS financial statements. Further, in terms of the provisions of the Act the respective Board of Directors of the companies included in the Group covered

under the Act are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error. These financial statements have been used for the purpose of preparation of the consolidated financial statements by the Board of Directors of the Holding Company, as aforesaid.

9. In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.
10. Those respective Board of Directors are also responsible for overseeing the financial reporting process of the companies included in the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

11. Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.
12. As part of an audit in accordance with Standards on Auditing specified under section 143(10) of the Act we exercise professional judgment and maintain professional skepticism throughout the audit. We also:
 - Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures

responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3) (i) of the Act we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls;
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;
- Conclude on the appropriateness of Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern;
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation; and
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group, to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of financial statements of such entities included in the financial statements, of which we are the independent auditors. For the other entities included in the financial statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

13. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
14. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
15. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

16. We did not audit the financial statements of seven subsidiaries (include step down subsidiary), whose financial statements reflects total assets of ₹ 5,230.33 million as at 31 March 2025, total revenues of ₹ 2,123.31 million and net cash inflows amounting to ₹ 29.65 million for the year ended on that date, as considered in the consolidated financial statements. These financial statements have been audited by other auditors whose reports have been furnished to us by the management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, and our report in terms of sub-section (3) of section 143 of the Act in so far as it relates to the aforesaid subsidiaries, are based solely on the reports of the other auditors.

Our opinion above on the consolidated financial statements, and our report on other legal and regulatory requirements below, are not modified in respect of the above matters with respect to our reliance on the work done by and the reports of the other auditors.

17. We did not audit the financial information of 1 subsidiary, whose financial information reflects total assets of ₹ Nil as at March 31, 2025, total revenues of ₹ Nil and net cash inflows amounting to ₹ Nil for the year ended on that date, as considered in the consolidated financial statements. This financial information is unaudited and have been furnished to us by the management and our

opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of the aforesaid subsidiaries, is based solely on such unaudited financial Information. In our opinion and according to the information and explanations given to us by the management, this financial information are not material to the Group.

Our opinion above on the consolidated financial statements, and our report on other legal and regulatory requirements below, are not modified in respect of the above matters with respect to our reliance on the financial information certified by the management.

Report on Other Legal and Regulatory Requirements

18. As required by section 197(16) of the Act based on our audit and on the consideration of the reports of the other auditors, referred to in paragraph 16, on separate financial statements of the subsidiaries, we report that the Holding Company, ten subsidiaries incorporated in India whose financial statements have been audited under the Act, have paid remuneration to their respective directors during the year in accordance with the provisions of and limits laid down under section 197 read with Schedule V to the Act. Further, we report that one subsidiary incorporated in India whose financial statements have been audited under the Act have not paid or provided for any managerial remuneration during the year. Accordingly, reporting under section 197(16) of the Act is not applicable in respect of such subsidiary.
19. As required by clause (xxi) of paragraph 3 of Companies (Auditor's Report) Order, 2020 ('the Order') issued by the Central Government of India in terms of section 143(11) of the Act, based on the consideration of the Order reports issued by us and by the respective other auditors as mentioned in paragraph 16 above, of companies included in the consolidated financial statements and covered under the Act we report that there are no qualifications or adverse remarks reported in the respective Order reports of such companies.
20. As required by section 143(3) of the Act, based on our audit and on the consideration of the reports of the other auditors on separate financial statements and other financial information of the subsidiary, incorporated in India whose financial statements have been audited under the Act, we report, to the extent applicable, that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid consolidated financial statements;

- b) Except for the matters stated in paragraph 20(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended)), in our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors;
- c) The consolidated financial statements dealt with by this report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements;
- d) In our opinion, the aforesaid consolidated financial statements comply with Ind AS specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015;
- e) On the basis of the written representations received from the directors of the Holding Company and its subsidiaries and taken on record by the Board of Directors of the Holding Company and its subsidiaries, respectively, and the reports of the statutory auditors of its subsidiaries, covered under the Act, none of the directors of the Group companies, are disqualified as on 31 March 2025 from being appointed as a director in terms of section 164(2) of the Act;
- f) The qualification relating to the maintenance of accounts and other matters connected therewith with respect to the consolidated financial statements are as stated in paragraph 20(b) above on reporting under section 143(3)(b) of the Act and paragraph 20(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended);
- g) With respect to the adequacy of the internal financial controls with reference to financial statements of the Holding Company, and its subsidiaries covered under the Act, and the operating effectiveness of such controls, refer to our separate report in 'Annexure II' wherein we have expressed an unmodified opinion; and
- h) With respect to the other matters to be included in the Auditor's Report in accordance with rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the report of the other auditors on separate financial statements of the subsidiaries incorporated in India whose financial statements have been audited under the Act:
 - i. The consolidated financial statements disclose the impact of pending litigations on the consolidated financial position of the Group, as detailed in note 38 to the consolidated financial statements;
 - ii. The Holding Company and its subsidiaries did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses as at 31 March 2025;
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company and its subsidiaries covered under the Act, during the year ended 31 March 2025;
 - iv.
 - a. The respective managements of the Holding Company and its subsidiaries incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries respectively that, to the best of their knowledge and belief, as disclosed in note 55(e) to the consolidated financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or securities premium or any other sources or kind of funds) by the Holding Company or its subsidiaries to or in any person or entity, including foreign entities ('the intermediaries'), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Holding Company, or any such subsidiaries ('the Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf the Ultimate Beneficiaries;
 - b. The respective managements of the Holding Company and its subsidiaries incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries respectively that, to the best of their knowledge and belief, as disclosed in the note 55(f) to the accompanying consolidated financial statements, no funds have been received by the Holding Company or its subsidiaries from any person or entity,

- including foreign entities (the Funding Parties), with the understanding, whether recorded in writing or otherwise, that the Holding Company, or any such subsidiaries shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- c. Based on such audit procedures performed by us and that performed by the auditors of the subsidiaries, as considered reasonable and appropriate in the circumstances, nothing has come to our or other auditors notice that has caused us or the other auditors to believe that the management representations under sub-clauses (a) and (b) above contain any material misstatement.
- v. The Holding Company and its subsidiaries have not declared or paid any dividend during the year ended 31 March 2025.
- vi. As stated in note 54(a) to the consolidated financial statements and based on our examination which included test checks and that performed by the respective auditor of the subsidiaries, except for instances mentioned below, the Holding Company and its subsidiaries, in respect of financial year commencing on 1 April 2024, have used accounting software for maintaining their books of account which have a feature of recording audit trail (edit log) facility and the same have been operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit we and respective auditor of the above referred subsidiaries did not come across any instance of audit trail feature being tampered with, other than the consequential impact of the exceptions given below. Furthermore, except for the instances mentioned below, the audit trail have been preserved by the Holding Company and its subsidiaries as per the statutory requirements for record retention.

Nature of exception noted	Details of Exception
Instances of accounting software for maintaining books of account for which the feature of recording audit trail (edit log) facility was not operated throughout the year for all relevant transactions recorded in the software.	The audit trail feature was not enabled at the database level for accounting software to log any direct data changes, used for maintenance of all accounting records by the Holding Company and its eleven subsidiaries.

For **Walker Chandiok & Co LLP**
Chartered Accountants
Firm's Registration No.: 001076N/N500013

Place: Delhi
Date: 26 May 2025

Tarun Gupta
Partner
Membership No.: 507892
UDIN: 25507892BMNSLY9724

Annexure I

List of entities included in these consolidated financial statements:

Subsidiaries

1. Akumentis Healthcare Limited
2. Pure and Cure Healthcare Private Limited
3. Maxcure Nutravedics Limited
4. Malik Lifesciences Private Limited
5. Unosource Pharma Limited
6. Akums Healthcare Limited
7. Nicholas Healthcare Limited
8. Plenteous Pharmaceuticals Limited
9. Sarvagunaushdhi Private Limited
10. Qualymed Pharma Private Limited
11. Upadhrish Reserchem LLP
12. Hygosap Pharma Private Limited (formerly known as Burroughs Welcome Pharmacia Private Limited)*
13. Amazing Research Laboratories Limited*
14. May and Baker Pharmaceuticals Limited*
15. Akums Healthcare UK Limited (w.e.f. 18th March, 2025)

*Hived off w.e.f. 01st April, 2024.

Step down subsidiaries

16. Medibox Pharma Private Limited (subsidiary of Maxcure Nutravedics Limited)

Annexure II to the Independent Auditor's Report of even date to the members of Akums Drugs and Pharmaceuticals Limited on the consolidated financial statements for the year ended 31 March 2025

Independent Auditor's Report on the internal financial controls with reference to consolidated financial statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act')

1. In conjunction with our audit of the consolidated financial statements of Akums Drugs and Pharmaceuticals Limited ('the Holding Company') and its subsidiaries (the Holding Company and its subsidiaries together referred to as 'the Group'), as at and for the year ended 31 March 2025, we have audited the internal financial controls with reference to financial statements of the Holding Company, and its subsidiary companies, which are companies covered under the Act, as at that date.

Responsibilities of Management and Those Charged with Governance for Internal Financial Controls

2. The respective Board of Directors of the Holding Company, and its subsidiary companies, which are companies covered under the Act, are responsible for establishing and maintaining internal financial controls based on the internal financials control with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financials Controls over Financials Reporting (the 'Guidance Note') issued by the Institute of Chartered Accountant of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of the Company's business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility for the Audit of the Internal Financial Controls with Reference to Financial Statements

3. Our responsibility is to express an opinion on the internal financial controls with reference to financial statements of the Holding Company, and its subsidiary companies, as aforesaid, based on our audit. We conducted our audit in accordance with the Standards on Auditing issued by the

ICAI prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements, and the Guidance Note issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements includes obtaining an understanding of such internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditor in terms of their reports referred to in the Other Matter paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to financial statements of the Holding Company and its subsidiary companies as aforesaid.

Meaning of Internal Financial Controls with Reference to Financial Statements

6. A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with

authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion and based on the consideration of the reports of the other auditor on internal financial controls with reference to financial statements of the subsidiary companies, the Holding Company and its subsidiary companies, which are companies covered under the Act, have in all material respects, adequate internal financial controls with reference to financial statements and such controls were operating effectively as at 31 March 2025, based on the internal financial controls with reference to the financial statements criteria established by the Holding Company and respective subsidiary companies considering the essentials components of internal control stated in the Guidance Note issued by the ICAI.

Other Matter

9. We did not audit the internal financial controls with reference to financial statements insofar as it relates to six subsidiary companies (include step down subsidiary), which are companies covered under the Act, whose financial statements reflect total assets of ₹ 4,892.69 million and net assets of ₹ 235.26 million as at 31 March 2025, total revenues of ₹ 1,742.82 million and net cash inflow amounting to ₹ 25.49 million for the year ended on that date, as considered in the consolidated financial statements. The internal financial controls with reference to financial statements in so far as it relates to such subsidiary companies have been audited by other auditor whose reports have been furnished to us by the management and our report on the adequacy and operating effectiveness of the internal financial controls with reference to financial statements for the Holding Company and its subsidiary companies, as aforesaid, under Section 143(3)(i) of the Act in so far as it relates to such subsidiary companies is based solely on the reports of the auditor of such companies. Our opinion is not modified in respect of this matter with respect to our reliance on the work done by and on the reports of the other auditor.

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm's Registration No.: 001076N/N500013

Tarun Gupta

Partner

Place: Delhi

Date: 26 May 2025

Membership No.: 507892

UDIN: 25507892BMNSLY9724

CIN - L24239DL2004PLC125888

Consolidated Balance Sheet

as at 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	As at 31 March 2025	As at 31 March 2024
ASSETS			
(1) Non-current assets			
(a) Property, plant and equipment	2a	12,286.86	10,649.06
(b) Right-of-use assets	51	1,614.91	1,171.92
(c) Capital work-in-progress	2b	1,596.17	1,951.33
(d) Goodwill	49	20.63	20.63
(e) Other intangible assets	3	51.31	66.04
(f) Intangible assets under development	2c	31.72	2.81
(g) Financial assets			
(i) Investments	4	1.43	1.43
(ii) Other financial assets	5	335.56	314.09
(h) Non-current tax assets (net)	6	123.08	100.21
(i) Deferred tax assets	20	2,080.65	1,230.63
(j) Other non-current assets	7	246.01	246.66
Total non-current assets		18,388.33	15,754.81
(2) Current assets			
(a) Inventories	8	6,809.31	6,304.25
(b) Financial assets			
(i) Trade receivables	9	7,702.96	8,338.12
(ii) Cash and cash equivalents	10	1,011.91	1,110.50
(iii) Bank balances other than (ii) above	11	4,752.60	1,660.03
(iv) Other financial assets	12	481.28	233.13
(d) Other current assets	13	1,988.03	1,761.78
Total current assets		22,746.09	19,407.81
Assets held for sale	14	-	1.03
Total assets		41,134.42	35,163.65

CIN - L24239DL2004PLC125888

Consolidated Balance Sheet

as at 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	As at 31 March 2025	As at 31 March 2024
EQUITY AND LIABILITIES			
Equity			
(a) Equity share capital	15	306.21	286.13
(b) Other equity	16	30,163.93	6,808.85
Equity attributable to equity holders of the Parent		30,470.14	7,094.98
(c) Non-controlling interest's	35B	165.97	109.88
Total equity		30,636.11	7,204.86
LIABILITIES			
(1) Non-current liabilities			
(a) Financial liabilities			
(i) Borrowings	17	-	782.97
(ii) Lease liabilities	51	673.27	679.05
(iii) Other financial liabilities	18	342.44	13,959.46
(b) Provisions	19	358.97	310.25
(c) Deferred tax liabilities	20	186.16	121.54
Total non-current liabilities		1,560.84	15,853.27
(2) Current liabilities			
(a) Financial liabilities			
(i) Borrowings	21	136.55	4,132.58
(ii) Lease liabilities	51	72.30	57.65
(iii) Trade payables	22		
Total outstanding dues to micro and small enterprises; and		772.03	472.25
Total outstanding dues of creditors other than micro and small enterprises		5,655.82	4,849.07
(iv) Other financial liabilities	23	1,333.27	1,581.37
(b) Other current liabilities	24	391.41	432.27
(c) Provisions	25	572.08	565.98
(d) Current tax liabilities (net)	26	4.01	14.35
Total current liabilities		8,937.47	12,105.52
Total equity and liabilities		41,134.42	35,163.65

Summary of material accounting policies and other explanatory information 1-55

This is the Consolidated Balance Sheet referred to in our report of even date

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited**Sanjeev Jain**

Managing Director

DIN: 00323433

Sandeep Jain

Managing Director

DIN: 00323476

Sumeet Sood

Chief Financial Officer

Dharamvir Malik

Company Secretary

Mem. No.: FCS 8596

Place : New Delhi

Date : 26 May 2025

Place : New Delhi

Date : 26 May 2025

CIN - L24239DL2004PLC125888

Consolidated Statement of Profit and Loss

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	Year ended 31 March 2025	Year ended 31 March 2024
Revenue from operations	27	41,181.58	41,781.82
Other income	28	521.22	340.25
Total income		41,702.80	42,122.07
EXPENSES			
Cost of materials consumed		22,536.08	22,783.70
Purchase of stock-in-trade		1,814.73	2,595.27
Change in inventories of finished goods, stock-in-trade and work-in-progress	29	(16.47)	123.40
Employee benefits expense	30	7,158.21	6,468.64
Finance costs	31	346.00	506.14
Depreciation and amortisation expense	32	1,534.46	1,256.40
Fair value changes to financial instruments		(38.67)	3,577.74
Other expenses	33	5,082.90	5,003.22
Total expenses		38,417.24	42,314.51
Profit/ (loss) before exceptional items and tax		3,285.56	(192.44)
Exceptional items	34	(166.97)	260.34
Profit/ (loss) before tax		3,452.53	(452.78)
Tax expense:	45		
Current tax			
for current year		813.67	740.25
for earlier years		(16.18)	15.18
Deferred tax charge/(reversal)			
for current year		(794.29)	166.67
for earlier years		11.56	-
Adjustment on account of merger (refer note 57 (c)) :-			
Income-tax for earlier years		-	(182.90)
Deferred tax charge/(reversal)		-	(1,199.88)
Total tax expense		14.76	(460.68)
Profit for the year		3,437.77	7.90
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Re-measurement losses on defined benefit plan		(13.62)	(50.50)
Income-tax effect related to items that will not be reclassified to profit and loss		2.67	13.72
Other comprehensive income, net of tax		(10.95)	(36.78)
Total comprehensive income for the year (comprising of profit/ (loss) for the year and other comprehensive income for the year)		3,426.82	(28.88)

CIN - L24239DL2004PLC125888

Consolidated Statement of Profit and Loss

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	Year ended 31 March 2025	Year ended 31 March 2024
Total comprehensive income attributable to:			
Owners of the Parent		3,370.73	(76.91)
Non-controlling interests		56.09	48.03
Out of total comprehensive income above, profit for the year attributable to:			
Owners of the Parent		3,381.76	(40.35)
Non-controlling interests		56.01	48.25
Out of total comprehensive income above, other comprehensive income attributable to:			
Owners of the Parent		(11.03)	(36.56)
Non-controlling interests		0.08	(0.22)
Earnings per equity share of ₹ 2 (31 March 2024: ₹ 2) each			
Basic and diluted	36	22.60	(0.28)

Summary of material accounting policies and other explanatory information 1-55

This is the Consolidated Statement of profit and loss referred to in our report of even date.

For **Walker Chandiok & Co LLP**
Chartered Accountants
Firm Registration No.: 001076N/ N500013

Tarun Gupta
Partner
Membership No: 507892

Place : New Delhi
Date : 26 May 2025

For and on behalf of Board of Directors of
Akums Drugs and Pharmaceuticals Limited

Sanjeev Jain
Managing Director
DIN: 00323433

Sumeet Sood
Chief Financial Officer

Place : New Delhi
Date : 26 May 2025

Sandeep Jain
Managing Director
DIN: 00323476

Dharamvir Malik
Company Secretary
Mem. No.: FCS 8596

CIN - L24239DL2004PLC125888

Consolidated Statement of Changes in Equity

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

a. Equity share capital

Particulars	Amount
As at 1 April 2023	286.13
Changes in equity share capital	-
As at 31 March 2024/ 1 April 2024	286.13
Add: shares issued during the year	28.66
Less: Shares issued during the year to ESOP Trust	(8.58)
As at 31 March 2025	306.21

b. Other equity

Particulars	Reserves and surplus				Put option reserve	Total other equity attributable to equity holders of the parent	Non-controlling Interests (NCI)	Total
	Capital reserve	Security premium	Share options outstanding account	Retained earnings				
Balance as at 1 April 2023	1,029.98	1,271.66	-	6,385.36	(1,801.24)	6,885.76	61.85	6,947.61
Profit/ (loss) for the year	-	-	-	(40.35)	-	(40.35)	48.25	7.90
Other comprehensive income for the year, net of tax	-	-	-	-	-	-	-	-
Re-measurement of defined benefit plans	-	-	-	(36.56)	-	(36.56)	(0.22)	(36.78)
Employee stock options granted during the year	-	-	6.91	-	-	6.91	-	6.91
Employee stock options cancelled during the year	-	-	(6.91)	-	-	(6.91)	-	(6.91)
Balance as at 31 March 2024 / 1 April 2024	1,029.98	1,271.66	-	6,308.45	(1,801.24)	6,808.85	109.88	6,918.73
Profit for the year	-	-	-	3,381.76	-	3,381.76	56.01	3,437.77
Other comprehensive income for the year, net of tax	-	-	-	-	-	-	-	-
Re-measurement of defined benefit plans	-	-	-	(11.03)	-	(11.03)	0.08	(10.95)
On account of reversal of put option liability (refer note 18.1)	-	3,198.76	-	8,615.12	1,801.24	13,615.12	-	13,615.12
Issue of fresh equity shares at premium	-	9,791.30	-	-	-	9,791.30	-	9,791.30
Adjustment on account of issue of equity shares to Akums Employee Benefits Trust (ESOP Trust) (refer note 1.2)	-	(2,995.77)	-	-	-	(2,995.77)	-	(2,995.77)
Adjustment on account of share issue expenses	-	(426.30)	-	-	-	(426.30)	-	(426.30)
Balance as at 31 March 2025	1,029.98	10,839.65	-	18,294.30	-	30,163.93	165.97	30,329.90

Summary of the material accounting policies and other explanatory information 1-55

This is the Consolidated Statement of Changes in equity referred to in our report of even date.

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited

Sanjeev Jain

Managing Director

DIN: 00323433

Sumeet Sood

Chief Financial Officer

Sandeep Jain

Managing Director

DIN: 00323476

Dharamvir Malik

Company Secretary

Mem. No.: FCS 8596

Place : New Delhi

Date : 26 May 2025

Place : New Delhi

Date : 26 May 2025

CIN - L24239DL2004PLC125888

Consolidated Statement of Cash Flow

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	Year ended 31 March 2025	Year ended 31 March 2024
A. Cash flow from operating activities			
Net profit/ (loss) before tax		3,452.53	(452.78)
Add/ less: non-cash adjustments			
Depreciation and amortisation expense	32	1,534.46	1,256.40
Bad debts		2.34	18.74
Provision for allowances for expected credit losses		291.77	115.27
Liabilities no longer required, written back		(79.54)	(55.53)
Loss on sale of property, plant and equipment (net)		1.12	3.17
Impairment of assets held for sale		-	8.61
(Reversal of provision earlier recorded)/ losses incurred due to floods (refer note 34)		(88.62)	251.73
Finance costs	31	346.00	506.14
Gain on reassessment of right-of-use assets		(38.27)	(1.38)
Fair value changes on financial instrument		(38.67)	3,577.74
Employee discount on issue of shares		15.60	-
Income tax refund receivable		(19.25)	-
Interest income		(249.86)	(119.99)
Operating profit before working capital changes		5,129.61	5,108.12
Adjustments for working capital changes			
(Increase)/ decrease in inventories		(505.71)	837.29
Decrease / (increase) in trade receivables		341.05	(32.32)
Increase in other assets		(493.00)	(333.70)
Increase/ (decrease) in trade payables		1,192.30	(291.96)
Increase in other financial liabilities		626.08	147.59
Increase in provisions		41.20	104.09
(Decrease)/ increase in other liabilities		(867.23)	67.68
Cash flow generated from operations (gross)		5,464.31	5,606.79
Less: direct taxes paid (net)		(812.35)	(624.20)
Net cash flow generated from operating activities (A)		4,651.96	4,982.59
B. Cash flow from investing activities			
Purchase of property, plant and equipment & intangible assets (including capital work-in-progress, capital advances and payable towards property, plant and equipment)		(2,723.12)	(3,114.08)
Proceeds from sale of property, plant and equipment		85.47	249.93
Investment in deposits having original maturity of more than 3 months, (net)		(3,090.64)	(634.75)
Advance received against assets held for sale		-	1.03
Loans repaid		-	73.73
Interest received		249.86	119.99
Net cash flow used in investing activities (B)		(5,478.43)	(3,304.15)

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Consolidated Statement of Cash Flow

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Particulars	Notes	Year ended 31 March 2025	Year ended 31 March 2024
C. Cash flow from financing activities			
Proceeds from issue of shares (net of share issue expenses)		6,373.70	-
Proceeds from non-current borrowings		-	102.94
Repayments of non-current borrowings		(1,238.60)	(358.55)
Proceeds from/ (repayment of) current borrowings (net)		(3,540.40)	(236.30)
Payment of principal component of lease liabilities		(521.74)	(84.17)
Payment of interest component of lease liabilities		(62.44)	(69.76)
Interest paid		(282.64)	(434.37)
Net cash flow generated from/ (used in) financing activities (C)		727.88	(1,080.21)
Net (decrease)/ increase in cash and cash equivalents (D= A+B+C)		(98.59)	598.23
Cash and cash equivalents as at the beginning of the year (E)		1,110.50	516.08
Cash and cash equivalents transferred to Assets held for sale		-	(3.81)
Cash and cash equivalents as at the end of the year (D+E)		1,011.91	1,110.50

Components of cash and cash equivalents are as below:

Particulars	As at 31 March 2025	As at 31 March 2024
Balance with banks:		
- in current accounts	820.05	485.85
- in deposit accounts with original maturity of less than three months	186.88	621.35
Cash on hand	4.98	3.30
	1,011.91	1,110.50

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Consolidated Statement of Cash Flow

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

Note 1: The above cash flow statement has been prepared under the 'Indirect method' as set out in Ind AS 7, 'Statement of cash flows'.

Note 2: Disclosures as required in terms of Amendment to Ind AS 7 'Statement of cash flows' related to the change in financial liabilities arising from financing activity is as below:

Reconciliation between the opening and closing balances in the balance sheet for liabilities arising from financing activities, including both changes arising from cash flow and non-cash changes pursuant to Ind AS 7:

Particulars	Non-current borrowings *	Current borrowings	Lease liabilities	Put option liability	Total
Balance as at 1 April 2023	1,494.21	3,913.25	821.21	10,076.04	16,304.71
Cash flows					
Proceeds/ (repayments) (net)	(255.61)	(236.30)	(153.93)	-	(645.84)
Non cash changes					
Interest expense on lease liabilities	-	-	69.76	-	69.76
Fair value changes to financial instrument	-	-	-	3,577.74	3,577.74
Termination/ modification of leases	-	-	(27.74)	-	(27.74)
New leases	-	-	27.40	-	27.40
Balance as at 31 March 2024/ 1 April 2024	1,238.60	3,676.95	736.70	13,653.78	19,306.03
Cash flows					
Proceeds/ (repayments) (net)	(1,238.60)	(3,540.40)	(584.18)	-	(5,363.18)
Non cash changes					
Interest expense on lease liabilities	-	-	62.44	-	62.44
Fair value changes to financial instrument	-	-	-	(38.67)	(38.67)
On account of reversal of put option liability (refer note 18.1)	-	-	-	(13,615.11)	(13,615.11)
Termination/ modification of leases	-	-	(169.28)	-	(169.28)
New leases	-	-	699.89	-	699.89
Balance as at 31 March 2025	-	136.55	745.57	-	882.12

*including current maturities of non current borrowings clubbed under current borrowings (refer note 21).

Summary of the material accounting policies and other explanatory information 1-55

This is the Consolidated Statement of Cash Flow referred to in our report of even date.

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited

Sanjeev Jain

Managing Director

DIN: 00323433

Sandeep Jain

Managing Director

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

1 Group overview and summary of material accounting policies

1.1 Corporate information

Akums Drugs and Pharmaceuticals Limited (the 'Holding Company' or 'Parent Company') is the a public limited Company domiciled in India. Its registered office is 304, Mohan Place, LSC C Block, New Delhi - 110034. The Holding Company was incorporated on 19 April 2004 under the provisions of the erstwhile Companies Act, 1956. During the current year, the Holding company completed its Initial Public Offer (IPO) and accordingly the Holding company's equity shares got listed on National Stock exchange of India Limited (NSE) and BSE Limited (BSE) on 6 August 2024.

The Holding Company, together with its subsidiaries (hereinafter, the 'Group'), is primarily engaged in manufacturing of pharmaceutical products, manufacturing of active pharmaceutical ingredient (API) and sale of domestic branded formulations, international branded formulations and trade generics. Refer note 35A for entities considered in consolidation.

Material accounting policies

1.2 Basis of preparation

These Consolidated Financial Statements of the Group have been prepared in accordance with the Indian Accounting Standards ("Ind AS") and comply with requirements of Ind AS, notified under section 133 of the Companies Act 2013, ("the Act") read together with the Companies (Indian Accounting Standards) Rules, 2015 as amended from time to time, stipulation contained in Schedule III (Revised) and other pronouncements/ provisions of applicable laws.

These Consolidated Financial Statements have been prepared using the significant accounting policies and measurement basis summarised below. These accounting policies have been used consistently throughout all periods presented in these consolidated financial statements.

These Consolidated Financial Statements have been prepared under the historical cost convention and amortised costs basis except for certain financial assets and liabilities which are measured at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The Group has prepared the consolidated financial statements on accrual and going concern basis.

The Group presents assets and liabilities in the balance sheet based on current/non-current classification. An asset is treated as current if it satisfies any of the following conditions:

- (i) Expected to be realised or intended to sold or consumed in normal operating cycle;
- (ii) Held primarily for the purpose of trading;
- (iii) Expected to be realised within twelve months after the reporting period, or
- (iv) Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is classified as current if it satisfies any of the following conditions:

- (i) It is expected to be settled in normal operating cycle;
- (ii) It is held primarily for the purpose of trading;
- (iii) It is due to be settled within twelve months after the reporting period; or
- (iv) There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current. Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and its realisation in cash and cash equivalents. The Group has identified twelve months as its operating cycle.

All amounts disclosed in the consolidated financial statements and notes have been rounded off to the nearest two decimals millions as per the requirement of Schedule III to the act, unless otherwise stated.

The Holding company has created an Akums Employee Benefits Trust ('ESOP Trust'). The Holding company uses the trust as a vehicle for distributing shares to employees under the employee stock option schemes. The Holding company treats the trust as its extension and shares held by trust are treated as treasury shares. Own equity instruments that are held by the trust are recognised at cost

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

and deducted from equity. No gain or loss is recognised in consolidated statement of profit and loss on the purchase, sale, issue, or cancellation of the Holding company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognised in other equity.

Standards issued but not yet effective

Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as amended from time to time. During the year ended 31 March 2025, MCA has notified following new standards or amendments to the existing standards applicable to the Company:

Lack of exchangeability - Amendments to Ind AS 21: The amendments to Ind AS 21 The Effects of Changes in Foreign Exchange Rates specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendments are effective for annual reporting periods beginning on or after 1 April 2025. When applying the amendments, an entity cannot restate comparative information.

The amendments will not have a material impact on the Group Consolidated financial statements.

New and amended standard adopted by the Group

The Ministry of Corporate Affairs notified new standards or amendment to existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. The Group applied following amendments for the first-time during the current year which are effective from 1 April 2024:

- Lease liability in a sale and leaseback (amendments to Ind AS 116): The amendments require an entity to recognise lease liability including variable lease payments which are not linked to index or a rate in a way it does not result into gain on Right-of-use assets it retains.
- Introduction of Ind AS 117 MCA notified Ind AS 117, a comprehensive standard that prescribe, recognition,

measurement and disclosure requirements, to avoid diversities in practice for accounting insurance contracts and it applies to all companies i.e., to all "insurance contracts" regardless of the issuer. However, Ind AS 117 is not applicable to the entities which are insurance companies registered with IRDAI.

The Group has reviewed the new pronouncements and based on its evaluation has determined that these amendments do not have impact on these Consolidated financial statements.

1.3 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Holding Company and its subsidiaries. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect its returns."

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- The rights arising from other contractual arrangements;
- The Group's voting rights and potential voting rights; and
- The size of the Group's Holding of voting rights relative to the size and dispersion of the Holdings of the other voting rights holders.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation

Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. If a member of the Group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to that member's financial statements in preparing the consolidated financial statements to ensure conformity with the Group's accounting policies. The financial statements of all entities included in the consolidation are drawn up to same reporting date as that of the Parent Company.

The following consolidation procedures are adopted:

Subsidiary:

- (a) Combine like items of assets, liabilities, equity, income, expenses and cash flows of the parent with those of its subsidiaries. For this purpose, income and expenses of the subsidiary are based on the amounts of the assets and liabilities recognised in the consolidated financial statements at the acquisition date;
- (b) Offset (eliminate) the carrying amount of the parent's investment in each subsidiary and the parent's portion of equity of each subsidiary. Business combinations policy explains how to account for any related goodwill; and
- (c) Eliminate in full intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between entities of the Group (profits or losses resulting from intragroup transactions that are recognised in assets, such as inventory and property, plant and equipment, are eliminated in full). Ind AS 12 'Income Taxes' applies to temporary differences that arise from the elimination of profits and losses resulting from intragroup transactions.

Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured

as the aggregate of the consideration transferred measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. acquisition-related costs are expensed as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their acquisition date fair values. For this purpose, the liabilities assumed include contingent liabilities representing present obligation and they are measured at their acquisition fair values irrespective of the fact that outflow of resources embodying economic benefits is not probable. However, deferred tax assets or liabilities, and the assets or liabilities related to employee benefit arrangements are recognised and measured in accordance with Ind AS 12 'Income Taxes' and Ind AS 19 'Employee Benefits' respectively. When a liability assumed is recognised at the acquisition date but the related costs are not deducted in determining taxable profits until a later period, a deductible temporary difference arises which results in a deferred tax asset. A deferred tax asset also arises when the fair value of an identifiable asset acquired is less than its tax base.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date.

If the business combination is achieved in stages, any previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss or OCI, as appropriate.

Any contingent consideration to be transferred by the acquirer is recognised at fair value at the acquisition date. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of Ind AS 109 'Financial Instruments' ("Ind AS 109"), is measured at fair value with changes in fair value recognised in Consolidated Statement of Profit and Loss. If the contingent consideration is not within the scope of Ind AS 109, it is measured in accordance with the appropriate Ind AS. Contingent consideration that is classified as equity is not re-measured at subsequent reporting dates and subsequent its settlement is accounted for within equity.

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in OCI and accumulated in equity as capital reserve.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

A cash generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit.

Any impairment loss for goodwill is recognised in the Consolidated Statement of Profit and Loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

Where goodwill has been allocated to a cash generating unit and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash generating unit retained.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those

provisional amounts are adjusted through goodwill during the measurement period, or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date. These adjustments are called as measurement period adjustments. The measurement period does not exceed one year from the acquisition date.

Business combinations involving entities that are controlled by the Group are accounted for using the 'pooling of interests' method as follows:

- The assets and liabilities of the combining entities are reflected at their carrying amounts;
- Except for adjustments made to harmonise accounting policies, no adjustments are made to reflect fair values, or recognise any new assets or liabilities;
- The balance of the retained earnings appearing in the financial statements of the transferor is aggregated with the corresponding balance appearing in the financial statements of the transferee or is adjusted against general reserve;
- The identity of the reserves is preserved and the reserves of the transferor become the reserves of the transferee; and
- The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves."

1.4 Fair value measurements

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- a. In the principal market for the asset or liability, or
- b. In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial results are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is material to the fair value measurement as a whole:

Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2 — Valuation techniques for which the lowest level input that is material to the fair value measurement is directly or indirectly observable.

Level 3 — Valuation techniques for which the lowest level input that is material to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is material to the fair value measurement as a whole) at the end of each reporting period or each case.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

1.5 Revenue recognition

The five step model of Ind AS 115 - 'Revenue from Contracts from Customers' is used to determine whether revenue should be recognised at a point in time or over time, and at what amount is as below:

- Step 1: Identify the contract with the customer
- Step 2: Identify the performance obligations in the contract
- Step 3: Determine the transaction price
- Step 4: Allocate the transaction price to the performance obligations
- Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation.

Revenue from sale of goods is recognised upon transfer of control of promised goods to customers in an amount that reflects the consideration which the Group expects to receive in exchange for those products and which coincides with the dispatch of goods.

Revenue from services is recognized in accordance with the terms of contract when the services are rendered and the related costs are incurred.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes goods and service tax (GST) collected from customers, since GST not received by the Group on its own account. Rather, it is collected tax on value added to the commodity/services by the seller, on behalf of the government and, therefore, these are not economic benefits flowing to the Group. Accordingly, it is excluded from revenue. Revenue from the sale of goods is net of returns.

The Group accounts for sales returns accrual by recording an allowance for sales returns concurrent with the recognition of revenue at the time of a product sale. This allowance is based on the Group's estimate of expected sales returns. The Group deals in various products and operates in various markets. Accordingly, the estimate of sales returns is determined primarily by the Group's historical experience in the markets in which the Group operates. With respect to established products, the Group considers its historical experience of sales returns, levels of inventory in the distribution channel, estimated shelf life, product discontinuances, price changes of competitive products, and the introduction of competitive new products, to the extent each of these factors impact the Group's business and markets. The Group recognises an asset i.e., Right to recover products from customer (included in other

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

current assets) for the products expected to be returned. The Group initially measures this asset at the former carrying amount of the inventory, less any expected costs to recover the goods, including any potential decreases in the value of the returned goods. Along with remeasuring the refund liability at the end of each reporting period, the Group updates the measurement of the asset recorded for any revisions to its expected level of returns, as well as any additional decreases in the value of the returned products.

1.6 Other income

Other income is comprised primarily of interest income, exchange gain/loss on translation of monetary assets and liabilities etc.

Interest

Interest income is recognised as and when due on the time proportion basis by using effective interest method ('EIR'). EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial assets. Interest income is included under the head "other income" in the consolidated statement of profit and loss.

1.7 Inventories

Inventories include raw material, stores and spares, finished goods, work in progress, stock-in-trade and packing material.

Inventories are stated at lower of cost or net realisable value. The cost in respect of the various items of inventory is computed as under:

- (i) Raw materials and packing materials are valued at lower of cost or net realisable value. However, these items are considered to be realisable at cost if the finished products, in which they will be used, are expected to be sold at or above cost. The cost includes direct expenses and is determined on the basis of weighted average method.
- (ii) Stores and spares - at cost or net realisable value, whichever is less. Cost is computed on weighted average basis.
- (iii) Work in progress - at estimated cost. The cost includes the cost of raw materials, packing materials, an appropriate share of fixed and variable production overheads as applicable and other costs incurred in bringing the inventories to their present location and condition.
- (iv) Finished goods - at estimated cost or net realisable value, whichever is less. The cost includes the cost of raw materials, packing materials, an appropriate share of fixed and variable production overheads as applicable and other costs incurred in bringing the inventories to their present location and condition.
- (v) Stock-in-trade - at cost or net realisable value, whichever is less. Cost includes cost of purchase, other costs incurred in bringing the inventories to their present location and condition and taxes which are not eligible for setoff. Cost is determined on weighted average basis.

Net realisable value is the estimated selling price in the ordinary course of business less any applicable selling expenses. Provision for expired stock and slow moving inventory, if required is made based on management's best estimates of net realisable value of such inventories.

1.8 Property, plant and equipment

Recognition and initial measurement

Property, plant and equipment are stated at their cost of acquisition. The cost comprises the purchase price and any attributable costs of bringing the asset to its working condition for its intended use. Any trade discount and rebates are deducted in arriving at the purchase price. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits attributable to such subsequent cost associated with the item will flow to the Group. All other repair and maintenance costs are recognised in the consolidated statement of profit or loss as incurred.

Subsequent measurement (depreciation and useful lives)

Depreciation on property, plant and equipment is provided on the straight line method. The following useful life of assets has been taken by the Group:

Asset class	Useful lives
Buildings	30 years
Plant and equipments	15 years
Furniture and fittings	10 years
Vehicles	8 to 10 years
Office equipments	5 years
Computers	3/6 years

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for the year ended 31 March 2025

Asset class	Useful lives
Research and development laboratory equipment	10 years
Electrical installations	10 years

Leasehold improvements are amortised over the period of the lease or the useful life of the asset, whichever is lower.

The residual values, useful lives and method of depreciation are reviewed at each financial year end and adjusted prospectively, if appropriate.

Where, during any financial year, any addition has been made to any asset, or where any asset has been sold, discarded, demolished or destroyed, or material components replaced; depreciation on such assets is calculated on a pro rata basis as individual assets with specific useful life from the month of such addition or, as the case may be, up to the month on which such asset has been sold, discarded, demolished or destroyed or replaced.

Advances paid towards the acquisition of property, plant and equipment outstanding at each balance sheet date is classified as capital advances under other non-current assets and the cost of assets not put to use before such date are disclosed under 'capital work-in-progress'.

De-recognition

An item of property, plant and equipment and any significant part initially recognised is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the consolidated statement of profit and loss when the asset is derecognised.

1.9 Intangible assets

Recognition and initial measurement

Intangible assets (including Brands/ Trademarks) that are acquired are recognised only if it is probable that the expected future economic benefits that are attributable to the asset will flow to the Group and the cost of assets can be measured reliably. The intangible assets are recorded at cost of acquisition including incidental costs related to acquisition and installation and are carried at cost less accumulated amortisation and impairment losses, if any.

Subsequent measurement (amortisation)

All intangible assets are accounted for using the cost model whereby capitalised costs are amortised on a straight-line basis over their estimated useful lives. The estimated useful life of an identifiable intangible asset is based on a number of factors including the effects of obsolescence, demand, competition, and other economic factors (such as the stability of the industry, and known technological advances), and the level of maintenance expenditures required to obtain the expected future cash flows from the asset.

The cost thereof is amortised over a period of 4-5 years. The amortisation period and the amortisation method for intangible assets are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

Revenue expenditure on research is recognised as expense in the year in which it is incurred and are included with the respective nature of account heads in the consolidated statement of profit and loss.

Capital expenditure on research is shown as addition to property, plant and equipment and depreciation is computed in a manner prescribed for property, plant and equipment.

De-recognition

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the consolidated statement of profit and loss when the asset is derecognised.

1.10 Employee benefits

The Group provides post-employment benefits through various defined contribution and defined benefit plans:

Defined contribution plans:

The Group's contribution to provident fund and employee state insurance fund is considered as defined contribution plan and is charged as an expense as they fall due based on the amount of contribution required to be made and when services are rendered by the employees. The Group has no legal or constructive obligation to pay contribution in addition to its fixed contribution.

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Defined benefit plans - unfunded

The Group operates a gratuity plan wherein every employee is entitled to the benefit. Gratuity is payable to all eligible employees (who have completed 5 years or more of service) of the Group on retirement, separation, death or permanent disablement, in terms of the provisions of the Payments of Gratuity Act, 1972.

Gratuity is post-employment benefit and is in the nature of a defined benefit plan. The liability recognised in the consolidated financial information in respect of gratuity is the present value of the defined benefit obligation at the reporting date, together with adjustments for unrecognised actuarial gains or losses and past service costs. The defined benefit obligation is calculated at or near the reporting date by an independent actuary using the projected unit credit method.

Actuarial gains and losses arising from past experience and changes in actuarial assumptions are credited or charged to the consolidated profit and loss under Other Comprehensive Income in the year in which such gains or losses are determined.

Other long-term employee benefits - compensated absences

Liability in respect of compensated absences becoming due or expected to be availed more than one year after the balance sheet date is estimated on the basis of an actuarial valuation performed by an independent actuary using the projected unit credit method.

Actuarial gains and losses arising from past experience and changes in actuarial assumptions are credited or charged to the statement of profit & loss in the year in which such gains or losses are determined.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering services (such as, salaries, wages, short-term compensated absences, performance incentives, expected cost of bonus, ex-gratia, etc.) are classified as short-term employee benefits. Expense in respect of short-term employee benefits is recognised on the basis of the amount paid or payable for the period during which services are rendered by the employee.

Equity settled share based payments

Employees of the Group receive remuneration in the form of share-based payments, whereby employees render

services as consideration for equity instruments. The cost of equity-settled transactions is determined by the fair value at the date when the grant is made using an appropriate valuation model.

That cost is recognised, together with a corresponding increase in share-based payment reserves in equity, over the period in which the performance and/or service conditions are fulfilled. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest.

When the terms of an equity-settled award are modified, the minimum expense recognised is the expense had the terms had not been modified, if the original terms of the award are met. An additional expense is recognised for any modification that increases the total fair value of the share-based payment transaction, or is otherwise beneficial to the employee as measured at the date of modification. Where an award is cancelled by the entity or by the counterparty, any remaining element of the fair value of the award is expensed immediately through the Consolidated Statement of Profit and Loss. The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share.

1.11 Foreign currency transactions and translations

The Group's consolidated financial statements are presented in ₹, which is also the Parent Company's functional currency. Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency are reported using the exchange rate at the date of the transaction.

Exchange differences arising on the settlement of monetary items or on restatement of the Group's monetary items at rates different from those at which they were initially recorded during the year, or reported in previous financial statements, are recognised as income or as expenses in the year in which they arise.

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1.12 Taxes

Tax expense is the aggregate amount included in the determination of profit or loss for the period in respect of current and deferred tax.

Current income tax

Current income tax is measured at the amount expected to be paid to the tax authorities in accordance with the Income-tax Act, 1961 and respective local jurisdictions of members of the Group.

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date in the countries where the Group operates and generates taxable income. Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in OCI or in equity)."

Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred tax

Deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which they can be used. The existence of unused tax losses is strong evidence that future taxable profit may not be available. Therefore, in case of a history of recent losses, the Group recognises a deferred tax asset only to the extent that it has sufficient taxable temporary differences or there is convincing other evidence that sufficient taxable profit will be available against which such deferred tax asset can be realised.

The Group's ability to recover the deferred tax assets is assessed by the management at the close of each financial year which depends upon the forecasts of the future results and taxable profits that Group expects to earn within the period by which such brought forward losses may be adjusted against the taxable profits as governed by the Income-tax Act, 1961. Deferred tax assets – unrecognised or recognised, are reviewed at each reporting date and are recognised/ reduced to the extent that it is probable/

no longer probable respectively that the related tax benefit will be realised.

Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on the laws that have been enacted or substantively enacted by the reporting date. The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Minimum Alternate Tax ("MAT") credit is recognised as an asset only when and to the extent there is convincing evidence that the relevant members of the Group will pay normal income tax during the specified period. Such asset is reviewed at each reporting period end and the adjusted based on circumstances then prevailing.

Deferred tax assets are recognised on the unrealized profit for all the inter-company sale/ purchase eliminations of property, plant and equipment and inventories.

Deferred tax on business combination When a liability assumed is recognized at the acquisition date but the related costs are not deducted in determining taxable profits until a later period, a deductible temporary difference arises which results in a deferred tax asset. a deferred tax asset also arises when the fair value of an identifiable asset acquired is less than its tax base. In both cases, the resulting deferred tax asset affects goodwill.

The Group offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which material amounts of deferred tax liabilities or assets are expected to be settled or recovered.

1.13 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Group operates in various segments and relevant disclosure requirements as per Ind AS 108 "Operating Segments" have been disclosed by the Group under note no 47.

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The board of directors of the Holding Company has been identified as being the chief operating decision maker by the management of the Group.

1.14 Financial instruments

Financial instruments are recognised when the Group becomes a party to the contractual provisions of the instrument and are measured initially at fair value adjusted for transaction costs, except for those carried at fair value through profit or loss which are measured initially at fair value.

If the Group determines that the fair value at initial recognition differs from the transaction price, the Group accounts for that instrument at that date as follows:

- at the measurement basis mentioned above if that fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets. The Group recognises the difference between the fair value at initial recognition and the transaction price as a gain or loss.
- in all other cases, at the measurement basis mentioned above, adjusted to defer the difference between the fair value at initial recognition and the transaction price. After initial recognition, the Group recognises that deferred difference as a gain or loss only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability.

Subsequent measurement of financial assets and financial liabilities is described below.

Non-derivative financial assets

Classification and subsequent measurement

For the purpose of subsequent measurement, financial assets are classified into the following categories upon initial recognition:

- Financial assets at amortised cost – a financial instrument is measured at amortised cost if both the following conditions are met:
 - The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
 - Contractual terms of the asset give rise on specified dates to cash flows that are solely

payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest method.

- Financial assets at fair value

Investments in equity instruments – All equity investments in scope of Ind AS 109 are measured at fair value. Equity instruments which are held for trading are classified as at fair value through profit and loss ("FVTPL"). For all other equity instruments, the Group decides to classify the same either as at fair value through other comprehensive income ("FVOCI") or FVTPL. The Group makes such election on an instrument by instrument basis. The classification is made on initial recognition and is irrevocable.

If the Group decides to classify an equity instrument as at FVOCI, then all fair value changes on the instrument, excluding dividends, are recognised in the OCI. There is no recycling of the amounts from OCI to profit or loss, even on sale of investment. However, the Group may transfer the cumulative gain or loss within equity. Dividends on such investments are recognised in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognised in the profit or loss.

De-recognition of financial assets

Financial assets (or where applicable, a part of financial asset or part of a Group of similar financial assets) are derecognized from the Group's balance sheet when the contractual rights to receive the cash flows from the financial asset have expired, or when the financial asset and substantially all the risks and rewards are transferred. The Group also derecognizes the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

Non-derivative financial liabilities

Initial recognition

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held for trading. Financial liabilities at FVTPL are

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measured at fair value and net gains and losses, including any interest expense, are recognised in Consolidated Statement of Profit and Loss.

Subsequent measurement

After initial recognition, the financial liabilities are subsequently measured at amortised cost using the effective interest rate ("EIR") method.

Amortised cost is calculated by considering any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The effect of EIR amortisation is included as finance costs in the consolidated statement of profit and loss.

De-recognition of financial liabilities

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the consolidated statement of profit and loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

1.15 Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, which are subject to an immaterial risk of changes in value.

For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Group's cash management.

1.16 Impairment of financial assets

All financial assets except for those at FVTPL are subject to review for impairment at least at each reporting date to identify whether there is any objective evidence that a

financial asset or a Group of financial assets is impaired. Different criteria to determine impairment are applied for each category of financial assets.

In accordance with Ind-AS 109, the Group applies expected credit loss ("ECL") model for measurement and recognition of impairment loss for financial assets carried at amortised cost.

ECL is the weighted average of difference between all contractual cash flows that are due to the Group in accordance with the contract and all the cash flows that the Group expects to receive, discounted at the original effective interest rate, with the respective risks of default occurring as the weights. When estimating the cash flows, the Group is required to consider –

- All contractual terms of the financial assets (including prepayment and extension) over the expected life of the assets.
- Cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

Trade receivables

The Group assesses impairment based on expected credit losses (ECL) model for measurement and recognition of impairment loss, the calculation of which is based on historical data, on the financial assets that are trade receivables or contract revenue receivables and all lease receivables.

The Group writes off trade receivables after it is established beyond doubt that the account is uncollectible. Financial assets that are written-off are still subject to enforcement activity by the Group.

Other financial assets

For recognition of impairment loss on other financial assets and risk exposure, the Group determines whether there has been a material increase in the credit risk since initial recognition. If the credit risk has not increased materially since initial recognition, the Group measures the loss allowance at an amount equal to 12-month expected credit losses, else at an amount equal to the lifetime expected credit losses.

When making this assessment, the Group uses the change in the risk of a default occurring over the expected life of the financial asset. To make that assessment, the Group compares the risk of a default occurring on the financial

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asset as at the balance sheet date with the risk of a default occurring on the financial asset as at the date of initial recognition and considers reasonable and supportable information, that is available without undue cost or effort, that is indicative of material increases in credit risk since initial recognition. The Group assumes that the credit risk on a financial asset has not increased materially since initial recognition if the financial asset is determined to have low credit risk at the balance sheet date.

1.17 Impairment of non-financial assets

For impairment assessment purposes, assets are grouped at the lowest levels for which there are largely independent cash inflows (cash-generating units). As a result, some assets are tested individually for impairment and some are tested at cash-generating unit level. Goodwill is allocated to those cash-generating units that are expected to benefit from synergies of a related business combination and represent the lowest level within the Group at which management monitors goodwill.

Cash-generating units to which goodwill and intangible asset that has an indefinite useful life or is not yet available for use has been allocated (determined by the Group's management as equivalent to its operating segments) are tested for impairment at least annually.

At each reporting date, the Group assesses whether there is any indication based on internal/external factors, that an asset may be impaired. If any such indication exists, the Group estimates the recoverable amount of the asset. If such recoverable amount of the asset or the recoverable amount of the cash generating unit to which the asset belongs is less than its carrying amount, the carrying amount is reduced to its recoverable amount and the reduction is treated as an impairment loss and is recognised in the consolidated statement of profit and loss. If, at the reporting date there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed which is the higher of fair value less costs of disposal and value-in-use and the asset is reflected at the recoverable amount subject to a maximum of depreciated historical cost. Impairment losses previously recognised are accordingly reversed in the consolidated statement of profit and loss.

To determine value-in-use, management estimates expected future cash flows from each cash-generating unit and determines a suitable discount rate in order to calculate the present value of those cash flows. The data used for impairment testing procedures are directly

linked to the Group's latest approved budget, adjusted as necessary to exclude the effects of future re-organisations and asset enhancements. Discount factors are determined individually for each cash-generating unit and reflect current market assessment of the time value of money and asset-specific risk factors.

1.18 Provisions, contingent liabilities and contingent assets

Provisions are recognised only when there is a present obligation, as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and when a reliable estimate of the amount of obligation can be made at the reporting date. These estimates are reviewed at each reporting date and adjusted to reflect the current best estimates. If the effect of the time value of money is material, provisions are discounted to reflect its present value using a current pre-tax rate that reflects the current market assessments of the time value of money and the risks specific to the obligation. When provisions are discounted, the increase in the provision due to the passage of time is recognised as a finance cost.

Contingent liability is disclosed for:

- Possible obligations which will be confirmed only by future events not wholly within the control of the Group; or
- Present obligations arising from past events where it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made.

Contingent assets are not recognised. However, when inflow of economic benefits is probable, related asset is disclosed.

1.19 Earnings per share

Basic earnings/ (loss) per share are calculated by dividing the net profit or loss for the year attributable to equity shareholders by the weighted average number of equity shares outstanding during the year. The weighted average number of equity shares outstanding during the year is adjusted for events, other than conversion of potential equity shares, that have changed the number of equity shares outstanding without a corresponding change in resources.

For the purpose of calculating diluted earnings/ (loss) per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of

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shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares.

1.20 Cash flow statement

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Group are segregated. Cash and Cash Equivalents for the purposes of cash flow statement comprise cash at bank and on hand and bank deposit with banks where original maturity is three months or less.

1.21 Leases

The Group as a lessee

The Group's lease asset classes primarily consist of leases for land and buildings. The Group assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether: (i) the contract involves the use of an identified asset (ii) the Group has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Group has the right to direct the use of the asset.

At the date of commencement of the lease, the Group recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Group recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease

incentives. They are subsequently measured at cost less accumulated amortisation and impairment losses.

Right-of-use assets are amortised from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. Right of use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable.

The lease liability is initially measured at amortised cost at the present value of the future lease payments. The lease payments are discounted using the incremental borrowing rates. Lease liabilities are remeasured with a corresponding adjustment to the related right of use asset if the Group changes its assessment as to whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the consolidated Balance Sheet and lease payments have been classified as financing cash flows.

1.22 Material accounting judgments, estimates and assumptions

The preparation of the Group's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Estimates and assumptions are continuously evaluated and are based on management's experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected.

In particular, the Group has identified the following areas where material judgements, estimates and assumptions are required. Further information on each of these areas and how they impact the various accounting policies are described below and also in the relevant notes to the consolidated financial statements. Changes in estimates are accounted for prospectively.

(i) Judgements

Judgements In the process of applying the Group's accounting policies, management has made the following judgements, which have the most material

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effect on the amounts recognised in the consolidated financial statements:

(a) Contingencies

Contingent liabilities may arise from the ordinary course of business in relation to claims against the Group, including legal, contractor, land access and other claims. By their nature, contingencies will be resolved only when one or more uncertain future events occur or fail to occur. The assessment of the existence, and potential quantum, of contingencies inherently involves the exercise of material judgments and the use of estimates regarding the outcome of future events.

(b) Recognition of deferred tax assets

The extent to which deferred tax assets can be recognised is based on an assessment of the probability of the future taxable income against which the deferred tax assets can be utilised.

(ii) Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a material risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group bases its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market change or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

- (a) Useful lives of property, plant and equipment/intangible assets: The Group reviews its estimate of the useful lives of tangible/intangible assets at each reporting date, based on the expected utility of the assets.
- (b) Employee benefits: The cost of the employee benefit and other post-employment benefits and the present value of such obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may

differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates, and future pension increases. In view of the complexities involved in the valuation and its long-term nature, employee benefit is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

- (c) Inventories: The Group estimates the net realisable values of inventories, taking into account the most reliable evidence available at each reporting date. The future realisation of these inventories may be affected by future technology or other market-driven changes that may reduce future selling prices."
- (d) Fair value measurement of financial instruments: When the fair values of financial assets and financial liabilities recorded in the statement of assets and liabilities cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the DCF model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgment is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported assumptions about these factors which could affect the reported fair value of financial instruments.

1.23 Operating expenses

Operating expenses are recognised in the consolidated statement of profit or loss upon utilisation of the service or as incurred.

1.24 Share issue expenses

Share issue expenses are adjusted against the Securities Premium Account as permissible under Section 52 of the Companies Act, 2013, to the extent any balance is available for utilisation in the Securities Premium Account. Share issue expenses in excess of the balance in the Securities Premium Account is expensed in the Consolidated Statement of Profit and Loss.

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2a. Property, plant and equipment (PPE)

Particulars	Freehold land	Buildings	Plant and equipments	Furniture and fittings	Vehicles	Office equipments	Computers	Research and development equipments	Electrical installations	Total
Gross carrying value										
As at 1 April 2023	337.15	4,070.34	7,666.80	405.40	117.84	240.97	294.91	1,250.65	641.18	15,025.24
Additions during the year	79.78	449.12	1,309.76	117.03	5.84	34.14	66.18	100.26	79.90	2,242.01
Disposals/ adjustments (refer note iii below)	-	(68.23)	(44.29)	(2.47)	(1.15)	(2.97)	(9.42)	(20.00)	0.04	(148.49)
Balance as at 31 March 2024/ 1 April 2024	416.93	4,451.23	8,932.27	519.96	122.53	272.14	351.67	1,330.91	721.12	17,118.76
Additions during the year	-	528.19	2,112.61	75.75	4.09	33.34	45.66	142.23	118.55	3,060.42
Disposals/ adjustments (refer note iii below)	-	68.39	(77.78)	(5.32)	(6.64)	(4.71)	(5.00)	(13.13)	(11.19)	(55.38)
Balance as at 31 March 2025	416.93	5,047.81	10,967.10	590.39	119.98	300.77	392.33	1,460.01	828.48	20,123.80
Accumulated depreciation										
As at 1 April 2023	-	879.23	2,988.78	206.56	42.56	157.21	174.44	585.77	359.18	5,393.73
Charge for the year	-	145.23	674.45	39.18	12.77	29.33	46.51	99.77	89.40	1,136.64
Disposals/ adjustments (refer note iii below)	-	(23.65)	(17.11)	(0.98)	(1.09)	(1.32)	(9.52)	(7.00)	-	(60.67)
Balance as at 31 March 2024 / 1 April 2024	-	1,000.81	3,646.12	244.76	54.24	185.22	211.43	678.54	448.58	6,469.70
Charge for the year	-	165.07	911.77	48.45	12.39	30.42	52.80	103.25	57.92	1,382.07
Disposals/ adjustments (refer note iii below)	-	23.65	(15.47)	(0.92)	(4.81)	(1.40)	(3.89)	(4.35)	(7.64)	(14.83)
Balance as at 31 March 2025	-	1,189.53	4,542.42	292.29	61.82	214.24	260.34	777.44	498.86	7,836.94
Net Block										
As at 31 March 2024	416.93	3,450.42	5,286.15	275.20	68.29	86.92	140.24	652.37	272.54	10,649.06
As at 31 March 2025	416.93	3,858.28	6,424.68	298.10	58.16	86.53	131.99	682.57	329.62	12,286.86

Notes:

- Refer note 41 for details of assets pledged as security by the group.
- Refer note 39 for disclosures of contractual commitments for the acquisition of property, plant and equipment.
- Includes adjustments on account of losses incurred due to floods (refer note 34.2).
- Title deeds of all the immovable property held by the Group companies (other than properties where the Group companies is the lessee and the lease agreements are duly executed in favour of lessee) are in the name of Group companies except the freehold land of one of the Group company situated at Derrabassi which is still in the name of Akums Lifesciences Limited (erstwhile subsidiary of Holding company). The Group company is in the process of getting this transferred in its own name.

Relevant line item in the Balance sheet	Description of item of property	Gross carrying value (₹ in million)	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter / director or employee of promoter / director	Property held since which date	Reason for not being held in the name of the Company
Property, plant and equipment	Freehold land	13.92	Akums Lifesciences Limited (erstwhile)	NA	19 October 2023*	Akums Lifesciences Limited (erstwhile subsidiary of Holding company) had been merged with the Group company w.e.f. 19 October 2023 (refer note 54(c)). The Company is in the process of getting this transferred in its own name.

*The Scheme of merger was effective on 19 October 2023 upon filing of the Scheme with the Registrar of Companies (refer note 54(c)).

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2b. Capital work-in-progress (CWIP)

Particulars	Amount
As at 1 April 2023	1,029.93
Add: Additions during the year	1,617.01
Less: Capitalised during the year	(695.61)
As at 31 March 2024 / 1 April 2024	1,951.33
Add: Additions during the year	1,453.89
Less: Capitalised during the year	(1,809.05)
As at 31 March 2025	1,596.17

Ageing of capital work-in-progress as at 31 March 2025 and 31 March 2024 is as below:

31 March 2025

Particulars	Amount in CWIP for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Plant and equipments	449.19	89.67	19.06	23.73	581.65
Buildings	490.18	316.26	174.84	33.24	1,014.52
	939.37	405.93	193.90	56.97	1,596.17

31 March 2024

Particulars	Amount in CWIP for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Plant and equipments	148.12	274.80	30.05	-	452.97
Buildings	1,076.75	340.59	33.24	-	1,450.58
Electrical installations	16.32	0.21	-	-	16.53
Other	31.25	-	-	-	31.25
	1,272.44	615.60	63.29	-	1,951.33

Notes :

- (i) There are no such project under capital work-in-progress whose completion is overdue or has exceeded its cost compared to its original plan as of 31 March 2025 and 31 March 2024.
- (ii) Refer note 41 for details of assets pledged as security by the Group.

2c. Intangible assets under development

Particulars	Amount
As at 1 April 2023	1.63
Add: Additions during the year	2.81
Less: Capitalised during the year	(1.63)
As at 31 March 2024 / 1 April 2024	2.81
Add: Additions during the year	31.60
Less: Capitalised during the year	(2.69)
As at 31 March 2025	31.72

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Ageing of intangible assets under development as on :

31 March 2025

Particulars	Amount in intangible assets under development for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Software pending installation	31.61	0.11	-	-	31.72
	31.61	0.11	-	-	31.72

31 March 2024

Particulars	Amount in intangible assets under development for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Software pending installation	2.81	-	-	-	2.81
	2.81	-	-	-	2.81

There are no such project under intangible assets under development whose completion is overdue or has exceeded its cost compared to its original plan as of 31 March 2025 and 31 March 2024.

3. Other Intangible assets

Particulars	Brands / Trademarks	Software	Total
Gross carrying value			
Balance as at 1 April 2023	113.68	249.12	362.80
Additions during the year	-	30.72	30.72
Disposal during the year	(0.23)	(4.24)	(4.47)
Balance as at 31 March 2024 / 1 April 2024	113.45	275.60	389.05
Additions during the year	0.58	11.19	11.77
Disposal during the year	-	-	-
Balance as at 31 March 2025	114.03	286.79	400.82
Accumulated amortisation			
Balance as at 1 April 2023	111.57	193.86	305.43
Charge for the year	0.70	21.35	22.05
On disposal during the year	(0.23)	(4.24)	(4.47)
Balance as at 31 March 2024 / 1 April 2024	112.04	210.97	323.01
Charge for the year	1.34	25.16	26.50
On disposal during the year	-	-	-
Balance as at 31 March 2025	113.38	236.13	349.51
Net carrying value			
As at 31 March 2024	1.41	64.63	66.04
As at 31 March 2025	0.65	50.66	51.31

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4. Investments

Particulars	As at 31 March 2025	As at 31 March 2024
Investment in equity instruments		
Non-trade, unquoted (measured at fair value through profit and loss)		
18,750 (31 March 2024: 18,750) equity shares of Nimbua Greenfield (Punjab) Ltd of ₹ 10 (31 March 2024: ₹ 10) each fully paid up	0.19	0.19
55,000 (31 March 2024: 55,000) equity shares of Mohali Green Environment Private Ltd of ₹ 10 (31 March 2024: ₹ 10) each fully paid up	1.24	1.24
Total	1.43	1.43
Aggregate amount of unquoted investments	1.43	1.43
Aggregate provision for impairment in value of investments	-	-

5. Other financial assets (non-current)

Particulars	As at 31 March 2025	As at 31 March 2024
Security deposits	301.14	277.65
Deposits with remaining maturity of more than 12 months*	32.93	34.86
Other financial assets	1.49	1.58
	335.56	314.09

*pledged with government authorities and others.

6. Non-current tax assets

Particulars	As at 31 March 2025	As at 31 March 2024
Advance income tax (net of provision)	123.08	100.21
	123.08	100.21

7. Other non-current assets

Particulars	As at 31 March 2025	As at 31 March 2024
Unsecured, considered good		
Capital advances	138.55	134.40
Advances other than capital advance:		
Prepaid expenses	52.37	51.48
Tax deposited with sales tax department	51.31	51.31
Other receivable	3.78	9.47
Unsecured, considered doubtful		
Capital advances	56.00	36.00
Less: Provision for doubtful advances	(56.00)	(36.00)
	246.01	246.66

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8. Inventories

(refer note 1.7 on inventories)

Particulars	As at 31 March 2025	As at 31 March 2024
Raw materials		
on hand	3,383.70	3,039.93
in transit	102.72	183.16
Packing materials		
on hand	840.03	648.94
in transit	15.16	11.93
Work-in-progress	748.92	711.41
Finished goods	1,273.45	1,093.41
Stock-in-trade		
on hand	226.34	422.79
Stores and spares		
on hand	151.38	130.67
in transit	10.86	0.63
Right to recover products from customers	56.75	61.38
	6,809.31	6,304.25

9. Trade receivables

Particulars	As at 31 March 2025	As at 31 March 2024
Trade receivables considered good - unsecured	7,551.43	8,198.75
Trade receivables - significant increase in credit risk	644.00	361.92
	8,195.43	8,560.67
Less: Allowance for expected credit losses	(492.47)	(222.55)
	7,702.96	8,338.12

- 9.1 Dues from related party (refer note 42) 0.70 1.28
- 9.2 Refer note 41 for information on trade receivables pledged as security by the Group.
- 9.3 Refer note 52 (A) for the ageing of the trade receivables
- 9.4 No amount is due from directors or officers of the Group companies.
- 9.5 The credit period given to the customers ranges from 30 to 90 days.
- 9.6 The carrying amount of trade receivable does not include receivables of ₹ 1,664.63 million (31 March 2024: ₹ 642.93 million) which are subject to a factoring arrangement. Under this arrangement, the Group has transferred the relevant receivables to the factor in exchange for cash on non recourse basis. The Group, therefore, has derecognised the said receivables under the said arrangement. As of 31 March 2025, the Group has received ₹ 593.38 million in respect of these receivables, since the amount has not yet been transferred to the factor, it has been presented under 'Other Financial Liabilities'.

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10. Cash and cash equivalents

Particulars	As at 31 March 2025	As at 31 March 2024
Balance with banks:		
- in current accounts	820.05	485.85
- in deposit accounts with original maturity of less than three months	186.88	621.35
Cash on hand	4.98	3.30
	1,011.91	1,110.50

Refer note 41 for information on cash and cash equivalents pledged as security by the Group.

*include cash amounting to ₹ 1.07 million which has been seized by the Income Tax Department ("IT Department") during search proceedings conducted from 15 January 2025 to 21 January 2025. The Group believes that the seized cash pertains to legitimate business activities and is fully recoverable. [Refer note 54(e)]

11. Other bank balances

Particulars	As at 31 March 2025	As at 31 March 2024
Deposits having original maturity of more than three months but remaining maturity of less than twelve months	4,752.60	1,660.03
	4,752.60	1,660.03

Refer note 41 for information on other bank balances pledged as security by the Group.

*includes ₹ 81.40 million (31 March 2024: nil) out of the IPO proceeds, which has been specifically earmarked towards pursuing inorganic growth initiatives through acquisitions. [Refer note 54(b)]

12. Other financial assets (current)

Particulars	As at 31 March 2025	As at 31 March 2024
Financial assets carried at amortised cost		
(Unsecured, considered good)		
Balances with statutory and government authorities	348.81	125.44
Insurance claim receivable (refer note 34.2)	77.51	-
Others*	54.96	107.69
(Unsecured, considered doubtful)		
Insurance claim receivable (refer note 34.2)	63.73	-
Less : Provision for insurance claim receivable	(63.73)	-
	481.28	233.13

Refer note 41 for information on other financial assets (current) pledged as security by the Group.

*In connection with the Initial Public Offer (IPO) of equity shares of the Holding company, expenses incurred by the Holding company towards the proposed IPO of equity shares held by the selling shareholder amounting to Nil (31 March 2024: ₹ 93.02) was included in "others" under "other financial assets" and recovered from the selling shareholders (as per the offer agreement) during the year ended 31 March 2025.

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13. Other current assets

(Unsecured, considered good)

Particulars	As at 31 March 2025	As at 31 March 2024
Advance to suppliers and others		
Considered good - unless otherwise stated	307.14	201.18
Less : Provision for doubtful advances of employees	(2.23)	-
	304.91	201.18
Prepaid expenses	164.55	127.11
Balances with statutory and government authorities	1,496.16	1,367.41
Others*	22.41	66.08
	1,988.03	1,761.78

*Note

- Includes CSR asset of ₹ 10.77 million (31 March 2024 : ₹ 9.80 million).
- In connection with the Initial Public Offer ('IPO') of equity shares of the Holding Company, expenses incurred by the Holding Company in relation to its plan of raising funds from capital market through the IPO amounting to Nil (31 March 2024: ₹46.51 million) was included in "others" under "other current assets" which in current year have been adjusted towards the securities premium.

14. Assets held for sale

Particulars	As at 31 March 2025	As at 31 March 2024
Disposal of investment in subsidiaries [refer note 34.1(b)]	-	1.03
	-	1.03

15. Equity share capital

Particulars	As at 31 March 2025	As at 31 March 2024
Authorised		
20,00,00,000 (31 March 2024: 20,00,00,000) equity shares of ₹ 2 (31 March 2024: ₹ 2) each	400.00	400.00
Issued, Subscribed & Fully Paid up		
15,73,93,988 (31 March 2024: 14,30,64,350) equity shares of ₹ 2 (31 March 2024: ₹ 2) each	314.79	286.13
Less: 42,91,930 (31 March 2024: Nil) Equity shares of face value of ₹ 2 each (31 March 2024: Nil) held by Akums Employee Benefits Trust (ESOP Trust) (refer note 15.6)	(8.58)	-
	306.21	286.13

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15.1 Reconciliation of equity shares outstanding at the beginning and at the end of the reporting year

Particulars	As at 31 March 2025		As at 31 March 2024	
	No. of shares	₹	No. of shares	₹
At the beginning of the year	14,30,64,350	286.13	14,30,64,350	286.13
Add: shares issued during the year*	1,43,29,638	28.66	-	-
Less: Shares issued during the period to ESOP Trust*	(42,91,930)	(8.58)	-	-
At the end of the year	15,31,02,058	306.21	14,30,64,350	286.13

*The Holding company has completed its Initial Public Offer (IPO) of 27,368,143 equity shares of face value of ₹ 2 each at an issue price of ₹ 679 per share (including share premium of ₹ 677 per share) and as a result the equity shares of the Holding company were listed on National Stock Exchange of India Limited (NSE) and BSE Limited (BSE) on 6 August 2024. The issue comprised of fresh issue of 10,037,708 equity shares aggregating to ₹ 6,800.00 million and offer for sale of 17,330,435 equity shares by selling shareholders, aggregating to ₹ 11,767.37 million. [Refer note 54(b)]. In addition to this, the Holding company has allotted 42,91,930 equity shares of face value of ₹ 2 each at an issue price of ₹ 700 per share (including share premium of ₹ 698 per share) to the ESOP Trust. Since this ESOP Trust has been considered as an extension of the Holding company, hence, the shares issued to them have been netted off from the equity shares outstanding at the end of the year and securities premium thereon have been reduced from security premium account of the Holding company. (refer note 15.6)

15.2 Terms/rights attached to equity shares

The Holding Company has only one class of equity shares having face value of ₹ 2 per share. Each equity shareholder is entitled to one vote per share.

In the event of winding up of the Group, the equity shareholders will be entitled to be repaid remaining assets of the Group, after distribution of all preferential amounts, in the ratio of the amount of capital paid on such equity shares.

15.3 Details of shareholders Holding more than 5% shares in the Holding Company*

Name of shareholder	As at 31 March 2025		As at 31 March 2024	
	No. of shares	% Holding	No. of shares	% Holding
Akums Master Trust [#]	6,42,00,000	40.79	-	-
Sanjeev Jain [#]	2,70,80,940	17.21	6,06,92,940	42.42
Sandeep Jain [#]	2,71,16,690	17.23	6,07,28,690	42.45
Ruby QC Investment Holding Pte Ltd.	72,78,535	4.62	2,15,84,970	15.09

[#]promoters of the Holding Company.

*As per records of the Holding Company, including its register of shareholders/ members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownerships of shares.

15.4 Details of shares held by promoters in the Holding Company

Name of shareholder	As at 31 March 2025		As at 31 March 2024		% change
	No. of shares	% Holding	No. of shares	% Holding	
Akums Master Trust	6,42,00,000	40.79%	-	-	40.79%
Sanjeev Jain	2,70,80,940	17.21%	6,06,92,940	42.42%	-25.22%
Sandeep Jain	2,71,16,690	17.23%	6,07,28,690	42.45%	-25.22%

Name of shareholder	As at 31 March 2024		As at 31 March 2023		% change
	No. of shares	% Holding	No. of shares	% Holding	
Sanjeev Jain	6,06,92,940	42.42%	6,06,92,940	42.42%	0%
Sandeep Jain	6,07,28,690	42.45%	6,07,28,690	42.45%	0%

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15.5 No shares, except below have been issued as bonus shares or issued for consideration other than cash or bought back during the period of five years immediately preceding the reporting date.

Particulars	No of shares
Shares issued as bonus shares in 2022-2023	7,15,32,175
Shares issued as bonus shares in 2021-2022	6,50,29,250
Additional shares issued on account of share split in 2021-2022	52,02,340

15.6 The Holding company vide board resolution dated 16 March 2022 and shareholder resolution dated 31 March 2022 approved the Employee Stock Option Scheme 2022 ('ESOP Scheme 2022') and authorised to create, grant, offer, issue and allot 10,72,983 employee stock options under Employee Stock Option Scheme 2022, for the benefit of employees and directors of the Holding company as decided by the board. The number of shares post bonus issue done in financial year ended 31 March 2023, resulted in increase of Employee Stock Options from 10,72,983 options to 21,45,966 options which in the previous year were further raised to 42,91,930 options. The Holding company vide board resolution dated 25 August 2023 decided to implement the ESOP Scheme 2022 through trust, pursuant to which the Holding company has registered Akums Employee Benefit Trust (ESOP Trust). On 31 May 2024, the Holding company has allotted 42,91,930 equity Shares to ESOP Trust to be given to the eligible employees as and when decided by the board pursuant to the ESOP Scheme 2022.

16. Other equity

Particulars	As at 31 March 2025	As at 31 March 2024
(a) Capital reserve		
Balance as at the beginning/ end of the year	1,029.98	1,029.98
(b) Securities premium		
Balance as at the beginning	1,271.66	1,271.66
Add: On account of issue of fresh equity shares at premium	9,791.30	-
Add: On account of reversal of put option liability (refer note 18.1)	3,198.76	-
Less: On account of issue of equity shares to Akums Employee Benefits Trust (ESOP Trust) (refer note 15.1)	(2,995.77)	-
Less: Share issue expenses	(426.30)	-
Balance as at the end of the year	10,839.65	1,271.66
(c) Retained earnings		
Balance as at the beginning of the year	6,308.45	6,385.36
Add: profit/ (loss) for the year	3,381.76	(40.35)
Add: other comprehensive income, net of tax		
Re-measurement (loss) on defined benefit plan, (net)	(11.03)	(36.56)
Add: On account of reversal of put option liability (refer note 18.1)	8,615.12	-
Balance as at the end of the year	18,294.30	6,308.45
(d) Put option reserve		
Balance as at the beginning of the year	(1,801.24)	(1,801.24)
Add: On account of reversal of put option liability (refer note 18.1)	1,801.24	-
Balance as at the end of the year	-	(1,801.24)
(e) Employee stock option reserve		
Balance as at beginning of the year	-	-
Add: Employee stock options granted during the year	-	6.91
Less: Employee stock options cancelled during the year	-	(6.91)
Balance as at end of the year	-	-
	30,163.93	6,808.85

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Nature of reserves

The description of nature and purpose of each of the above reserve within equity is as under:

1. Capital reserve

The excess of fair value of net assets acquired over consideration paid in a business combination is recognised as capital reserve on consolidation. The reserve is not available for distribution.

2. Securities premium

Securities premium is used to record the premium on issue of shares. The reserve can be utilised only for limited purposes such as issuance of bonus shares and share issue expenses in accordance with the provisions of the Companies Act, 2013.

3. Retained earnings

Retained earnings are the profits that the Group has earned till date and not distributed. Retained earnings is a free reserve available to the Group.

4. Put option reserve

Refer note 18.1 for details.

5. Employee stock option reserve

The Holding company has an share option scheme under which option to subscribe for the Holding company's shares have been granted to certain executives and senior employees. The share options outstanding account is used to recognise the value of equity settled share based payments provided to employees, including key management personnel, as part of their remuneration. Refer note 53.

17. Borrowings

Particulars	As at 31 March 2025	As at 31 March 2024
Term loans		
Secured		
From banks including accrued interest (refer note 17.1)	-	1,238.60
Less: shown in current maturities of non-current borrowings (refer note 21)	-	(455.63)
	-	782.97

17.1 Details of security and repayment terms of the above borrowings (including current maturities)

	Outstanding balance	
	As at 31 March 2025	As at 31 March 2024
a) Term Loan - 1 taken from HDFC Bank Limited (Pure and Cure Healthcare Private Limited)	-	67.22
carries an interest rate of 8.56% p.a. (previous year: 8.56% p.a.), basis on 5% linked with 3 months T-Bill, and is secured by way of mortgage/hypothecation (pari passu) on immovable assets of Haridwar unit and movable assets of the company, both present and future. The loan is repayable in quarterly instalments of ₹ 16.67 million each till March 2025; started from June 2022. The term loan is fully repaid during the current year.		

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	Outstanding balance	
	As at 31 March 2025	As at 31 March 2024
b) Term loan - 2 taken from HDFC Bank Limited (Pure and Cure Healthcare Private Limited)	-	55.02
carries an interest rate of 8.56% p.a. (previous year: 8.56% p.a.) basis on 6.75% linked with 3 months T-Bill, and is secured by way of mortgage/ hypothecation (pari passu) on immovable assets of Haridwar unit and movable assets of the Company, both present and future. The loan is repayable in quarterly instalments of ₹ 13.63 million each till March 2025; starting from September 2022). The term loan is fully repaid during the current year.		
c) Term loan taken from HSBC Bank Limited (Akums Drugs and Pharmaceuticals Limited)	-	218.75
Carries an interest rate of 7.90% p.a. to 8.14% p.a. linked with 3 month T-Bill (31 March 2024: 6.95% p.a. to 7.99% p.a.) and is secured by way of mortgage/ hypothecation (pari passu) on immovable assets of Haridwar unit and movable assets of the Company, both present and future. The loan is repayable in quarterly instalments of ₹ 15.63 million each till August 2027; starting from November 2023. The term loan is fully repaid during the current year.		
d) Term Loan from HSBC Bank (Pure and Cure Healthcare Private Limited)	-	812.50
Carries an interest rate of 8.03% p.a. (previous year: 8.03% p.a.) which is linked to prevalent bank MCLR, and is secured by way of mortgage/hypothecation (pari passu) on current assets, immovable assets and movable assets of the Company, both present and future. The loan is repayable in 16 quarterly instalments with first repayment starting from September 2023. The term loan is fully repaid during the current year.		
e) Term Loan from HDFC Bank Limited (Akums Healthcare Limited)	-	85.11
13.1 The term loan from bank carries an interest rate of 8.28% to 8.40% p.a. (previous year: 8.28% to 8.40% p.a.), linked with 3 months T-Bill, and is secured by way of mortgage/ hypothecation on immovable assets of Haridwar unit and movable assets of the Company, both present and future. The loan is repayable in Monthly instalments of ₹ 1.69 million each till May 2028; (starting from June 2023). The term loan is fully repaid during the current year.		
	-	1,238.60

17.2 Refer note 41 for assets pledged as security.

17.3 The Group has not defaulted in repayment of interest during the current year. Further, there have been no default in repayment of loan.

18. Other financial liabilities

Particulars	As at 31 March 2025	As at 31 March 2024
Put option liability (refer notes 18.1 below and note 44)	-	13,653.78
Security deposit received:		
from customers	136.81	131.35
from contractors and suppliers	205.63	174.33
	342.44	13,959.46

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Note:

18.1 On 3 October 2019, the Holding company executed a shareholders' agreement ("the Agreement") with its existing shareholders (Mr. Sandeep Jain and Mr. Sanjeev Jain) and Ruby QC Investments Pte. Limited ("the Investor") wherein 125,585 fully paid equity shares were issued by the Holding company and 70,642 equity shares were transferred by the said shareholders directly to the Investor for a total consideration of ₹ 5,000.00 million giving the Investors 15.09% stake in the Holding company.

Pursuant to the Agreement, the Investor had a right to exercise an option ("put option") after 54 months from 3 October 2019 to require the Holding company to issue 'Exit notice' to buyback its equity shares at fair market value at the date of exercise of the put option, in case the Holding company is not able to give exit to the Investor through an 'initial public offer' or a secondary sale to a third party. The Holding company per the agreement entered was required to buy back the equity securities held by the investor within 180 days from the date of the exit notice. Further, on 9 February 2024, the Holding company, shareholders and the Investor entered into a waiver cum amendment agreement wherein exit notice can only be issued by the investor after 6 months from 31 December 2024, subject to the term of the waiver cum amendment agreement.

On 29 May 2024, the Investor waived off its rights which requires the Holding company to buyback the equity shares in accordance with the terms of the shareholder's agreement dated 3 October 2019 read with the waiver cum amendment agreement dated 9 February 2024. Consequently, there are no longer any contractual obligation on the Holding company and the financial instrument have been reclassified as equity and other equity. Accordingly, fair value changes of ₹ 38.67 million (reversal) have been recognised in these consolidated financial statements up to 29 May 2024. The put option liability amounting to ₹ 13,615.12 million has been reclassified as follows: ₹ 8,615.12 million to retained earnings, ₹ 1,801.24 million to the put option reserve, and ₹ 3,198.76 million to securities premium, all under other equity.

19. Provisions

Particulars	As at 31 March 2025	As at 31 March 2024
Provision for employee benefits		
Gratuity (refer note 40)	263.69	219.13
Compensated absences	95.28	91.12
	358.97	310.25

20. Deferred tax liabilities (net)

Particulars	As at 31 March 2025	As at 31 March 2024
Deferred tax liabilities comprises of:		
Temporary difference of book and tax depreciation	596.03	631.23
Right-of-use assets	199.35	183.33
Right to recover products from customer	14.28	15.45
	809.66	830.01
Deferred tax assets comprises of:		
Temporary difference of book and tax depreciation	4.60	5.35
Items that are tax deductible on payment basis	152.98	177.62
Carried forward business losses (including unabsorbed depreciation)	2,131.43	1,374.89
Refund liability	105.04	108.91
Lease liabilities	209.21	199.63
Provision for expected credit loss	75.80	36.06
MAT credit entitlement	9.07	36.64
Others	16.02	-
	2,704.15	1,939.10

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Particulars	As at 31 March 2025	As at 31 March 2024
Deferred tax (assets)/ liabilities (net)	(1,894.49)	(1,109.09)
Deferred tax assets	2,080.65	1,230.63
Deferred tax liabilities	186.16	121.54

Notes:

- Deferred tax assets and deferred tax liabilities have been offset wherever the Group has a legally enforceable right to set off current tax assets against current tax liabilities and where the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority. The deferred tax assets has been created only where it is reasonably certain that there will be sufficient taxable income against which such deferred tax assets can be utilised based on convincing evidences such as approved business plans and projections of the respective companies with in the Group.
- Refer note 45 for details.

21. Borrowings

Particulars	As at 31 March 2025	As at 31 March 2024
Secured		
Loan repayable on demand (from banks)		
Working capital loan from bank (including interest accrued) (refer notes 21.1)	136.55	2,674.72
Current maturities of non-current borrowings (including interest accrued) (refer note 17)	-	455.63
Unsecured		
Working capital loan from bank (including interest accrued) (refer notes below)	-	1,002.23
	136.55	4,132.58

Notes:

21.1 Nature of security and repayment terms of the above borrowings are as below:

	Outstanding balance	
	As at 31 March 2025	As at 31 March 2024
(a) Working capital loan from State Bank of India (Akums Drugs and Pharmaceuticals Limited)	-	377.66
Working Capital Loan from State Bank of India is secured by Company's all current assets (present and future) at Company's head office and hypothecation of stocks, book debts and fixed & movable assets of the Unit-I,II,III,IV & V; equitable mortgage by deposit of title deeds in respect of land at Haridwar of Unit I,II,III,IV & V and carries an interest rate in the range of 7.73% p.a. to 8.12% p.a. (previous year: 7.40% p.a. to 8.12% p.a.) and is repayable after minimum 7 days to maximum 180 days of utilisation of facility. The loan has repaid during the current year.		
(b) Working capital loan from HDFC Bank Limited (Akums Drugs and Pharmaceuticals Limited)	-	484.36
Working capital loan from HDFC Bank is secured by hypothecation/ mortgage of stocks,book debts and fixed and movable assets of Units I,II,III, IV & V, equitable mortgage by deposits of title deeds in respect of land at haridwar and carries an interest rate in the range of 8.08% p.a. to 8.50% p.a. (previous year: 7.60% p.a. to 8.67% p.a.) and is repayable after minimum 7 days to maximum 180 days of utilisation of facility. The loan has repaid during the current year.		

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	Outstanding balance	
	As at 31 March 2025	As at 31 March 2024
(c) Cash credit facility from HDFC Bank Limited (Akums Drugs and Pharmaceuticals Ltd)	39.30	181.87
Cash credit facility from HDFC Bank is secured by hypothecation/ mortgage of stocks, book debts and fixed and movable assets of Units I,II,III, IV & V; equitable mortgage by deposits of title deeds in respect of land at Haridwar. The loan is repayable on demand and carries an interest rate in range of 4.59% p.a. to 8.62% p.a. (previous year: 7.60% p.a. to 8.80% p.a.)		
(d) Working capital loan from Yes Bank Limited (Akums Drugs and Pharmaceuticals Limited)	-	500.22
Working Capital Loan from Yes Bank Limited is secured by hypothecation/ mortgage of stocks, book debts and fixed and movable assets of unit I,II,III,IV & V; equitable mortgage by deposits of title deeds in respect of land at Haridwar. The loan is repayable on demand and carries an interest rate in the range of 7.50% p.a. to 7.80% p.a. (previous year: 7.60% p.a. to 8.10% p.a.) and is repayable after minimum 7 days to maximum 180 days of utilisation of facility. The loan has repaid during the current year.		
(e) Cash Credit facility from HDFC Bank Limited (Pure and Cure Healthcare Private Limited)	40.40	74.25
Cash Credit facility from HDFC Bank Limited is secured by hypothecation(pari passu) of stocks, book debts and fixed and movable assets; equitable mortgage by deposit of title deeds in respect of land and building at Haridwar and carries an interest rate as at 31st March, 2025 lies in the range of 8.08% p.a. to 8.67% p.a. (previous year : 8.0% p.a.to 8.80% p.a.)		
(f) Working Capital Loan from HDFC Bank Limited (Pure and Cure Healthcare Private Limited)	-	591.51
Working Capital Loan from HDFC Bank Limited is secured by hypothecation(pari passu) of stocks, book debts and fixed and movable assets; equitable mortgage by deposit of title deeds in respect of land and building at Haridwar and carries an interest rate lies in the range of 7.60% p.a. to 8.60% p.a. (previous year : 7.60% p.a.to 8.60% p.a.), and is repayable after minimum 7 days to maximum 180 days of utilisation of facility. The loan is fully repaid during the current year.		
(g) Cash Credit facility from HDFC Bank Limited (Malik Lifesciences Private Limited)	-	18.11
Cash credit from HDFC Bank secured by hypothecation (first pari-passu charge) of current assets and mortgage of movable fixed assets and carries an interest rate lies in the range of 7.50% p.a. to 8.90% p.a. (previous year : 7.50% p.a. to 8.90% p.a.).		
(h) Working capital loan from Citi Bank Limited (Maxcure Nutravedics Limited)	-	250.27
Working Capital loan from CITI Bank Limited secured by hypothecation(first pari passu charge) of stocks, current assets and mortgage of and movable fixed assets and carries an interest rate lies in the range of 8.06% to 9.00% p.a. (previous year: 7.60% p.a. to 7.97% p.a.) and is repayable after 7 days to maximum 180 days of utilisation of facility. The loan has repaid during the current year.		

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	Outstanding balance	
	As at 31 March 2025	As at 31 March 2024
(i) Cash Credit facility from JP Morgan Bank (Nicholas Healthcare Limited)	-	23.76
Cash Credit facility received from JP Morgan chance Bank N.A.has been Secured by exclusive charge on all current assets and movable fixed assets(both current and future) and corporate guarantee of Holding Company. The loan is repayable on demand and carries an interest rate of 9.54% p.a. (Previous year: 9.54%).		
(j) Cash credit facility from HSBC Bank (Nicholas Healthcare Limited)	14.30	15.05
Cash Credit facility received from HDFC Bank Limited has been Secured by exclusive charge on all current assets and movable fixed assets(both current and future) and corporate guarantee of Holding Company. The loan is repayable on demand and carries an interest rate lies in the range of 7.65% to 8.90% p.a. (previous period 7.85% to 9.00% p.a.)		
(k) Cash Credit facility from HDFC Bank Limited (Plenteous Pharmaceuticals Limited)	35.70	46.35
Cash Credit facility received from HDFC Bank Limited has been Secured by exclusive charge on all current assets and movable fixed assets(both current and future) and corporate guarantee of Holding Company. The loan is repayable on demand and carries an interest rate lies in the range of 7.65% to 8.90% p.a.(previous period 7.85% to 9.00% p.a.)		
(l) Cash credit facility from JP Morgan Chase Bank (Plenteous Pharmaceuticals Limited)	-	28.94
Cash Credit facility received from JP Morgan chance Bank N.A. has been Secured by exclusive charge on all current assets and movable fixed assets(both current and future) and corporate guarantee of Holding Company. The loan is repayable on demand and carries an interest rate of 9.54% p.a. (Previous year: 9.54%).		
(m)Cash credit facility from HSBC Bank (Medibox Pharma Private Limited)	6.85	82.37
Cash Credit facility received from HSBC Bank has been Secured by exclusive charge on all current assets and movable fixed assets(both current and future) and corporate guarantee of Holding Company. The loan is repayable on demand and carries a floating interest rate of 8.42% p.a. (previous year: 8.85% p.a.)		
Unsecured		
(n) Short term loan from HDFC Bank Limited (Akums Drugs and Pharmaceuticals Limited)	-	500.00
Unsecured Short term Loan from HDFC Bank Limited carries an interest rate of 8.29% linked with 1 month T-bill and is repayable after 90 days on rollover basis. The loan has been repaid during the year.		
(o) Short term borrowing loan from HDFC Bank Limited (Pure and Cure Healthcare Private Limited)	-	502.23
Unsecured Short term Loan from HDFC Bank Limited carries an interest rate of 8.29% linked with 1 month T-bill and is repayable after 90 days on rollover basis. The loan has been repaid during the year.		
	136.55	3,676.95

21.2 Refer note 41 for assets pledged as security

21.3 The above loans have been utilised as per the purpose for these loans were sanctioned

21.4 The group has not defaulted in repayment of interest during the current year. Further, there have been no default in repayment of loan.

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22. Trade payables

Particulars	As at 31 March 2025	As at 31 March 2024
Total outstanding dues of micro and small enterprises and	772.03	472.25
Total outstanding dues of creditors other than micro and small enterprises	5,655.82	4,849.07
	6,427.85	5,321.32

Due from related parties (refer note 42)	6.69	-
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Refer note 52 for the ageing of the trade payables

23. Other financial liabilities

Particulars	As at 31 March 2025	As at 31 March 2024
Employee payables	483.50	487.56
Payable towards property, plant and equipment#	201.99	212.01
Refundable advance received from customers	-	827.40
Amount due to bank under factoring arrangement (refer note 9.6)	593.38	-
Others	54.40	54.40
	1,333.27	1,581.37

#includes ₹ 72.55 million (previous year: ₹ 80.58 million) payable to micro enterprises and small enterprises

24. Other current liabilities

Particulars	As at 31 March 2025	As at 31 March 2024
Advance from customers	230.96	289.03
Advance received against sale of assets (refer note 14)	-	1.03
Statutory dues payable	160.45	142.21
	391.41	432.27

25. Provisions

Particulars	As at 31 March 2025	As at 31 March 2024
Provision for employee benefits		
Gratuity (refer note 40)	92.98	72.92
Compensated absences	61.78	45.87
Provision for demand raised by statutory authorities (refer note 38 and 25.1)*	-	14.49
Refund liability (refer note 25.2 below)	417.32	432.70
	572.08	565.98

*In earlier years, the Holding company had received demand notices relating to a shortfall in fulfilling export obligations under the Export Promotion Capital Goods (EPCG) scheme for licenses availed in prior periods. The Holding company had contested these demands and submitted the requisite documentation in support of its position. Based on the merits of the case and consultations with legal counsel, a provision was recognized in the consolidated financial statements.

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During the current year, the Holding company obtained a discharge certificate confirming fulfilment of its obligations under the EPCG scheme. Accordingly, the unutilized provision has been reversed in these consolidated financial statements.

Notes:

25.1 Changes in provision for sales tax in accordance with Ind AS - 37

Particulars	As at 31 March 2025	As at 31 March 2024
Balance as at beginning of the year	14.49	55.00
Less: provision reversed/ liability paid during the year	(14.49)	(40.51)
Balance as at end of the year	-	14.49

25.2 Changes in refund liability in accordance with Ind AS - 37

Particulars	As at 31 March 2025	As at 31 March 2024
Refund liability is accounted for by recording a provision based on the Company's estimate of expected sales return. Movement in the provision for refund liability is as below:		
Balance as at beginning of the year	432.70	377.22
Less: provision (written back)/ made during the year (net)	(15.38)	55.48
Balance as at end of the year	417.32	432.70

26. Current tax liabilities (net)

Particulars	As at 31 March 2025	As at 31 March 2024
Provision for taxes (net of advance taxes paid)	4.01	14.35
	4.01	14.35

27. Revenue from operations

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Sale of products		
- manufactured	36,830.20	35,398.96
- traded goods	3,308.61	4,313.11
	40,138.81	39,712.07
Other operating revenues		
Job work income	572.12	484.75
Testing and other charges	263.40	1,392.76
Scrap sales	207.25	192.24
	41,181.58	41,781.82

Refer Note 43 in respect of disclosures under Ind AS 115 - Revenue from contracts with customers.

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28. Other income

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Interest income on items at amortised cost:		
- term deposits	237.78	113.20
- others	12.08	6.79
Liabilities no longer required, written back	79.54	55.53
Subsidy income	27.79	24.84
Gain on disposal of property, plant and equipment (net)	0.42	0.17
Gain on foreign currency transactions (net)	44.82	72.93
Gain on reassessment or termination of right-of-use assets	38.27	1.38
Royalty income	1.94	9.96
Miscellaneous income	78.58	55.45
	521.22	340.25

29. Change in inventories of finished goods, stock-in-trade and work-in-progress

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Opening stock		
Finished goods	1,093.41	1,304.19
Work-in-progress	711.41	768.25
Stock-in-trade	422.79	371.51
	(A) 2,227.61	2,443.95
Less: Closing stock		
Finished goods	1,273.45	1,093.41
Work-in-progress	748.92	711.41
Stock-in-trade	226.34	422.79
	(B) 2,248.71	2,227.61
Movement in right to recover products from customer	(C) 4.63	(18.23)
Loss of inventory due to floods, considered as exceptional item (refer note 34.2)	(D) -	(74.37)
Transfer of inventory to "Asset held for sale"	(E) -	(0.34)
Change in inventories of finished goods, stock-in-trade and work-in-progress	(16.47)	123.40
(A-B+C+D+E)		

30. Employee benefits expense

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Salaries, wages and bonus*	6,561.73	5,914.13
Contributions to provident and other funds (refer note 40)	229.75	211.27
Staff welfare expenses	366.73	343.24
	7,158.21	6,468.64

*includes a discount of ₹ 15.60 million (31 March 2024: Nil) granted to eligible employees at the time of Initial Public Offer (IPO). Refer note 54(b) for details.

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31. Finance costs

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Interest on financial liabilities (using effective interest rate method):		
- borrowings	239.71	430.05
- security deposit from customers and suppliers	1.00	0.69
- income-tax	0.92	2.01
Interest on lease liability (using effective interest rate method)	62.44	69.76
Other borrowing costs	41.93	3.63
	346.00	506.14

32. Depreciation and amortisation expense

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Depreciation on property, plant and equipment	1,382.07	1,141.64
Amortisation on right-of-use assets (refer note 51)	125.89	92.71
Amortisation of intangible assets	26.50	22.05
	1,534.46	1,256.40

33. Other expenses

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Consumption of stores and spare parts	323.03	319.87
Power and fuel	1,640.52	1,608.00
Rent (refer note 51)	20.35	59.77
Repairs and maintenance		
Plant and equipments	185.09	283.79
Buildings	96.54	73.55
Others	377.15	343.87
Insurance	50.73	58.03
Rates and taxes	52.32	32.22
Travelling and conveyance	484.49	451.28
Legal and professional expenses	421.39	447.05
Bad debts	2.34	18.74
Provision for allowances for expected credit losses	291.77	115.27
Provision on advance to suppliers	31.00	-
Freight and cartage - outward	59.75	71.65
Business promotion	394.17	389.87
Loss on sale of property, plant and equipment (net)	1.54	3.34
Selling and distribution expense	99.70	98.21
Loss on foreign currency transactions	3.17	0.88
Corporate social responsibility expense	20.19	35.60
Miscellaneous*	527.66	592.23
	5,082.90	5,003.22

*For the year ended 31 March 2024, Miscellaneous expenses includes contribution of ₹ 50.00 million made to political party.

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34. Exceptional Items

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Losses incurred due to floods (refer note 34.2)	(166.97)	251.73
Loss on sale of asset held for sale (refer note 34.1 and 14)	-	8.61
	(166.97)	260.34

Note:

34.1(a): During the year ended 31 March 2023, the management of one of the Group company vide board resolution dated 14 March 2023 decided to sell manufacturing facility situated in Assam and presented the same under "Asset held for sale". The difference in the fair value and the carrying value amounting to ₹ 47.50 million had been recognised as an exceptional expense in the Consolidated Statement of Profit and Loss for the year ended 31 March 2023.

During the year ended 31 March 2024, the above assets held for sale (recorded at a book value less impairment provision of ₹ 47.50 million as above) had been sold for a consideration of ₹ 451.63 million and the resultant gain of ₹ 2.48 million had been recognised as an exceptional item in the Consolidated Statement of Profit and Loss.

34.1(b): During the previous year ended 31 March 2024, the management of the Holding Company vide board resolution dated 16 March 2024 has decided to dispose off all of its shares in three of its wholly owned subsidiaries. Accordingly, in terms of Ind AS 105 'Non-current assets held for sale and discontinuing operations', the property, plant and equipment and other associated assets related to these subsidiaries are presented as 'Assets held for sale' separately from other assets in the consolidated balance sheet. The aggregate difference in the fair value and the carrying value of combined net worth of all of these subsidiaries amounting to ₹ 11.09 million had been recognised as an exceptional expense in the Consolidated Statement of Profit and Loss for the year ended 31 March 2024. During the current year, management has disposed off the investment in above subsidiaries (Refer note 37).

34.2: During the financial year ended 31 March 2024, owing to floods in Chandigarh and nearby areas, one of the group company had incurred certain damages to inventory along with property, plant and equipment at factory locations in Derra Bassi and Lalru plants amounting to ₹ 251.73 million. The management had filed necessary claims for the damages made with the insurance authorities.

In the current year, the insurance company has approved a claim of ₹ 77.51 million for the losses at the Lalru site, which has been recorded as an exceptional income in the consolidated financial statements and has been received by the group company subsequent to 31 March 2025. Further, following some minor repairs, few machineries were restored to working condition, and the factory building at the Lalru site was considered safe for use after a reassessment that included minor refurbishments. As a result of this reassessment, reversal of losses of ₹ 89.46 million have been recognized as an exceptional income for the year ended 31 March 2025 in these consolidated financial statements.

In respect of losses incurred by the group company at its Derrabassi plant, the insurance claim of ₹ 63.73 million was rejected by the insurance company, for which the group company has filed a legal cases. Basis on legal precedents and an internal evaluation by management, management believes that the group company has a possibility of a favorable outcome. Consequently, the group company has recognized this as an exceptional income in the consolidated financial statements. However, due to the uncertainty surrounding the recovery of this amount, the group company has created a provision for the same.

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35A The following entities are considered in the preparation of Consolidated Financial Statement:

a) Subsidiaries

The Group has following subsidiaries held directly and indirectly by the Parent Company i.e. Akums Drugs and Pharmaceuticals Limited, which operate around the world. Following are the details of shareholdings in the subsidiaries:

S. No.	Name of Company	Principal Activities	Immediate holding company	Country of incorporation and principal place of business	% Ownership interest	
					Proportion of ownership interest and voting power held by the Group	
					As at 31 March 2025	As at 31 March 2024
Subsidiaries of Holding Company						
1	Pure and Cure Healthcare Private Limited	Contact manufacturing of pharmaceutical products and manufacturing of API	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
2	Malik Lifesciences Private Limited	Contract manufacturing of pharmaceutical products	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
3	Maxcure Nutravedics Limited	Contract manufacturing of pharmaceutical products and trading of raw materials & packing materials	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
4	Akums Healthcare Limited	Contract manufacturing of pharmaceutical products	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
5	Qualymed Pharma Private Limited (w.e.f. 2 May 2023)	Contract manufacturing of pharmaceutical products	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
6	Upadhrish Reserchem LLP	Contract manufacturing and testing of pharmaceutical products	Akums Drugs and Pharmaceuticals Limited	India	99.93%	99.93%
7	Akumentis Healthcare Limited [#]	Trading of domestic branded formulations	Akums Drugs and Pharmaceuticals Limited	India	91.49%	91.49%
8	Unosource Pharma Limited	Trading of international branded formulations	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
9	Nicholas Healthcare Limited	Trading of generic formulations	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
10	Plenteous Pharmaceuticals Limited	Trading of generic formulations	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
11	Sarvagunaushdhi Private Limited	Trading of generic formulations	Akums Drugs and Pharmaceuticals Limited	India	100%	100%
12	Hygosap Pharma Private Limited (refer note 37)	Trading of generic formulations	Akums Drugs and Pharmaceuticals Limited	India	-	100%

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S. No.	Name of Company	Principal Activities	Immediate holding company	Country of incorporation and principal place of business	% Ownership interest	
					Proportion of ownership interest and voting power held by the Group	
					As at 31 March 2025	As at 31 March 2024
13	Amazing Research Laboratories Limited (refer note 37)	Trading of generic formulations	Akums Drugs and Pharmaceuticals Limited	India	-	100%
14	May and Baker Pharmaceuticals Limited (refer note 37)	Trading of generic formulations	Akums Drugs and Pharmaceuticals Limited	India	-	100%
15	Akums Healthcare UK Limited*	Trading of international branded formulations	Akums Drugs and Pharmaceuticals Limited	UK	100%	-
Step down subsidiaries of Holding Company						
16	Medibox Pharma Private Limited	Trading of generic formulations	Maxcure Nutravedics Limited	India	100%	100%

*including investment done in compulsory convertible preference shares issued by Akumentis Healthcare Limited.

*Pursuant to the Board resolution passed on 6 February 2025, the Parent company in order to expand its operations have strategically invested in 1 share of Akums Healthcare UK Limited of face value of GBP 1 each.

35B Disclosure of interest in Subsidiaries and Non Controlling Interest

Summarized financial information for subsidiaries that have non-controlling interests that are material to the Group :-

(amounts before inter-company eliminations)

Particulars (Balance sheet)	Akumentis Healthcare Limited	
	As at 31 March 2025	As at 31 March 2024
Current assets	1,670.90	2,275.25
Non current assets	1,380.00	132.37
Current liabilities	1,052.53	1,069.85
Non current liabilities	48.18	46.67
Equity Interest attributable to the equity holders of the Company	1,950.19	1,291.10

Particulars (Profit or loss)	Year ended 31 March 2025	Year ended 31 March 2024
Revenue from operations	4,335.88	3,984.66
Other income	154.91	103.51
Expenses	3,615.97	3,331.46
Profit before tax	874.82	756.71
Tax expense	216.63	191.35
Profit for the year	658.19	565.36

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Particulars (Profit or loss)	Year ended 31 March 2025	Year ended 31 March 2024
Profit attributable to the equity holders of the Company	602.18	517.25
Profit attributable to the non controlling interest	56.01	48.11
Profit for the year	658.19	565.36
Items that will not be reclassified to profit and loss	0.89	(2.62)
Other comprehensive income	0.89	(2.62)
Other comprehensive income attributable to the equity holders of the Company	0.81	(2.40)
Other comprehensive income attributable to non controlling interest	0.08	(0.22)
Other comprehensive income	0.89	(2.62)
Total other comprehensive income attributable to the equity holders of the Company	602.99	514.85
Total other comprehensive income attributable to non controlling interest	56.09	47.89
Total other comprehensive income	659.08	562.74
Ownership held by non-controlling interests	8.51%	8.51%
Accumulated non-controlling interest at the end of the year	165.97	109.88
Net cash inflow from operating activities	400.46	558.55
Net cash (outflow) from investing activities	(286.48)	(542.24)
Net cash (outflow) from financing activities	(15.74)	(14.68)
Net Cash inflow / (outflow)	98.24	1.63

36 Earnings per equity share (EPS)

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Profit/ (loss) attributable to equity shareholders (₹)	3,381.76	(40.35)
Total number of equity shares outstanding at the end of the year	15,31,02,058	14,30,64,350
Weighted average number of equity shares in calculating basic and diluted EPS	14,96,09,486	14,30,64,350
Nominal value per share (₹)	2.00	2.00
Basic and Diluted EPS (₹)	22.60	(0.28)

37 Acquisitions and disposals

Disposals done during 2024-25

Loss of control acquired previously

During the previous year, the management as part of its corporate restructuring plan, had decided to disposed off its control in the following subsidiaries and presented the same under "Assets held for sale". The resultant gain / loss on the disposal of these subsidiaries had been accounted for in accordance with Ind AS 27 under consolidated financial statements for the financial year ended 31 March 2024 :-

Name of the entity	Sales consideration	Net assets as on the date of loss of control	Gain/ (loss) on disposal of control
Subsidiary			
Amazing Research Laboratories Limited	0.50	9.40	(8.90)
May and Baker Pharmaceuticals Limited	0.50	(0.31)	0.81
Hygosap Pharma Private Limited (formerly known as "Burroughs Welcome Pharmacia Private Limited")	0.03	3.03	(3.00)
	1.03	12.12	(11.09)

During the current year, management has disposed off the control in above subsidiaries.

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38 Contingent liabilities and litigations

Particulars	As at 31 March 2025	As at 31 March 2024
Claims against the Group not acknowledged as debt:		
(i) Income-tax matters (refer note (a) below)	776.67	776.67
(ii) Indirect tax matters (refer note (b) below)	29.61	-
(iii) Product pricing related matters (refer note (c) below)	106.40	106.40
(iv) Others (refer note (d), (e) and (f) below)	2.82	3.15

- (a) (i) Pursuant to the assessment of certain previous years (AY 2017-2018, AY 2018-2019, AY 2020-2021 and AY 2022-2023), department has raised demands of ₹ 42.23 millions (31 March 2024: ₹ 42.23 millions) on account of:

AY 2017-2018: Disallowance of deduction u/s 80IC and 35(2AB) of Income Tax Act, 1961 amounting to ₹ 11.51 millions.

AY 2018-2019: Disallowance of deduction u/s 35(2AB) and 37(1) of Income Tax Act, 1961 amounting to ₹ 6.26 millions.

AY 2020-2021: Initiation of penalty proceeding u/s 270 A of Income Tax Act, 1961 amounting to ₹ 11.08 millions.

AY 2022-2023: Addition on account of unexplained investment u/s 69 of Income Tax Act, 1961 amounting to ₹ 13.38 million.

The matter is pending at CIT (Appeal) level and based on the assessments by the management, consideration of merits of the case and external legal advice, the Holding company believes that there is a fair chance of winning the case. Accordingly, no further provisions, if any, are considered necessary to be recorded in these consolidated financial statements. "

- (ii) During the financial year 2021-22, one of the Group company has received a demand of ₹ 734.44 million vide assessment order passed under section 144 of the Income tax act, 1961 for the AY 2017-18. The Group company has contested against the order and has filed a writ petition contesting the demand. The petition is pending at Hon'ble High Court of Chandigarh which has granted.

Considering the demand raised pertains to period prior to acquisition and all the statutory liabilities have been given effect in the NCLT order passed on 12 January 2021, the said demand is considered to be non-tenable and hence no provision has been accounted for in the books of accounts.

- (b) (i) During the year, the State Tax Officer (GST) raised a demand of ₹ 5.97 million on Holding company in relation to the non reversal of common input tax credit under Rule 42 and 43 of the CGST Rules, pertaining to exempt supplies for the financial year 2017-18. The demand is based on the contention that the Holding company was required to reverse input tax credit attributable to exempt supplies. However, the Holding company has earned only interest income during the said period, which, as per the provisions of Rule 42 and 43 of the CGST Rules, is not considered as an 'exempt supply' for the purpose of input tax credit reversal.

The matter is currently pending before the Appellate Authority (GST). Based on an internal assessment by the management, consideration of merits of the case and consultations with external tax experts, the management is of the view that the Holding company has a likely chance of a favourable outcome. Accordingly, no provision has been made in these standalone financial statements in respect of the said demand.

- (ii) In previous years, the GST department issued a notice to one of a Group company amounting to ₹ 0.41 million & ₹ 2.06 million for the financial year 2017-2018 and 2020-2021 respectively on account excess claim of input tax credit (ITC) and availment of ineligible ITC.

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The matter is currently pending before the Appellate Authority (GST). Based on an internal assessment by the management and consideration of merits of the case, the management is of the view that the Group company has a likely chance of a favourable outcome. Accordingly, no provision has been made in these financial statements in respect of the said demand.

- (iii) In previous years, the GST department issued a notice to Akums Lifesciences Limited, which is now a distinct unit of one of the Group company following a merger, demanding ₹ 10.10 million and ₹ 4.64 million for the financial years 2017-18 and 2018-19, respectively. Holding company, acquired Akums Lifesciences Limited, previously known as Parabolic Drugs Limited, through the NCLT on January 21, after which it merged with one of the Group company (Refer note 54 (c)). Given that the demand relates to a period before the acquisition of the transferor company and all statutory liabilities were addressed in the NCLT order dated January 12, 2021, this demand is deemed untenable, and therefore, no provision has been recorded in the financial statements."
- (iv) During the year, the State Tax Officer (GST) raised a demand on one of the Group company amounting ₹ 0.58 million in relation to the non reversal of common input tax credit under Rule 42 and 43 of the CGST Rules, pertaining to exempt supplies for the financial year 2017-18. The demand is based on the contention that the Group company was required to reverse input tax credit attributable to exempt supplies. However, the Group company has earned only interest income during the said period, which, as per the provisions of Rule 42 and 43 of the CGST Rules, is not considered as an 'exempt supply' for the purpose of input tax credit reversal.

The matter is currently pending before the Appellate Authority (GST). Based on an internal assessment by the management, consideration of merits of the case and consultations with external tax experts, the management is of the view that the Group company has a likely chance of a favourable outcome. Accordingly, no provision has been made in these standalone financial statements in respect of the said demand.

- (v) During the year, the State Tax Officer (GST) raised a demand on one of the Group company amounting ₹ 1.18 million in relation to interest amount on gst liability for the FY 2017-18. Originally we have filed an appeal against this order, later on department has issued circular that, if any demand order has been issued for the FY 2017-18, 2018-19 & 2019-20 and taxpayer has paid Tax amount then Interest & Penalty will be waived off.

After discussion with legal counsel waiver application (SPL-02) has been filled on 07-02-2025 so that interest demand will be waived off. Based on an internal assessment by the management, consideration of merits of the case and consultations with external tax experts, the management is of the view that the Company has a likely chance of a favourable outcome. Accordingly, no provision has been made in these standalone financial statements in respect of the said demand."

- (vi) During the current year, the GST department has issued a demand of ₹ 4.67 million against one of the Group companies for the financial year 2018-19. This demand pertains to a shortfall in tax payment reported in the GSTR-3B for April 2018, compared to the liability stated in the GSTR-1 for the same month. However, it is important to note that the management of the Group company had already settled the liability in the GSTR-3B for March 2018 and reported it in the GSTR-1 for April 2018, which falls in the subsequent financial year.

The matter is currently pending before the Appellate Authority (GST). Based on an internal assessment by the management, consideration of merits of the case and consultations with external tax experts, the management is of the view that the Group company has a likely chance of a favourable outcome. Accordingly, no provision has been made in these standalone financial statements in respect of the said demand."

- (c) One of the group company is involved in a legal suit in respect of pricing on product with Drug Price Control Orders (u/s 3 of the Essential Commodities Act, 1955). National Pharmaceutical Pricing Authority ('NPPA') has filed a legal case on one of the group

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company for ₹ 44.26 million on account of increased MRP. NPPA, vide its order dated 29.11.2023, increased the recovery amount to ₹ 106.40 million on account of levy of interest on overcharged amount for the period from March 2014 to November 2023.

The Group company believes that there is a fair chance of favourable decision in this matter and accordingly, no provision has been considered necessary at these stage.

- (d) Legal suit filed against the one of the Group company for the defect in the material supplied. The amount of claim filed amounts to ₹ 2.02 millions (31 March 2024 : ₹ 2.02 millions). However, based on discussions with the solicitors, the Management believes that the Group company has a good chance of success in above-mentioned cases and hence, no provision is considered necessary.
- (e) One of the customer has filed counter claim of ₹ 0.80 million which was accepted by the arbitrator. One of the Group Company has filed an appeal against the same in Honourable Delhi high Court which has been accepted and is pending before in the court. Based on discussion with the advocate there is a fair chance of favourable decision and hence no provision is considered against the same.
- (f) In earlier years, a vendor had initiated legal proceedings against the Holding company in relation to an outstanding payment for materials supplied, claiming an amount of ₹ 0.33 million. The Holding company contested the claim and submitted all relevant documentation in support of its position. Based on a detailed evaluation of the case and upon consultation with legal counsel, the Holding company opted to resolve the matter through mediation. Consequently, in July 2024, the Holding company entered into a settlement agreement with the vendor and made a payment of ₹ 0.50 million as full and final settlement of the dispute. As the matter has been conclusively settled during the year, no contingent liability exists as at the end of the year.

39 Capital and other commitments

Particulars	As at 31 March 2025	As at 31 March 2024
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	733.52	929.28

40 Employees benefits**A. Defined contribution plan**

The amount recognised as expense towards contribution to defined contribution plans for the period is as below:

Particulars	As at 31 March 2025	As at 31 March 2024
(a) Group's contribution to provident fund	209.62	191.82
(b) Group's contribution to Employees' State Insurance Scheme	11.03	12.45
	220.65	204.27

B. Defined benefit plan - Gratuity

Particulars	As at 31 March 2025	As at 31 March 2024
Non-current	263.69	219.13
Current	92.98	72.92
	356.67	292.05

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(i) Changes in the present value of defined benefit obligation recognised in the consolidated balance sheet

Particulars	As at 31 March 2025	As at 31 March 2024
Present value of the obligation as at the beginning of the year	292.05	203.33
Interest cost	21.05	14.90
Service cost	52.07	46.10
Benefits paid	(23.09)	(22.78)
Actuarial loss	14.59	50.50
Present value of the obligation as at end of the year	356.67	292.05

(ii) Expense recognised in the consolidated statement of profit and loss consists of:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Service cost	52.07	46.10
Interest cost	21.05	14.90
Net impact on consolidated profit before tax	73.12	61.00
Actuarial loss recognised during the year	14.59	50.50
Amount recognised in total comprehensive income	87.71	111.50

(iii) Breakup of actuarial (gain)/ loss :

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Actuarial (gain)/ loss from change in demographic assumption	1.39	11.25
Actuarial (gain)/ loss from change in financial assumption	(14.67)	287.27
Actuarial (gain)/ loss from experience adjustment	27.87	(248.02)
Total actuarial loss	14.59	50.50

(iv) Change in fair value of plan assets

There are no plan assets against the aforesaid liability. Therefore, the return of change in fair value of plan assets has not been given.

(v) Actuarial assumptions

Particulars	As at 31 March 2025	As at 31 March 2024
Discount rate (per annum)	6.99%	7.22%
Future salary increase (per annum)	10.00%	12.00%
Withdrawal rate		
Up to 30 Years	24%	26%
From 31 to 44 years	24%	26%
Above 44 years	24%	26%
Retirement age	58 years	58 years
Mortality rate	100% of IALM (2012-14)	100% of IALM (2012-14)
Average future service (in years)	22.87 years	23.11 years

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Notes:

- The discount rate is based on the prevailing market yield of Indian Government bonds as at the balance sheet date for the estimated terms of obligations.
- The estimates of future salary increases considered takes into account the inflation, seniority, promotion and other relevant factors.

(vi) Sensitivity analysis for gratuity liability

Particulars	As at 31 March 2025	As at 31 March 2024
Impact of change in discount rate		
Present value of obligation at the end of the year	356.67	292.05
- Impact due to increase of 0.5 %	(5.09)	(4.45)
- Impact due to decrease of 0.5 %	5.26	4.62
Impact of change in salary increase		
Present value of obligation at the end of the year	356.67	292.05
- Impact due to increase of 0.5 %	4.90	4.18
- Impact due to decrease of 0.5 %	(4.81)	(4.10)

The above sensitivity analysis is based on a change an assumption while Holding all other assumptions constant. In practice, this is unlikely to occur and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied which was applied while calculating the defined benefit obligation liability recognised in the consolidated balance sheet.

Maturity profile of defined benefit obligation (discounted)

Particulars	As at 31 March 2025	As at 31 March 2024
Within next 12 months	91.32	71.74
Between 1-5 years	191.67	159.39
Beyond 5 years	73.68	60.92
	356.67	292.05

(vii) Expected contribution

The expected future employer contributions for defined benefit plan ₹ 85.78 millions as at 31 March 2024 (31 March 2024 : ₹ 64.83 millions).

(viii) Other long-term employee benefits

An amount of ₹ 44.79 millions (31 March 2024 : ₹ 68.72 millions) pertains to expense towards compensated absences.

41 Assets pledged as security (refer notes 17 and 21)

Particulars	As at 31 March 2025	As at 31 March 2024
Current		
Non- Financial Assets		
Inventories	6,174.01	6,291.03
Other current assets	1,574.10	1,310.87

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Particulars	As at 31 March 2025	As at 31 March 2024
Financial Assets		
Cash and cash equivalents	457.65	475.40
Other bank balances	1,724.50	1,616.25
Loans	-	-
Other financial assets	441.34	140.55
Trade receivables*	7,702.96	8,338.12
Total current assets pledged as security	18,074.56	18,172.22
Non-current Assets		
Non- Financial Assets		
Property, plant and equipment	9,825.07	7,858.71
Capital work-in-progress	169.04	115.73
Total non-current assets pledged as security	9,994.11	7,974.44
Total assets pledged as security	28,068.67	26,146.66

*Total trade receivables pledged at individual company level, amounts to ₹ 7,743.24 millions (Previous year: ₹ 9,213.75 million) but due to inter company eliminations, total receivables amounts to ₹ 7,702.96 millions (Previous year: ₹ 8,338.12 million) and hence complete amount is shown as pledged.

42 Related party disclosures

In accordance with Ind AS-24 on related party disclosures where control exist and where transactions have taken place and description of the relationships as identified and certified by the management are as follows:

I. Relationships

(a) Where control exists

Mr Sandeep Jain and Mr Sanjeev Jain exercise joint control over the Holding Company.

(b) Key management personnel (KMP)

Name	Designation
Mr. Sandeep Jain	Managing Director
Mr. Sanjeev Jain	Managing Director
Mr. Basant Kumar Singh	Whole Time Director (till 17 th January 2024)
Mr. Sanjay Kumar Sinha	Whole Time Director (from 17 th January 2024)
Mr. Nand Lal Kalra	Independent Director (till 04 th February 2025)
Mr. Kewal Handa	Independent Director
Ms. Matangi Gowrishankar	Independent Director
Mr. Satwinder Singh	Independent Director (from 17 th January 2024)
Mr. Amit Varma	Nominee Director (till 15 th January, 2024)
Mr. Sunil Kumar Thakur	Non-Executive & Non-independent Director (from 17 th January 2024)
Mr. Dharamvir Malik	Company Secretary
Mr. Sumeet Sood	Chief Financial Officer

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(c) Relatives of KMP*

Mr. Kanishk Jain
 Mr. D.C. Jain (till 19 March 2024)
 Mr. Manan Jain (till 15 June 2024)
 Ms. Archana Jain
 Ms. Arushi Jain
 Ms. Lata Jain
 Ms. Shivangi Jain (from 4 May 2024)
 Mr. Umang Jain

(d) Entities where significant influence is exercised by KMP and/or their relatives*

Akums Health and Education Society
 Akums Foundation
 Welcure Pharmaceuticals Private Limited
 Akome Lifecare Private Limited
 May and Baker Pharmaceuticals Limited (from 1 April 2024)
 AVHA Lifesciences Private Limited
 Hygosap Pharma Private Limited (from 1 April 2024)
 German Remedies Lifesciences Limited
 American Remedies Lifesciences Limited
 Dhanwantri Vedaresearch LLP
 Akum Impex LLP

*with whom the transactions have occurred during the year.

#as per Companies Act, 2013.

II Summary of related party transactions [refer note 45(I) above, for relationships of related parties] -**(a) Transactions during the year**

Particulars	31 March 2025	31 March 2024
Rent paid		
KMP's		
Mr. D.C Jain	-	0.56
Mr. Sandeep Jain	25.40	25.41
Mr. Sanjeev Jain	24.42	24.19
Ms. Lata Jain	0.46	0.46
Ms. Archana Jain	0.67	0.67
Entities where significant influence is exercised by KMP and/or their relatives		
Akome Lifecare Private Limited (formerly Sanjain Lifecare Private Limited)	68.58	69.86
Corporate social responsibility		
Entities where significant influence is exercised by KMP and/or their relatives		
Akums Foundation	13.26	4.51

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Particulars	31 March 2025	31 March 2024
Professional charges paid		
KMP's		
Mr. D.C Jain	-	6.02
Mr. Kewal Handa	1.70	1.30
Ms. Matangi Gowrishankar	1.20	1.10
Remuneration paid#		
KMP's		
Mr. Sanjeev Jain	81.80	54.22
Mr. Sandeep Jain	81.80	53.67
Mr. Sanjay Kumar Sinha	13.17	2.10
Mr. Kanishk Jain	7.26	6.93
Mr. Basant Kumar Singh	-	4.30
Mr. Manan Jain	0.27	0.45
Mr. Umang Jain	2.40	0.20
Mr. Sumeet Sood	22.36	22.47
Ms. Arushi Jain	7.63	6.94
Ms. Lata Jain	5.51	5.05
Ms. Archana Jain	5.40	5.05
Ms. Shivangi Jain	2.18	-
Mr. Dharamvir Malik	2.99	2.68
Sales of goods and others		
Entities where significant influence is exercised by KMP and/or their relatives		
Akums Heath and Education Society	0.04	1.12
Akums Foundation	11.38	4.46
May and Baker Pharmaceuticals Limited	35.60	-
Sales of property, plant and equipment		
Entities where significant influence is exercised by KMP and/or their relatives		
Akums Heath and Education Society	0.21	0.47
Sale of investment in subsidiaries		
Entities where significant influence is exercised by KMP and/or their relatives		
Dhanwantri Vedaresearch LLP	1.03	-
Purchase of goods and others		
Entities where significant influence is exercised by KMP and/or their relatives		
Akome Lifecare Private Limited	42.94	0.65
May and Baker Pharmaceuticals Limited	0.28	-
Expenses paid		
Entities where significant influence is exercised by KMP and/or their relatives		
May and Baker Pharmaceuticals Limited	0.02	-
KMP's		
Mr. Nand Lal Kalra	-	0.02
Expenses incurred on behalf of other related party		
Entities where significant influence is exercised by KMP and/or their relatives		
Akome Lifecare Private Limited (formerly Sanjain Lifecare Private Limited)	3.27	1.77
May and Baker Pharmaceuticals Limited	0.21	-

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Particulars	31 March 2025	31 March 2024
Expenses paid by other related party		
Entities where significant influence is exercised by KMP and/or their relatives		
Akome Lifecare Private Limited	14.21	2.08
AVHA Lifesciences Private Limited	0.10	-
May and Baker Pharmaceuticals Limited	0.51	-
Director sitting fees		
KMP's		
Mr. Kewal Handa	1.80	1.70
Mr. Nand Lal Kalra	1.70	1.16
Mr. Dharamvir Malik	-	0.04
Ms. Matangi Gowrishankar	1.90	1.70
Mr. Satwinder Singh	1.90	0.50
Ms. Arushi Jain	0.02	-
Royalty expense		
Entities where significant influence is exercised by KMP and/or their relatives		
Welcure Pharmaceuticals Private Limited	-	0.12

(b) Balance outstanding at year end**

Particulars	As at 31 March 2025	As at 31 March 2024
Trade receivable		
Entities where significant influence is exercised by KMP and/or their relatives		
Akums Health and Education Society	0.25	1.28
May and Baker Pharmaceuticals Limited	0.26	-
Akums Foundation	0.01	-
Akome Lifecare Private Limited	0.18	-
Trade payable		
Entities where significant influence is exercised by KMP and/or their relatives		
Akome Lifecare Private Limited	6.48	-
May and Baker Pharmaceuticals Limited	0.21	-
Remuneration payable		
KMP's		
Mr. Sanjeev Jain	2.30	10.00
Mr. Sandeep Jain	2.70	10.00
Mr. Sumeet Sood	0.78	4.83
Mr. Sanjay Kumar Sinha	0.80	2.00
Mr. Dharamvir Malik	0.22	-
Ms. Arushi Jain	0.44	-
Mr. Umang Jain	0.17	-
Ms. Shivangi Jain	0.15	-
Ms. Lata Jain	0.29	-
Mr. Kanishk Jain	0.50	-
Ms. Archana Jain	0.31	-

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Particulars	As at 31 March 2025	As at 31 March 2024
Advance received against sale of shares		
Entities where significant influence is exercised by KMP and/or their relatives		
Dhanwantri Veda Research LLP	-	1.03
Security deposit		
KMP's		
Mr. Sandeep Jain	5.00	5.00
Mr. Sanjeev Jain	5.00	5.00

*excludes the post employment benefits and other long term benefits as being done on lumpsum for all the employees of the Group as a whole.

*Unless otherwise stated, all related party transactions have been entered on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash.

**Outstanding balances at reporting period end are unsecured and moreover, are not material to the Group.

##IPO expenses incurred as disclosed in note 12 and 13 to these consolidated financial statements are to be borne by the Holding company and the selling shareholders. Portion of these expenses are recoverable from selling shareholders in proportionate to shares that will be offered to the public in the proposed IPO.

43 Disclosure required under Ind AS 115 - Revenue from customers

A Disaggregation of revenue:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Sale of products		
Revenue from sale of goods - manufactured	36,830.20	35,398.96
Revenue from sale of goods - traded goods	3,308.61	4,313.11
Other operating revenue		
Job work	572.12	484.75
Testing and other charges	263.40	1,392.76
Scrap sales	207.25	192.24
	41,181.58	41,781.82

Refer note 47 for segment revenue

B Contract balances

The following table provides information about receivables and contract liabilities from contract with customers:

Particulars	As at 31 March 2025	As at 31 March 2024
Contract liabilities		
Advance received from customers	230.96	289.03
Refund liabilities	417.32	432.70
Total contract liabilities	648.28	721.73
Receivables		
Right to recover products from customers	56.75	61.38

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C Significant changes in the contract liabilities balances during the period are as follows:

Particulars	As at 31 March 2025		As at 31 March 2024	
	Contract liabilities		Contract liabilities	
	Advances from customers	Refund liabilities	Advances from customers	Refund liabilities
Opening balance	289.04	432.70	1,084.70	377.22
Addition during the year	230.96	(15.38)	289.04	55.48
Revenue recognised/ adjustment during the year	289.04	-	1,084.70	-
Closing balance	230.96	417.32	289.04	432.70

Receivable is the right to consideration in exchange for goods or services transferred to the customer. Contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration from the customer in advance. The amounts receivable from customers become due after expiry of credit period which on an average is less than 30 days. There is no significant financing component in any transaction with the customers.

The Group does not have any remaining performance obligation as contracts executed for sale of goods are for a short duration. There are no contracts for sale of services wherein, performance obligation is unsatisfied to which transaction price has been allocated. In respect of sales with a right to return, the Group recognises a provision for right of return (refund liabilities) which is measured based on the Group's estimate of expected sales returns.

44 Financial instruments**A Financial instruments by category**

The carrying value of financial instruments by categories were as follows:

Particulars	As at 31 March 2025	As at 31 March 2024
Financial assets carried at amortised cost		
Trade receivables	7,702.96	8,338.12
Cash and cash equivalents	1,011.91	1,110.50
Other bank balances	4,752.60	1,660.03
Other financial assets	816.84	547.22
Total financial assets	14,284.31	11,655.87
Financial assets carried at fair value through profit and loss		
Investments	1.43	1.43
Total financial assets	14,285.74	11,657.30
Financial liabilities carried at amortised cost		
Borrowings	136.55	4,915.55
Trade payables	6,427.85	5,321.32
Lease liabilities	745.57	736.70
Other financial liabilities	1,675.71	1,887.05
Financial liabilities carried at fair value through profit and loss		
Liability arising out of put option	-	13,653.78
Total financial liabilities	8,985.68	26,514.40

The carrying amount of trade receivables, trade payables, loans, investments, borrowings, lease liabilities, other financial assets/liabilities and cash and cash equivalent are considered to be the same as their fair values, due to short-term in nature.

The carrying value of the amortised financial assets and liabilities approximate to the fair value on the respective reporting dates.

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B. Fair values hierarchy

Financial assets and financial liabilities are measured at fair value in the financial statements and are grouped into three Levels of a fair value hierarchy. The three levels are defined based on the observability of significant inputs to the measurement, as follows:

The categories used are as follows:

Level 1: Quoted prices (unadjusted) for identical instruments in an active market;

Level 2: Directly (i.e. as prices) or indirectly (i.e. derived from prices) observable market inputs, other than Level 1 inputs; and

Level 3: Inputs which are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a net asset value or valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

B.1 Financial assets measured at fair value - recurring fair value measurements

Particulars	Year ended	Level 1	Level 2	Level 3	Total
Financial assets at fair value through profit and loss					
Investment in equity instruments	31 March 2025	-	-	1.43	1.43
	31 March 2024	-	-	1.43	1.43

B.2 Financial liabilities measured at fair value - recurring fair value measurements

Particulars	Year ended	Level 1	Level 2	Level 3	Total
Financial liabilities at fair value through profit and loss					
Liability arising out of put option	31 March 2025	-	-	-	-
	31 March 2024	-	-	13,653.78	13,653.78

B.3 Valuation process and technique used to determine fair value

Specific valuation techniques used to value financial instruments include:

- for current investment directly observable market inputs, other than level 1 inputs have been used.
- for liability arising on account of put option, adjusted discounted cash flow method (income approach) has been used.
- Investment in equity instruments are measure at fair valued through profit or loss. As there is no significant difference between carrying value and fair value, hence, valued at cost.

The following table summarises the quantitative information about the significant unobservable inputs used in level 3 fair value measurements.

Particulars	Fair value		Significant unobservable inputs
	As at 31 March 2025	As at 31 March 2024	
Liability arising out of put option (refer note 18.1)	-	13,653.78	Growth rate & discount rate

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B.4 Sensitivity analysis

Description	As at 31 March 2025	As at 31 March 2024
Impact on liability arising on account of put options fair value if change in growth rate		
- Impact due to increase of 0.5%	-	547.86
- Impact due to decrease of 0.5%	-	(493.37)
Impact on liability arising on account of put options fair value if change in discount rate		
- Impact due to increase of 0.5%	-	(868.68)
- Impact due to decrease of 0.5%	-	966.09

B.5 The following table presents the changes in put option fair value measured in level 3 for the year ended 31 March 2024 and 31 March 2025

Particulars	Liability arising out of put option
As at 1 April 2023	10,076.05
Add: fair value changes during the year*	3,577.74
As at 31 March 2024	13,653.79
Add: fair value changes during the year*	(38.67)
Less: On account of reversal of put option liability (refer note 18.1)	13,615.12
As at 31 March 2025	-

*Disclosed in consolidated Statement of profit and loss for the year ended 31 March 2025 and 31 March 2024 and also refer note 18.1.

B.6 The following table presents the changes in investment in equity instruments measured at level 3 for the year ended on 31 March 2024 and 31 March 2025:

Particulars	Investment in equity instruments
As at 1 April 2022/ 31 March 2023 and 31 March 2024	1.43

Valuation inputs and relationships to fair value

Particulars	Valuation Technique	Significant unobservable inputs	Inter relationship between significant unobservable inputs and fair value measurement
Investment in equity instruments (unquoted)	Fair valued through profit or loss. As there is no significant difference between carrying value and fair value, hence, valued at cost.	It is a SPV contract for Effluent treatment plant.	The estimated value would increase/(decrease) in profit before tax on completion of significant part of SPV Contract.

Financial risk management**Financial risk management objectives and policies**

The Group's principal financial liabilities comprise borrowings, trade payables and other payables. The main purpose of these financial liabilities is to finance the Group's operations. The Group's principal financial assets include loans, investments, trade and other receivables, cash and cash equivalents and other financial assets.

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The Group is exposed to market risk, credit risk and liquidity risk. The Group's management oversees the management of these risks and also ensure that the Group's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Group's policies and risk objectives.

The Board of Directors reviews and agrees policies for managing each of these risks, which are summarised below:

Financial risk factors

The Group's activities expose it to a variety of financial risks:

- Market risk
- Credit risk
- Liquidity risk

The primary market risk to the Group is foreign exchange risk. The Group's exposure to credit risk is influenced mainly by the individual characteristic of each customer and the concentration of risk from the top few customers.

(a) Market risk

(i) Foreign currency risk

The entities of the Group has international transactions and is exposed to foreign exchange risk arising from foreign currency transactions. Foreign exchange risk arises from future commercial transactions and recognised assets and liabilities denominated in a currency that is not the entity's functional currency. The Group does not use forward contracts and swaps for managing risks associated with foreign currency nor used for speculative purposes.

Foreign currency risk exposure:

Particulars	31 March 2025		31 March 2024	
	Foreign currency	₹ million	Foreign currency	₹ million
Trade receivables (USD)	78,96,925	668.51	66,80,895	551.85
Trade receivables (Euro)	6,13,780	54.28	5,87,535	52.14
Trade and other payables (JPY)	-	-	22,000	0.01
Trade and other payables (Euro)	16,675	1.53	39,113	3.52
Trade and other payables (GBP)	646	0.07	-	-
Trade and other payables (OMR)	2,100	0.47	-	-
Trade and other payables (USD)	54,11,349	468.15	38,07,967	318.80
Total	1,39,41,475	1,193.01	1,11,37,510	926.32

Sensitivity

The sensitivity of profit or loss to changes in the exchange rates arises mainly from foreign currency denominated financial instruments.

Particulars	Currency	31 March 2025		31 March 2024	
		Increase	Decrease	Increase	Decrease
INR/USD- change by 1%*	USD	2.00	(2.00)	2.33	(2.33)
(31 March 2024: 1%)					
INR/Euro- change by 1%*	Euro	0.53	(0.53)	0.52	(0.52)
(31 March 2024: 1%)					
INR/JPY- change by 1%*	JPY	-	-	(0.00)	0.00
INR/GBP- change by 1%*	GBP	(0.00)	0.00	-	-
INR/OMR- change by 1%*	OMR	(0.00)	0.00	-	-

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(ii) Interest rate risk**(a) Financial liabilities**

The Group's policy is to minimise interest rate cash flow risk exposures on long-term financing. At year end, the Group is exposed to changes in market interest rates through bank borrowings at variable interest rates. The Group's investments in fixed deposits contractually carry fixed interest rates.

The entity's investments in fixed deposits contractually carry fixed interest rates.

Below is the overall exposure of the entity to interest rate risk:

Particulars	As at 31 March 2025	As at 31 March 2024
Variable rate borrowing	136.55	3,676.95
Fixed rate borrowing	-	1,238.60
Total borrowings	136.55	4,915.55

Sensitivity

Below is the sensitivity of profit or loss and equity changes in interest rates.

Particulars	As at 31 March 2025	As at 31 March 2024
Interest sensitivity*		
Interest rates – increase by 100 basis points	(1.37)	(36.77)
Interest rates – decrease by 100 basis points	1.37	36.77

*Holding all other variables constant

(b) Financial assets

The group's deposits with banks are carried at amortised cost and are fixed rate instruments. They are, therefore, not subject to interest rate risk as defined in Ind AS 107, since neither the carrying amount nor the future cash flows will fluctuate because of a change in market interest rates.

(iii) Price risk**Exposure**

The Group is in the business of pharmaceuticals wherein any increase in the prices is passed on to the customer and hence the Group is not exposed to material price risk.

(b) Credit risk

Credit risk is the risk that a counterparty fails to discharge its obligation to the Group. The Group's exposure to credit risk is influenced mainly by investments in cash and cash equivalents, trade receivables and other financial assets measured at amortised cost. The Group continuously monitors defaults of customers and other counterparties and incorporates this information into its credit risk controls.

(i) Credit risk management

The Group assesses and manages credit risk based on internal credit rating system. Internal credit rating is performed for each class of financial instruments with different characteristics. The Group assigns the following credit ratings to each class of financial assets based on the assumptions, inputs and factors specific to the class of financial assets.

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- (i) Low credit risk
- (ii) Moderate credit risk

Based on business environment in which the Group operates, a default on a financial asset is considered when the counter party fails to make payments within the agreed time period as per contract. Loss rates reflecting defaults are based on actual credit loss experience and considering differences between current and historical economic conditions.

Assets are written off when there is no reasonable expectation of recovery, such as a debtor declaring bankruptcy or a litigation decided against the entities of the Group. The Group continues to engage with parties whose balances are written off and attempts to enforce repayment. Recoveries made are recognised in the consolidated statement of profit and loss.

The Company provides for expected credit loss based on the following:

Basis of categorisation	Asset class exposed to credit risk	Provision for expected credit loss
Low credit risk	Loans, investments, cash and cash equivalents, other bank balances, financial assets measured at amortised cost	12 month expected credit loss
Moderate credit risk	Trade receivables	Trade receivables - Life time expected credit loss

Financial assets that expose the entity to credit risk –

As at 31 March 2025

Particulars	Estimated gross amount at default	Expected credit losses	Carrying amount net of impairment provision
Low credit risk			
Cash and cash equivalents	1,011.91	-	1,011.91
Other bank balances	4,752.60	-	4,752.60
Investments	1.43	-	1.43
Other financial assets	880.57	(63.73)	816.84
Moderate credit risk			
Trade receivables	8,195.43	(492.47)	7,702.96
Total	14,841.94	(556.20)	14,285.74

As at 31 March 2024

Particulars	Estimated gross amount at default	Expected credit losses	Carrying amount net of impairment provision
Low credit risk			
Cash and cash equivalents	1,110.50	-	1,110.50
Other bank balances	1,660.03	-	1,660.03
Investments	1.43	-	1.43
Loans	-	-	-
Other financial assets	547.22	-	547.22
Moderate credit risk			
Trade receivables	8,560.67	(222.55)	8,338.12
Total	11,879.85	(222.55)	11,657.30

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All of the entity's financial assets (other than trade receivables) measured at amortised cost, are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months' expected losses. Management consider 'low credit risk' for cash and cash equivalents and other bank balances being maintained with scheduled banks. Other instruments are considered to have low credit risk when they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

The expected loss rates are based on the payment profiles of sales over a period of 36 months before the reporting date and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The group has identified the GDP and the unemployment rate of the countries in which it sells its goods and services to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

Trade receivables are written off where there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group, and a failure to make contractual payments for a period of greater than 180 days past due.

Impairment losses on trade receivables and contract assets are presented as net impairment losses. Subsequent recoveries of amounts previously written off are credited against the same line item.

The Group assumes increase in credit risk since initial recognition when financial assets are more than 30 days past due.

The carrying amounts of financial assets above represents the maximum exposure to credit risk.

(ii) Expected credit loss for trade receivables under simplified approach

31 March 2025	Gross carrying amount	% of expected credit losses	Allowance for expected credit losses	Carrying amount net of loss allowance
Amount not yet due	5,151.16	-	-	5,151.16
Between one to six month overdue	1,988.09	-	(0.09)	1,988.00
Between six month to one year overdue	218.45	5.69%	(12.42)	206.03
Greater than one year overdue	837.73	57.29%	(479.96)	357.77
Total	8,195.43		(492.47)	7,702.96

31 March 2024	Gross carrying amount	% of expected credit losses	Allowance for expected credit losses	Carrying amount net of loss allowance
Amount not yet due	4,668.07	-	-	4,668.07
Between one to six month overdue	2,827.04	0.00%	-	2,827.04
Between six month to one year overdue	274.43	0.44%	(1.20)	273.23
Greater than one year overdue	791.13	27.98%	(221.35)	569.78
Total	8,560.67		(222.55)	8,338.12

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Reconciliation of loss provision – Trade receivables

Particulars	Total
Loss allowance on 1 April 2023	147.48
provision charged during the year	115.27
Provision reversed during the year	(40.20)
Loss allowance on 31 March 2024/ 1 April 2024	222.55
provision charged during the year	291.77
Provision reversed during the year	(21.85)
Loss allowance on 31 March 2025	492.47

(d) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due.

Management monitors rolling forecasts of the entity's liquidity position and cash and cash equivalents on the basis of expected cash flows. The entity takes into account the liquidity of the market in which the entity operates.

i. Financing arrangements (un-utilised)

Particulars	As at 31 March 2025	As at 31 March 2024
Working capital facility	9,279.50	7,051.37
Term loan facility	1,362.00	450.00

ii. Maturities of financial liabilities (excluding finance cost obligation for future payments, as applicable)

The tables below analyse the Group's financial liabilities into relevant maturity profile based on their contractual maturities.

As at 31 March 2025	Less than 1 year	1 - 5 years	More than 5 years	Total
Non-derivatives				
Borrowings	136.55	-	-	136.55
Trade payable	6,427.85	-	-	6,427.85
Lease liabilities	72.30	92.80	580.47	745.57
Other financial liabilities	1,333.27	342.44	-	1,675.71
Total	7,969.97	435.24	580.47	8,985.68

As at 31 March 2024	Less than 1 year	1 - 5 years	More than 5 years	Total
Non-derivatives				
Borrowings	4,132.58	782.97	-	4,915.55
Trade payable	5,321.32	-	-	5,321.32
Lease liabilities	57.65	145.29	533.75	736.69
Other financial liabilities	1,581.37	13,959.46	-	15,540.83
Total	11,092.92	14,887.72	533.75	26,514.39

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45 Taxes

Income tax expense in the consolidated statement of profit and loss comprises:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Current tax		
- for current year	813.67	740.25
- for earlier years	(16.18)	15.18
Deferred tax charge/(reversal)		
- for current year	(794.29)	166.67
- for earlier years	11.56	-
- Tax effect on other comprehensive income(OCI)	(2.67)	(13.72)
Adjustment on account of merger (refer note 54 (c))		
- Income-tax for earlier years	-	(182.90)
- Deferred tax	-	(1,199.88)
Tax expense	12.09	(474.40)

(a) Current tax

- a) Reconciliation of tax expense applicable to profit before tax at the latest statutory enacted tax rate in India to income tax expense reported is as follows:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Profit/ (loss) before income-tax	3,452.53	(452.78)
Income tax using the Company's domestic tax rate*	25.17%	25.17%
Expected tax expense [A]	868.93	(113.96)
Tax effect of adjustment to reconcile expected income tax expense to reported income tax expense		
Effect of non-deductible expenses/ impact of tax rates	(35.83)	906.92
Income tax on Capital gains	-	15.41
Effect of write-off in value of investment	-	(60.40)
Deferred tax asset not recognised on current year business loss of Group companies	201.75	145.68
Tax for earlier years	(4.62)	15.18
Set off for previous years unabsorbed losses	-	(53.06)
Derogation of (Deferred Tax Liability)/ Deferred Tax Assets due to closure of business	-	16.04
Recognition of deferred tax assets on carry forward business losses	(1,060.23)	
Others (including impact on other comprehensive income)	42.09	36.57
Impact on account of merger (refer note 54 (c))		
Income- tax for earlier years - due to impact of merger	-	(182.90)
Recognition of deferred tax assets on carry forward business losses	-	(1,199.88)
Total adjustments [B]	(856.84)	(360.44)
Actual tax expense [C=A+B]	12.09	(474.40)
*Domestic tax rate applicable to the Company has been computed as follows		
Base tax rate	22.00%	22.00%
Surcharge (% of tax)	10.00%	10.00%
Cess (% of tax)	4.00%	4.00%
Applicable rate of tax	25.17%	25.17%

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(b) Changes in deferred tax assets and liabilities for the year ended 31 March 2025:

Particulars	As at 31 March 2024	Recognised in OCI	Recognised in profit and loss	As at 31 March 2025
Deferred tax liability consists of:				
Temporary difference of book and tax depreciation	631.23	-	(35.20)	596.03
Right-of-use assets	183.33	-	16.02	199.35
Right to recover products from customer	15.45	-	(1.17)	14.28
	830.01	-	(20.35)	809.66
Deferred tax assets consists of:				
Temporary difference of book and tax depreciation	5.35	-	(0.75)	4.60
Items that are tax deductible on payment basis	177.62	2.67	(27.31)	152.98
Provision for expected credit loss	36.06	-	39.74	75.80
Lease liabilities	199.63	-	9.58	209.21
Refund liability	108.91	-	(3.87)	105.04
Carried forward business losses	1,374.89	-	756.54	2,131.43
MAT credit entitlement	36.64	-	(27.57)	9.07
Others	-	-	16.02	16.02
Net deferred tax asset / (liability)	1,939.10	2.67	762.38	2,704.15
Total	(1,109.09)	(2.67)	(782.73)	(1,894.49)

Changes in deferred tax assets and liabilities for the year ended 31 March 2024:

Particulars	As at 31 March 2023	Recognised in OCI	Recognised in profit and loss	As at 31 March 2024
Deferred tax liability consists of:				
Temporary difference of book and tax depreciation	607.51	-	23.72	631.23
Right-of-use assets	141.86	-	41.47	183.33
Right to recover products from customer	10.86	-	4.59	15.45
	760.23	-	69.78	830.01
Deferred tax assets consists of:				
Temporary difference of book and tax depreciation	1.21	-	4.14	5.35
Items that are tax deductible on payment basis	96.51	13.72	67.39	177.62
Provision for expected credit loss	30.50	-	5.56	36.06
Lease liabilities	218.41	-	(18.78)	199.63
Refund liability	94.95	-	13.96	108.91
Carried forward business losses	154.67	-	1,220.22	1,374.89
MAT credit entitlement	50.60	-	(13.96)	36.64
Provision for diminution in value of intangible assets	175.55	-	(175.55)	-
Net deferred tax asset / (liability)	822.40	13.72	1,102.98	1,939.10
Net impact	(62.17)	(13.72)	(1,033.20)	(1,109.09)

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(c) Details of unused tax credits (MAT credit entitlement)

Particulars	As at March 31, 2025		As at March 31, 2024	
	₹	Expiry date	₹	Expiry date
A.Y. 2016-17	-	2031-32	13.58	2031-32
A.Y. 2017-18	-	2032-33	3.51	2032-33
A.Y. 2018-19	-	2033-34	5.10	2033-34
A.Y. 2019-20	0.82	2034-35	9.52	2034-35
A.Y. 2020-21	0.03	2035-36	0.69	2035-36
A.Y. 2021-22	-	2036-37	4.12	2036-37
A.Y. 2022-23	8.22	2037-38	8.22	2037-38
	9.07		44.74	

(d) Details in respect of carried forward business losses

The amount and expiry of date of unused tax credits are:

Particulars	Business losses	As at March 31, 2025		Business losses	As at March 31, 2024	
		Expiry date	Unabsorbed depreciation (with no expiry)		Expiry date	Unabsorbed depreciation (with no expiry)
A.Y. 2015-16	-	2023-24	4.93	-	2023-24	4.93
A.Y. 2016-17	-	2024-25	23.93	-	2024-25	23.93
A.Y. 2017-18	3.84	2025-26	39.17	3.84	2025-26	39.17
A.Y. 2018-19	26.70	2026-27	40.55	150.79	2026-27	40.55
A.Y. 2019-20	57.90	2027-28	35.74	137.14	2027-28	35.74
A.Y. 2020-21	114.17	2028-29	18.30	120.82	2028-29	18.30
A.Y. 2021-22	60.53	2029-30	7.64	60.53	2029-30	7.64
A.Y. 2022-23	46.47	2030-31	15.69	46.45	2030-31	15.69
A.Y. 2023-24	5,007.09	2031-32	3,404.68	5,901.58	2031-32	3,479.80
A.Y. 2024-25	398.03	2032-33	42.36	557.38	2032-33	27.51
A.Y. 2025-26	728.63	2033-34	144.86			
	6,443.36		3,777.85	6,978.53		3,693.26

Note:-

Unabsorbed business loss of A.Y. 2023-24 includes long term capital loss of ₹ 9.34 million (previous year : ₹ 9.31 million) and A.Y. 2024-25 includes short term capital loss of ₹ 3.49 million (previous year : ₹ 4.76 million).

(e) Unrecognised deferred tax assets:

Particulars	As at March 31, 2025		As at March 31, 2024	
	Gross amount	Unrecognised tax effect	Gross amount	Unrecognised tax effect
Brought forward business losses and unabsorbed depreciation	2,021.00	508.64	5,477.54	1,378.59

*During the year, deferred tax assets has been created only where it is reasonably certain that there will be sufficient taxable income against which such deferred tax assets can be utilised.

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46 Research and development expenditure

The Holding company has its research and development centres (approved by DSIR) located in Haridwar and Mumbai which concentrates on the development of new pharmaceutical formulations. Research and development costs incurred amounted to ₹ 286.92 million (31 March 2024: ₹ 292.55 million) (including depreciation of ₹ 51.25 million (31 March 2024: ₹ 45.22 million) and interest expense of ₹ 0.45 million (31 March 2024: ₹ 0.83 million) recognised in the consolidated statement of profit and loss.

During the year ended 31 March 2025, one of the Group company having its research and development centres in Barwala, received official recognition as in-house R&D units from the Department of Scientific and Industrial Research (DSIR) w.e.f. 28 November 2025. Research and development costs incurred amounted to ₹ 53.72 million (including depreciation of ₹ 9.53 million) for the period from 28 November 2024 to 31 March 2025 recognised in the consolidated statement of profit and loss.

47 Segment reporting

The board of directors of the Holding Company have been identified as the Chief Operating Decision Maker (CODM) as defined by Ind AS 108 "Operating Segments". Operating Segments have been defined and presented based on the regular review by the CODM to assess the performance of each segment and to make decisions about allocation of resources. Pursuant to increased focus and on branded and trade generics and consequent changes to the nature of internal reporting provided to the CODM, the group has reassessed its reportable segments and have revised the previously reported segments of Contract Development and Manufacturing Operations (CDMO), Active Pharmaceutical Ingredient (API) and Branded and Generic formulations to the below mentioned segments

- a) Contract Development and Manufacturing Operations (CDMO): including the formulation research and development, preparation and regulatory filing of dossiers, manufacturing formulations on contract basis, job work and testing services
- b) Active Pharmaceutical Ingredient (API) : wherein the group is engaged in manufacture and sale of KSM, Intermediate and API products
- c) Domestic Branded formulations: wherein the company undertakes marketing of its branded formulations in the Indian market
- d) International Branded Formulations: wherein the company undertakes marketing of its branded formulations in the global market
- e) Trade generics: wherein the company leverages trade channel to supply its generic products in the Indian market

The figures for the previous periods presented in these consolidated financial statements have realigned in accordance with Ind AS 108 "Operating Segments"

The Group prepares its segment information in conformity with the accounting policies adopted for preparing and presenting the consolidated financial statements of the Group as a whole.

No operating segments have been aggregated to form the above reportable operating segments. Common allocable costs are allocated to each segment according to the relative contribution of each segment to the total common costs

Revenue, expenses, assets and liabilities which relate to the Group as a whole and not allocable to segments on reasonable basis have been included under 'unallocated revenue / expenses / assets / liabilities'

Segment results excludes the effects of significant items of income and expenditure which may have an impact on the quality of earnings such as exceptional items, where the such impacts are result of non-recurring events. It also excludes the effects of finance costs, interest income, fair value gains and losses on financial instruments etc which are not allocated to individual segments as the underlying instruments are managed on a Group basis.

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Borrowings, current taxes, deferred taxes and certain financial assets and liabilities are not allocated to the segments and have been included under 'unallocated assets / liabilities'.

All the transactions are at arm length price.

Information related to each reportable segment is set out below. Segment results (profit/(loss) before interest and tax) is used to measure performance because management believes that this information is most relevant in evaluating the results of the respective segments relative to other entities that operate in the same industries.

No single external customer amounts to 10% or more of the group's revenue in any of the periods reported below.

Particulars	Year ended 31 March 2025			Year ended 31 March 2024		
	Total segment revenue	Inter segment revenue	Revenue from external customer	Total segment revenue	Inter segment revenue	Revenue from external customer
Revenue						
CDMO (gross)	39,694.11			41,571.22		
Less: Intra segment revenue	5,291.69			5,374.91		
CDMO (net)	34,402.42	2,323.66	32,078.76	36,196.31	3,532.84	32,663.47
API	2,771.23	578.27	2,192.96	2,784.29	659.12	2,125.17
Domestic Branded formulations	4,335.88	-	4,335.88	3,984.66	3.38	3,981.28
International Branded Formulations	1,426.13	-	1,426.13	1,248.11	-	1,248.11
Trade generics (gross)	1,178.82			2,066.38		
Less: Intra segment revenue	0.03			299.88		
Trade generics (net)	1,178.79	30.94	1,147.85	1,766.50	2.71	1,763.79
Total	44,114.45		41,181.58	45,979.87		41,781.82

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Segment result before depreciation		
CDMO	4,538.92	4,866.92
API	(438.01)	(455.14)
Domestic Branded formulations	767.25	684.16
International Branded Formulations	275.91	239.02
Trade generics	(282.17)	(332.60)
Segment result		
CDMO	3,323.83	3,886.13
API	(757.10)	(736.53)
Domestic Branded formulations	745.74	667.43
International Branded Formulations	257.88	218.89
Trade generics	(306.33)	(360.43)
Total segment result	3,264.02	3,675.49
Unallocated corporate income/ (expenses) [net]	66.32	(3,552.23)
Interest income	237.78	120.00
Finance costs	(282.56)	(435.70)
Profit/ (loss) before exceptional items and tax	3,285.56	(192.44)
Exceptional items	(166.97)	260.34
Profit/ (loss) before tax	3,452.53	(452.78)
Tax expenses	14.76	(460.68)
Profit for the year	3,437.77	7.90

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Other information	Depreciation and Amortization		Segment assets		Segment liabilities	
	As at 31 March 2025	As at 31 March 2024	As at 31 March 2025	As at 31 March 2024	As at 31 March 2025	As at 31 March 2024
CDMO	1,158.56	918.60	27,016.32	24,318.00	7,280.97	7,399.40
API	319.09	281.39	4,575.97	4,680.03	601.48	423.63
Domestic Branded formulations	19.88	16.36	734.81	659.73	1,100.83	1,105.87
International Branded Formulations	16.41	16.83	813.35	615.69	512.21	353.02
Trade generics	20.52	23.21	739.40	1,550.53	432.80	755.40
Less :- Inter-segment eliminations			(735.72)	(783.74)	(735.72)	(783.74)
Segment total	1,534.46	1,256.39	33,144.13	31,040.24	9,192.57	9,253.58
Un-allocated corporate assets/ liabilities	-	-	7,990.29	4,123.41	1,305.74	18,705.21
Total assets/ liabilities	1,534.46	1,256.39	41,134.42	35,163.65	10,498.31	27,958.79

There are no investments in associate and joint ventures accounted for by the equity method included in and reported for segment assets under different segments.

All the assets of the Group are domiciled with in India only.

*Addition of Non current assets other than financial assets and deferred taxes for the year ended 31 March 2025 and 31 March 2024

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
CDMO	3,256.01	2,972.98
API	145.87	152.23
Prescriptions	8.55	4.03
Branded exports	31.21	2.22
Trade generics	3.57	10.01
	3,445.21	3,141.47

48 Capital management

For the purpose of the Group's capital management, equity includes issued equity capital, securities premium and all other equity reserves attributable to the equity shareholders and net debt includes interest bearing loans and borrowings less current investments and cash and cash equivalents (net debt excludes put option liability). The primary objective of the Group's capital management is to safeguard continuity, maintain a strong credit rating and healthy capital ratios in order to support its business and provide adequate return to shareholders through continuing growth via expansion.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. The funding requirement is met through a mixture of equity, internal accruals and short term borrowings. The Group monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt. In order to achieve this overall objective, the Group's capital management, amongst other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements.

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Particulars	As at 31 March 2025	As at 31 March 2024
Non-current borrowing	-	1,238.60
Current borrowing	136.55	3,676.95
Less:		
Cash and cash equivalents	1,011.91	1,110.50
Other bank balances	4,752.60	1,660.03
Net debt (A)	(5,627.96)	2,145.02
Total equity* (B)	30,636.11	7,204.86
Capital and net debt (C = A+B)	25,008.15	9,349.88
Gearing ratio (A/C)	(22.50%)	22.94%

*Equity includes capital and all reserves of the Group that are managed as capital.

In order to achieve this overall objective, the Group's capital management, amongst other things, aims to ensure that it meets financial covenants and attached to the interest bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings. There have been no material breaches in the financial covenants of any interest bearing loans and borrowings as at year end. No changes were made in the objectives, policies or processes for managing capital during the year ended 31 March 2025 and 31 March 2024.

49 Goodwill and Capital reserve on consolidation as on the consolidated balance sheet date comprises of the following:

Name of the entity	As at 31 March 2025	As at 31 March 2024
Goodwill		
Malik Lifesciences Private Limited	11.18	11.18
Pure and Cure Healthcare Private Limited	9.45	9.45
Total (A)	20.63	20.63
Capital reserve		
Akumentis Healthcare Ltd	8.07	8.07
Maxcure Nutravedics Limited	0.06	0.06
Upadhrish Reserchem LLP	2.72	2.72
Pure and Cure Healthcare Private Limited*	1,019.13	1,019.13
Total (B)	1,029.98	1,029.98

*On account acquisition of Akums Lifesciences Limited (erstwhile subsidiary of the Holding company) which has been merged with one of the group company w.e.f 19 October 2023.

Changes in carrying values of goodwill during the year

Particulars	Amount
Gross carrying amount	
Balance as at 1 April 2023	250.40
Add: Acquired during the year	-
Balance as at 31 March 2024/ 1 April 2024	250.40
Add: Acquired during the year	-
Balance as at 31 March 2025	250.40

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Particulars	Amount
Impairment	
Balance as at 1 April 2023	229.77
Less: Impairment during the year	-
Balance as at 31 March 2024/ 1 April 2024	229.77
Less: Impairment during the year (refer note below)	-
Balance as at 31 March 2025	229.77
Carrying amount as at 31 March 2024	20.63
Carrying amount as at 31 March 2025	20.63

Note:

The Group performs test for goodwill impairment at least annually on 31 March or if indicators of impairment arise, such as the effects of obsolescence, demand, competition and other economic factors or on occurrence of an event or change in circumstances that would more likely than not reduce the fair value below its carrying amount. When determining the recoverable value (using value in use), we utilize various assumptions, including operating results, business plans and projections of future cash flows. During the previous years, the management has reviewed the carrying value of its goodwill against the recoverable amounts of these CGUs, using internal and external information available and has recorded an impairment of above mentioned amount ₹ 229.77 million in respective year in the statement of the profit and loss account. Further, as at reporting date, the carrying value of goodwill in the consolidated financial statements of the Group, is not material and hence not considered for an impairment assessment.

50 Details relating to net assets and profit/(loss) is as follows:

For the year ended 31 March 2025

Name of the entity	Net assets i.e. total assets minus total liabilities		Share in profit/ (loss)		Share in Other comprehensive income (OCI)		Share in total comprehensive income	
	₹	As % of consolidated net assets	₹	As % of consolidated profit/ (loss)	₹	As % of consolidated OCI	₹	As % of total consolidated income
Parent								
Akums Drugs and Pharmaceuticals Limited	23,052.47	75.25%	1,609.98	46.83%	(0.72)	6.58%	1,609.26	46.96%
Subsidiaries (Indian)								
Pure and Cure Healthcare Private Limited	8,836.27	28.84%	1,483.68	43.16%	(7.04)	64.29%	1,476.64	43.09%
Malik Lifesciences Private limited	329.23	1.07%	44.43	1.29%	(0.70)	6.39%	43.73	1.28%
Maxcure Nutravedics Limited	1,540.59	5.03%	144.57	4.21%	(0.67)	6.12%	143.90	4.20%
Unosource Pharma Limited	(47.65)	-0.16%	158.82	4.62%	1.00	-9.13%	159.82	4.66%
Akumentis Healthcare Limited	1,784.24	5.82%	602.19	17.52%	0.81	-7.40%	603.00	17.60%
Sarvagunaushdhi Private Limited	433.60	1.42%	(8.13)	-0.24%	-	-	(8.13)	-0.24%
Plenteous Pharmaceuticals Limited	(279.19)	-0.91%	(107.21)	-3.12%	(0.35)	3.20%	(107.56)	-3.14%
Upadhrish Reserchem LLP	124.76	0.41%	85.95	2.50%	-	-	85.95	2.51%
Nicholas Healthcare Limited	320.41	1.05%	(193.56)	-5.63%	(0.06)	0.55%	(193.62)	-5.65%
Medibox Pharma Private Limited	(162.95)	-0.53%	(72.03)	-2.10%	(0.05)	0.46%	(72.08)	-2.10%
Akums Healthcare Limited	(24.15)	-0.08%	(379.14)	-11.03%	(2.85)	26.03%	(381.99)	-11.15%
Qualymed Pharma Private Limited	(52.48)	-0.17%	(41.69)	-1.21%	(0.41)	-	(42.10)	-1.23%
Amazing Research Laboratories Limited	-	0.00%	-	0.00%	-	-	-	0.00%
May and Baker Pharmaceuticals Limited	-	0.00%	-	0.00%	-	-	-	0.00%
Hygosap Pharama Private Limited	-	0.00%	-	0.00%	-	-	-	0.00%
Non-controlling interest in all subsidiaries	165.97	0.54%	56.01	1.63%	0.08	-0.73%	56.09	1.64%
Intra group eliminations	(5,385.01)	-17.58%	53.90	1.57%	0.01	-0.09%	53.91	1.57%
Total	30,636.11	100.00%	3,437.77	100.00%	(10.95)	96.26%	3,426.82	100.00%

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For the year ended 31 March 2024

Name of the entity	Net assets i.e. total assets minus total liabilities		Share in profit/ (loss)		Share in Other comprehensive income (OCI)		Share in total comprehensive income	
	₹	As % of consolidated net assets	₹	As % of consolidated profit/ (loss)	₹	As % of consolidated OCI	₹	As % of total consolidated income
Holding Company								
Akums Drugs and Pharmaceuticals Ltd.	1,438.78	19.97%	(1,654.51)	-20953.77%	(21.75)	59.14%	(1,676.26)	5803.42%
Subsidiaries (Indian)								
Pure and Cure Healthcare Private Limited*	5,340.75	74.13%	1,246.06	15780.90%	(9.86)	26.81%	1,236.20	-4279.88%
Malik Lifesciences Private limited	285.50	3.96%	25.64	324.72%	(2.56)	6.96%	23.08	-79.91%
Maxcure Nutravedics Limited	1,146.94	15.92%	192.09	2432.75%	(2.00)	5.44%	190.09	-658.12%
Unosource Pharma Limited	(207.47)	-2.88%	125.31	1587.01%	(1.67)	4.54%	123.64	-428.06%
Akumentis Healthcare Limited	1,181.24	16.40%	517.12	6549.14%	(2.40)	6.53%	514.72	-1782.02%
Nicholas Healthcare Limited	514.04	7.13%	(39.35)	-498.35%	0.36	-0.98%	(38.99)	134.99%
Sarvagunaushdhi Private Limited	441.73	6.13%	(51.94)	-657.80%	-	0.00%	(51.94)	179.82%
Plenteous Pharmaceuticals Limited	(171.63)	-2.38%	(145.78)	-1846.25%	0.38	-1.03%	(145.40)	503.39%
Upadhrish Reserchem LLP	121.81	1.69%	89.45	1132.85%	-	-	89.45	-309.69%
Medibox Pharma Private Limited	(90.87)	-1.26%	(93.29)	-1181.48%	1.97	-5.36%	(91.32)	316.16%
Akums Healthcare Limited	357.83	4.97%	(209.13)	-2648.56%	0.94	-2.56%	(208.19)	720.78%
Qualymed Pharma Private Limited	(10.39)	-0.14%	(10.49)	-132.85%	-	-	(10.49)	36.32%
Amazing Research Laboratories Limited	9.40	0.13%	90.87	1150.84%	-	0.00%	90.87	-314.60%
May and Baker Pharmaceuticals Limited	(0.31)	0.00%	(70.75)	-896.02%	-	0.00%	(70.75)	244.95%
Hygosap Pharama Private Limited	3.03	0.04%	38.42	486.58%	-	0.00%	38.42	-133.01%
Non-controlling interest in all subsidiaries	109.88	1.53%	48.25	611.07%	(0.22)	0.60%	48.03	-166.29%
Intra group eliminations	(3,265.40)	-45.32%	(90.07)	-1140.75%	0.03	-0.08%	(90.04)	311.74%
Total	7,204.86	100.00%	7.90	100.00%	(36.78)	100.00%	(28.88)	100.00%

*Akums Lifesciences Limited (erstwhile subsidiary of the Holding company) has been merged with Pure and Cure Healthcare Private Limited w.e.f 19 October 2023.

51 Lease

- (a) The Group has adopted Ind AS 116 'Leases' from 1 April 2019
- (b) The weighted average lessee's incremental borrowing rate applied by Group companies to the lease liabilities ranges from 9%-13% p.a.
- (c) The table below describes the nature of the Group's leasing activities by type of right-of-use asset recognised on consolidated balance sheet:

As at 31 March 2025

Right-of-use assets	No of right-of-use assets leased	Range of remaining term(years)	Average remaining lease term (years)
Leasehold land	22	28.5 - 90.5 years	82.5 years
Buildings	34	0.5 - 7.5 years	4 years

As at 31 March 2024:

Right-of-use assets	No of right-of-use assets leased	Range of remaining term(years)	Average remaining lease term (years)
Leasehold land	17	29.5 - 91.5 years	83.5 years
Buildings	12	1.5 - 8.5 years	4.5 years

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There are no leases entered by the Group which have any extension, termination or purchase option and the payment of lease rentals is not based on variable payments which are linked to an index.

(d) Amount recognised in consolidated balance sheet and consolidated statement of profit and loss:

Particulars	Category of Right-of-use assets		
	Land	Buildings	Total
Balance as at 1 April 2023	992.52	271.07	1,263.59
Add: Additions during the year	17.84	9.56	27.40
Less: Deletion during the year	-	(26.36)	(26.36)
Less: Depreciation charged on the right-of-use assets	(22.97)	(69.74)	(92.71)
Balance as at 31 March 2024/ 1 April 2024	987.39	184.53	1,171.92
Add: Additions during the year	411.68	288.21	699.89
Add: Modification under IND AS 116	(11.05)	(3.82)	(14.87)
Less: Deletion during the year	-	(116.14)	(116.14)
Less: Depreciation charged on the right-of-use assets	(25.58)	(100.31)	(125.89)
Balance as at 31 March 2025	1,362.44	252.47	1,614.91

(e) Lease payment not recognised as lease liability

	Year ended 31 March 2025	Year ended 31 March 2024
Expenses relating to short term leases (included in other expenses)	20.35	59.77
Total	20.35	59.77

(f) The total cash outflow for leases for the year ended 31 March 2025 was ₹ 584.18 million (31 March 2024: ₹ 153.93 million)

(g) Future minimum lease payments as on 31 March 2025 are as follows:

Minimum Lease payments due	As at 31 March 2025		
	Lease payment	Finance charges	Net Present Value
Within 1 Year	135.97	63.67	72.30
1-5 Year	319.84	227.04	92.80
More than 5 Year	1,223.83	643.36	580.47
Total	1,679.64	934.07	745.57

Future minimum lease payments as on 31 March 2024 are as follows:

Minimum Lease payments due	As at 31 March 2024		
	Lease payment	Finance charges	Net Present Value
Within 1 Year	121.43	63.78	57.65
1-5 Year	361.01	215.72	145.29
More than 5 Year	1,223.09	689.34	533.75
Total	1,705.53	968.84	736.69

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52 Ageing of trade receivables and trade payables as per Schedule III**A Trade receivables ageing**

The table below analyse the outstanding trade receivables:

As at 31 March 2025

Particulars	Not due	Outstanding for the following periods from due date of payment					
		Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed trade receivables- considered good	5151.16	1,987.74	204.51	77.85	119.47	10.70	7,551.43
Undisputed trade receivables- which have significant increase in credit risk	-	-	1.68	33.95	57.67	57.09	150.39
Disputed trade receivables- which have significant increase in credit risk	-	0.35	12.26	45.58	89.91	345.51	493.61
Provision for expected credit loss	-	(0.09)	(12.42)	(42.67)	(115.33)	(321.96)	(492.47)
	5151.16	1,988.00	206.03	114.71	151.72	91.34	7,702.96

31 March 2024

Particulars	Not due	Outstanding for the following periods from due date of payment					
		Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed trade receivables- considered good	4,668.07	2,827.04	273.87	310.66	117.63	1.49	8,198.76
Undisputed trade receivables- which have significant increase in credit risk	-	-	1.06	19.88	14.16	48.14	83.24
Disputed trade receivables- which have significant increase in credit risk	-	-	0.56	18.14	86.44	173.53	278.67
Provision for expected credit loss	-	-	(1.20)	(10.76)	(80.99)	(129.60)	(222.55)
	4,668.07	2,827.04	274.29	337.92	137.24	93.56	8,338.12

B Trade payables ageing

The table below analyse the outstanding trade payables:

31 March 2025

Particulars	Unbilled	Outstanding for the following periods from due date of payment				
		Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
MSME		772.03	-	-	-	772.03
Others	782.18	4,721.23	131.80	17.29	3.32	5,655.82
	782.18	5,493.26	131.80	17.29	3.32	6,427.85

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31 March 2024

Particulars	Unbilled	Outstanding for the following periods from due date of payment				
		Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
MSME		469.92	2.33	-	-	472.25
Others	424.82	4,234.62	178.34	6.15	5.14	4,849.07
	424.82	4,704.54	180.67	6.15	5.14	5,321.32

53 Share based payments

The Holding Company has implemented Employee Stock Option Scheme 2022 (ESOP Scheme 2022) as approved by the shareholder on 31 March 2022. The scheme entitles employees and directors of the Holding Company and its subsidiaries to purchase shares in the Holding Company at the stipulated exercise price, subject to compliance with vesting conditions. The nomination and remuneration committee of the Board of the Company administers the Employee Stock Option Scheme 2022 and grants stock options to eligible employees.

Details of the options granted during the year ended 31 March 2024 under the scheme are given below:

Scheme details	Grant date	No. of options granted	Exercise price (₹) per option	Vesting period	Exercise period
Employee Stock Option Scheme 2022 (ESOP Scheme 2022)	1 April 2023	14,000	1,010	5 years	5 years from date of vesting of options

The vesting conditions are mix of service and performance based conditions. Further, during the vesting period, there will graded vesting which will be 25% each in last 4 years of vesting period.

The options are granted at an exercise price, which is in accordance with the relevant provisions of the Companies Act, 2013, at the time of such grants. Each option entitles the holder to exercise the right to apply for and seek allotment of one equity share of face value ₹ 2 each.

The options were granted on 1 April 2023 and were then forfeited during the period. Hence, there is no impact on the financial performance of the group during the period.

The fair values of options are measured based on the Black-Scholes-Merton model.

Weighted average share price for options exercised during the year :

Particulars	ESOP Scheme 2022
Weighted average share price (₹)	1,010.34

Stock option activity under the scheme for the year ended 31 March 2025 is set out below:

Particulars	No. of options	Weighted average exercise price (₹) per option	Range of exercise price (₹) per option	Weighted average remaining contractual life (years)
Outstanding as at 1 April 2023	-	-	-	-
Granted during the year	14,000	1,010.00	1,010.00	4.75
Forfeited/ cancelled during the year	(14,000)	1,010.00	1,010.00	-

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Particulars	No. of options	Weighted average exercise price (₹) per option	Range of exercise price (₹) per option	Weighted average remaining contractual life (years)
Exercised during the year	-	-	-	-
Expired during the year	-	-	-	-
Outstanding as at 31 March 2024/ 1 April 2024	-	-	-	-
Granted during the year	-	-	-	-
Exercisable at the end of the year	-	-	-	-
Outstanding as at 31 March 2025	-	-	-	-

Weighted average share price for options exercised during the period :

Particulars	ESOP Scheme 2022
Weighted average share price (₹)	1,010.34
Fair value per Option at grant date (₹)	376.94- 553.33
Exercise price (₹)	1,010.00
Expected Volatility	38.82%-37.72%
Expected Life (in years)	3.5 - 7.5
Expected dividends	0.00%
Risk-free interest rate	6.87%- 7.03%

54. Other information:

- (a) The Ministry of Corporate Affairs (MCA) has prescribed a new requirement for companies under the proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014, inserted by the Companies (Accounts) Amendment Rules 2021 requiring companies, which uses accounting software for maintaining its books of accounts, shall only use such accounting software which has a feature of recording audit trail of each and every transaction, creating an edit log of each change made in the books of account along with the date when such changes were made and ensuring that the audit trail cannot be disabled.

The Group has used accounting software for maintaining its books of account which has a feature of audit trail (edit log) facility and the same was enabled at the application level. During the year ended 31 March 2025, the Group has not enabled the feature of recording audit trail (edit log) at the database level for the said accounting software to log any direct data changes on account of recommendation in the accounting software administration guide which states that enabling the same all the time consume storage space on the disk and can impact database performance significantly.

- (b) The Holding company has completed its Initial Public Offer (IPO) of 27,368,143 equity shares of face value of ₹ 2 each at an issue price of ₹ 679 per share (including share premium of ₹ 677 per share). A discount of ₹ 64 per share was offered to eligible employees bidding in the employee reservation portion of 243,826 equity shares and as a result the equity shares of the Holding company has been listed on National Stock exchange of India Limited (NSE) and BSE Limited (BSE) on 6 August 2024. The issue comprised of fresh issue of 10,037,708 equity shares aggregating to ₹ 6,800.00 million and offer for sale of 17,330,435 equity shares by selling shareholders, aggregating to ₹ 11,767.37 million.

The Holding company has estimated ₹ 1,116.58 million as IPO related expenses and allocated such expenses between the Holding company (₹ 426.30 million has been adjusted to the securities premium account) and selling shareholders (₹ 690.28 million) in proportion to the equity shares allotted to the public as fresh issue by the Holding company and under the offer for sale by selling shareholders respectively. Out of the total IPO proceeds the funds available in public offer account is ₹ 513.14 million for remitting funds for pending IPO related expenses.

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The Holding company has received an amount of ₹ 6,373.70 million (net of IPO expenses of ₹ 426.30 million) from proceeds out of fresh issue of equity shares. The utilisation of the net IPO proceeds is summarised below:

Objects	Planned net proceeds as per prospectus	Actual net proceeds	Utilisation upto 31 March 2025	Unutilised amount as on 31 March 2025
Repayment/prepayment of all or certain borrowings of the Holding company	1,599.10	1,599.10	1,599.10	-
Repayment/prepayment of all or certain borrowings of the Subsidiaries namely, Maxcure Nutravedics Limited and Pure and Cure Healthcare Private Limited	2,270.90	2,270.90	2,270.90	-
Funding incremental working capital requirements of the Holding Company	550.00	550.00	550.00	-
Pursuing inorganic growth initiatives through acquisitions	278.70	278.70	197.30	81.40
General corporate purposes	1,675.00	1,675.00	1,675.00	-
Total proceeds	6,373.70	6,373.70	6,292.30	81.40

- (c) Pure and Cure Healthcare Limited and Akums Lifesciences Limited (both wholly owned subsidiaries of Akums Drugs and Pharmaceuticals Limited) had filed a Scheme of Arrangement ('Scheme') under the provisions of Section 230 - 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, for the amalgamation of Akums Lifesciences Limited with and into Pure and Cure Healthcare Private Limited. The Scheme was approved by NCLT vide its order dated 24 August 2023 and 17 October 2023 by Chandigarh and New Delhi NCLT respectively, with the appointed date as 1 April 2022. The Scheme was effective on 19 October 2023 upon filing of the Scheme with the Registrar of Companies. Accordingly, the impact of the aforesaid Scheme has been given effect to in the accompanying consolidated financial statements in accordance with the requirements of the Scheme.

As per provisions of Income tax Act 1961 and rules made thereunder, pursuant to the scheme of arrangement, business losses incurred in earlier years of Akums Lifesciences Limited (amalgamating entity) can be set off against business profits of Pure and Cure Healthcare Private Limited (amalgamated entity) in next 8 years from the financial year in which merger is effected (i.e. F.Y. 2022-2023).

- (d) In accordance with Ind AS 36 – Impairment of Assets, the Group has identified its manufacturing units located at Derrabassi and Lalru, under the API segment, as separate Cash Generating Units (CGU) for the purpose of impairment assessment. Management conducts periodic impairment reviews of this CGU based on both internal and external

indicators to determine whether the recoverable amount of the CGU is lower than their carrying amount as at 31 March 2025. As of this date, the carrying value of the CGU stood at ₹ 4,329.80 million.

Given that the CGU have incurred operating losses in the current and preceding financial years, and their economic performance has been significantly below budgeted expectations, these were considered indicators of potential impairment. Accordingly, a detailed recoverability assessment was undertaken as at 31 March 2025.

The Group engaged an independent external valuation expert to assess the fair value of the Property, Plant and Equipment (PPE), which had a carrying value of ₹ 1,570.51 million. The valuation was performed using:

- The Reproduction Cost Method (Indexation Method) under the Cost Approach for PPE excluding land and buildings, and
- The Sales Comparison Method under the Market Approach for land and buildings.

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

The remaining carrying value of the CGU, amounting to ₹ 2,759.29 million, primarily comprises Inventory (₹ 1,062.02 million), GST Input Credit (₹ 363.16 million) and Trade Receivables (₹ 704.67 million), which are considered fully recoverable and not subject to impairment.

The valuation process involved significant management judgment and estimation, particularly in relation to:

- The estimated remaining useful life of the assets, and
- The market values of the properties.

Based on the valuation, the recoverable amount (fair value less costs of disposal) of PPE as at 31 March 2025 was determined to be ₹ 2,488.07 million, which exceeds the carrying amount of the CGU. A sensitivity analysis on key assumptions, including market values, confirmed that the recoverable amount would continue to exceed the carrying amount under reasonably possible changes in assumptions.

Accordingly, no impairment loss has been recognized in respect of this CGU as at 31 March 2025.

- (e) During the financial year ended 31 March 2025, from 15 January 2025 to 21 January 2025, the Income Tax Department ("IT Department") has conducted a search and seizure operation under Section 132 of the Income Tax Act, 1961, at certain offices and manufacturing units of the Holding Company and its subsidiaries, and the residences of select key managerial personnel of the Group.

During the search and seizure proceedings, the Group has fully cooperated, provided the required information and responses to the IT Department. As a part of search and seizure operation, the IT department has cloned electronic books of accounts, laptops, data backups and seized certain documents, cash and other materials for further investigation. The business and operations of the Group continued without any disruptions, except some minor operational hiccups, and customer commitments were met during this period. The Company has not received any written order/ notice/ communication as the findings of such investigation from the department except for receipt of summons basis which the management is in the process of submitting the requested details to the authorities. There have been no demands which have been raised on the Group as of date. Based on the foregoing and having regard to the matters of the inquiry during the search proceedings stated above, management is of the view that no material adjustments are required to these consolidated financial statements for the year ended 31 March 2025 in this regard.

- (f) There are no subsequent events that occurred after the reporting date which may have an impact on these consolidated financial statements.

55 Other statutory information

- (a) The Group do not have any Benami property, where any proceeding has been initiated or pending against the Group for Holding any Benami property.
- (b) The Group do not have any transactions with companies struck off.
- (c) The Group has not revalued its property, plant and equipment (including right-of-use assets) or intangible assets or both during the current or previous periods.
- (d) The Group have not traded or invested in Crypto currency or Virtual Currency during the financial year.
- (e) The Group have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
- (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries

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Summary of the material accounting policies and other explanatory information

for the year ended 31 March 2025

(All amounts in ₹ million unless otherwise stated)

- (f) The Group have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Group shall:
- (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries,
- (g) The Group have not any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961
- (h) The Group is not declared wilful defaulter by any bank or financial institution or government or any government authority.
- (i) During the previous year, the Group had complied with the approved scheme of arrangement.

For **Walker Chandiok & Co LLP**

Chartered Accountants

Firm Registration No.: 001076N/ N500013

Tarun Gupta

Partner

Membership No: 507892

For and on behalf of Board of Directors of

Akums Drugs and Pharmaceuticals Limited

Sanjeev Jain

Managing Director

DIN: 00323433

Sandeep Jain

Managing Director

DIN: 00323476

Sumeet Sood

Chief Financial Officer

Dharamvir Malik

Company Secretary

Mem. No.: FCS 8596

Place : New Delhi

Date : 26 May 2025

Place : New Delhi

Date : 26 May 2025

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Notes

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